

Indian Energy Exchange Ltd. (IEX)

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Indian Energy Exchange Ltd

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The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on May 26, 2023.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on May 26, 2023, at 02:30 P.M. (IST) to discuss the financial results of the Company for the quarter and year ended March 31, 2023.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

Page 1 of 17

"Indian Energy Exchange Limited
Q4 FY2023 Earnings Conference Call"

May 26, 2023

ANALYST /MODERATOR : MR. SUMIT KISHORE - AXIS CAPITAL LIMITED

MANAGEMENT – INDIAN ENERGY EXCHANGE :

MR. SATYANARAYAN GOEL – CHAIRMAN AND MANAGING DIRECTOR

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER &
COMPANY SECRETARY

MR. ROHIT BAJAJ – HEAD, BUSINESS DEVELOPMENT

MS. APARNA GARG – HEAD, INVESTOR RELATIONS AND
CORPORATE COMMUNICATIONS

MR. AMIT KUMAR – HEAD OF MARKET OPERATIONS AND
PRODUCT DEVELOPMENT

MR. SANGH GAUTAM – CHIEF TECHNOLOGY OFFICER

MR. ADITYA WALI

Indian Energy Exchange Limited

May 26, 2023

Moderator : Ladies and gentlemen, Good afternoon, and welcome to the Indian Energy Exchange Q4 FY2023 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen only mode.

There will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumit Kishore from Axis Capital Limited.

Thank you and over to you Sir!

Sumit Kishore : Thank you Tanvi. Good afternoon, ladies and gentlemen, on behalf of Axis Capital I am pleased to welcome you all for the IEX Q4 FY2023 earnings conference call. We have with us the management team of IEX, which is represented by Mr. SN Goel, Chairman and Managing Director, Mr Vineet Harlalka, Chief Financial Officer, Mr. Rohit Bajaj Head Business Development, and Ms. Aparna Garg Head Investor Relations and Corporate Communication. We will begin with the opening remarks from Mr. Goel followed by an interactive Q&A session. Over to you Goel Sir!

Satyanarayan Goel : Good afternoon, friends. I welcome you all to our Q4 and annual earnings call for FY2023. With me today on this call are Mr. Rohit Bajaj, Head Business Development; Mr. Vineet Harlalka, our CFO & Company Secretary, Mr. Amit Kumar Head of Market Operations and Product Development, Mr. Sangh Gautam CTO, Ms. Aparna Garg Head of Investor Relations and Communication and Mr. Aditya Wali. Friends last year was a turbulent year and particularly for the global economy due to geopolitical disruptions and a forecast baseline global growth falling from 3.4% in 2022 to 2.8% in 2023. In comparison, the Indian economy has fared much better due to several proactive policy enablers by the Indian government. Economic growth sustained its momentum during the year led by a strong rebound in the industrial activities backed by strong private consumption, higher capital expenditure and a robust financial sector. India is expected to register a strong growth of 7% for fiscal 2023 as per the economic survey 2022 -2023 and has been identified as the fastest growing major economy in the world. India's manufacturing PMI in Q4 2023 stood at 55.7 compared with 54.4 in Q4 of 2022. While the services PMI was higher for Q4 2023 at 58.1 compared with 52.3 in Q4 of 2022. The country's index of industrial production for 2023 grew 5.1% year -on-year basis. India's G20 presidency this year provides a significant opportunity for the country to lead the global narrative in sustainable energy transition. For the year 2023 -2024 , the Government of India has presented a Saptarishi budget with green growth being one of the seven focus areas thus clearly laying out the positive priorities for the energy sector in the country. During the year fuel supply constraints due to Russia Ukraine war led to several countries facing a severe liquidity crunch. Heat waves in various parts of the world increased power demand which coupled with rising input fuel costs and led to high electricity prices in almost all major economies. As per IEA during the second half of 2022, electricity prices increased fourfold in France to cross €320 per megawatt hour and reached almost €330 per megawatt hour in Germany. In the US average household electricity prices in the second half of 2022 were US\$91 per megawatt hour which is 65% higher than the second half of 2021. In Australia, prices averaged A\$170 per megawatt hour which is more than twice of the second half of 2021. A similar situation prevailed in India as electricity consumption in FY23 increased to 1,504 billion units, a 9.4% increase on a year -on-year basis. This was due to increased industrial activity, the hottest summer months in

our 120 years which

coupled with supply -side constraints led to high power prices being discovered on the power exchanges. While coal

Indian Energy Exchange Limited
May 26, 2023

production increased by 14.7% on a year -on-year basis in FY23 to 892 million tonnes the coal dispatch to the power sector during FY23 increased by 9.1% , however, this coal was mainly supplied to PPA -based power plants to meet the increased demand. This led to a reduction in the availability of e -auction coal by over 50% to 53 million tonnes in FY23 in comparison to 108 million tonnes in FY22 leading to a higher premium of nearly 260% over notified price in fiscal year 2023. The average market clearing price for DAM for the fiscal increased by nearly 36% to Rs.5.96 per unit while the Q4 average price of the exchange was Rs.6.1 per unit nearly a 13% increase with respect to Q4 of FY22. However , recently the prices of e -auction coal have reduced to a premium of nearly 137% over the notified price in April 2023. The price of 5000 GCV imported coal has also reduced to about \$95 per tonne a 33% drop over May 2022 price. For gas also the prices have reduced to almost about \$10 per MMBTU in the month of May which is drop of more than 100% on a year -on-year basis. This year the country was prepared to meet the summer power surge on the back of several productive initiatives taken by the Government of India. The unexpected cooler weather conditions in April which continued till mid of May helped mitigate the expected demand surge. Measures were taken during the year to increase coal production and prioritize supply to the power sector. Coal blocks were auctioned to private companies, PSUs for commercial mining, and captive mines were allowed to sell up to 50% of the annual production after meeting end -use plant requirements. Coal allocation for the power sector was increased and its transportation prioritized through the railways. Further, the Power Ministry mandated states and Gencos to import at least 6% of their coal needed to blend with the domestic coal. Section 11 of the Electricity Act was invoked thereby all imported coal -based power plants were asked to operate at full capacity with the option of selling unsold power on the power exchange. Strict monitoring was done for plant maintenance to minimize downtime. NTVN was appointed as the nodal agency to facilitate the supply of 4000 megawatts of NTPC gas-based power and 1050 megawatt of Torrent gas -based power during peak months to be sold on the exchanges. Additionally, a decisive focus on renewable energy by the Government has helped the energy sector diversify its fuel sources. India has received a renewable capacity of 172 gigawatts as on March 31, 2023, which is 41% of the total capacity of 416 gigawatts. The country added about 15 gigawatts of RE capacity in the last fiscal , the

fastest rate of growth among major economies. This makes the country well poised to meet its vision of achieving 500 gigawatts of non-fossil fuel-based electricity installed capacity by 2030. With the improving supply-side liquidity due to the above policy and regulatory enablers and cooler weather conditions, more competitive prices are being discovered on the exchange now. Going forward, we expect more competitive prices on the exchange in the coming months. IEX commenced the recent proposal of the Group constituted by the Ministry of Power for the Development of the Electricity market in India. The country's electricity market is undergoing transformational changes led by the Government's decision to focus on sustainable energy transition and energy security. Power markets will have an instrumental role to play in accelerating India's energy transition by enabling the smooth integration of renewables into the grid. Some key recommendations of the group such as mandating renewable energy sources to participate in the market and additional

RE capacity to be developed through the contract for difference mechanism will facilitate faster addition of RE capacity and spur investment in the sector thus helping attain India's 2030 RE targets. To increase RE target vision in the market a pilot mechanism has been proposed for implementation within a year and an initial capacity of 1000 megawatts will be generated by the nodal agency under the single price option with 15 years or 10 years. The

Indian Energy Exchange Limited
May 26, 2023

Page 4 of 17

significant benefit of the CfD model is that it deepens the market by providing certainty to both generators and buyers by guaranteeing a fixed price for the defined period. The mechanism ensures a stable revenue stream for the renewable generator. Countries such as UK, USA, Germany, etc., were able to increase their renewable generation capacity by more than 30% by implementing market-based reforms such as CfD to facilitate renewable energy integration into the grid. Now the Government of India has also decided to explore this option. Further, the proposal to introduce financial products for electricity to help against price volatility in the spot market will lead to capacity addition, increased private investment, and ultimately result in lower prices for consumers. The group has also recognized the inefficiency and inflexibility of long-term PPAs and a stronger role for power exchanges to deepen the market and enable efficiency in electricity procurement. Improving the efficacy of the day ahead market will lead to market-based merit order dispatch of electricity which will result in effective cost optimization. Higher renewable energy integration will necessitate detailed resource adequacy planning by the utilities to ensure optimum resource mix and introduce capacity contracting through power exchange. Similarly, a market-based mechanism through the exchange for secondary reserve will lead to RRAS at competitive prices. We are confident that the implementation of this roadmap will fast-track India's energy transition goals through an efficient, optimal and reliable market framework.

Looking at the last fiscal we saw several important developments on the policy and regulatory front. A few highlights are the draft National Electricity Policy which aims to increase the share of the competitive power market to 25% of the total electricity supply by FY2030. The policy highlights resource adequacy for better planning of resources, it also allows fungibility among various buckets of renewable purchase obligations to provide flexibility to distribution licensees. The policy encourages market based RE development and execution of small capacity for RE development. General Network Access was notified during the year. The notification to implement all provisions of GNA will go a long way in streamlining network access and network user charges. GNA will strengthen the exchange-based power market in the country. Further, it will remove regulatory arbitrage which has led to a temporary shift of volume from DAM to DAC and will be more conducive towards further market development in the country. The Electricity Amendment Rules 2022 are expected to promote renewable energy through Green Energy Open Access. This will deepen the electricity markets and efficiently integrate RE resources into the grid. The Green Open Access 2022 has reduced the open access limit from 1 megawatt to 100 kilowatts while there is no limit for captive consumers. This will also allow smaller consumers to buy or sell RE power and increase access to renewable capacity. The Electricity Amendment Bill 2022 proposes several reforms to the distribution sector, promotes private participation, better services and improves financial health. Further the Energy Conservation Amendment Act 2022 allows for the development of the national carbon market in the country. Deviation Settlement Mechanism and

Related Matters Regulations 2022 is likely to increase RTM volume in the exchange. CERC Ancillary Services Regulation 2022 for the development of Tertiary Reserve Ancillary Services will be effective June 1, 2023 and this will operationalize procurement of ancillary services through the exchange. Further, several enabling interventions were made towards increasing the generation and adoption of RE resources. A new trajectory of RPO mandates States to procure 27% of their electricity needs from renewable sources to be scaled up to 43% by the fiscal year 2030. Industry transmission charges have been waived off for RE to reduce the cost of integration of renewables while new transmission infrastructure is being set up to improve access to RE power. Renewable generation

Indian Energy Exchange Limited
May 26, 2023

Page 5 of 17

obligation mandates new coal or lignite-based thermal plants to establish RE capacity of a minimum 40% of the plant capacity. IEX will remain at the fore front of this transition by constantly innovating new products and segments to meet the evolving needs of the market.

Now I will come to the IEX update. During the year IEX launched the much-awaited Term-Ahead market contracts with

delivery up to 90 days. This contract enables customers to help risk against volatility in the spot market. We also launched green monthly contracts and introduced green hydro contracts. Last year due to the surge of electricity prices in the spot market, CERC imposed a price cap of Rs.12 per unit across market segments. While this move rationalized prices for buyers, high-cost generators were left with standard capacity. To bridge the demand-supply gap during the high demand period the Ministry proposed a High Price Day -Ahead market and following a petition by IEX CERC has granted approval to this product. This segment enables high variable cost generators such as gas-based power plants, imported coal-based power plants, and battery energy storage systems to participate in the market in the price range of 0 to Rs.20 per unit. IEX commenced trade of High Price Day -Ahead market after it was launched by the Honorable Minister Shri RK Singh Ji on March 9, 2023. This segment will bring more capacity to the spot market during high-demand period. We have made a humble beginning in this segment with the first trade executed on April 15, 2023. During the year IEX maintained a near 100% market share in collective transactions, that is, D AM and RTM, together these two markets constitute about 80% of the power exchange business.

Moving on to IEX updates, an overall volume of 26 billion units was achieved across all segments during Q4 FY23, a 7.9% quarter-on-quarter growth. Total certificates traded during Q4 amounted to 1.8 billion units, an impressive 50% quarter-on-quarter growth. However, the total volume declined by 3.3% in Q4FY23 as compared to Q4FY22 due to supply-side constraints. The average Day -Ahead market price during Q4 was Rs.6.07 higher by 13% on year-on-year basis. For the fiscal year 2023, IEX traded 96.8 BUs, a decline of 5% year-on-year due to sell-side liquidity constraints. For the fiscal year, the day-ahead market price was Rs.5.96 per unit which was higher by 36% on a year-on-year basis. Liquidity was affected due to supply constraints that led to higher prices of e-auction coal, imported coal and LNG gas. The average day-ahead market price for April 2023 came down to Rs.5.41 per unit which is a decline of 46% on a year-on-year basis with respect to April 2022. Going forward with gradual improvement in domestic production of coal and improvement in coal inventory which is at 14 days compared to 11 days of last year and reduction in imported coal and gas prices, we expect rationalization of power prices on the exchange platform. This will enable cost optimization by DISCOMs and Open Access consumers and should result in higher volume on t

he exchange platform. In line with its commitment to facilitate India's decarbonization target IEX has been certified as India's first carbon-neutral power exchange by using market-based tradable instruments to offset its carbon emissions. This certification will also help our members and participants to reduce their Scope 3 emissions. An employee focus approach built on the foundation of trust and respect has made IEX the first power exchange in India to be certified as a Great Place to Work. IEX continued to leverage technology to launch market friendly products and increase efficiency for our customers. We launched web-based bidding for G-DAM, DAM, monthly and any-day single-sided reverse auction products to provide anytime, anywhere easy and secure bidding access to our customers. Web-based financial reconciliation to enable easy

Indian Energy Exchange Limited
May 26, 2023

Page 6 of 17

reconciliation of the bidding transactions done through our platform. Web-based data insights to enable effective bidding decision making, automated financial limit allocation across product segments, utility for easy integration with RTM market, API, market data API to enable automated access to price and volume, market data across product segments. Further, we undertaken process automation which is leading to benefits such as better system availability and ease of operations. We continue to invest to create a robust and secure IT infrastructure at IEX. During the year we also integrated with the National Open Access Registry (NOAR) of GRID India.

I shall now talk about developments at IGX. In April 2023 there have been several notable achievements at our Indian Gas Exchange. IGX generated a total volume of 50.9 million MMBTU during FY23, a 319% year-on-year increase. This growth was largely on the back of the participation of major domestic gas producers and an increased number of participants. A total of 2,355 trades were executed during this year, an increase of 400% on a year-on-year basis. The profitability of IGX for FY23 has increased to Rs.28 Crores from 1.75 Crores in FY22.

I will now talk about the financial performance of IEX. On a consolidated basis, revenue for Q4 FY23 increased 10.5% on a quarter-on-quarter basis from 107.4 Crores in Q3 FY23 to 129.6 Crores in this quarter. Total revenue of Q4 FY23 witnessed a growth of 1% on a year-on-year basis. Consolidated PAT at Rs.88.3 Crores grew 14% on quarter-on-quarter basis as compared to 77.2 Crores in Q3 of FY23. For the full fiscal year 2023 on a consolidated basis, the revenue declined by 2.1% on a year-on-year basis from 484.4 Crores in FY22 to 474.1 Crores in FY23. Consolidated PAT at 305.9 Crores was lower by 0.9% on a year-on-year basis as compared to 308.6 Crores in FY22. Please note that Indian Gas Exchange was a subsidiary of IEX till January 16, 2022 and IGX became an associate company with effect from January 17, 2022 and was consolidated based on the equity method in the above numbers. For fiscal year 2023, the Board of Directors of the company announced a final dividend of Rs.1 equivalent to 100% of the face value of equity shares. During the year the Board of Directors of the company also approved the buyback of the equity shares from the open market amounting to Rs.98 Crores and this was completed successfully from January to March. For the past 15 years, IEX has continuously pioneered the market with its keen focus on customer centricity, innovation and technology. IEX will remain at the forefront of accelerating India's energy transition towards net zero. We will continue to explore business opportunities in new products and markets such as ancillary market, capacity market and gross bidding. Through our diversification initiatives, IEX will continue to deepen the energy markets of the country. In addition, IEX will help build a vibrant gas market in India enabling the Government

's aim of doubling their share of natural gas in the energy mix of the country.

IEX will continue to work with the Ministry, regulators, our partners and clients and all our stakeholders to build a sustainable energy-efficient future for India. Thank you and now we can have questions and answers.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar : Thanks for the opportunity, Sir. My first question is when do we expect the GNA regulations to be effective which will remove basically the arbitrage between DAM and DAC?

Indian Energy Exchange Limited

May 26, 2023

Page 7 of 17

Satyanarayan Goel : We understand that this will be effective from August 1, 2023. They will be issuing the Grid Code maybe this month itself and after that NLDC will need maybe two months to develop the procedure and do the necessary changes in the system to implement the grid code and the Transmission Charge Sharing Regulation.

Nikhil Abhyankar : Understood sir, by Q2 it will already be implemented and how do you expect all the volumes which were shifted to DAC will be transferred back to DAM?

Satyanarayan Goel : That should happen because if you look at the volume in the DAC market two years back there was nothing particularly happening in this and in fact, at that time even RTM market was not there. Now with the RTM market there is no place for the DAC market, without this arbitrage.

Nikhil Abhyankar : How do you expect the long-term duration volumes to pick up Sir, because till now it has not picked up substantially so what are the measures that we are taking towards it?

Satyanarayan Goel : Yes, I think in the long duration contracts also there is lot of interest which has been shown by the distribution companies and many auctions were conducted but since the price discovered in these auctions was quite high this year they have not resulted into contracts and now with improvement in the coal supply and reduction in the e-auction rate I am sure the price discovered in the long duration contracts will also be very competitive and the conversion should happen. We expect good volume growth in this market also. Last year we did 1.6 BU in 8 months so this year we are planning at least 5 BU in this segment. We have already done 1 BU in two months, so at this rate it should be more than 6 BU.

Nikhil Abhyankar : Understood and Sir final question what is the product launch pipeline for FY2024?

Satyanarayan Goel : Ancillary market is going to start from June 1, 2023. In the last two years we have launched so many products, so it is time that we bring liquidity to these products and bring awareness about these products so that participants do participate in these things.

Nikhil Abhyankar : That is all from my side. Thank you.

Moderator : Thank you. The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore : Thanks, I have a few questions. The first one is that you seem to have exercised some cost control, your employee cost is down year-on-year, and even other expenses are down year-on-year because of which the Q4 EBITDA margin has improved so could you speak about the cost control and is the margin improvement sustainable?

Satyanarayan Goel : In case of employee I think the cost is almost same what it was last year.

Indian Energy Exchange Limited

May 26, 2023

Page 8 of 17

Sumit Kishore : Sir it is down from ...

Satyanarayan Goel : I will request my CFO, Mr. Vineet Harlalka to respond to this question.

Vineet Harlalka : On year-to-year basis if you look at the employee cost it came down almost from 41 Crores to 34.5 Crores it was mainly because some portion of the IGX cost was in the IEX cost for the nine months for the last year that was one significant portion and secondly because

of the higher profit last year so there was a provision there for the

variable scheme so those two impact was there which is not there so that is why you see the gap in the cost.

Sumit Kishore : Got it and as far as other income is concerned, I see on your balance sheet that cash and bank balance and investments have reduced, there was a buyback also of 98 crores but the reduction is higher, but your other income has gone up on a year-on-year basis in Q4 quite substantially it has gone up even quarter-on-quarter. What is resulting in lower...

Vineet Harlalka: Can you repeat what you asked? Last line I didn't get it.

Sumit Kishore: I am saying basically the movement of cash and bank balance and investments there is a reduction year-on-year even after adjusting for the buyback but the other income in Q4 has gone up quite sharply on year-on-year basis?

Vineet Harlalka : If you look at the total investments, investments has not gone down significantly. Actually, there was shifting of the investment into the long-term products so if you look the investment reduced in the short term, the current investments to the long term from current to noncurrent so that is the case and secondly because of the few initiatives and the parking of the fund in to the good yielding products so that was the impact. So last year, if you see there is a significant increase in the interest rate and during the last quarter because quite liquidity crunch and also, we get the good opportunities in MLDs and other products so we take the advantage of that. That is why we got the better return on our overall investment portfolio.

Sumit Kishore : So, what is the nature of noncurrent investments which you are saying you have increased?

Vineet Harlalka : Noncurrent are basically we put the money on the target maturity funds or the long-term MLDs, FDs

so that is why those are the noncurrent assets.

Sumit Kishore : On the business front a few questions one is we find that in May as you pointed out the imported coal prices have come off, e-auction coal prices have come off, availability has also seem to be improving, we had weak demand growth in March and April but May also seems to be soft on volume growth on a year -on-year basis so far so when is the acceleration going to happen?

Indian Energy Exchange Limited
May 26, 2023

Page 9 of 17

Satyanarayan Goel : Volume growth for the first two months so far has been almost 6% in electricity. Growth has already started but I think in the coming months when we see better supply of coal in the market at lower e-auction price because e-auction conducted in the month of April quantum was also significantly higher and the price was also reasonable so the supply of this coal will start maybe in the month of June, July and we should see competitive price, further reduced price and higher volume on the exchange platform. Further wind generation also will improve, hydro generation will also improve, so all that should provide good liquidity on the sell side.

Sumit Kishore : Sure, and finally on the Contract for Differences seems to be a very promising move so what is possible in the next one year in terms of volumes coming to exchanges what is possible over a three year timeframe in terms of CfD leading to higher penetration of renewables in the merchant market?

Satyanarayan Goel : I would like to say one thing that we have been working on this product contract for differences from the last three years and I am very happy to say that Government has finally accepted this concept . So that is one thing which is a big achievement . One thing they have accepted is that they will tender out 1 ,000 megawatt of renewable capacity under the CfD which will be sold through the market. Second thing they did this year is that 4 ,000 megawatt of NTPC gas stations and 1 ,050 megawatt of Torrent gas stations will operate and sell power in the day-ahead market

and

the difference between the market clearing price and the cost of gas based generation will be paid by Government of India . Again, it is a contract for differences. They had also approved procurement of 1 ,500 megawatt of imported coal-based power under Contract for Differences for selling in the exchange platform to meet the demand during the crunch period, so of course in that particular contract there was no response from the generator so that did not materialize. So, what I am saying is that there is now acceptance of this concept and in the coming years I am sure the standard capacity, gas based capacity in particular will be utilized during the high demand period to meet the peak hour demand . And that should provide good liquidity on the exchange platform.

Sumit Kishore : What was the volume in HP -DAM since launch?

Satyanarayan Goel : HP-DAM the volume has not been significant because April and May months were comparatively much cooler months. The demand has not increased. In fact , the demand in these months was lower by 1% with respect to last year and our clearing price was 40% lower than last year , so that is why volume has not happened in the HP -DAM market.

Sumit Kishore : Those were my questions. Thank you.

Moderator : Thank you. The next question is from the line of Apoorva Bahadur from Goldman Sachs. Please go ahead.

Indian Energy Exchange Limited
May 26, 2023

Page 10 of 17

Apoorva Bahadur : Hi Sir thank you for the opportunity. Sir, continuing on this Contract for Differences product now I understand it is a derivative product so will IEX be allowed to transact once the volume picks up and also for approvals will you need to approach CERC or SEBI?

Satyanarayan Goel : I think this product has been already approved by Government of India now. If you look at delivery transactions beyond 11 days that is also considered as a forward contract but now these contracts are allowed on the exchange platform. Similarly , this contract also, since it is going to result in actual delivery of power this will be allowed. This in fact Government of India has already contracted 1,050 -megawatt gas-based capacity from Torrent and 4 ,000 from NTPC for selling through the market under this concept.

Apoorva Bahadur : Since it is delivery based there would not be any issue on the regulatory side.

Satyanarayan Goel: Yes

Apoorva Bahadur : Okay understood. Second is on one of the suggestions, recommendations which the Ministry panel had suggested for deepening the market and that is for 15 years renewable contracts so just wanted to know what sort of appetite the lenders have in funding this type of product?

Satyanarayan Goel : See, if you look at the contracts in most of the contracts the debt obligation is serviced within 10 to 12 years . So as far as lenders are concerned this will be comfortable with 15 years.

Apoorva Bahadur : With the short lending period will they be really be viable on a cost competitiveness basis?

Satyanarayan Goel : Today one of the big problems is integration of renewable with the conventional power and most of the renewable is happening through PPA and if it is PPA then it is a must run and it will operate as and when the power generation happens. I think to integrate with the market they need this kind of market instrument and that is why Government is now saying that we should have 15 years PPA so that after 15 years this power is sold through the market mechanism . And I am sure 15 years is a long period even from the funding point of view , this should be able to get

funding at a reasonable cost even for this period.

Apoorva Bahadur : Understood, so essentially the new capacity might start coming in on our platform after 15 years?

Satyanarayan Goel : Yes, you are right.

Apoorva Bahadur : Got it. Sir I think last question is probably on the demand side so we are seeing that the prices have corrected sharply and that

is something to do with the softness in demand maybe due to weather factor so do you think that structurally has the supply situation improved or going ahead if the demand picks up again, we will again be in a supply crunch?

Indian Energy Exchange Limited

May 26, 2023

Page 11 of 17

Satyanarayan Goel : I think there is significant improvement in the supply side but it is definitely not as it was two years back. But I think in the next two to three months with the increased coal supply to the IPPs there should be further improvement in the supply side.

Apoorva Bahadur : Sure Sir. Thank you so much.

Moderator : Thank you. The next question is from the line of Damodaran from Acuitas Capital. Please go ahead.

Damodaran : Thank you Sir for the opportunity. Just two questions from my side on the day-ahead contingency market. The first one was while we have a day-ahead market, what purpose does the day-ahead contingency market serve and why is its market share in that so low at 45% odd?

Satyanarayan Goel : Yes. In fact, the day-ahead contingency market was introduced in the beginning because if somebody has not been able to purchase power, and if the volume bids are not cleared in the day-ahead market then there was another opportunity in the day-ahead contingency market for him to do the transaction. But in 2022 the RTM market was introduced and in this market there is a lot of liquidity available. So, I think the purpose of the day-ahead contingency market is over and that is why no significant volume is happening on this market. Volume started happening only in 2021 when the transmission pricing regulation was issued and there was an arbitrage available in the DAC market, volume started shifting in this market. In this market is a price matching it is not a price discovery so I think all three exchanges are in the same footing and it all depends on the interactions with the customers, connectivity with the customers so that is why we have a better share in this market in comparison to other two exchanges but I think all of them have the opportunity to get market share and I understand some of the other exchanges were also giving some incentives on the transaction fees.

Damodaran : Sure Sir. Got it thanks.

Moderator : Thank you. The next question is from the line of Ankit Kanodia from Smart Sync Services. Please go ahead.

Ankit Kanodia : Thank you for taking my question. I just wanted to understand in relation to this GNA regulation, if I remember correctly it was first supposed to be implemented from October 2022 from there the date changed to January then in the last call we discussed about April 1, 2023 and now we are guiding for August 1, 2023 why this delay is happening for so long and do we have any sort of certainty that August 1, 2023 is a clarity or we can further have delay from August 1, 2023 as well? That is my first question.

Satyanarayan Goel : The point is, the implementation of this will depend on the regulatory orders and this is linked with issuance of grid code of regulation that has not been issued so far. After grid code is issued, thereafter NLDC will align its processes and systems in line with the new grid code and transmission charges regulation. They will also need some time to implement that. Based on the discussions and based on the developments which have taken place we expect

Indian Energy Exchange Limited

May 26, 2023

Page 12 of 17

that it should get implemented from August 1, 2023. But I cannot guarantee that. It all depends on issuance of order by CERC and thereafter revision of processes and systems by NLDC.

Ankit Kanodia : Thank you so much Sir that really helped, and my next question would be, if I understand correctly when the price of electricity in exchange is higher then probably the demand suffers. So that is what we witnessed last year. So what gives us an idea that this year sustainably

ably the price will be lower or can we have any guidance in terms of how we look at the prices and do we have any forecast for the prices or it is completely demand supply driven and we have no control we are seeing that?

Satyanarayan Goel : Our price discovered is purely based on the demand and supply and we have seen years in which the supply is more the prices are competitive. Last year we had more demand than supply that is why the prices were higher. This year we are expecting a much better situation because coal production targets are very, very high targets. The target is for 1 billion tonne of coal production which is 12% more than last year. Whereas the electricity demand increase is expected to be only 5-6%, so increased coal availability in the market that should lead to better liquidity on the sell side and lower price on the exchange platform and what also happens if the imported coal prices are higher. Last year the 5000 GCV coal price was about \$130. It has come down to about \$90 now and it is expected to go down further. E-auction prices are invariably linked to the imported coal price, so e-auction prices also have started coming down now. Quantum of coal offered in the e-auction has also started increasing. So, all these things should result in availability of

coal at a lower price and lower clearing price on the exchange platform.

Ankit Kanodia : Thank you so much Sir. If I can squeeze in one last question, as you rightly mentioned that the GNA regulation is not in your control, but it is all in the regulatory hand, do we see any threat or risk in terms of our market share getting further eroded if we are unable to get the market share from DAC back to DM? Do you see that as a long-term problem if this issue persists?

Satyanarayan Goel : One thing I want to make clear is that in the day-ahead market and RTM market, our share is practically 100% . We are quite confident we will be able to retain this market share. The transactions happening in the DAC market are mainly because of the arbitrage available in the DAC market. Once that arbitrage is over there is no reason for the transaction to happen in the DAC market.

Ankit Kanodia : My question is related to that only. If the arbitrage persists for a longer period of time, do you think that could be a threat to us or not?

Satyanarayan Goel : I mean this is a market distortion , shifting volume from the DAM market and in DAC market as I told you all three exchanges are equally active so that will definitely lead to loss of share . But looking at the developments which have taken place , and which are happening , I am sure within a day or two , we will see CERC issuing a grid code and implementation of GNA should happen on August 1, 2023 as discussed with the other stakeholders.

Indian Energy Exchange Limited

May 26, 2023

Page 13 of 17

Ankit Kanodia : Thank you so much Sir and all the best.

Moderator : Thank you. The next question is from the line of Drashti from Thinkwise Wealth Managers. Please go ahead.

Drashti : Thanks for the opportunity, Sir. In a recent interview of one of the competitor exchange s' MD, he had mentioned that the initial steps towards market coupling is being implemented by CERC , which is introducing ancillary services market . So, if you could help us understand what exactly are these steps and how could it impact our existing products?

Satyanarayan Goel : Yes see ancillary market if you look at the market design, ancillary market is exchanges are only taking bids from the participants, these bids are forwarded to NLDC because NLDC is deciding how much of power they have to procure on real time basis and based on that requirement then they will stack these bids and purchase the power or take that power based on least cost option basis . So, in this case because the requirement is by NLDC it has to happen only in this manner. Each of the exchanges cannot do pri

ce discovery and disclose these prices and volumes to the NLDC .

NLDC must decide how much power they want to buy and based on that they will exercise the least cost option and there is no price discovery in this case. The demand is fixed and based on the bid for the supply they will find out what is the least cost option.

Drashti : Sir, that is what I wanted to understand. Since these are the initial steps for market coupling, how can it impact us in the future and which all products would be impacted?

Satyanarayan Goel : This (Ancillary Services) is a different kind of product. This is a product which meets the requirement of NLDC . This is again not price coupling . This is just exchanges are inviting bids and forwarding the bids. It is NLDC who must basically then select how much power they want out of that which we supply to them. I do not think this will have any impact on the other products in the market. Line of other products exchanges will invite the bids they will do the price discovery and settle financial and physical settlement. In this case we are not even doing the physical and financial settlement, it is just we are collecting the bids and sending them to NLDC.

Drashti : Thank you Sir.

Moderator : Thank you. The next question is from the line of Lavanya from UBS. Please go ahead.

Lavanya: Thank you for the opportunity. Sir just going on with the earlier question of ancillary market. If I understand it you will be taking only supply side bids and forward to the NLDC who will take based on the merit order. Is that understanding right Sir?

Indian Energy Exchange Limited

May 26, 2023

Page 14 of 17

Satyanarayan Goel : Yes, you are right.

Lavanya: So, what will the transaction fees be on this product ?

Satyanarayan Goel : Based on the bids received by us selected by NLDC and scheduled for supply. The quantum which is scheduled for supply on that we can charge transaction fees. Let us see how much volume happens in this market and then we will decide about it.

Lavanya: The charges will be only Rs.0.02 only to the supply side then?

Satyanarayan Goel : We can charge up to Rs 0.02, but then in this case we do not intend to charge that because in this case the scope of work is much less for the exchanges. It is only collection of bids and sending them to NLDC.

Lavanya: So, on the overall market, I just wanted to understand in terms of the power market so last year whatever we have seen was just only because of coal availability or we are seeing any difficulties in terms of capacity as well like supply side it was largely due to only coal availability or in terms of capacity also?

Satyanarayan Goel : It was more because of the coal availability. We have capacity. Even now also when the demand of

221 gigawatt was met, I think in the month of May we still had surplus capacity available in the system and in any case for meeting this kind of demand, 25 gigawatt of gas capacity is also available . And based on the current gas prices which are likely to go down further I am sure even the cost of generation with the gas also will come down to less than Rs.10.

Lavanya: So, before 2019 the supply from gas stations was happening or was that not happening?

Satyanarayan Goel : In 2019 the demand in the country itself in comparison to what it is today was much lower so there was no need for gas-based generation to be in the market because that is a costly generation . But now since the demand has increased and if there is a shortage of capacity , maybe for 15 days, 1 month in a year, the gas-based generation can also be utilized.

Lavanya: Got it. Thank you so much Sir.

Moderator : Thank you. The next question is from the line of Nikhil Nigania from Alliance Bernstein. Please go ahead.

Nikhil Nigania : Thanks for the opportunity. My first question is regarding a portal which the Government had launched PUSH portal any traction which has happened

ed on that or not really till now?

Satyanarayan Goel : Not to my knowledge. I think after the Muhurat transaction nothing happened after that.

Indian Energy Exchange Limited

May 26, 2023

Page 15 of 17

Nikhil Nigania : Understood. The second question I had was regarding the CfD, which was proposed. I think it is a great move from a renewable generator or even an exchange perspective, but I would think of it from a DISCOM perspective. What is the incentive for them to sign a CfD contract versus signing a PPA for example especially if renewable prices are falling every year?

Satyanarayan Goel : The Discoms have not signed the CfD contract, they may not sign the CfD contract but normally these kinds of contracts are signed by the nodal agency of the Government. In this case it might be SECI or any other public sector company that the Government can ask them to get into this kind of contract. But even in case distribution companies also , see what happens, you know the distribution company who has to meet the R PO obligation , if they get into a RE capacity through the PPA then they will have to purchase that power and they will have to manage the variability of that power with respect to their demand and supply. Other options for them is that they get into contract, pay the money contracted by you to the generator, take the green attribute for your R PO obligation and let the generator sell the power in the conventional market . And the difference between the conventional market rate and the strike price can be borne by the distribution company which is basically towards the green attribute . What we find is that for such kind of contracts also there is a very strong case because rate in the conventional market is definitely higher than the strike price. In fact , we got a study done from Deloitte doing the price forecast for the next 15 years based on the marginal cost basis and what we have come to note is that the price for the next 15 years if somebody gets into this CfD model , no funding will be required in fact there will be a surplus in the pool.

Nikhil Nigania : Got it Mr. Goel. One more question not related point but regarding another notification from the Ministry on fair allocation of coal where they have said that if states are found using domestic coal to sell excess power on the exchanges their rates will be curtailed and given to other states . Has that been implanted in practice or any impact of that you are not seeing till now?

Satyanarayan Goel : I think that notification was applicable up to May 31, 2023, and nothing has happened in the last two months.

Nikhil Nigania : Got it Mr. Goel. Perfect. Those are the questions that I have.

Moderator : Thank you . The next question is from the line of Bharani Vijay Kumar from Spark Capital. Please go ahead.

Bharani Vijay Kumar : Good afternoon, Sir, so in this development of power market report by the government there is also a lot of mention on MBED . It looks like MBED is seriously being thought about by the Government at least in the long term so how is this positive or negative for IEX?

Satyanarayan Goel : First of all in the report they have very clearly mentioned that implementation of MBED is a complicated issue and will require a lot of consultation with the stakeholders . So having realized that the Government

Indian Energy Exchange Limited

May 26, 2023

Page 16 of 17

has already said that this is a part of the long -term plan and in future for renewable integration they may consider it at an appropriate time. I do not think they have mentioned any timeframe about that . It is in long term time frame .

Bharani Vijay Kumar : So, is it possible to expect that in the next 5 or 10 years any such anticipation from your side?

Satyanarayan Goel : Very difficult to say what is going to happen in the next 5, 10 years. I think things are changing very fast these days, but I am very sure

re that not in the next 5 years.

Bharani Vijay Kumar : Got it . So also , we had this clarity on our margins recently with the CERC order; however, even in that order there have been indications that in the future there could be margins that could come under the scanner of the regulator . Essentially say being lower even IEX has submitted lower margins for longer duration products so what is your view on long term nature of our margins . Is it likely to come down anytime in the next say 5 years?

Satyanarayan Goel : See, CERC had mentioned a cap of Rs.0.02 on the transaction fees in the regulation and based on

the regulation requirement, we filed our application with CERC, which also they have given approval for charging transaction fees up to Rs.0.02. So, we do not see any further challenge in this though it is mentioned in the order that staff will work out details after studying the other exchanges. But looking at the market size, which is just about 6-7% of the total generation in the country, I think looking at what has happened in the last two to three years regulatory is more concerned about development of the market. And looking at the roadmap of the expert group also, the Government is concerned about deepening this market. So, more efforts are required for deepening the market than for regulating the transaction fees because if you do that then you are going to create entry barriers for the market, and I am sure other exchanges will not be financially viable if the transaction fees increase.

Bharani Vijay Kumar : What is the potential in million units where the GNA regulations are implemented there will be a shift from DA C to DAM market?

Satyanarayan Goel : Last year DAC volume was 40 BU and now this year we are expecting from August 1, 2023 so four months you can say two third of the 40 BU which is about 9, 10 BU should shift back to day-ahead market.

Bharani Vijay Kumar : 9 to 10 billion units should be incremental for us on an annual basis?

Satyanarayan Goel : No, for this year. Next year we are expecting that out of this 40 by at least 12 BU will shift to the day-ahead market.

Bharani Vijay Kumar : Second on the ancillary services you mentioned the demand is kind of fixed so in megawatt terms or in million-unit terms per year what is the overall demand in the country for this kind of power?

Satyanarayan Goel : Demand is very high, but again we are expecting, the sell side is going to be constraint.

Indian Energy Exchange Limited

May 26, 2023

Page 17 of 17

Bharani Vijay Kumar : I am talking about ancillary market which is arranged by NLDC so any number per year for capacity that is met through an ancillary market?

Satyanarayan Goel : Requirement of the ancillary market ranges in the range of 2 to 3000 megawatt but then again that depends on the time of the day. It is not throughout the day and throughout the year.

Bharani Vijay Kumar : But it will be 2 to 3000 megawatt if it is on average for every day for the full year it will be 2 to 3000 megawatt?

Satyanarayan Goel : No, it is 2 to 3000 megawatt whenever they want it but if you look at average for a full year the quantum is going to be much, much lower.

Bharani Vijay Kumar : Understood. Those were my questions. All the best.

Moderator : Thank you. Due to time constraint, we will take one last question from the line of Ankit Kanodia from Smart Sync Services. Please go ahead. As there is no response, I will hand it over to the management for closing comments.

Satyanarayan Goel : I would like to thank all of you for being part of this call today.

While higher input costs impacted our volumes last year, going forward, with increased coal production and cooling down of input prices, we expect lower clearing prices on IEX, and increasing optimization potential for Discoms and Open Access consumers, thereby supporting better volumes on IEX. As always, we remain committed to positively

contribute towards a sustainable Indian energy sector.

Moderator : Thank you. On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us.

You may now disconnect your lines.

Call: Aug 2023

Indian Energy Exchange Ltd

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The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on July 28, 2023.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on July 28, 2023, to discuss the financial results of the Company for the quarter ended June 30, 2023.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

Page 1 of 14

"Indian Energy Exchange Limited

Q1 FY '24 Results Call "

July 28, 2023

MANAGEMENT : MR. S.N. GOEL – CHAIRMAN AND MANAGING
DIRECTOR –INDIAN ENERGY EXCHANGE

MR. ROHIT BAJAJ – EXECUTIVE DIRECTOR (NON -
BOARD) , BUSINESS DEVELOPMENT AND STRATEGY –
INDIAN ENERGY EXCHANGE

MR. VINEET HARLALKA - CHIEF FINANCIAL OFFICER
AND COMPANY SECRETARY –INDIAN ENERGY
EXCHANGE

MR. AMIT KUMAR – HEAD OF MARKET OPERATIONS
AND PRODUCT DEVELOPMENT –INDIAN ENERGY
EXCHANGE

MS. APARNA GARG – HEAD OF INVESTOR RELATIONS
AND COMMUNICATIONS –INDIAN ENERGY EXCHANGE

MODERATOR : MR. SUMIT KISHORE – AXIS CAPITAL

Indian Energy Exchange Limited

July 28, 2023

Page 2 of 14

Moderator: Ladies and gentlemen, good day, and welcome to the Indian Energy Exchange Q1 FY '24 Results Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -

only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sumit Kishore from Axis Capital. Thank you, and over to you, sir.

Sumit Kishore: Thank you, Yusuf. So good evening, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all to the IEX Q1 FY '24 Earnings Conference Call. We have with us the management team of IEX, which is represented by Mr. S.N. Goel, Chairman and Managing Director and the rest of his team members.

We will begin with the opening remarks from Goel sir, followed by an interactive Q&A session.

Over to you, sir.

S.N. Goel: Good evening, friends. I welcome you all to the IEX earning call for quarter 1 of FY '24. With me today on this call are Mr. Rohit Bajaj, our Executive Director (Non -Board) , Business Development and Strategy; Mr. Vineet Harlalka, our CFO and Company Secretary; Mr. Amit Kumar, our Head of Market Operations and Product Development; Ms Aparna Garg, Head of Investor Relations and Communications and Mr. Aditya Wali.

Friends, the Indian economy has sustained its growth momentum gathered over the past 2 years. According to the Economic Survey '22 -'23, India's baseline GDP growth is projected to be 6.5% in real terms for the fiscal year '24, strengthening its position as the fastest -growing major economy in world. This sustained momentum can be attributed to improved private consumption, revival of rural demand and increased manufacturing as input cost price has eased . India's average manufacturing purchase PMI was 57.9% in Q1 '24, higher by 6.8% compared with the same quarter last fiscal. The RBI expects investment activity to further improve, drawing strength from the thrust on capital expenditures in public spending and further moderation in commodity prices.

Backed by strong demand, India's average services PMI was at robust 60.6% during the quarter compared with 56.9 in Q1 of '22. The Index has remained above 50%, for nearly 2 years; the longest since August 20, 2011. India's G20 Presidency has highlighted the significant sustainable energy imperative. The country today is 4th largest renewable energy generator in the world. Further, according to a recent statement released by the government, an additional 120 gigawatt of fresh renewable energy capacity is at the various stages of implementation.

With its commitment to accelerate India's sustainable energy transition, IEX is well positioned to leverage opportunities in the power sector through its green market products , certificate , and other businesses.

Indian Energy Exchange Limited

July 28, 2023

Page 3 of 14

On the power sector update, electricity consumption in India for quarter 1 FY '24 stood at 408 BU, a marginal growth of 1.8% year -on-year basis. Ambient temperatures kept the demand for power lower than the anticipated highs. Peak demand nevertheless reached 223 gigawatts in June 2023, lower than projected value of 229 gigawatts for the summer months. But higher than the maximum peak of 207 gigawatts which was recorded in April 2022.

Installed capacity in India reached 422 gigawatts as on 30th June, 2023, while installed capacity for renewables grew to 177 gigawatts. India is on track to attain its target of achieving 50% of energy consumption from non -fossil fuel sources by 2030. The proactive measures undertaken by the government of India along with cooler -than-expected weather conditions

ensured

adequate power supply and lower prices during the summer season.

On the fuel side, India's coal production increased by robust 8.6% year -on-year and reached 223.4 million tonnes in quarter 1 of FY '24. E -auction coal premium has witnessed a declining trend since Q1 FY '24. The premium declined to 78% in May '23 from 137% in April '23 and 425% in May '22. And premium in the recent auction has been down to almost about 50% now. The average imported coal price for 4200 GAR coal during June was USD 54 per tonne, lower by 37% over June '22.

The LNG price has come down to almost about \$12.1 per MMBTU, a drop of 46% over quarter 1 of 2022. Average coal inventory at present is almost at 14 days now during quarter 1 of FY '24, which is higher over the 9 days which was there in quarter 1 of FY '23. This improved supply side scenario coupled with consistently declining imported coal and gas prices resulted in increased sell liquidity and falling price on the Exchange platform. The average market clearing price in the DAM market during quarter 1 was INR5.17 per unit, a decline of nearly 34% on year-on-year basis.

Recently, in the month of July, with the monsoon rains, DAM prices eased further to INR4.69, which is 33% lower over July of 2022. With supply side constraints expected to ease further and

cooler weather conditions, volume on the Exchange are expected to increase.

Now, we have regulatory and policy updates. In May 2023, a group constituted by Ministry of Power has submitted the report and proposed key recommendations for development of electricity market in India. Power markets have been identified to play an institutional role in accelerating India's energy transition by enabling smooth integration of renewable energy into the grid.

Some key recommendations of the Group include ; mandating renewable energy resources to participate in the market and additional RE capacity to be developed through the Contract for Difference mechanism. This will facilitate faster addition of RE capacity and spur investment in the sector, thus helping attain India's 2030 RE targets. To increase RE participation in the market, a pilot mechanism has been proposed for implementation within a year and an initial capacity of 1,000 megawatt will be tendered by nodal agency under the CfD model with a 15 year PPA tenure.

Indian Energy Exchange Limited

July 28, 2023

Page 4 of 14

Further, almost about 5,000 megawatt of RE capacity is also being targeted for development under this concept. The CfD model will help further deepen the market by providing certainty to generator by guaranteeing the fixed price over that PPA periods. We are confident that implementation of this roadmap will fast track India's energy transition goals through an efficient, optimal and reliable market framework

Some important regulatory initiatives undertaken by the power sector during this quarter are as follows : the CERC has issued the Indian Grid Code Regulations 2023. It proposes to bring about many changes. Generators would now be allowed to meet their commitment in case of unit shutdown or forced outage by securing power through the exchanges. Generator would also be able to sell URS power in the Day Ahead Market of power exchanges without consent of buyers. This regulation is likely to be implemented from October 2023.

Along with Grid Code, new transmission charge sharing regulation also will get implemented which will remove anomaly in transmission charge between collective and bilateral transactions and will facilitate movement of volumes in the DAM market.

The Ministry of Power has notified much awaited carbon credits markets scheme, approving the formation of India's first domestic regulated carbon market. It also necessitates the formation of National Steering Committee to Govern and oversee the functioning of the Indian carbon market. According to guidelines, trading of carbon credits

will take place shortly through the exchanges.

This notification does not include voluntary carbon trading. Through our wholly -owned subsidiary ICX, we will be able to leverage the opportunities in the voluntary carbon space.

In April 2023, CERC issued an order to align the DSM rates with other segments to avoid any possible arbitrage among them. The Tertiary Reserve Ancillary Services market and the DSM are now market -linked. Participants will now be incentivized to utilize power markets before any unscheduled interchange with the grid.

Final guidelines for Resource Adequacy Planning were issued by the CEA to enable adequate generation capacity to meet the projected demand while maintaining necessary results. Resource adequacy creates the basis for capacity contracting and can lead to capacity market for optimal contracting - long term as well as short term. It will also help ensure security of supply and increase liquidity in the market.

Amendments were made in Electricity rules 2020 to introduce time -of-the-day tariff and simplify smart metering rules. These are expected to help in demand management by shifting demand when supply is available.

The long -pending order of CERC retaining the transaction fee up to INR0.02 per kilowatt -hour on either side , which came in April 20, 2023, this is a positive development for IEX.

In May, the Ministry of Power shared a letter with CERC to look into market coupling for the Indian power sector. We are confident that all aspects such as objective of coupling needs in the current market framework , will be examined by the honorable regulator before undertaking the next step. The current market operations of IEX will continue uninterrupted.

Indian Energy Exchange Limited

July 28, 2023

Page 5 of 14

This year, we achieved another significant milestone for our company. IEX, India's premier energy exchange completed 15 years of operation in June. IEX was incepted with an aim to provide a platform to access electricity in India in the most competitive, transparent, flexible and reliable manner. From trading 2 billion units of electricity volume in FY 2009 to about 100

billion units annually at present, IEX has indeed come a long way.

We have cumulatively traded about 700 billion units across all market segments with a 30% CAGR since inception. With technology and innovation at its core, IEX has been at the forefront of introducing new products and market segments aligned to India's economic and decarbonization targets.

Now, update on IEX. Coming back to the highlights of this quarter, IEX added new products and offerings in its continued endeavor to deepen the power market of the country. In June, we launched the IEX Academy to create a pool of skilled professionals for capacity building in the power market. Customized certification courses will be offered to develop skills and expertise in electricity markets across aspects of power sector policies, regulatory framework and power exchange operations. The courses are designed based on the in-house experience of IEX, and in collaboration with academic institutions and think tanks.

Further, we have also launched IEX Power Price Index, PowerX, to provide competitive benchmark signals and enable market participants to make more effective decisions. PowerX, which is India's first electricity price index is calculated based on weighted average price of Day Ahead Market and Real Time Market.

In line with our aim to provide seamless experience to our customers, we launched the web-based platform EnergyX. This platform will now provide web-based bidding for all IEX electricity segment and will provide easy and secure anytime, anywhere access, automated bidding through API, Market Data Insights, and easy financial reconciliations.

IEX also commenced Tertiary Reserve Ancillary Services, TRAS market segments from 1st of June, 2023 for the Day Ahead Market Ancillary

Services and Real Time Market Ancillary Services.

In terms of business performance, IEX achieved 25.1 billion units across all segments during quarter 1 of FY '24, growing almost 8% on a year-on-year basis. During the quarter, DAM segment registered 12.5 BU volume 11% increase on year-on-year basis due to lower prices. The RTM segment registered volume of 7.3 BU during quarter 1, increasing 16% over quarter 1 of last year, underscoring its relevance and acceptance among distribution utilities and industries to efficiently balance their power demand-supply.

IGX generated total volume of 42.6 lakhs MMBtu during quarter 1 of FY '24, a decline of 9% over the same quarter last fiscal. This was largely due to higher gas availability under the long-term contracts and increased domestic gas supply sold on medium-term basis. The profitability of IGX for quarter 1 FY '24 increased to INR3.43 crores from INR1.15 crores in quarter 1 of FY '23.

Indian Energy Exchange Limited
July 28, 2023

Page 6 of 14

Let us now summarize the financial performance of the company in this quarter. On a consolidated basis, revenue for quarter 1 FY '24 increased 12.3% on a year-on-year basis to INR127.4 crores from INR113.4 crores in quarter 1 of FY '23. Consolidated PAT during the quarter 1 at INR75.8 crores, grew 9.7% on a year-on-year basis from INR69.1 crores in quarter 1 of FY '23.

With gradual improvement in domestic production of coal and improvement in coal inventory, we expect rationalization of power prices on the Exchange and volumes to improve from there. The CEA's draft plan projects electricity demand in India to grow at an average rate of almost about 6% up to FY '2030. This is expected to result in an annual increase in power consumption of more than 100 billion units. Such a scenario presents us with major opportunities to contribute to the ongoing transition in India's energy sector.

IEX will continue to introduce innovative products and market segments to strengthen its existing product portfolio. We are exploring options to extend the term-ahead market contract from 90 days to 1 year to provide better optimization opportunity for discoms. We will continue to work restlessly with the Ministry, Regulators, System Operators, our partners and clients, and all other stakeholders to accelerate India's sustainable energy transition.

Thank you. And now we can have question-and-answers.

Moderator: Our first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Thanks for the opportunity. My first question is, sir, how does the Grid Code help us in increasing our volumes? And secondly, you said that the arbitrage between DAC and DAM will go away. Is that regulation finalized or when do we expect this to go away?

S.N. Goel: So, Grid Code is expected to be implemented from 1st of October. That is what we hear, but the date is yet to be notified. See, as per the new Grid Code, there are certain changes in the scheduling mechanism. Now, generator will have to give the schedule on day ahead basis and based on that, all beneficiaries will have to give the schedule on a day ahead basis.

And whatever URS power is left, that power now can be sold by generator in the Day Ahead

Market without taking consent of the beneficiary. This is a very, very important new change which has been introduced. Earlier, the consent of the beneficiaries were required. Now, it is no more required. And if the power is sold in the Day Ahead Market, then beneficiary cannot revise the schedule to that extent. This is one.

Second is, in case generator has given schedule and generator has given DC (declared capacity) and that has been scheduled by the beneficiary and during the day if there is some problem in the generating unit and generation is lower, then generator can make good that generation by purchasing power through the market. This is another

important provision, which has been made

now. Earlier generators were allowed to purchase power only in the event of outage. Now they can purchase power even in the event when generation is low on account of some technical reason. And these are 2 important provisions which will, I'm sure help exchanges to improve their volumes.

Indian Energy Exchange Limited

July 28, 2023

Page 7 of 14

And as far as arbitrage is concerned, the transmission charge sharing regulations were notified last year, but they also will get implemented along with the Grid Code. And as per the new transmission charge sharing regulation, sellers are not required to pay any transmission charges. So, it is only buyer and in case of buyer also, if the purchase is within the GNA, no additional charges are to be paid. And if the purchase is beyond the GNA, then only the charges are applicable.

And in fact, in case of the Day Ahead Market and RTM market - the collective transactions, the charges will be calculated on post-facto basis after considering the GNA, T-GNA and all transactions scheduled during the day. And thereafter, if there is some T-GNA required, that will have to be taken for the beneficiary. So this is a very positive development for the exchanges, at least, for the collective transactions.

Mohit Kumar : Understood, Sir. My second question is, what is the timeline for launching voluntary carbon credit markets and when we expect the mandatory carbon credit market to be functional?

S.N. Goel : The voluntary carbon market, we are planning to do it within this financial year. We are working on that, in the process of developing the software and also analyzing the market opportunities. Hopefully within this financial year, we'll launch that.

Mandatory carbon market, that is something which BEE is working on that. They have now notified their regulations that they will be -- I mean, how this will be done. But I think detailed procedures, everything is yet to be notified. In fact for the mandatory market, they will have to identify the sectors where it will be first applied and also the parameters for compliance of the carbon emissions and if there is a non-compliance, and what is the treatment of that, who will get certificates and who will have to buy certificates.

So, all those things are yet to be notified. The only thing is that these carbon credits for the mandatory market will be traded in the existing exchanges and CERC will be the regulator for that.

Mohit Kumar: Understood, Sir. Thank You Mr.Goel. Thank You.

Moderator: The next question is from the line of Vikash Jain from Financial Quotient.

Vikash Jain: Hi! Good evening Mr. Goel. Thank you for letting me ask this question. The recent development that happened about the market coupling and I got an update from IEX Management that in the current scenario the market coupling may not be something which government should be considering due to the market dynamics which operate in 1 given country, it is something which should be considered between 2 countries or between multiple countries.

So I just wanted to hear your insights furthermore that how IEX's future looks like if the market coupling and all is implemented and what are the chances that the market coupling gets implemented along with MBED, and what are the pros and cons for IEX? I just wanted to hear some insights from you, sir. Thank you.

Indian Energy Exchange Limited

July 28, 2023

Page 8 of 14

S.N. Goel : As I told earlier also, market design is something which the regulator has to decide about.

Government via their 2nd June letter has requested CERC to consider market coupling and initiate the process of discussions with the stakeholders. Now, I'm sure CERC will do detailed analysis about the market coupling, whether market coupling in the present market framework is relevant, is it required, what kind of benefits it will bring to

the market, to the consumers, and

based on that they will initiate the process, if it all it is required.

So, it is too early to say for me whether market coupling will be implemented or not implemented. But I'm sure after examining all these things, if it is something which is good for the market, good for the consumers, yes, that would be done. But based on our understanding, in the current scenario where in India we have voluntary market and the transactions through the Exchange is just about 6%, 7%, there is no case for the market coupling.

And we have seen in the other part of the world, I mean market coupling happening in Europe .

And there, they have done coupling of different markets, different countries, geographical different markets. They have coupled 27 different countries and made one market. And in that market, they are transacting almost about 1,600 billion units of power. They have taken advantage of diversity in the demand and supply of different countries. So, there was a reason for doing the market coupling there.

In U.K., there are 2 exchanges operating. And in both exchanges, there is no market coupling.

So, we haven't come across a situation where market coupling of exchanges was done -- just for exchanges was done, when the exchanges were operating in the same geography. So I'm sure regulator will look into all these things. So, it is too early to say anything beyond that.

Vikash Jain: Thank you so much. Another thing that I just wanted to understand from you, sir, about our business in IGX and ICX. Any tentative timelines by when our businesses would have a meaningful revenue contribution to overall top line and bottom line, sir?

S.N. Goel : IGX, last year the business was good. IGX made almost a profit of almost about INR28 crores last year. And this year, the first quarter was not that good, but I'm sure the things will pick up in the subsequent quarters, month of July has been definitely much better than the first quarter.

But again in the gas market, it is very high volatility at present. World over, with the way gas supply positions and the prices are, there is a lot of volatility and because of that, we are also seeing on the Exchange platform, it is very difficult to make any assessment for the next 4, 5 years . But I am sure about one thing that gas exchanges, as I have always mentioned, that will definitely do as good as IEX. And if you look at the profit of IEX for the second year and what IGX has done, they are almost similar. So, in future also I am expecting IGX to do much better.

Vikash Jain: And we expect a similar kind of EBITDA and margins coming from these businesses?

S.N. Goel : Yes, yes. IGX, yes. ICX, International Carbon Exchange, we are yet to launch that and when we launch that and get into the market, then we will see what kind of opportunities are there in that.

Vikash Jain: Thank you so much for answering my questions, sir. I've been a shareholder with IEX since IPO, and I'm a happy shareholder and having vision for next 10 years.

Indian Energy Exchange Limited

July 28, 2023

Page 9 of 14

Moderator: Next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Just two questions. First, you did mention multiple drivers which could improve the overall volume growth on the power side. Any target that you have in terms of what could be the full - year volume growth in FY '24 for us? That is one.

And secondly, you talked about Ancillary Services starting from June both DAM and RTM.

Some more information about them and the likely revenue potential from those new products?

S.N. Goel : Yes. See, our first quarter volume growth has been almost about 8%. Month of July so far has been very good. I think it's almost about 20% volume growth so far. So I'm expecting that by the end of the year we should have a volume growth of at least about 15%, but then in exchange

market, it is very difficult to estimate these things. It all depends on the demand and supply and availability of the coal.

So if everything goes well, because you know first quarter you have seen the demand increase only by 1.8% whereas we were expecting demand increase of almost about 8%, 9%. So, it all depends on these external factors, but we are quite optimistic about the volume growth.

And second is, volume opportunity because of ancillary market . Ancillary market is basically - in an energy deficient country, volume in ancillary market is not expected to be very high. So, the market has been introduced as per the direction of the Regulatory Commission, but so far there is absolutely no volume in this. No transactions in this market because whatever power is available, generators are scheduling it in the energy market only.

Devesh Agarwal: Understood Sir. Thank You.

Moderator: Next question is from the line of Nikhil from Bernstein. Please go ahead.

Nikhil: Thank you for the opportunity. The first question I had, Mr. Goel, was on the Grid Code. I think the URS power sale, if allowed, will be a good move for the market. Just wanted to understand; A, timelines of this. I think I've missed it, if it was discussed on the call earlier; and B, whether it'll require any changes to existing PPAs or even without that it can be done?

S.N. Goel : Timeline for implementation of Grid Code as I've told you, we are hearing that it may get implemented from 1st of October, but no timeline has been notified so far because NLDC has

to finalize some procedures and they have to do some software tweaking. They are working on that. So based on that, our expectation is 1st of October.

And for selling URS power through the Exchange, no change in the PPA is required. Grid Code supersedes all PPAs. The scheduling mechanism indicated in the Grid Code supersedes the PPA. And as per that, the generators will be now free to sell URS power on the Exchange platform.

Nikhil: Got it. That's helpful Mr. Goel. The second question I had was then on the other point you made after GNA, the contingency market volume will move to collective bids. Just wanted to understand from a competitor standpoint, the competitor Exchanges largely operate in the Indian Energy Exchange Limited

July 28, 2023

Page 10 of 14

contingency market. So, for them, will they will not be able to sustain, do you think, without something like coupling coming in, if even Day Ahead volume moves to DAM/RTM?

S.N. Goel : See, the point is, today, if you look at 5 years back, Day Ahead Market was constituting just 95% of the volume transactions through the Exchange. Today, Day Ahead Market is constituting only 50%. So, there are lot many new products which have been introduced in the market in the last 2, 3 years. We have Day Ahead Market, we have RTM market, we have Day Ahead Contingency, we have Term Ahead Market, we have Long Duration Contracts, Contracts for Delivery up to 90 days now. That also can get extended to delivery up to 1 year.

So, I think there are many opportunities for the other exchanges to also pick up their volume.

So, it is up to them. And if you look at the long duration contracts for delivery up to 1 year, the volume transactions happening in the market is something about 40 billion, 50 billion units. And that's the market size, which is available.

Nikhil: Understood, Sir. Thank you for answering my questions and good to see the good volumes in July.

Moderator: The next question is from the line of Mr. Sumit Kishore from Axis Capital Limited.

Sumit Kishore: The first one is assuming that market coupling happens and the exchanges don't discover prices directly, what will the exchanges do? So, what is the incentive for individual exchanges to invest in coming out with new products if everyone is discovering the same price for a given time slot?

S.N. Goel : You asked a very relevant question

on, but I have no answer to that. The point is, the role of the

Exchange has been defined in the PMR. And as per the PMR, Exchanges are associated with a price discovery. And if they're not doing price discovery, will they be called as Exchange or something else? I don't know that. So I'm sure all these aspects will be examined by the regulators before taking the next step.

Sumit Kishore: The Contract for Difference are a very promising step forward for deepening the exchange markets, what is the expectation, how many gigawatts can happen over the next 1 year and next 2 years?

S.N. Goel : See, Contract for Difference is now being considered by the government. One is for the renewable generation capacity addition. If you recall, in the earlier earnings call also we have been always saying that other countries, they have very efficiently used CfD model for renewable capacity addition. U.K. has added almost about 30 gigawatt of capacity through this. Similar cases in case of Germany and other European countries.

So, in India also, because otherwise there is lot of delay in signing the PPAs, thereafter scheduling the power and then getting the payments. So, if you do through the market, then all these problems are over. So, government is first now considering 1,000 megawatt capacity addition through the CfD model where one of the nodal agency will issue the tender and contract that capacity at a fixed price.

Indian Energy Exchange Limited

July 28, 2023

Page 11 of 14

Generator will get the fixed price and that capacity will be sold in the market. And whatever is the difference in the price between the market price and the strike price under the PPAs, that will have to be taken care by the nodal agency. Expectation is that nodal agency will be able to in fact make money out of the process.

Based on the results of the first 1,000 megawatt, maybe they will contract additional 4, -5,000 megawatts in the next subsequent years. And this is basically pilot projects, showcasing a project for the market, so that other developers can also setup capacity for this model.

And in fact the CfD model is also now being considered for ensuring additional generation capacity during the peak hours. If you recall, this year, Government of India, they had invited bids for purchasing imported coal-based power during the summer peak -- for meeting demand in the summer peak time.

And they said that whatever rates are achieved by them, the generators will be selling the power in the Day Ahead Market and difference in the price between the Day Ahead Market and the price quoted by them will be borne by the government. Similarly, they also contracted gas-based capacities for meeting the peak hour demand. They also in fact identified 5,000 megawatt of NTPC and Ratnagiri capacity to be utilized under the peak hours under the CfD model.

So, CfD model is now being used extensively for bringing more liquidity in the market. And this is a welcome step. We have been working on this from the last couple of years and finally, we see that, yes it is happening. This year we could not see any benefit of that because, by grace of God, month of April and May were very, very cool months and there was no crisis of power. So, this gas-based capacities and imported coal-based capacities under the CfD model were not put to use.

Sumit Kishore: Sure. Just one last question. IGX, would it be right to think that LNG prices have come off, should there be any correlation in ramp-up of local gas consumption and a pickup in IGX volumes in FY '24 versus FY '23?

S.N. Goel : See, the immediate effect of cooling of gas prices has been, number 1, this year domestic gas production has increased. Second is, because of the lower gas prices, GAIL had some long-term contracts and under those contracts because of the high gas price, they were not getting the full gas supplies.

And in fact, maybe some

of those suppliers were selling that gas in the European markets at high price. But now they have started supplying the gas. In fact, the backlog quantity is also getting supplied. So there is enough of gas available under the long-term and medium-term contracts. And that is why the demand in the market is comparatively lower. But, going forward, when the gas prices are lower, I'm sure the import will increase and transactions to the market will also happen. So, that should be a good thing for the market.

Sumit Kishore: Thank you and wish you all the best.

Moderator: Next question is from the line of Apoorva Bahadur from Goldman Sachs. Please go ahead.

Indian Energy Exchange Limited

July 28, 2023

Page 12 of 14

Apoorva Bahadur: Hi Sir! Thank you for the opportunity. Wanted to understand what's our right to win in the carbon credit exchange. I believe NSE is also looking to enter this?

S.N. Goel : See, IEX, we have the experience of running a spot exchange for last 15 years. We incorporated gas exchange that is also working satisfactorily efficiently from the last 3 years. So, we understand this market, we have good connect with the market participants. We have today more than 7,000 market participants who are registered with us in the power exchange, and large number in the gas exchange also. So, we have reach with this market participants and that is our strength. I'm sure with this and our expertise of the operating exchange, we should be able to get good market share in the carbon market.

Apoorva Bahadur: And sir, you expect the margins to be as lucrative as the current business?

S.N. Goel : Carbon market, I think let us first launch it, let us see what the market is and maybe after 1 or 2 years of that, we will be able to say something about the margin and profits. At the moment, we are in the process of creating a platform and launching the exchange and then maybe initially for a couple of months we will have to do all promotional activities and see the response of the market thereafter.

Apoorva Bahadur: Sure Sir. Secondly, I believe you are expecting like 15% type of volume growth year-on-year. It would be very helpful if you can sort of provide a breakup, product wise, for this 15% growth.

So which segments do you expect to grow?

S.N. Goel : No, see, I just told you 15% growth is our expectation based on the projected demand and supply position. And again, product wise, giving breakup is going to be difficult, because it depends on the market conditions. But our Day Ahead Market and RTM market, definitely these are flagship products and the large volume growth is going to come from these 2 segments.

And thereafter, even long duration contract volumes are also picking up. So that will be the next.

Green market, volume is increasing but not in a significant -- definitely, the increase is going to be more than 15%, but not significant volume growth.

Apoorva Bahadur: Sir, why hasn't really the long duration product really picked up? We are still seeing lot of bilateral transactions which ideally, I think, should have shifted to this product? What's holding it back?

S.N. Goel : Whatever volume we did in last year, we have done the same amount of volume in the first quarter. So the volumes are increasing in the long-duration contract in that segment. And we are expecting this year, more than 5 billion units in the long-duration contract segment.

And the shift from the bilateral to the exchange transactions will need some time. For every new product, market participants they normally try that, see what kind of benefit they're getting from that, is the price more competitive here or that payment terms are more competitive in other

markets. So, they will have to assess all these things and then decide. I think in every market, the shifting happens gradually.

Apoorva Bahadur: Fair enough Sir. Thank You so much. All the best
Indian Energy

Exchange Limited
July 28, 2023

Page 13 of 14

Moderator: Thank you. Next question is from the line of Bharani Vijay Kumar from Spark Capital.
Bharani Vijay Kumar : I just want to know what would be the approximate number of participants on a daily basis transacting in the important Day Ahead and the Real Time market. Though we would have many registered participants, what is the, like the average number of participants transacting through Day Ahead and Real Time markets?

S.N. Goel : Earlier, number of participants used to be very high . As far as distribution companies and generators are concerned, their participation is limited. Distribution companies, we have almost about 50 distribution companies and generators maybe 400, 500. But earlier open access consumers, industrial consumers and commercial consumers, they were participating in a big way when the clearing price used to be low.

But from the last 2 years, the clearing prices have increased and the viability for the open access has slightly reduced. That is why the participations have reduced now. And average number these days is something around 600 and 700.

Rohit Bajaj : So, total registered participants are close to 1,500. So it is dependent on price. As the price will come down, we will see this number going further up. So these 1,500 are active participants.

S.N. Goel: So, overall registered is more than 7,000, out of that active are 1,500.

Moderator: Seems that we have lost the connection from the current participant. We'll move to our next question from the line of Saaksha Mantoo from Old Bridge Capital.

Saaksha Mantoo: So, most of my questions have been answered, just one on account. There is a spike in the other expenses that we see this time around of around INR12.6 crores in total. Could you just explain like, is there any one-off that we are seeing here or this is a regular run rate?

Vineet Harlalka : If you look at the quarter 1 numbers, normally what happens, we book the CSR expenses during the quarter 1, which is tune of around INR7 crores . So this is the one-time expenses of CSR mainly which impacted the number. Going forward, we look at in the range of INR5 crores, INR7.5 crores during the quarter.

Saaksha Mantoo :Okay. So, you mentioned INR7 crores is CSR out of this INR12.6 crores?

Vineet Harlalka :- About it. It's rounded off . That is the number, and few other one-time expenses. So going forward...

S.N. Goel : We did 15 years' celebration this year, as we completed 15 years on 28th of June, we had celebration for that. We had organized an event for the special participants. And then the CSR, entire obligation for the full year has been already booked in the first quarter itself. So the total amount is about INR7.5 crores. This amount will not appear in the subsequent quarters.

Saaksha Mantoo: Got it. Thank you so much. That's all from my side.

Moderator: Next question is from the line of Nikhil Abhyankar from ICICI Securities.

Indian Energy Exchange Limited
July 28, 2023

Page 14 of 14

Nikhil Abhyankar: Just a follow-up on the earlier question, Sir. Should we expect similar levels of other income as well going forward. Quarter-on-quarter it is flat, but y-o-y, it is 40% jump?

Vineet Harlalka : Yes, it is in -- hopefully, it will remain same, but it's mainly dependent upon how the RBI look at it. If there is a significant cut from the interest rate by the RBI, it will definitely going to come down. But looking at the current scenario, we hope for this year that this will maintain the same.

Nikhil Abhyankar: Sure. Sir, and earlier you mentioned about 1,000 megawatt of RE CfD contracts. So, what should be the expected timeline for it?

S.N. Goel : I think there are activities happening on that. So, nodal agency will have to come out with the tender for purchase of the power. Maybe this year, at least all these

activities should be over.

That is what we understand.

Nikhil Abhyankar: So, the additional 4 to 5 gigawatt will be from next year?

S.N. Goel : Yes, this year 1,000 megawatt and next year maybe another 4, -5,000 megawatts.

Nikhil Abhyankar: Okay. And sir, any progress on other product additions like capacity market and derivatives?

S.N. Goel : Capacity market, I mean CEA has come out with the paper for capacity building in this sector and adequate resource planning. I think it is too early to talk about the capacity market because capacity market is going to be mandatory market, the framework will have to be developed for

that. So, we are also working on that.

And derivative market is, again, that market will be introduced on the SEBI regulated exchanges.

So -- but once that is introduced that will also help the spot market . So, we are also actively working with the regulator to ensure early start of this derivative market. But difficult to say any date on that.

Nikhil Abhyankar: Okay Sir. That's all from my side. Thank you.

Moderator: Thank you. Ladies and gentlemen, this was the la st question for the day. I would now like to hand over the conference over to the management for the closing comments.

S.N. Goel : Thank you, friends. I would like to thank each one of you for being part of today's call. During the quarter, we have witnesse d a lot of initiatives announced by government and the regulators towards creating a favorable policy and regulatory environment to transform the energy sector.

We remain committed in doing our bit towards building a sustainable and efficient energy future .

Thank you all.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

Indian Energy Exchange Ltd

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Dated: November 08, 2023

The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Sub: Transcript of the Earnings Conference call with analysts and investors held on November 03, 2023.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on November 03, 2023, to discuss the financial results of the Company for the quarter ended September 30, 2023.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

Page 1 of 21

"Indian Energy Exchange Limited

Q2 FY2024 Earnings Conference Call "

November 03, 2023

ANALYST : MR. SUMIT KISHORE - AXIS CAPITAL LIMITED

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN & MANAGING
DIRECTOR – INDIA ENERGY EXCHANGE LIMITED

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER
& COMPANY SECRETARY – INDIA ENERGY EXCHANGE
LIMITED

MR. ROHIT BAJAJ – EXECUTIVE DIRECTOR (NON -
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MS. APARNA GARG – HEAD, INVESTOR RELATIONS &
CORPORATE COMMUNICATIONS – INDIA ENERGY
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MR. AMIT KUMAR – HEAD OF MARKET OPERATIONS
AND PRODUCT DEVELOPMENT – INDIA ENERGY
EXCHANGE LIMITED

MR. ADITYA WALI – INDIA ENERGY EXCHANGE
LIMITED

Indian Energy Exchange Limited

November 03, 2023

Page 2 of 21 Moderator : Ladies and gentlemen, good day, and welcome to the Indian Energy Exchange Q2 FY2024 Results Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumit Kishore. Thank you and over to you Sir!

Sumit Kishore : Good Afternoon everyone. On behalf of Axis Capital I am pleased to welcome you all for the IEX Q2 FY 2024 earnings conference call. We have with us the management team of IEX represented by Mr. SN Goel, Chairman and Managing Director, Mr. Vineet Harlalka, Chief Financial Officer, Mr. Rohit Bajaj, Executive Director Business Development, Strategy and Regulatory Affairs; and Ms. Aparna Garg, Head, Investor Relations and Corporate Communication. We will begin with the opening remarks from Mr. Goel followed by an interactive Q&A session. Over to you Sir!

Satyanarayan Goel : Good Afternoon, friends. I welcome you all to the IEX earnings call for quarter two of FY2024. With me today on this call are Mr. Rohit Bajaj, our Executive Director, Business Development, Strategy and Regulatory Affairs; Mr. Vineet Harlalka, our CFO & Company Secretary, Mr. Amit Kumar, Head of Market Operations and New Product Development, Ms. Aparna Garg Head of Investor Relations and Com

munication and Mr. Aditya Wali.

Friends, the Indian economy continues to be the world's fastest growing major economy. The recent success of India's G20 presidency, and the G20 New Delhi leader's declaration has further raised India's standing as a global leader. Further, achievements during the India G20 presidency included the creation of a Global Biofuels Alliance, which aims to share knowledge, technology, and finance to develop and introduce cleaner fuels and the finalization of India, Middle East, Europe Economic Corridor Agreement. The summit demonstrated to the world that India is not only emerging as a world leader, but also becoming a voice of the global South to achieve the goal of inclusive development and tackle challenges of climate change through global cooperation.

Moving on, the Indian economy is sustaining its growth momentum over the past two years in the face of global headwinds. India's GDP for first quarter FY2024 grew at a rate of 7.8% the highest among major economies. This growth momentum has been on the back of an expanding service sector, private consumption, and increased capital expenditure. At 57.5 in September 2023, India's manufacturing PMI remained expansionary for the 27th straight month. The quarter two FY2024 print came in at 57.9 compared with 55.9 in Indian Energy Exchange Limited

November 03, 2023

Page 3 of 21 quarter two of last fiscal reflecting the country's healthy demand environment. The service PMI pulled off slightly from a 13-year high of 62.3 in July to 61.0 in September, printing a quarter 2 FY2024 number of 61.1 compared with 55.7 same period last year. In this backdrop the World Bank estimate of India's economic activity for the current financial year is on track to grow at a rate of 6.3%.

Coming to power sector update : On the power sector front electricity consumption in India for quarter 2 FY2024 stood at 435.8 BU a growth of 13% on a year-on-year basis. Power demand was higher than anticipated for the monsoon months with peak power demand touching nearly 240 gigawatt in September first week. States like Maharashtra, Uttar Pradesh, Gujarat, Madhya Pradesh, Karnataka, and Tamil Nadu, witnessed soaring demand this quarter. In the previous quarter cooler ambient temperatures had kept demand for power sector lower than anticipated. By the end of quarter 2 of FY 2024 India's total installed capacity stood at 425 gigawatt out of which 179 gigawatt was contributed by renewables. India remains on track to attain its target of achieving 50% of energy consumption from non-fossil fuel sources by 2030.

On the fuel side, India's coal production increased by a robust 16.2% on year-on-year basis to reach 205 million tons in quarter 2 of FY2024. For the period April to September coal production was up by 12% on year-on-year basis to 428 million tons. Coal dispatches to the power sector increased by nearly 11% on year-on-year basis during quarter 2 FY2024 to 181 million tons. E-auction coal premium has also continued to decline since the beginning of this financial year. The premium declined to about 100% in September 2023 from 276% in September 2022 and a peak of 425% in May 2022. The average imported coal price of 4200 GAR coal also continued to ease at \$56 per ton lower by 35% over the same quarter of last fiscal.

Imported gas price has reduced by nearly 60% year-on-year basis to \$16 per MMBTU. Average coal inventory stood at nearly 13 days during quarter 2 FY2024 higher than 11 days which was there in quarter two of last fiscal. The improved supply side scenario

resulted in increased sell liquidity, but an unexpected surge in power demand has kept the prices higher on the exchange. The average market clearing price in the DAM market during quarter two of this year was Rs.5.88 per unit compared with 5.4 per unit in the same quarter last year, higher by

nearly 9% over the first quarter of this year. With supply side volumes continuing to improve and robust power demand, volumes at the exchange are expected to grow going forward.

Let us now talk about the noteworthy regulatory updates and policy initiatives introduced by the government in quarter 2 FY2024. The CERC has notified the Indian Electricity Grid Indian Energy Exchange Limited

November 03, 2023

Page 4 of 21 Code, the Sharing of Interstate Transmission Charges Regulations and the long awaited GNA Regulations. The salient features of these regulations are:

- i. The long-standing anomaly in transmission charges between collective and bilateral transactions has been corrected, which will facilitate movement of volume from the DAC market back to the DAM market since sellers will no longer be required to pay interstate transmission charges.
 - ii. Under IGC, generators with long-term PPAs would also be able to sell their surplus power which is not requisitioned by the DISCOMS in the day-ahead market without consent of buyers. To improve availability of sell in the market, on 5th September 2023, Government has directed generators with PPAs to offer on exchange the URS power on the day-ahead market also.
 - iii. Generators would now be allowed to meet their commitment in case of unit shut down or forced outage by purchasing power through the exchanges.
 - iv. Buyers will be able to use their GNA optimally as transmission charges in collective transactions will be applicable only for the buy quantum in excess of their GNA, which will facilitate buy on the exchange, as the working capital requirement will be reduced for participation in the DAM and DAC.
 - v. Interstate transmission charges and losses will only be applicable on buyers. This will provide a level playing field for all generators irrespective of their locations and will facilitate competition on the exchange platform.
 - vi. The overall philosophy of transmission planning has changed. Efforts are made to enable adequate transmission capacity addition, which will secure a congestion-free transmission system and reduce volume loss due to congestions.
 - vii. These regulations will also facilitate energy transition in a big way by providing flexibility to thermal generators to replace their brown power with green power, introduction of RE aggregators, and connectivity to aggregate 50 megawatt RE capacity. All this will deepen the green market on the exchange platform in the future.
- In other updates, CEA has issued the first amendment to the procedure for cross-border trade in electricity. The amendment allows for cross-border trade of power through the real-time market operated by the power exchanges. This is expected to increase cross-border volume from the exchange.

Indian Energy Exchange Limited

November 03, 2023

Page 5 of 21 In addition, final guidelines for Resource Adequacy Planning were issued by the Ministry of Power in consultation with the Central Electricity Authority to enable adequate generation capacity to meet projected demand in the country. Resource adequacy creates the basis for capacity contracting and can lead to opportunity for IEX to introduce capacity contracts. Such a market will also help in increasing sell-side liquidity.

The Ministry of Power issued guidelines for Tariff-Based Competitive Bidding Processes for procurement of RE power wherein developers have been provided flexibility to supply up to 5% of the contracted power by purchasing from the exchange.

Guidelines on dispatchable RE power through energy storage, these guidelines now allow generators to supply excess power from the RE plant to any third party or a power exchange without requirement of NOC from the buyer.

In June this financial year the Ministry of Power shared a letter with CERC directing it to look into market coupling for the Indian power sector. The CERC subsequently released

a

staff paper on market coupling in August. A detailed reading of the staff paper explains the advantages, disadvantages and execution challenges of market coupling. The Commission is yet to take a view on implementation of market coupling. We have also submitted our suggestions explaining why market coupling should not be implemented. We do believe that current market operations of IEX will continue uninterrupted.

In a strategic move to promote a circular economy and one that aligns with IEX commitment to sustainability and decarbonization and in harmony with India's Net Zero commitments, IEX acquired a 10% stake in Enviro Enablers India Private Limited. This deal will augment the value offerings of EEIPL's material waste platform (MW P), which brings together all stakeholders in the waste sector. Material waste platform holds significant potential to enhance the scientific processing of waste across India and establish a circular economy for a wide range of waste materials.

I am happy to inform that we had launched the IEX Academy this year in June to create a pool of skilled professionals for capacity building in the power market. In a span of less than three months we have seen nearly 250 enrollments across programs.

In line with our aim to provide seamless experience to our customers, the last quarter witnessed onboarding of members to the web-based bidding platform and to the automated bidding API for DAM and RTM. Recently, we also launched the high price Term-Ahead market. With this we will be able to facilitate imported coal based and gas-based power plants to be able to offer high-cost power for up to 90 days. This will ensure there is enough

Indian Energy Exchange Limited
November 03, 2023

Page 6 of 21 sell side liquidity available during crisis period. The product would also provide sell avenues to battery energy storage system power plants on the exchange.

In terms of business performance, IEX achieved 26.5 billion units of traded volume across all segments during quarter 2 of FY2024 registering 15% year-on-year basis growth. In the electricity segment particularly, the growth was about 17%. IEX generated a total volume of 195 lakh MMB TU during quarter 2 of FY2024, a jump of 262% over the same quarter last fiscal. The volume jump was largely on the back of increased domestic gas volume and decreased gas prices compared with spot prices. The profitability of IEX for quarter 2 FY2024 increased to Rs.7.85 Crores from 2.42 Crores in the same period last fiscal, an increase of about 224%.

Let me now summarize the financial performance of the company. In this quarter on a consolidated basis revenue for quarter two of FY2024 increased 16.9% on year-on-year basis to Rs.133 Crores from Rs.113.8 Crores in last year. Consolidated PAT during the quarter came at 86.5 Crores higher by 21.5% on year-on-year basis from Rs.71.2 Crores in quarter 2 of FY2023. With improving coal production, inventory and easing coal prices we expect rationalization of our prices on the exchange and volumes to improve in the coming months. Based on CEA's draft plan, power consumption in the country should increase by more than 100 billion units annually till 2030 and this presents an opportunity for IEX to tap into incremental volume. IEX will continue to introduce innovative products and market segments to strengthen its existing product portfolio. We have been exploring options to extend the Term-Ahead market contracts from 90 days to one year to provide better optimization opportunities for DISCOMS. We will continue to work with the ministry, regulator, system operators and our partners and clients and all of the stakeholders to accelerate India's sustainable energy transition. Thank-you friends, and now we can have question-and-answers.

Moderator: Thank you very much. We will now begin the question-and-answer

session. The first

question is from the line of Damodaran from Acuitas Capital Advisors. Please go ahead.

Damodaran: Thank you for the opportunity. Three questions from my side. So one is you spoke about, GNA getting implemented in October, but if I look at the share of the Day-Ahead Contingency market, that has already come down sharply in September. So what is the reason for that, I mean, given that GNA is being implemented now, where do you see the share stabilizing on a sustainable basis. So that was one, then if you look at the mix of volumes, Term-Ahead market has seen a very sharp growth, so what is the reason for that in the last quarter. That was one question, and if you look at CERC, I think given a deadline for October 16th to give all the comments and suggestions by all market participants. So

Indian Energy Exchange Limited
November 03, 2023

Page 7 of 21 now what are the next steps that the CERC will take to arrive at a decision on market coupling. That is one question and the last one was, if I look at the share of bilateral trades in overall volumes, that has also gone up over the last three or four months. I mean, the data is there through July on the CERC website. So if you can throw some light as to what is the reason behind that. These are my questions. Thanks.

Satyanarayan Goel: Yes, first thing you asked about GNA. Yes, GNA has been implemented from 1st of October and in the first two, three days we saw very positive development after implementation of GNA. The DAC volume had reduced but subsequently in the month of October you can say right from 5th of October to 15th of October the demand was very high

in the country and exchange clearing price was almost Rs.10 throughout the day . And when you have this kind of price , then buyers they try to get into bilateral market to ensure availability of power, so they contract in the bilateral market or Day-Ahead market. So that shifting of , I mean, the impact of GNA was not really positive during those days . But then subsequently when the prices started going down the supply side scenario improved, we are again now seeing that good volume is happening in the Day-Ahead market of exchange and our overall volume growth for the month of October because of GNA implications in electricity has been almost about 20% now. So that is a positive development and I am sure in the coming months the growth will be better. Your second question was that our market share in the second quarter was lower. See the reason was basically the second quarter , as I told you , the demand increased by almost 13% and because of the high demand increase many of the distribution companies they contracted power through the bilateral contracts and in fact bilateral contracts volume increased by almost about 25% during this quarter. So substantial volume shifted to the bilateral contracts because of which the DAM volumes reduced and our market share was lower . But I am sure in the coming quarter you will see good increase in the market share. Coupling , yes CERC had issued a discussion paper , it was issued on 21st of August and I am sure you must have gone through the discussion paper and the reading of the discussion paper indicates that CERC has not taken any view, they are neutral in the paper, they have listed out the advantages whatever they can achieve, but the disadvantages and the challenges in implementation of coupling are more and they have highlighted all those things. What we understand is that participants have submitted the comments on that and CERC is just compiling the comments . They have not taken any view on that. Bilateral volumes, yes, they have increased as I told you because demand for power was very high and many distribution companies got into bilateral contracts. So, now I think demand has reduced slightly . It is not 5,200 million units per day. Now it has come

ome

down to almost about 4,300/4,400 million units per day. So our clearing price is also down to almost about Rs.5/unit. So we should see good volume in Day-Ahead and RTM market.

Damodaran : Any update on how long will it take , I mean, this process of CERC compiling comments .

Indian Energy Exchange Limited

November 03, 2023

Page 8 of 21 Satyanarayan Goel : See I can tell you the process part of it. They will have to compile the comments, take a decision, Commission will have to take a decision based on the comments. They also do consultations . There is a Central Advisory Committee of the Commission , they do consultation in that also, and based on all the inputs Commission will take a view on that. If the view of the Commission is that, we should go ahead with the coupling then draft regulations will have to be prepared, and when they prepare the draft regulations they will also indicate why they intend to go ahead with coupling. The statement of reasons also will be there, and then they will invite comment for that. After receipt of comment from that they will then again see whether they want to go ahead with the coupling or not , if they want to go ahead with the coupling, they will issue the final regulations and then the activity for implementation of coupling will start. So, this process of finalization of regulation itself may take one year time and after that implementation of coupling is getting a software , customizing the software for Indian conditions, and putting in place the clearing and settlement mechanism. So all those things, I mean, it may take anything between one and a half to two years' time for implementing coupling after that.

Damodaran : Sure, but that is very helpful. Thanks, that is all from my side.

Moderator : Thank you so much. The next question is from the line of Mr. Sumit Kishore from Axis Capital Limited. Please go ahead, sir.

Sumit Kishore : Thank you, Sir. My first question is in relation to the long duration contracts. What is the total volume handled by IEX in LDC in the second quarter , in the first half of the year and what is the market share composition in LDC and how much does IEX have ?

Rohit Bajaj : In the first half , total volume done in LDC is 3.6 billion units, but if we talk about specific months it was more in September where we did more than 1 billion units and October it is about 1.7 billion unit. So, it started on a smaller note and if you look back last year , total volume done in LDC was 1.4. So as compared to 1.4 we have done in the first half itself 3.6 and a lot of traction is there , distribution companies are finding it very attractive to source power through LDC contract and we are seeing a lot of transactions are happening. There we have organized more than 300 reverse auctions in this particular segment, and wherever rates were suitable , distribution company went ahead and sourced this power. So started on a little slower note, but now picking up very fast.

Sumit Kishore : So, what would be the IEX share ? So in first half you have done 3.6 billion units how much was the total LDC traded ?

Indian Energy Exchange Limited

November 03, 2023

Page 9 of 21 Rohit Bajaj : Total number is not readily handy with me, but our share was close to 60% in case of LDC contract. We can say close to 7 billion units was all done in the LDC contract.

Sumit Kishore : My next question is that we have been seeing high demand environment although there has been easing of supply side constraints, exchange price discovery has been in the vicinity of Rs.6 and exchanges have not been able to gain market share. Market share has moved towards bilateral. So would you like to comment on how the medium-term situation will evolve because India seems to be headed into a situation where we could have tight liquidity or is that a wrong assessment?

Rohit Bajaj: See our reading is that

is situation that we are seeing where there is a huge supply side constraint, this is temporary. What we have seen is, in last three, four months there is lot of softening in the prices particularly coal as well as gas and because of that there is some improvement in the liquidity. Demand increase in some parts was more than expected. So that has taken away whatever additional supply was brought in the market, but going forward we expect that some more capacity is going to get commissioned. There are projections which say that 9,000 megawatt capacity will come in next five to six months. So this will give us lot of support and renewable capacity as we all know is continuously getting added in the system. So, whatever shortages we are seeing now, deficit we are seeing now will get covered eventually in coming months and with that situation will only improve and we expect prices to be in a decent level. So this is our reading of the situation and as this will happen we expect more liquidity or more buy will start to come on Day-Ahead and RTM market which is the most preferred option for any State because there, the price discovery is more efficient. These are the most competitive market segments that are available, and we have seen historically prices are lowest in these particular segments. Sumit Kishore : Finally, how do you see the share of overall short-term markets moving over the past couple of years and has it been as per your original assessment? Exchanges within the mix have been falling short because of bilateral markets growing faster, how do you think that the next couple of years are likely to evolve? So the short-term markets overall and exchanges within the short-term market.

Rohit Bajaj: If you see last five years data, you will find that short-term market is growing very fast, exchanges are the ones which are growing at the fastest pace. So, this has been the historical trend. There are some aberrations. The point Mr. Goel explained, the point that I was sharing because of some uncertainty in availability, some sudden increase in the prices, there was a small shift that happened within, from exchange to bilateral market. We have seen that in quarter one this shift was there, but as the stability will come, as the situation will stabilize which it has already started with increase in coal production, with increase in Indian Energy Exchange Limited

November 03, 2023

Page 10 of 21 more generation getting on board, we expect again the things would be a lined and exchange would be the fastest growing segment within the short-term market. But one more point here is, since no long-term PPAs are being signed today, earlier distribution companies were not taking, now many generators are also not interested to lock their power under long-term PPAs. So, which means that going forward there would be this merchant capacity which is present, will not go away and more capacity will come in terms of distribution companies getting more power under the long-term PPAs, the plants which are going to get commissioned. Together, this will create more liquidity on the sell side which will help exchange market to grow.

Sumit Kishore : Thank you. Those were my questions.

Moderator : Thank you so much. The next question is from the line of Vikas Jain from Financial Quotient. Please go ahead.

Vikas Jain : Hi, Good Afternoon everyone on the call and many thanks for the detailed summarization of what we have done at IEX. My first question was on market coupling, but I think that has been answered very fairly by the management team. So, just wanted to know about the PAT level figures for IGX and ICX for Q2 if any.

Satyanarayan Goel : Yes, for IGX our profit has been about Rs.7.8 crore in second quarter. The volume growth in case of IGX in the second quarter was significant. ICX, we have not launched

yet. So

ICX we are only doing the development activities at the moment. As of now there is no revenue except for the treasury income, which is very small.

Vikas Jain : When ICX operations might be expected to get commenced.

Satyanarayan Goel : ICX, I think will need some more time because Government is also coming out with their CCTS which is the Carbon Credit Trading Scheme and there are some changes, what we are expecting with respect to the mandatory and compliance market. So, we are analyzing all

that and then we will launch it after analyzing all these things.

Vikas Jain: Just one more clarification Sir, so this ICX would have voluntary and involuntary both the credit markets right.

Satyanarayan Goel: Compliance market will be operated by IEX, basically that will be regulated market, regulated by CERC. So, all CERC regulated exchanges will be able to offer the compliance market of carbon credit. As far as voluntary market is concerned, there is no clarity about that. Our intention is to launch ICX, international carbon exchange, for the voluntary Indian Energy Exchange Limited

November 03, 2023

Page 11 of 21 market, so that we are able to get the voluntary market share but whether that market also will be regulated or not, still the clarity is yet to come on that.

Vikas Jain: All right thank you so much I wish you all, all the best for the coming quarters. Thank you and have a good day.

Moderator: Thank you. The next question is from the line of Arul Selvan from Independent Advisor Private Limited. Please go ahead.

Arul Selvan: Hi, Good Afternoon. I just have a few questions. The first question here is regarding the market share of IEX in the different segments. I believe, the slide in the PowerPoint presentation which had all these market shares was not given this time. So, could you please help with that?

Satyanarayan Goel: Okay what else.

Arul Selvan: The next question here is just one question about this relationship between the high-priced power and bilateral trades. So could you please help me understand what is the incentive for the parties to transact in the bilateral markets when prices go to double digits on the exchange? Those are my two questions.

Satyanarayan Goel: Let me tell you about the market share. In the collective transactions which is our Day-Ahead market and the RTM market our market share continues to be almost about 99.9%.

Long duration contracts which are daily, weekly and monthly contracts our market share is almost about 55% and in Day-Ahead Contingency market, the market share is close to 40%.

And with the implementation of this GN A, the DAC volumes are expected to go down. So overall market share will improve.

Arul Selvan: Have they gone down in the month of October, the total volumes of electricity created on the DAC versus ...

Satyanarayan Goel: You are right that volumes traded in the month of October have significantly gone down with respect to September. I believe in the month of September the average daily volume was close to 50 and it was close to 25 in the month of October. In the month of November, I am sure what is happening is hardly in the single digit DAC volumes are happening now.

Your second question was about bilateral transactions at HP-DAM market.

Arul Selvan: Right.

Indian Energy Exchange Limited

November 03, 2023

Page 12 of 21 Satyanarayan Goel: This HP-DAM market transactions will happen mainly when the crisis is there and the coal-

based power plants are not able to meet the demand. So, if you have to get the power from the gas-based power plants where the cost of generation is something around Rs.13, Rs.14, Rs.15. So, we are not seeing much transactions in that market because distribution companies are not willing to buy power at that high price. But when there is a crisis, very high demand, there is a tendency

on the part of distribution companies to purchase power in the bilateral market even by paying slightly more premium, so that they are assured of power supply, because on the exchange platform if they are purchasing power in the Day-Ahead, in the RTM market then they are not very sure whether on that particular day will they get the power or not. So that is why we have seen in the past also, whenever the demand is very high, the bilateral transactions increase. And now for the month of November, December, January, February when the volumes of demand is slightly lower with respect to the summer months, the bilateral transactions will go down.

Arul Selvan: I am a little bit surprised you are saying that when the prices are high the DISCOMS are not willing to purchase on the exchange because there is no certainty that they will receive the electricity is that the case.

Satyanarayan Goel: Yes, see when the price is high, it means that the demand is high, and supply is not commensurate with the demand. That is a high demand period and during the high demand period some of the DISCOMS who want to ensure 24x7 power supply and who want to purchase power at any cost they pay premium over the market price and purchase power in the bilateral transaction.

Arul Selvan: No, the only question I am wondering here is, is there a material difference between the

high price segment which we have launched recently and the bilateral market ? Is there a difference in terms of the availability of power or the ease of convenience or on the transaction charges ? I am just trying to understand in what way is the bilateral market better than the exchange market ?

Satyanarayan Goel : See the point is , let me first clarify one thing that on the exchange platform we have also bilateral contracts. These contracts are for weekly, fortnightly, monthly basis for delivery of power up to three months . But in all these contracts the ceiling price is Rs.10 . If somebody wants to buy power if he is not able to get power within that, if he wants to buy gas -based power then he will have to go to the HP-DAM market . Whereas in the bilateral transactions even the coal-based power plant , domestic coal -based power plants also supply power and the rate should be Rs.7, Rs.8, Rs.9 . So bilateral transactions there is no segregation of HP - DAM market, high price market or the normal market.

Indian Energy Exchange Limited

November 03, 2023

Page 13 of 21 Arul Selvan : Right , I understand. Ok. That is it for now. Thank you.

Moderator : Thank you. The next question is from the line of Viraj Mithani from Jupiter Financial.

Please go ahead.

Viraj Mithani : Good Afternoon Sir. I have three questions. My first question is on carbon exchange. When you talk about this international trading on the carbon exchange , what would be the benchmark we would be using , would it be a Paris based benchmark or the US based any thoughts on that ? And can you give more color in terms of the volumes we can attract in days to come since we have signed this 2030 Paris Accord and world is going green that is my first question ? My second question , is suppose if the coupling is implemented then what are our plans to mitigate that and how are we getting prepared for that ? And my third question is how are we placed against the competition ? That is it from my side. Thank you and all the best.

Amit Kumar : On the international carbon exchange , as you mentioned that we intend to operate it in the voluntary carbon market and the way in the voluntary carbon market the trade happens is that there are global registries which are available , like Verra, Gold Standard which basically register projects and they certify projects for issuance of carbon credits . And those carbon credits which get issued by these global registries Verra and Gold Standard and there are a few other regi

stries as well. They are basically then eligible for trading in the voluntary carbon market. So, basically once we commence our operations , we will have integration with these registries so that the project developers whose projects are registered for credit issuance they will be able to list those credits for sale on our platform and the buyers who want to buy these carbon credits to do offsets , they will come and buy these credits from our exchange platform. So that is how , basically the voluntary carbon market operates , and that is what we intend to tap in from an international perspective.

Viraj Mithani : What will be the benchmark like , would it be based on certain benchmark right , either by the Paris or the US or India or something?

Amit Kumar : The registries for different projects they have the methodologies defined. So, like for forest projects, Verra will have a methodology defined. The projects , let us say , there is a forestry project that meets the requirements of the methodologies that are defined within Verra, those projects once they apply for registration , Verra will approve those projects. So each registry for different types of project . Because carbon credit is a heterogeneous commodity , there are different types of like you have nature -based carbon credit, cook stove , then you have carbon credit from renewable . So for cook stove there is a set of methodologies that each registry will define. Now project , for it to be accepted for approval for credit issuers ,

Indian Energy Exchange Limited

November 03, 2023

Page 14 of 21 they have to be aligned to the methodology that registry defines. So that is how basically the credit issuance , and the project approval works in the voluntary carbon market.

Viraj Mithani : The other two questions.

Satyanarayan Goel : Can you repeat the question please.

Viraj Mithani : My next question was if the coupling is implemented how are we prepared to mitigate that issue ?

Satyanarayan Goel : First of all implementation of coupling itself is doubtful , no view has been taken by the CERC so far . And we do not think based on our interactions that coupling is going to get implemented. In any case, I mean, I respect your question, if coupling is implemented , we are already working on different strategies to create a strong customer connect and you must have seen that in the last two, three years we have done lot of development in our technology platform also . We have a strong integration with our customers to the API system and we are also providing value added services to our customers , the data analytics

which we are providing . I think all these things are giving lot of value to the customers and the relationships which we have built with the customers over the last 15 years I am sure with all that we should be able to maintain our market share.

Viraj Mithani : How are we placed against the competition ? I guess we are the largest exchange so far right.

Satyanarayan Goel : Yes.

Viraj Mithani : How are we placed ? Are the competitors gaining more grounds against us. So, we are still performing better than them, if you can give some light on that, color on that.

Satyanarayan Goel : As far as the collective transactions are concerned, which are the flagship transactions in any exchange platform which is Day-Ahead market and Real Time market in these two segments our market share is 99.9% . And if you look at the volume in these two segments it is almost about 75% of the total volume happening on the exchange platforms. So, in this 75% volume our market share is 100% you can say. So rest of the 25% which is consisting of DAC market, TAM market, Certificate market, all these things our market share is close to 40 %-45% so you can say as of now our market share is about 85% -86% but going forward it should improve further.

Viraj Mithani : Thank you sir and all the

best to you.

Indian Energy Exchange Limited

November 03, 2023

Page 15 of 21 Moderator : Thank you. The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal : Good Afternoon Sir and thank you for the opportunity. My question is around the supply side. You did mention that supply is likely to improve going ahead, but I just wanted to understand better in terms of what is giving you that comfort ? And secondly given that we would be entering into State elections and then Union election would not SEBs be wanting to sign short-term bilateral contracts to ensure that the supply is intact during this election period ?

Satyanarayan Goel : Yes, I mean, liquidity as of now in the market is very good . We are getting every day close to 300 plus MU on the sell side whereas demand is only for about 200 MU, 225 MU and so there is more sell available than the buy requirement and I am sure this situation is going to continue for the next 3 -4 months. From March onwards when the election fever will catch up some of the DISCOMS may get into a bilateral mode because this is a very politically sensitive issue. So, it is very difficult to make any comment on that, but yes some of the DISCOMS may get into bilateral contracts also.

Rohit Bajaj: We have more offerings , they can tap them to buy power for up to three months now and going forward we will launch up to 11 months also since the GN A has been implemented and short -term contracts are allowed and can be done up to 11 months. So we will get approval and we will launch 11 month contract also. So we are also gearing up for this , we also understand there would be some tendency among some of the distribution company to source power under bilateral and since we have an offering now , earlier days we had only TAM which was up to 11 days so situation is a little different and we are gearing up to compete with other bilateral contracts.

Devesh Agarwal : Just to understand better you did mention that in the LDC market in the first half we did 3.6 billion units. So if you were to divide this in one month or 3 month contract where are we seeing most of the volumes coming , where is the concentration of volume ? Is it in like 10 day, 15 day contracts or one month or three months ?

Rohit Bajaj: So, today the concentration is up to one month, but recently or lately I would say we have started seeing some activity in the second month also. So, if I talk about H1 it was majorly first month, but now some transactions are happening for December, January also which means that it has extended to second also and going forward we will add some more months, it would be third, fourth and hence... .

Devesh Agarwal : By when do we intend to increase the tenure ?

Indian Energy Exchange Limited

November 03, 2023

Page 16 of 21 Satyanarayan Goel : We will be filing our petition with CERC in the next 10 -15 days for offering long duration contracts for delivery up to 11 months and CERC normally takes about 2 months' time to approve that. So hopefully by end of December we should have approval and from 1st of January we should be able to launch this contract for delivery up to 11 months.

Devesh Agarwal : Understood. Sir, any recent bilateral agreements that have been signed if you can give some sense of what is the price that is being discovered in the bilateral market versus the price that we see on the exchange platform ?

Satyanarayan Goel : See one thing is prices in the bilateral contracts are definitely more than the prices on our DAM market, DAM or RTM market. So that is why people only go to the bilateral contracts when there is a crisis , and they want to just ensure availability of power at any

cost. There are many instances where distribution company purchase power in the bilateral market at a higher price and on the real time basis . Because of sea

sonal variations demand

in that particular case was lower and they ended up in selling power on the exchange platform at a lower price bought at a high price in the bilateral and sold at a lower price in the Day-Ahead market or RTM market. So distribution companies are also realizing it now, that too much of reliance on the bilateral market is not desirable and they are contracting maybe certain minimum contract based on their demand and supply projections.

Devesh Agarwal : The final question from my side. This Government has extended the Section 11 until June 2024. So does this scenario in any way help or hurt us in terms of volume ?

Satyanarayan Goel : See Section 11 extension up to June 2024 will definitely ensure increased availability of power in the market and if there is increased availability of power in the market , then desperate situation will not be there.

Rohit Bajaj : It is good for the sector, it is good for exchanges because overall liquidity on the sell side will improve and we would be able to, or together all of us would be able to meet the demand.

Devesh Agarwal : Understood, thank you so much. Those are my questions .

Moderator : Thank you so much. The next question is from the line of Mr. Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar : Good Afternoon Sir, thanks for the opportunity. Sir, can you just brief us on what product additions are we looking at in the next 6 to 12 months ?

Indian Energy Exchange Limited

November 03, 2023

Page 17 of 21 Satyanarayan Goel : See in the last two years we have added many products and we did RTM market then we launched green market, Green Term -Ahead, Green DAM, now HP -DAM, HP-TAM . HP-TAM also was introduced in the month of October . So and now we are going for the long duration contracts for delivery up to 11 months that is also expected in the next two, three months' time . So, I do not think you can add new products every two months . There is a limit to that . Only thing is whatever new products were introduced we have to bring more liquidity in those products. Green products, Green DAM and Green TAM market , there the volumes are still not significant . I mean, I think combined volume in a year is almost about 8 to 9 BU. So we have to bring more liquidity in the green market . Lot of activities are happening in that. So we are working with the generators, we are working with the States also, how to bring more liquidity in this. With Government also we are doing the policy advocacy with the Government . Government has allowed that you can purchase up to 5% of the power in a contract to meet commitment from the green market . All this and they are also working on the CFD contracts for the green market , virtual power purchase agreements are also now becoming popular . So all these initiatives are being taken to bring more liquidity in these markets.

Nikhil Abhyankar : Is there anything around power derivatives, electricity derivatives ?

Satyanarayan Goel : Power derivatives should be launched on the exchanges which are regulated by SEBI that means MCX or NSE or BSE. So, there is a Committee which is working on this and I think they have still not come to a conclusion of launching derivatives at this stage because volatility in the market is too high at the moment.

Nikhil Abhyankar : You mentioned that LDC volumes are high in the past three, four months and once we get the approval of LDC for 11 months can we expect a large part of the bilateral contracts will shift to us.

Satyanarayan Goel : Should shift, yes, that is our effort . That is the intent with which we are going to offer this contract . And we will start interacting with the distribution companies and generating companies to ensure their participation in those contracts.

Nikhil Abhyankar : Final question we have around 1,400 Crores of cash on our balance sheet, investments

and

cash. So, can we expect more buybacks going ahead ?

Satyanarayan Goel : We will take a call on that - whether buyback or dividend . We have a policy of rewarding our shareholders and we give almost more than 50% of the profit in the form of dividend or buyback. So, we will continue to do that.

Indian Energy Exchange Limited

November 03, 2023

Page 18 of 21 Nikhil Abhyankar : Okay thank you that is all from me.

Moderator : Thank you so much. The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.

Jiten Rushi : Good Afternoon Sir, thank you for taking my question. My first question is on e - certificates. So the cycle two is over in October , we have seen volumes coming off

significant ly. So we expect the cycle over for this year and when can we expect the next cycle to begin ?

Satyan arayan Goel : Yes, cycle 2 is over now and we have to now wait for cycle 3.

Jiten Rushi : That will be in next three years right.

Satyanarayan Goel : It depends on when BEE notifies that . Yes, we are expecting next year.

Jiten Rushi : On the L DC just want to reiterate you said volumes in LDC in October is almost 1.7 BU.

Satyanarayan Goel : Yes.

Jiten Rushi : Okay that is from my side sir. Thank you and all the best. Wish you happy Diwali. Thank you.

Moderator : Thank you so much. The next ques tion is from the line of Amey Kulka rni from Candor Investing . Please go ahead.

Amey Kulk arni: Hi, Good Afternoon . I had a couple of questions. We had this proposal for Gross Bidding and we had also submitted a petition to CERC sometime in 2021. Is there any rethinking /update on this issue and what is the progress with the Transmission System Operator for the gas sector ? Just one or two more questions, is there any update on the renewable contract by using the strike pric e which we call a contract for difference ? Thank you.

Satyanarayan Goel : First one is on th e Gross Biding . See Gross Bidding is basically optimization by distribution company . And this concept is more relevant when the prices are competitive in the range of maybe Rs.3.5 to Rs.4 but since the last two years our prices have been around Rs.5, so there is not significant opportunity from Gross Bidding at the moment. In any case , the new GNA regulations and Sharing of Transmission Charge s Regulations which have been iss ued by the C ERC, under those regulations , now Gross Bidding it can be impleme nted. You do not need any separate approval for the Gross Bidding . It can be implemented by the distribution Indian Energy Exchange Limited
November 03, 2023

Page 19 of 21 company very effectively and many of the distribution companies are already doing it. See there is no extra payment to be made by a distribution company for sale of pow er on the exchange platform now. Suppose , a distribution company has got a PPA with a generating company and under that PPA they have p ower available and they d o not need that power , they can schedule that power in the morni ng ho urs, submit bid on the exchan ge platform based on the variable cost of that, if that power is cleared they can continue with the schedule and if the power is not clear ed they can revise the schedule of the generator on the lower side. So, all these flexibilities are there, there are no transmission charges to be paid for sale of power and n o losses are accounted for that. So that flexibility what we were looking for under the Gross Bidding petition that has been already provided by C ERC in the GNA and Grid Code - all these new r egulations which have been implemented now . And we fi nd there are states like Punjab, MP, Haryana, Maharashtra, many of these states are submitting bid s there for purchase of power and sale of power both and that is basically with the intent of doing optimization in their power procurement cost. So, we are working with the States now that how they can use the GN A pr

ovisions to effectively implement, I

mean, not Gross Bidding , but you c an optimize your cost now, which was the intent of the Gross Bidding . Second questi on was on the gas system operator, yes, I mean, Government in fact had mentioned in many of the forums that they are going to create gas system operator but as of now nothing has happened much on that and y our third question was about ?

Amey Kulkarni : CFD.

Satyanarayan Goel : Yes, CFD contracts . Yes I mean this issue is under discussion . What I will s ay that final stage of approval but only they are looking at taking a view that if at all there is a gap in the contracted price and the market cl earing pric e, how to fund that , so once they decide about that they will approve that contract . Otherwise , all other modalities are already discussed and finalized.

Amey Kulkarni : So just one last point, the distribution companies when they buy under the LDC contract , the long duration contract. Suppose we ext ended to say 11 months , do the distribution company need approval from the regulator for the prices discovered in these contracts or because they are traded on the exchange regulatory approv al is not required?

Satyanarayan Goel : Yes, for the LDC contracts they normally take approval from their respective State Regulatory Commissions .

Amey Kulkarni : Before bidding itself.

Indian Energy Exchange Limited
November 03, 2023

Page 20 of 21 Satyanarayan Goel : In many of the States they have given certain limit up to this price they can i.e. distribution company can purchase the power, but if the price is more than that they can take the

approval and such approvals do not take much time because the regulators are also aware about the market condition.

Amey Kulkarni : Okay thank you so much.

Moderator : Thank you. The next question is from the line of Dhruv Muchhal from HDFC Asset Management Company. Please go ahead.

Dhruv Muchhal : Thank you so much. I had just one question. Somebody who is a buyer who is buying from the exchange, green products, does he have to pay transmission charges or that is also waived for the buyer?

Satyanarayan Goel : As per the new GNA regulations sellers whether they are from green plant or whether they are from the coal-based power plant, no seller is required to pay any transmission charges.

Dhruv Muchhal : And Sir, buyer?

Satyanarayan Goel : Transmission charges are to be paid by the buyer only. In case of green power, for the projects commission up to 20-25 even the transmission for the buyer also is waived off.

Dhruv Muchhal : But the buyer is generally, say, for example some third party or somebody see if I am trying to understand if somebody selling in the merchant market then? So green market would be merchant market that way.

Satyanarayan Goel : No, I think it is for the projects which are under the PPA note.

Dhruv Muchhal : For the green products that we have, the buyer has to pay transmission for that? Is the transmission charge exempted for the volumes that you do on exchanges?

Rohit Bajaj : So for exchanges also it is exempted but the problem is it is not yet implemented we expect going forward very soon this will be implemented and then it will be waived off to begin with. It is easier to implement that for bilateral contracts, but through exchanges it is a little difficult for collective, but eventually in months to come it should get implemented.

Dhruv Muchhal : So it is a clarification which probably or some modification that we will be seeking and once that happens it will be helpful.

Rohit Bajaj : Absolutely. Yes.

Indian Energy Exchange Limited

November 03, 2023

Page 21 of 21 Dhruv Muchhal : Thanks so much and all the best Sir.

Moderator : Thank you so much. We would take that as our last question, I would now like to hand the conference over to the management for closing comments.

Satyanarayan Goel

: Thank you friends. I would like to thank each one of you for being part of today's call.

During the quarter we have witnessed a lot of initiatives announced by the Government and the regulators towards creating a favorable policy and regulatory environment to transform the energy sector. We remain committed in doing our bit towards building a sustainable and efficient energy future. Have a great evening. Thank you very much and a Happy Diwali.

Moderator : Thank you. On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Indian Energy Exchange Limited

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Dated: February 01, 2024

The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on January 25, 2024.

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on January 25, 2024, to discuss the financial results of the Company for the quarter ended December 31, 2023.

The above information will also be made available on the website of the Company:
www.iexindia.com

You are requested to take the above information on record.

Thanking You.

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS -16264

Encl: as above

Page 1 of 17

“ Indian Energy Exchange
Q3 FY2024 Results Call ”

January 25, 2024

ANALYST : MR. SUMIT KISHORE – AXIS CAPITAL LIMITED

MANAGEMENT : MR. S. N. GOEL – CHAIRMAN & MANAGING DIRECTOR
– INDIA ENERGY EXCHANGE

MR. ROHIT BAJAJ – EXECUTIVE DIRECTOR – BUSINESS
& DEVELOPMENT & STRATEGY – INDIA ENERGY
EXCHANGE

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER
& COMPANY SECRETARY – INDIA ENERGY EXCHANGE

MR. AMIT KUMAR – HEAD OF OPERATIONS &
TECHNOLOGY – INDIA ENERGY EXCHANGE

MS. APARNA GARG – HEAD – INVESTOR RELATIONS &
COMMUNICATIONS – INDIA ENERGY EXCHANGE

MR. ADITYA WALI – INDIA ENERGY EXCHANGE

Indian Energy Exchange Limited

January 25 , 2024

Page 2 of 17 Moderator : Ladies and gentlemen, good day and welcome to the Indian Energy Exchange Q3 FY2024 Results Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumit Kishore from Axis Capital Limited . Thank you and over to you Sir!

Sumit Kishore : Thank you Manoj. Good evening ladies and gentleman. On behalf of Axis Capital I am pleased to welcome you all for the IEX Q3 FY2024 earnings conference call. We have with us the management team of IEX led by Mr. S . N. Goel, Chairman and Managing Director . We will begin with the opening remarks from Mr. Go el followed by an interactive Q&A session. Over to you Sir.

S. N. Goel: Good evening friends. I welcome you all to the IEX earning call for Q3 FY2024 . With me today on this call are Mr. Rohit Bajaj, Executive Director, Business Development and Strategy, Mr. Vineet Harlalka our CFO and Company Secretary , Mr. Amit Kumar, Head of Operations and Technology, Ms. Aparna Garg, Head of Investor Relations and Communications and Mr. Aditya Wali . Friends the Indian economy continues to be the world 's fastest growing major economy with aspirations to become the third largest within this decade. According to the first advanced es

timate released by the National Statistical

Office the economy is expected to grow at 7.3% in the current fiscal year which is helped by government spending and a pickup in manufacturing. This is slightly faster than 7.2% growth which was recorded in the last year 2022 – 2023 .

Coming to economic indicators, India's manufacturing PMI for Q3 FY24 came in at 55.5.

Manufacturing has remained expansionary on the back of increased private consumption and capital expenditure. Services activity also continued to expand with the services PMI for Q3 FY 24 coming at 56.8. The services index has remained above 50 for nearly 30 months at a stretch, the longest such trend since August 2011.

On the power sector front, peak power demand remained at high of 221 gigawatt in October before declining towards the end of the quarter. This was after a record high of 240 gigawatt in September recorded this year. Electricity consumption during Q3 FY24 recorded at around 380 billion units saw an increase of 10 % on year-on-year basis. States like Uttar Pradesh, Maharashtra , Gujarat, Madhya Pradesh, Karnataka and Tamil Nadu remain drivers of the surge in demand in power . According to the CEA estimates, electricity consumption is expected to continue to increase at a CAGR of 6% to 7% over the next eight to 10 years.

Indian Energy Exchange Limited

January 25 , 2024

Page 3 of 17 Looking at trends in demand and its expectation in the coming years , recently in November Honorable Minister of Power Shri. R. K. Singh ji spoke about the need for thermal capacity addition to meet the increasing peak load in the country . The minister was of the view that due to increasing electricity demand in the country and the prevailing demand supply situation , the required thermal capacity required will be about 283 gigawatt by 2032 and against this today we have installed capacity of 214 gigawatt. A ready 27 gigawatt of thermal capacity is under construction and Government has decided to add another 50 gigawatt of new thermal capacity that will help in meeting the growing demand of power . It has been also proposed to add good part of this capacity for sale to the market as seller will

be able to get adequate return by selling to the exchanges and capacity addition can be done faster without the need of PPA. The minister also mentioned that huge amount of funds will be necessary to create such capacity and it is believed that REC and PFC will finance a large part of this. Additionally, the minister noted that country's requirement for 24x7 availability of power requires a double engine that is renewable as well as thermal capacity. With 180 gigawatt of renewable installed capacity India remains on track at its target to achieve 50% of the capacity from non fossil fuel sources by 2030. In addition to this, 140 gigawatt of green energy capacity is under tendering and implementation and this is all above the Government target of 50 gigawatt of capacity that government is planning to add every year till 2030. To enable power integration the NEP has projected a storage capacity requirement of 74 gigawatt by 2032 consisting of pump storage of 27 gigawatt capacity and battery based storage of 47 gigawatt. Recently under the government's viability gap funding plan, the SECI has awarded India's first pilot project of 500 megawatt battery storage system wherein 40% capacity is open capacity for sale to the market through the exchange to meet the peak hour demand. Additionally, there is a government push towards green hydrogen emission. The push for green hydrogen of 5 million tonnes per annum by 2030 alone would require 125 gigawatt of green energy.

On the fuel side during the quarter India's coal production increased by a robust 13.1% on year-on-year basis and the production level was almost about 256 million tonnes. Coal dispatch to the power sector increased by 11.7% on year-

on-year basis to 203.5 million

tonnes. E-auction coal premium has continued to decline since the beginning of this financial year. The coal premium under Shakti B8 auction has come down to almost about 40% now. Coal inventory as on December 31, 2023, stood at 13 days. The imported coal prices have also come down for 4200 GR coal. Last year the prices were almost about \$90. It has come down to \$ 58 per tonne. Another good thing is imported gas prices have also reduced significantly. Last year imported gas prices were in the range of \$20 per MMBTU. Now they have come down to almost about \$9 per MMBTU and if the prices come down to \$7 to \$8 per MMBTU, the variable cost using gas will be only about Rs.6 to Rs.7 and I am sure almost 11,000 to megawatt to 12,000 megawatt of the gas capacity which is available

Indian Energy Exchange Limited

January 25, 2024

Page 4 of 17 in the country that can be put to burn for meeting the peak demand. We are now witnessing a scenario wherein there is no fuel shortage. On the exchange, the improved supply side scenario has resulted in increased sell liquidity since November. Sell bids in collective auctions increased by 25% on year-on-year basis in November and 18% in December. This led to easing of prices on the exchange. The average market clearing price in the DAM market was Rs.5 per unit compared to Rs.5.88 per unit in Q2 of this year.

On the regulatory and policy front, the regulatory and policy environment continues to be conducive for power market development. Let us now talk about the noteworthy regulatory updates and policy initiatives for the sector.

CERC has implemented the Indian Electricity Grid Code, the Sharing of Interstate Transmission Charges Regulations and long awaited GNA Regulations from October 1, 2023. The salient features of these regulations, which, are market friendly.

- i. The long-standing anomaly in transmission charge between collective and bilateral transactions has been corrected now. With this during the quarter we witnessed a reduction in volume in our Day-Ahead Contingency market and consequently witnessed an increase in volume in the Day-Ahead Market. Volume in the DAC market in Q1 was 2 billion units. In Q2 it was 2.6 billion units. It has now reduced, to nearly 0.4 billion units and transactions have now shifted to the DAM segment. At nearly 15 billion units in Q3 volume for DAM this was higher by 17.5% as compared to Q1 and 30% as compared to Q2 of this year. This trend is expected to continue in the future also.
- ii. Under GNA regulations, transmission charges in collective transactions will be applicable only for the buy quantum in excess of their GNA. Buyers will be able to utilize GNA optimally by buying power in the DAM and RTA market.
- iii. Under IEGC, generators with long-term PPA would be able to sell the URS power not requisitioned by the beneficiaries in the Day-Ahead market without the consent of the buyers. Similarly in efforts to bring surplus power in the market, the Ministry of Power has proposed amendment of late payment surcharge rules which mandates generators to offer URS power in the market. These rules also provide for penalty in terms of reduced fixed charges to GEN COS if they fail to offer URS power in the market. This will improve sell side liquidity on exchange platform.

Indian Energy Exchange Limited

January 25 , 2024

Page 5 of 17 iv. Generators are now allowed to purchase in the DAM and RTM market to meet their supply obligations in case of shutdown or the forced outage .

v. Interstate transmission charges and losses will now be only applicable for buyers .

This will provide a level playing field for all generators irrespective of their location and will facilitate competition on the exchange platform .

vi. These regulations will also facilitate energy transition

in a big way by providing

flexibility to thermal generators to replace their brown power with green power , introduction of RE aggregators , and connectivity to RE generating capacity of 50 megawatt and above . This will deepen green market at the exchange in the future .

Additionally , Ministry of Power extended the time period for Section 11 directive to imported coal -based power plants up to June 30, 2024, to enable supply from imported coal based power plants in the system and to counter anticipated surge in demand in the upcoming summer months .

The Ministry of Coal has amended the Shakti Policy in November to allow power plants including power generators without PPA to sell power in all segments of the power exchange . Earlier it was only limited to the DAM market . Now they can sell power in all segments - in DAM, RTM and the TAM market.

The CERC issued its order for increasing the frequency of REC trading on power exchanges to twice a month. Earlier it was once in a month only and has allowed fungibility of different types of RECs . Consequently with added flexibility and increased frequency of trading , liquidity has increased in the REC market and because of removal of REC base price, REC prices have come down . Earlier the base price was Rs.1,000 , so transactions were happening at Rs.1000. Now with the removal of the base price , the last transactions were at Rs.360 per REC, a significant reduction and as a result of that REC volumes also increased on the exchange platform . It was 65% higher in Q3 in comparison to last year . CEA has finalized the phasing plan for thermal plants to bring the technical minimum operations up to 40% which is currently at 55%. This move will help in adding more RE capacity and efficient integration with the grid .

Ministry of Power has provided repowering and life extension for wind power projects allowing such generators to supply excess power on power exchange .

Indian Energy Exchange Limited

January 25 , 2024

Page 6 of 17 All these measures will lead to a further improvement in sell liquidity on the exchange leading to a decline in power prices . This is expected to present an opportunity for DISCOMS and commercial & industrial consumers to optimize their power procurement cost.

Friends during the quarter, IEX undertook significant initiatives . We are honored to be a part of the groundbreaking green credit program launched by The Honorable Prime Minister during the recently concluded COP 28. Our wholly owned subsidiary International Carbon Exchange was engaged for the development of green credit program registry , trading platform and web portal .

On our core business we are awaiting approval from CERC on our petition for extending the term add contract from 90 days to 11 months to provide better opportunity for our DISCOMS . In terms of business performance , IEX achieved 28.3 billion units of traded volume across all segments during Q3 of FY24 growing 16.8% on year -on-year basis . This volume includes 25.9 billion units of conventional power and 0.4 billion units from the green market segment . The exchange also traded 20.3 lakh certificate during the quarter. Our gas exchange IGX has celebrated its third anniversary in December and has since inception cumulatively traded more than 900 lakhs MMBTU in gas volumes . During the quarter due to wide variation in demand and supply of gas IGX share volume declined 65% on year-on-year basis to 84 lakh MMBTU ; however , on nine-month basis IGX volume was down only by 7% from April to December . The profit after tax for IGX for nine-month period increased by 14% from Rs.16.3 Crores in nine months of FY23 to Rs.18.6 Crores in nine months of the FY24. As gas prices continue the downward trend volume at IGX will pick up going forward and I am sure in the summer months with operation of gas based plants , our gas exchange

will have better opportunity .

Let me now summarize the financial performance of the company for this quarter . On standalone basis the company recorded PAT growth of 25.5% increasing from Rs.71.2 Crores in Q3 of FY23 to Rs. 89.3 Crores in Q3 FY24. On a consolidated basis revenue for Q3 of FY24 increased by 20.3% on year-on-year basis to Rs.141.2 Crores from Rs.117.4

Crores in Q3 of FY23. Consolidated PAT during the quarter came to Rs.91.8 Crores higher by 18.9% on year-on-year basis. For Fiscal Year 2024, the board of directors of the company have announced an interim dividend of 1% equivalent to 100% of the face value of the equity shares. With improving coal production and inventory and easing coal and gas prices, we expect rationalization of power price on the exchange and volumes to further improve in the coming few months. As India looks forward to have 20 gigawatt thermal capacity in this financial year, thermal generation will increase by almost about 10%. This
Indian Energy Exchange Limited
January 25, 2024

Page 7 of 17 will lead to increased sell liquidity on the exchange. With the CEA expectation of power demand to soar above 256 gigawatt in FY2025 and improved sell side liquidity I am sure exchange volumes will continue to increase. Thank you, friends, and now we can have question and answers.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good evening, Sir and Congratulations on a good quarter. Sir my first question is on the new GNA regulations that kicked in from October I guess, sir, have you gained any market share after the new GNA regulation kicking in and can you please quantify market share in Q3 FY 24?

S. N. Goel: Yes, our market share for Q3 has definitely improved, if you were to compare with Q1 and Q2. As I told you that DAC volumes have reduced. If you take all the three exchanges together then also there is a significant reduction in the trading volume in the DAC and that quantum has entered DAM market and RTM market.

Mohit Kumar: Is it possible to quantify the market share?

Rohit Bajaj: So in the month of November and December, November our overall market share was 91%. December it further increased to 95%. If I talk about quarter as a whole, it is little below 90% about 87% to 88% so we have seen significant improvement. I am talking about total including certificates. So if I talk about electricity in December, it is 97% to 96% so that way, we have significant improvement in the market share with the correction of movement of DAC and movement from DAC to DAM markets.

Mohit Kumar: Sir the second question is on the surplus at power plants selling to exchange which you mentioned. Sir this has been in the talks for the last few years. Has there been any changes in this particular quarter, in the sense, has the government come out with a new regulation or new notification, which we should believe can increase the liquidity on the exchanges because of this particular... Can you please comment on that?

S. N. Goel: Your question is not clear. Can you please repeat?

Mohit Kumar: Sir, un-requisitioned surplus which you mentioned, sir this has been in talks when the Government came out with the first regulations a couple of years back. What has changed in this particular quarter?

Indian Energy Exchange Limited
January 25, 2024

Page 8 of 17 S. N. Goel: I got your point. See.. earlier as per the earlier systems and processes the consent of beneficiary was required by a generator for offering the power on the exchange platform. Now under the GNA and the new electricity grid code the consent of beneficiary is not required. So a generating company if the URS power is there, they can bid that power on the exchange platform without

obtaining the consent of the beneficiary, so this is a significant change in the electricity grid code itself. Further to this, Government of India also has now issued a draft rule wherein they have said that the generating company must offer that power on the exchange platform and if they fail to offer that power on the exchange and they fail to submit a bid of that, that quantum will not be counted towards their fixed cost recovery. I mean their DAC computation which will impact their fixed cost recovery. So because Government of India wants that liquidity in the market should improve, and I am sure these rules are going to be finalized maybe within this month and already we have started seeing volumes from the generating companies, the URS power getting bid in the exchange platform so liquidity has improved because of that.

Mohit Kumar: Understood Sir. Thank you and all the best Sir. Thank you.

Moderator: Thank you very much. The next question is from the line of Guy Spier from Aquamarine Capital. Please go ahead, sir.

Guy Spier: Thank you very much. I think the whole of India should be grateful for the extraordinary work the India Energy Exchange is doing in facilitating the provision of electricity to the whole of India and I think you are an amazing team. I wanted to get your update on the comments for the Central Electricity Regulatory Commission. If the Power Ministry eventually takes a decision on market coupling when will be your best estimate of when

they will take it and I would imagine that if they decide to go there that is going to have to be a lot of discussions on exactly how to implement it and what the market procedures will be and even which contracts they might start working with first? I cannot imagine they would do it all at once so I would love to get your take on where that is, where your discussions are and how you see it unfolding from here. Thank you.

S. N. Goel: Yes, first of all thank you very much for complimenting and with regard to market coupling, let me first tell you the events which have happened. I think in the first week of June there was a letter from Ministry of Power for implementing power market coupling to CERC. CERC issued their discussion paper in the month of August, and they invited suggestions on that and almost about 127 persons submitted their suggestions and comments. And in that also what we find that more than 70% persons they were not in favor of coupling. If you look at all these comments are hosted on the CERC website, you can have a look at yourself. All eminent persons of the sector and experts of the sector they

Indian Energy Exchange Limited
January 25, 2024

Page 9 of 17 have opined that market coupling will not bring any value in the market and the need of the hour is basically to improve more liquidity in the market. At the present arrangement the three exchanges are competing with each other so if you do the coupling it will stifle the competition and innovation. And so based on the comment received I am sure there are few comments where the alternate options were suggested. So what we understand is that CERC is now also exploring and analyzing the alternate options given in some of the suggestions and maybe at appropriate time they will take a view on that whether there is any merit in implementing market coupling or not. So I will not be able to give you any time frame when CERC will take a view on that. After CERC takes a view on that then also the process is quite long because they will come out with the draft. They will discuss on paper again on the new concept and then take comments on that. They may come out with the draft regulations, finalization of the regulations, development of software and laying down the settlement mechanism. I mean doing the mock drill for that, so it is a long-drawn process.

Guy Spier: Thank you so much

and I would also just to confirm, I would imagine that developing that new system if it ever comes about would be with the involvement of the existing market players to ensure that energy continues to be traded smoothly so you would be closely involved in the development of that system?

S. N. Goel: Yes, yes I mean whatever is done by CERC that is in a transparent manner and with the involvement of all participants.

Guy Spier: Thank you so much and thank you for your great work. You are a great Indian institution, and I am proud to be associated with you as you know. Thank you.

S. N. Goel: Thank You. Thanks a lot.

Moderator: Thank you very much. The next question is from the line of Ankit Kanodia from Smart Sync. Please go ahead.

Ankit Kanodia: Thank you for taking my question. My question is again related to market coupling but just slightly on a different note. So in our call we have been very clear that if market coupling comes in, it would lead to death of innovation in the market right in the exchange market. But we see some of our competitors celebrating market coupling. So can you throw some light as to how can market coupling be beneficial for one player and not beneficial for others?

S. N. Goel: See the point is I will always tell the side of the story which suits me, and same thing is true for the other exchanges also, that is why there is a regulator. Regulator is an independent

Indian Energy Exchange Limited
January 25, 2024

Page 10 of 17 body. They will take a view considering what is good for the sector and that is why they showed the staff paper and in the staff paper if you see the suggestions received are not only from the three exchanges. The suggestions received are 124. There are other 124 participants who have made comments on that and these include sector experts. You can say they are members of the CERC, ex-members of the CERC, ex-Chairpersons of CERC and Central Electricity Authority, ex members of the Appellate Tribunal, ex Secretaries of the Government of India. I mean ex-State Regulatory Commission Chairman and maybe from IIT and IIM and NGOs. So all those persons have made comments on that. Please have a look at those comments. You'll yourself be convinced that market coupling probably will not add any value but anyhow we have to leave it to the regulator. They have to decide about it. It is their prerogative to decide what is to be done in the market but I can only tell you that implementation of market coupling is a major change in the market design so I am sure regulator will take a view considering all aspects and then implementation of that also is a long-drawn process.

Ankit Kanodia: Got it . Thank you so much for that detail ed answer . My second and last question would be related to the International Carbon Exchange which we are planning ? Can you give us some color as to where we are in that and how do we see that shaping up in the next couple of years . Any qualitative and quantitative details you would like to throw ?

S. N. Goel: Yes in the interna tiona l carbon exchange ,we are still working on that because the transactions are basically mainly wi th the Indian sellers and international buyers . So these are going to be I mean dollar and rupee transactions and it is difficult to facilitate this kind of a transactions on exchange platform so we are now exploring the option with the Gift City to launch this exchange from the Gift City so that we can do dollar to dollar transaction . And we had a couple of interactions with the G ift City officials and they are also very supportive of this . Let us see if it materializes in the next couple of months .

Ankit Ka nodia: Okay so maybe in FY2025 we can expect some transactions here , some notable transaction ?

S. N. Goel: We are desperately working on that, and we intend to launch that as soon as possible .

Ankit Kanodia: Thank

you so much Sir and all the best.

Moderator : Thank you very much. The next question is from the line of Nikhil Abhyankar from ICICI Securities . Please go ahead.

Nikhil Abhyankar: Thank you. Thanks for the opportunity . Sir, in your initial remarks you mentioned about the fungibility of REC so can you please explain what exactly you mean by that ?

Indian Energy Exchange Limited

January 25 , 202 4

Page 11 of 17 S. N. Goel: Yes. Earlier in case of REC, the RP obliga tion was separate for the solar, separate for the wind, and separate for the hydro , all those things were separately specified . And as a result of that some states , I mean the inventory for the solar was higher, wind was lower so there were problems in that . But now after creating fungibility , all REC are in one category and there is a multiplier effect based on the technology . So now the obligated ent ities can buy that REC to meet the requirement . All the obligations are again combined together . So, I mean that has basically increased liquidity in the sell side and also made it simpler for the distribution companies to meet their obligation .

Nikhil Abhyankar: Understood and Sir would you be able to also mention what will be the industry wide like the system wide inventory level for REC as of say on December?

S. N. Goel: Pardon.

Nikhil Abhyankar: The system wide inventory level of REC?

S. N. Goel: Yes, inventory is very, very high in the market now. It is almost about more than 2.5 Crores REC are there in the market . See now there is a mechanism that even distribution companies if they have renewable power at their disposal which is more than their RPO obligation they also can get REC. So as a result of that there are distri bution companies like Karnataka, Telangan a, Andhra Pradesh , and Himachal Pradesh they also have REC and then the generators REC renewable generators . So the combined REC volume is quite significantly high.

Nikhil Abhyankar: Okay and the last question what were the long -term volumes in Q3 ?

Rohit Bajaj: So, in Q3 this volume is about 3 billion units. Now a days every month we are doing close to 1 billion unit trade in longer duration contract so total in nine months we have done close to 7 billion unit s which have picked up in the later months . But if I compare it with the last year, last year total in complete year itself we did about 2 billion unit s so there is a massive increase in LDC volume .

Nikhil Abhyankar: Okay Sir and should we expect that in Q4 ahead of the summer season , this volume can really spike because most of the DISCOMS would like to have requisition power for the summer season ?

Rohit Bajaj: Yes. So there is lot of interest now as you rightly said , because for the summer season there is a visibility that probably there is going to be deficit again . So many of these distribution companies they want to come to the market at this point in time and lock their procurement

Indian Energy Exchange Limited

January 25 , 202 4

Page 12 of 17 for the coming months . So we are working towards achieving even better number in months to come .

Nikhil Abhyankar: Okay sure Sir. T hank you and all the best .

Moderator : Thank you very much. The next question is from the line of Sumit Kishore from Axis Capital . Please go ahead.

Sumit Kishore: Thank you . My question is in relation to the flurry of firm dispatchable RE tenders that we have been seeing over the past few months . Basically as the electricity storage solutions evolve and t his becomes more and more prominent , what implications does it have for the volumes that come to the short -term market and particularly to the exchanges . And also if you could combine this answer with the opportunity that you see with the RE capacities that

would be set up for green hydrogen over the medium term . Again what could be the quantum of associated generation that if possible could come to e

xchanges ?

S. N. Goel: See first of all let me tell you the basic principle . The renewable energy generation capacities there are lot of variation in that . There is lot of volatility in that . Whereas demand is practically fixed . So buyer will have to have other sources of power also to meet the demand and it is seen that the countries where renewable generation capacity has increased , the exchange transactions have also increased because on the exchange platform you can do integration of different resources in a more efficient manner . Like for the storage capacities . The battery storage system or the pump storage system there the cost of generation is going to be higher, and exchange can provide that high price during the peak hours . So I am sure with higher renewable energy capacity and the storage systems , the exchange will be definitely a preferred option . Even the Government of India is talking about the storage capacities under the viability gap funding system and there also the mechanism being explored is that the sale of power is at least on the exchange platform during the peak hour so that the maximum realization of revenue can happen on that .

Sumit Kishore: Sure, and so basically if you look at the period FY22 to 1H FY 24 I mean the share of exchanges has not really increased in the total power consumption ? It has gone from 7.4% to 7.1% ? The overall short -term market has also stagnated at around 13.6 % to 14%? In the next four to five years based on how renewable penetration is going to increase , how do you see the share of short -term market going up ? What is going to drive that and how is the share of exchanges within the mix going to increase? Maybe a three year time frame ?

Indian Energy Exchange Limited

January 25 , 2024

Page 13 of 17 S. N. Goel: This is very difficult to say about what is going to happen in future , but I can tell you in the past if you look at the last five years our volumes have increased at a CAGR of I think more than 16 % to 17%. And I am sure with the high renewable this number will be further better .

Sumit Kishore: Sure, so you had mentioned that in European markets already you have renewable capacities which are coming to the market under the ...

S. N. Goel: Let me tell you one thing in case of the European markets. They have a market framework even at the retail level . So competitive framework at the retail level also, so I think their model is more competitive and exchange transactions are more in those countries . But the trend is that with the high renewable exchange transaction also improve . The share of exchanges increases significantly.

Sumit Kishore: So, are we seeing more renewable capacities being set up on a merchant basis now in the next couple of years ?

S. N. Goel: Not necessarily. We have seen States having high renewable at their disposal under the PPA. They sell more power during high renewable generation capacity period and there are distribution companies who buy that power . What is required is we need to have capacity addition in the sector .

Sumit Kishore: Yes, so for time of the day requirement of meeting power especially during evening peak hours exchanges could prove a very important tool to manage that situation ?

S. N. Goel: If you look at our real time market, the real time market volumes have increased to almost about 30 billion units now . And the share of real time market is increasing . It is mainly because of these things that with the renewable capacity addition taking place there are participants who are selling power on the exchange platform whenever the renewable is high and there are other participants who are in need of power, they buy it.

Sumit Kishore: Thank you so much for answering my questions.

Moderator : Thank you very much. The next question is from the line of Sagar Vijaybhai Shah from Shah & Co . Please go ahead.

Sagar Vi

Vijaybhai Shah: Thank you for the brief insight on the quarterly update on the results . So I was just going through the replies which the members have commented on the Staff report which the CERC has asked for . So I was going through IEX reply also in that the company has mentioned that this may be unconstitutional as well and this because the objective of giving

Indian Energy Exchange Limited

January 25 , 2024

Page 14 of 17 the license to IEX is also based on some sound principles , which if the market coupling is happening then it is violating and it may be unconstitutional . So if you can just throw the light on that ?

S. N. Goel: I think our suggestions to CERC are very detailed and they are self-explanatory . I will request you to go through them and you can I am sure get more clarity from the filing . I do not think ...those suggestions are I think in 30 pages, and I will be able to detail them out on

this call. Thank you.

Moderator : Thank you very much. The next question is from the line of Bharani Vijay Kumar from Avendus Spark . Please go ahead.

Bharani : Good evening Sir. This is Bharani from Avendus Spark . So my first question is on our GDAM and GT AM volumes like can you elaborate the reason why it is on a declining trend this year compared to last year ?

S. N. Goel: Yes, in the Green market , see we do not have significant merchant generation capacity in the green area. Mostly that green power sale was coming from distribution companies who have green power beyond RP obligation and more of it from Karnataka . This year Karnataka demand , there was a significant increase in the demand (in Karnataka) almost about 30% , mainly because of shortfall in rain in Karnataka during that time when wind generation happens . Earlier they were selling that power . This year their own consumption was high, so the sell was less on the exchange platform because of that . Otherwise , as far as the demand is concerned there is a huge demand for green power and the premium over the conventional power in the green market is also almost about 40 paisa to 50 paisa per unit .

Bharani : The second question is on the recent developments on open access and on the revoking or receiving of any license requirement of transmission for renewable projects or any new projects to be set up by the developer . So how are all these things having a positive impact on our open access volumes if any or will it have any positive impact in the future ?

S. N. Goel: All these things are basically for development of the market and development of green energy in the country . And as I told you anything which leads to capacity addition in the sector is going to be positive for the exchange also . So, these things will be positive but let us see about the implementation of this because these kind of things will take time for implementation and seeing the result of that . These are all futuristic issues .

Bharani : Okay got the point . Thank you so much and all the best.

Indian Energy Exchange Limited

January 25 , 2024

Page 15 of 17 Moderator : Thank you very much. The next question is from the line of Devesh Agarwal from IIFL Securities . Please go ahead.

Devesh Agarwal : Good evening everyone and thank you for the opportunity . My first question is on the long duration contract. So if you see one of the benefit of exchanges was lower prices compared to the bilateral market and that has been driving the move from bilateral to exchanges ? All your new contracts that you are seeing in the LDC can you give us a comparison in terms of prices that we are seeing in the LDC market versus the bilateral market ?

S. N. Goel: I can only tell you one thing that the practice which distribution companies are adopting is they do a tender on DEEP platform and also for that they have some time available to give their consent . During that time they run the auction on the exchange platform

also and

invariably they find lower rate on the exchange and they get into a contract from exchange platform . So on a case to case basis it is very difficult to give you a comparison for each because these are different tenders coming out at different places , but definitely exchange prices are lower .

Devesh Agarwal : But can you say that 10 % to 20% could be the difference or even that will be difficult to, see?

S. N. Goel: 10% to 20% is a very, very large number what you are talking about. This is normally you can say about 20 paisa to 25 paisa per unit .

Devesh Agarwal : 20 paisa to 25 paisa per unit

S. N. Goel: Yes, maybe which is about 3 % to 4%. See a generator is giving a competitive rate on the exchange platform because he is getting payment on daily basis, so his working capital requirement is less, and he is basically saving cost there in that . And then he is assured of payment , so that is why a generator is offering competitive price on the exchange platform .

Devesh Agarwal : Right and Sir you did mention about the incremental supplies coming from the imported fuel projects but if we just want to understand better over the next two quarters when we will see the peak demand , what is your sense in terms of how much incremental supplies can come from which segment which can help us meet the demand and drive the exchange volumes based on your past experience ?

S. N. Goel: See number one , last year also Government of India has given direction for the imported coal based power plant to run . But last year the coal prices were itself very high . The variable cost was something around during this time of the year March to April, I think it

Indian Energy Exchange Limited

January 25 , 2024

Page 16 of 17 was about Rs.8 to Rs. 9 per unit , but now the coal prices have come down so variable cost is only about Rs.4 to Rs. 4.5 per unit . So I am expecting the imported coal based power plants to run at the full capacity , which is something about 10 ,000 to 12,000 megawatt , that

capacity is going to be available and another thing is the gas based power plants . Gas rates also have come down. I was seeing today , the West India Marker (WIM) is about \$9 . the futures of the LNG are being traded for the month of March at \$7 to \$8. So if it comes down to \$7 , the variable cost with LNG will be only about Rs.6. So today we have 25,000 megawatt of gas based capacity. Out of that almost about 12,000 megawatt is on burn, so that can start generating power . So there is lot of capacity 12,000 megawatt of gas, 10,000 megawatt of imported coal and also the new generation capacities are under construction and commissioning . So we are expecting by March even almost about another 4 ,000 megawatt to 5,000 megawatt capacity will get added so taken together this summer things should be comfortable .

Devesh Agarwal : Understood . And Sir on REC we have been seeing that the prices have corrected significantly versus what they were earlier . Does this pose any risk to our exchange tariffs?

S. N. Goel: Yes, exchange volumes have significantly increased in the month of December. I think Q3 our volume was 65% with respect to Q3 of last year .

Devesh Agarwal : No Sir in terms of tariff I am asking . The tariff that we charge at Rs.40 per certificate given that the prices have come off significantly is there any risk to that Rs.40 or no risk to that Rs.40 ?

S. N. Goel: Let me tell you one thing , we were charging the same tariff when the REC rate for the solar was 2,500 also . So the exchange fee is same . It is not price sensitive because if it is kept price sensitive then we will always like to have higher price which is not in the interest of consumers . That is a fixed fee.

Devesh Agarwal : Right Sir perfect. Thank you so much.

Moderator : Thank you very much. As there are no further questions, I would now like to hand the conference over to management for closing comments .

S. N. Goel: Thank you friends . I would like to thank each one of you for being part of today's call .

Throughout the quarter we witnessed a number of efforts announced by the government and regulators , aimed at establishing a favorable policy and regulatory climate to develop the energy sector . We remain committed to contributing to the development of a sustainable and efficient energy future. Have a wonderful evening. Thank you very much.

Indian Energy Exchange Limited

January 25 , 2024

Page 17 of 17 Moderator : On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

Indian Energy Exchange Limited

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The Manager The Manager

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on May 16, 2024.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on May 16, 2024 to discuss the financial results of the Company for the quarter ended March 31, 2024.

The above information will also be made available on the website of the Company: www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS -16264

Encl: as above

Page 1 of 18

"Indian Energy Exchange Limited
Q4 FY '24 Results Conference Call"
May 16, 2024

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR –INDIAN ENERGY EXCHANGE
LIMITED

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER
AND COMPANY SECRETARY –INDIAN ENERGY
EXCHANGE LIMITED

MR. ROHIT BAJAJ – EXECUTIVE DIRECTOR , NON-
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MR. AMIT KUMAR – EXECUTIVE DIRECTOR , NON-BOARD , BUSINESS OPERATIONS AND TECHNOLOGY – INDIAN ENERGY EXCHANGE LIMITED
MS. APARNA GARG – HEAD OF INVESTOR RELATIONS AND COMMUNICATIONS –INDIAN ENERGY EXCHANGE LIMITED

MODERATOR : MR. SUMIT KISHORE – AXIS CAPITAL

Indian Energy Exchange Limited
May 16, 2024

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to Indian Energy Exchange Q4 and FY '24 Results Conference Call, hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumit Kishore from Axis Capital Limited. Thank you, and over to you, sir.

Sumit Kishore: Thank you, Manav. Good afternoon to all of you. On behalf of Axis Capital, I am pleased to welcome you all for the IEX Q4 '24 Earnings Conference Call. We have with us the management team of IEX represented by Mr. Satyanarayan Goel, Chairman and Managing Director; Mr. Vineet Harlalka, Chief Financial Officer; Mr. Rohit Bajaj, Executive Director Non-Board Business Development Strategy and Regulatory Affairs; and Ms. Aparna Garg Head, Investor Relations and Corporate Communications.

We'll begin with the opening remarks from Mr. Goel, followed by an interactive Q&A session.

Over to you, sir.

Satyanarayan Goel: Thank you, Sumit. Good evening, friends. I welcome you all to the IEX earnings call for quarter 4 of FY '24. With me today on this call are Mr. Rohit Bajaj, our Executive Director of Business Development and Strategy; Mr. Vineet Harlalka, our CFO and Company Secretary; Mr. Amit Kumar, Executive Director, Business Operations and Technology; Ms. Aparna Garg Head of Investor Relations and Communications; and Mr. Aditya Wali.

Friends, the Indian economy continues to be the world's fastest growing major economy with a robust quarter 3 GDP growth of 8.4% on a year-on-year basis. According to the World Bank's revised estimate, India is projected to grow at 7.5% in FY '24, driven by healthy service activity and industrial growth.

This estimate is definitely much higher than the 6.3% growth projected earlier. India's manufacturing PMI in quarter 4 FY '24 came in at 57.5 led by the March PMI of 59.1 which was the highest monthly average since 2008.

Manufacturing has remained expansionary on the back of increased private consumption and capital expenditure fueling new orders. Service activity also continued to expand. Services PMI for quarter 4 FY '24 printed at 61.2 was led by the January '24 PMI of 61.8. At 61.2, the PMI for March '24 was the strongest for the month for over 13 years.

The Services Index itself has remained above 50 for nearly 36 months at a stretch, the largest such stretch since 2011. On the power sector front, electricity consumption in quarter 4 FY '24 was nearly 400 billion units, an increase of 7% on year-on-year basis. States such as Uttar Pradesh, Maharashtra, Gujarat, Madhya Pradesh, Karnataka and Tamil Nadu remain drivers on the surge of demand in this quarter.

Indian Energy Exchange Limited
May 16, 2024

Page 3 of 18

For the fiscal year 2024, according to the CEA, India's electricity consumption increased by 7.7% on a year-on-year basis to almost about 1,620 billion units. In preparation for the summer months, Ministry of Power recently announced steps to meet the expected surge in power demand in the country. Some of these measures include sale of unrequisioned power, should happen on the power exchange platform. In fact, Ministry of Power has issued amended rules also to this effect. Planned maintenance of power plants to be shifted to monsoon season. Capacity addition in coal, hydro, nuclear, solar and wind to be monitored and to expedite their commissioning. Section 11 directives issued for optimization of gas-based power capacity during the month of at least May and June. Extension of Section 11 directives to imported co

al -

based power plants till 15th of October 2024 to enable supply from this imported coal -based power plant in the system.

The MoP has been working on thermal capacity addition. 27 gigawatt of capacity is under construction, out of this, it is expected that 20 gigawatts will be commissioned within this financial year and about 50 gigawatt of more thermal capacity will be added in the next 4, 5 years to meet India's growing electricity demand.

Additionally, 150 gigawatt of green energy is pending and under implementation. This is over and above the 50 gigawatt of RE capacity that the government plans to add every year to achieve 500 gigawatt RE capacity addition by 2030.

Further, the CEA has finalized a plan for thermal plants to bring their technical minimum operation to 40%, which is currently 55%. This move will help in adding more RE capacity and efficient integration with the grid.

To enable renewable power integration with the grid, MoP recently finalized viability gap funding mechanism to develop battery energy storage system (BESS). And to begin with BESS capacity of 4,000 megawatt hour will be developed on this proposed model in RE rich states. Under this proposed model, BESS would be able to store surplus power during daytime and deliver electricity during hours of peak demand and also for ancillary service. One of the options considered for charging and discharging of BESS is through power exchange. This is expected to increase liquidity on the exchange platform.

Additionally, the government is also pushing the green hydrogen mission with 125 gigawatt of green energy requirement for green hydrogen. I mean, almost about 5 million ton of green hydrogen will require 125 gigawatt of green energy by 2030.

On the fuel side, we are now witnessing a scenario where there is no shortage. India's coal production increased 10% on a year-on-year basis in quarter 4 of FY '24. And on a full year basis, coal production increased by 11.7%. And today, we have a good amount of inventory available at the power stations.

Premium on coal also in the e-auction market has considerably declined. The coal premium under the Shakti B8 scheme has come down to almost about 20%. Coal inventory for power plant as on 31st March stood at nearly 20 days, the highest since 2021. For FY '24, imported coal price for 4,200 GJ coal came down to almost about 55 dollars per ton, which is Indian Energy Exchange Limited

May 16, 2024

Page 4 of 18

a decline of 24% on year-on-year basis. Imported gas price reduced by almost 40% on year-on-year basis, and is today around \$10 per MMBtu. And with this, the variable cost will be about INR8 to INR9.

Overall, fuel crisis witnessed in FY '23 has now subsided. On the exchange, the improved supply side scenario has resulted in increased sell liquidity since November. The average market clearing price in the DAM segment during quarter 4 FY '24 period was INR4.80 per unit compared to INR5.83 in quarter 4 of FY '23, a decline of almost about 18%.

During FY '24, sell liquidity on the exchange platform increased by 17% on a year-on-year basis, which led to a decline in the DAM clearing price from INR5.94 to INR5.24 a decline of almost 12%.

Regulatory and Policy Initiatives

Let us now talk about the noteworthy regulatory updates and policy initiatives that continue to be conducive for the power market development.

In quarter 4, Ministry of Power amended the rules which mandate generators having PPA to offer URS power in the market. These rules also provide for penalty in terms of reduced fixed charges to gencos if they fail to offer URS power in the market. This will improve sell-side liquidity in the market. Already, we have seen almost about 50, 60 MUs of URS power being offered on the exchange on everyday basis.

The Ministry of Power amended the electricity rules paving way for rationalization of billing charges

and additional surcharge for green open access consumers.

The most important regulatory development of FY '24 were implementation of Indian electricity Grid Code, Sharing of Interstate Transmission Charges, and implementation of GNA.

And since the implementation of GNA regulations in October 2023, volume in Day-Ahead Contingency market has declined and while volume in the Day-Ahead market has increased. Volume in DAC market in second half of FY '24 was only 690 million units in comparison to nearly 4.2 billion units in the first half of FY '24, a decline of 84%.

The Ministry of Coal amended the Shakti policy in November to allow power plants, including private generators without PPA to sell power in all market segments of power exchanges. This fiscal, the CEA also amended the procedure for cross-border trade in electricity allowing for trade through real-time markets operated by power exchanges. This has been operational

since quarter 3 of FY '24 leading to increased cross -border volume and in FY '24 we traded almost 4 billion units of volume in cross -border transactions, an increase of 52% on a year -on-year basis.

REC trading on power exchange has been increased to twice in a month for the different type of RECs . There is a fungibility and consequently liquidity has increased in the REC market.

Indian Energy Exchange Limited

May 16, 2024

Page 5 of 18

Also because of the removal of REC -base price , REC prices have now come down . At nearly 32.5 lakh certificates , REC volume in quarter 4 of FY '24 was twice that of same quarter last year and at 75 lakh certificates in the whole year , the volume was higher by almost 27% with respect to FY '23.

Since the new REC regulations , prices have continuously become more competitive and were traded at the lowest ever price of INR185 against INR 1,000 in April '23. This will incentivize obligated entities to buy RECs to meet their renewable purchase obligations. Many distribution companies and industries having captive generation , are purchasing RECs now to meet their obligations , because the prices are at all time low now.

All these regulatory measures improved sell -side liquidity on the exchange and helped soften power prices. As prices continue to remain competitive due to regulatory and policy measures, it is expected to present an opportunity for discoms and commercial & industrial users to optimize their power procurement costs.

With regard to our core business. In FY '24, we launched the ancillary market , high price term ahead market and also are currently awaiting approval from CERC on our petition to extend the term ahead market from 90 days to 11 months. The trader market which is presently about 40 billion units is the total addressable market for these contracts. Already , long-duration contracts in FY '24 on the exchange platform recorded 10 billion units which is much higher than 1.6 billion which we did in FY '23.

Friends , the overall short -term volume in India is increasing. According to data from CERC up till February 24, the short -term market has grown to almost about 15% of the country's generation , up from 13% in FY '23. And within the short -term market , exchanges have grown to 8% of overall generation from 7% in FY '23.

This is an encouraging trend and points towards the deepening of power market. However, there is still a need to increase the share of exchanges in the country. At 8% we are still a distant number compared with European countries which trade more than 50% of the generation through the power exchange.

In terms of business performance, IEX achieved 30.1 billion units of electricity volume across all segments during quarter 4 of FY '24 , recording a growth of 15.7% on year -on-year basis. For FY '24, IEX traded 110 billion units , a growth of 13.8% over FY '23. Electricity volume at nearly 102 billion units crossed 100 billion unit mark

for the first time since inception and were higher by 12% on a year -on-year basis.

A total of nearly 84 lakh certificates including REC and ESCerts were traded in this year which was almost 37% higher. Recently, in the month of April we achieved 9 BU overall volume marking 14.1% year -on-year increase. With the measures undertaken by the government and regulators the sell bids on the exchanges in the Day Ahead and RTM market during this month have increased by almost about 21% on a year -on-year basis.

Due to wide variation in demand and supply of gas, IGX traded volume for FY '24 was 40.8 million MMBtu. The profit after tax for IGX for FY '24 is INR23 crores , about 18% lower with

Indian Energy Exchange Limited

May 16, 2024

Page 6 of 18

respect to FY '23. As gas prices continued their downward trend , volume at IGX is expected to increase in the coming year.

Let me now summarize the financial performance of the company in this quarter. On a consolidated basis revenue for quarter 4 FY '24 was higher by 15% at INR 149.3 crores on a year-on-year basis. For FY '24 consolidated revenue stood at INR 550.8 crores , an increase of 16% year -on-year basis. Consolidated PAT during the quarter came to INR 96.7 crores higher by 9.5% on a year -on-year basis from INR 88.3 crores in the quarter 4 of FY '23.

For FY '24, our consolidated PAT recorded INR 350.8 crores , higher by 15% over the previous financial year. Also, the Board of Directors of the company announced a final dividend of INR1.5 equivalent to 150% of the face value of equity share.

Friends , for the financial year 2025, Indian power sector demand is expected to grow . In the first

45 days of this year, that demand has grown by almost 12%. And during this year it is expected to grow by almost about 8%. And to meet this demand, many initiatives are being taken by the government. India expects domestic coal output to grow by almost about 11% to 1,100 billion tons and this is going to be driven by mainly increased production by the coal companies and also by the private coal mines.

While this year, IMD warned of heat wave spells which we are already experiencing. However, we are expecting above average monsoon rainfall in 2024 as well, estimated at almost about 106% of the long-term average, which will lead to substantial increase in hydro power availability.

Further, around 20 gigawatt of thermal capacity addition is expected during the year, which will increase thermal generation by almost about 10%. A combination of measures undertaken by the government and regulator to ease the supply crunch, increase fuel supply, and increase in hydro and thermal generation are expected to further rationalize power prices on the exchange. We concluded this year with an almost 15% year-on-year growth in volume. We are very optimistic for what lies ahead and with that we will be able to increase this growth further in the coming years.

The power sector is undergoing rapid visible shift. We are witnessing many technological, regulatory and government initiatives for the power sector aimed at providing adequate power to sustain India's economic growth, and help the country continue on the path of energy transition.

As India marches towards achieving its net zero targets, there is bound to be a much larger role for the power exchanges in the country's energy landscape. Thank you very much. And now we can have question-and-answers.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Abhi Jain from AJ Associates.

Indian Energy Exchange Limited

May 16, 2024

Page 7 of 18

Abhi Jain: Sir, I just wanted to ask one thing that the management in the presentation depicts the total installed capacity by various sources - renewable energy, coal, etc and there the current installed capacity of renewable power is 4

3% which is estimated to go up to almost 60% by 2030 as per the CEA estimate.

But if you look at the recent release of the Ministry of Power, the press release which has recently released, they have guided the increase in thermal capacity addition from almost 27 gigawatts which the CEA was projecting by FY '30 to almost 93 gigawatts by FY2032. And also there lies the challenge or a problem like despite renewable energy having an installed capacity of almost 43% of the total capacity, the contribution in power consumption of renewable is still at 26%.

So my question is that if this delta between installed capacity and the contribution to total power consumption still remains in the next 7 years, 8 years, and despite renewable installed capacity going up to the 55%, 60% odd, but the contribution to the power generation being at a suboptimal level of 30%, 35% odd in the conservative scenario, will there be any business implication for IEX?

I mean do you see any financial impact or otherwise on your business if the power generation by renewable is not able to match up to the installed capacity going forward?

Satyanarayan Goel: Renewable capacity addition is not commensurate with the generation from that. The output from renewable is almost about 23%, 24%, whereas in case of thermal, the utilization level is almost about 70%, so thermal generation is much higher. But if you look at the overall planning by 2030 based on the projected demand growth, whatever is the energy requirement, the present capacity plus the capacity which is under construction which is 27 gigawatts, which will be commissioned within 1 or 2 years, plus almost about 60 to 70 gigawatts of additional coal based capacity which is planned which will come in the next 4 years, 5 years, 6 years and plus the renewable capacity, all these things taken together will be able to meet the energy demand of the country. And as long as that happens, we don't see any challenge.

And in fact, with the large capacity addition happening in the renewable sector, where there is large volatility, we have seen exchanges have a larger role to play and along with renewable now government is also working on the energy storage system. Many pump storage plants are under construction, many battery storage systems are also going to come up now to meet the peak demand and most of these systems are going to be through the exchanges. So we, in fact, see a large opportunity for the exchange in this emerging scenario.

Abhi Jain: So just to follow up, so in case of renewables despite having a higher installed base according to the Ministry of Power, even if the contribution to the overall energy generation is say sub-40-ish level still, and the rest is still contributed by coal, apart from any financial impact, apart from

sustainability impact, on business per se you are seeing no financial impact of that, right?

Satyanarayan Goel: No, no. We don't see. We are not seeing any adverse impact. In fact, we are expecting a positive impact of that because the share of renewables will increase, and that should be positive for the market.

Indian Energy Exchange Limited

May 16, 2024

Page 8 of 18

Abhi Jain: Okay. Sir, my second question was that if you look at the share of short-term market. And if you look at short-term markets overall share in your power consumption. Now short-term market share in power consumption has gone up from 11.6% to almost 15% in the last 3 financial years as per your presentation.

But if you look at our, the exchanges' share in the short-term market, it has sort of plateaued with a 52% to 53%-odd-percent. It was 6.4% out of 11% in FY '21. And this year, it is about 8% out of 15%. So it has plateaued at about 53%, 54%-odd percent.

So, I wanted to understand, going forward, given that now the exchanges are the dominant share in the short-term market of 55%-odd-percent,

will the volume growth happen just by short-term

market increase in the overall consumption? Or do you still think that there is still a multiplier left in which the exchanges can further increase their market share in the short-term market from 55% to 70%-odd percent or 75%-odd percent. So if you can share your thoughts on that?

Satyanarayan Goel: Yes, definitely. Exchange volume will increase with the increase in the short-term market share, that is one driver. And second is, within the short-term market exchange share, if you see, it has been increasing.

I mean about 5 years back, the exchange share was only about 30%, 35%, now it has become 55%. There's long duration contracts on the exchange platform. They were introduced 1.5 years back and the volumes have started increasing in these long-duration contracts. So, the bilateral market volume now has started shifting to the exchange platform. You will gradually see exchange share in the short term also increasing.

I mean these kind of increases cannot happen overnight. But over the years, you will see that exchange volumes and exchange share in the short-term market will increase. And overall, as a percentage of generation, the exchange volumes have been definitely increasing. I remember in 2017-18, it was only about 3% and today it is about 8% of the total generation. There is a significant increase.

Abhi Jain: Sorry, just a follow-up. So, is there any possible target that you have. Or any time line that you have set in the next 3 to 5 years, what sort of share or are you tracking any parameter in terms of what sort of share of the exchanges do you see in the overall market from 8%? What are you projecting it to be at because that would help us understand if there is a multiplier effect.

Satyanarayan Goel: See, Government of India, in fact, has been working on this. And in the draft National Electricity Plan, they have projected a number of 25% for the spot market, of the total generation by 2030. So this 15% should increase to almost about 25% in the next 5 years' time. And exchange share out of this, even if you take on a conservative basis about 65%, 70%, it should be about, you can say, 16%, 17% of the total generation by 2030.

Moderator: We have our next question from the line of Sumit Kishore from Axis Capital. Go Ahead.

Sumit Kishore: My first question is regarding any update that you have on how the shadow coupling direction from CERC has played out so far? And any developments incrementally on proposal to implement market coupling?

Indian Energy Exchange Limited

May 16, 2024

Page 9 of 18

Satyanarayan Goel: Yeah. I mean, I would like to first clarify one thing about that order of CERC dated 6th of February. In that order, CERC has made one thing very clear that they did simulation studies for 3 months for January, February, March data of '23, and based on those simulation studies, they have found that there is practically no merit in doing coupling of plain vanilla DAM market or RTM market. Because one of the leading exchanges has large market share, so coupling of 3 exchanges does not yield any benefits.

So one part of that issue is addressed in that order itself, that there is no advantage. Now they have slightly gone ahead with another alternative that let's explore if there is any advantage of coupling RTM market with the SCED market. SCED is Security Constrained Economic Dispatch which is operated by Grid India.

So I mean, since they thought that this is another option which can be explored, they have issued an order and directed NLDC to develop the software and do simulation studies for 4 months.

The software was to be developed in 2 months' time. I think already 3 and a half months

have passed. And to the best of our knowledge, it is still work in progress. So thereafter, they will start taking data from the exchange, and they will have to have some p

rocess for the

simulation study every day, put the data on the website so that the market participants can analyze that.

So I think that process has not yet begun. Development of software takes a lot of time. It has to be developed, it has to be tested and then the simulation has to start. And then after the simulation, depending on whether there is any benefit in that kind of coupling or not, C ERC will take its view, whether that should be done or not.

Benefit is one part of it. The road map to implement is the second part of the problem. Because, the complications involved in that itself are many. See, one is, that you know SCED which is being implemented by NLDC, this is done among power generators who have power purchase agreements between them.

All those generators are getting coal from the allocation route at the administered price. Their fixed charges are already assured by the beneficiaries. RTM market is the market where the generators, merchant generators participate. They don't have any PPA, they don't get any fixed charge. They have to recover everything from the market, and they buy coal from the daily e-auction.

So can you really couple these 2 different sets of generators? This is a much bigger issue, which needs to be debated. So I'm sure all these questions will come subsequently. So this is just a simulation. This is a theoretical exercise, which is being done. And once the results are out of the simulation study, then all these issues also will have to be addressed. And financial settlement, that is another big challenge. Today, exchanges are doing the financial settlement of their buyer and seller. Tomorrow, it will be all 3 exchanges and all these buyers and sellers under the PPA. You can imagine how complex that financial settlement is going to be. So I think there are many more issues which will have to be addressed. And then what is the advantage out of that. So, I think that as of now, I don't see in the near future, anything happening. But it will

Indian Energy Exchange Limited

May 16, 2024

Page 10 of 18

depend on the first activity, simulation. So let the simulation start and let us see what the results are.

Sumit Kishore: This is very clear. The second question is, could you give us a sense of how in FY '24, your market share has panned out in segments other than Day -Ahead Market and the RTM market, also including REC segment as well? And what was the LDC volume in FY '24 for the market and the market share that IEX had?

Satyanarayan Goel: So I'll request Mr. Rohit Bajaj to respond to this question.

Rohit Bajaj: Yes. So Day -Ahead and RTM as you are aware, it is 99.9% market share. Then there are other segments, which includes Term -Ahead Market and DAC. So in Term -Ahead Market, our market share was about 55% and in DAC market, it is close to 50%.

So overall, if I leave aside DAM and RTM on other electricity segment, it is above 50%, which is around 55%, put together for DAC and Term -Ahead Market. And for certificate market, this is close to 70%. And overall, if I talk about comprehensive market share, it is 84% for electricity and 83% overall, which includes certificates.

Sumit Kishore: And for LDC, what were the volumes in your market share?

Rohit Bajaj: LDC, we did 10 billion units for complete year.

Sumit Kishore: And what was the total volume for the market in case?

Rohit Bajaj: I think it was almost about 20 billion units.

Sumit Kishore: Okay. So roughly half. It has become quite big in the first full year. The next question is, if you look at the volume growth in Q4 versus the revenue growth that IEX has reported, there is a divergence. So concessions are being given in transaction fee, admission fee and annual fee. Can you give some color around this? And is this likely to intensify?

Satyanarayan Goel: No. I mean in the electricity market, in the term -ahead market, some incentives have been given

as per industry practice and similarly it's the case in case of REC market also. That is why the

revenue is slightly lower in respect to the volume. And the practice is continuing. So not that in this quarter, it has increased.

Sumit Kishore: Okay. Last question is IGX, even though gas prices have come off, but volumes have not really gone up on IGX in FY '24 relative to FY '23. Is there any specific reason?

Satyanarayan Goel: In FY '24, gas volumes were almost about 20% lower with respect to FY '23. Number one, the gas prices have come down in the last 2, 3 months. Earlier, though the gas price came down from USD 25 to USD 15, but it was still high. And domestic gas production has increased. And most of the domestic gas is sold through the auction routes, significant quantity of that doesn't

come on the exchange platform .

So because of that, our volume share was slightly down. But this year in the month of April, the volumes are picking up now. And we are seeing that gas price has further come down to almost
Indian Energy Exchange Limited
May 16, 2024

Page 11 of 18

about USD 9 to USD 10. So, if this trend continues, gas will be affordable for the power sector also. And if that starts happening, I'm sure exchange will be able to get better volume.

Moderator: We have our next question from the line of Senthil Kumar from Joindre Capital .

Senthil Kumar: Sir, this year, I could see that there is a strong jump in trade receivables, INR86 crores against the INR7 crores last year. What is the reason for that, sir?

Satyanarayan Goel: Mr. Vineet, our CFO, will respond to this question.

Vineet Harlalka : 29th March was a Good Friday and 30th , 31st March banking operations were not there. So , all the credit was settled on the next working day, mainly because of banking holiday.

Satyanarayan Goel: Is that clear? Is that okay?

Senthil Kumar: Yes, sir. That's it from me.

Moderator: We have our next question from the line of Devesh Agarwal from IIFL Securities.

Devesh Agarwal: Sir, my first question is , I wanted to understand what is the expected volume growth that you are looking for FY '25, FY '26 . You did mention that for the market, you expect an 8% growth.

So we continue to see a much faster growth for IEX in the next 2 years?

Satyanarayan Goel: Yes. I mean, '24, '25 we definitely expect better than what we did last year on the volume growth, volume side also and the profit side also. It is very difficult to give a number. But I mean, if the demand in the country increases by 8%, we should be able to grow more than 15%.

Devesh Agarwal: Sir, the reason I asked at least for FY '25, we still have the tailwind of GNA implementation being done only in October last year. So the full year benefit should accrue in FY '25, but generally, what has been driving the market share has been the shift from long term to short term. And that was largely on account of lower power prices that we used to see before FY '22 when the power prices used to be under INR3.5.

But now on a consistent basis over the last 2 years, you have seen that the power prices are hovering around INR5. So I would assume that a replacement of power would not be taken now. And that was the reason I was trying to understand, can the volume grow at 15% despite industry volume growing at 7%, 8%?

Satyanarayan Goel: Yes. Replacement is, of course, not to the extent what was happening earlier. But still, there are opportunities during the daytime . Our rate is almost about INR3, INR3.25 paisa for 7, 8 hours.

So during that time, replacement opportunity is there. And there are few months in a year where the night hour rates are also lower. But overall, the demand is growing and what we are seeing is that our volume growth is driven by the demand. And that is why I said if the demand increases by 7% to 8%, we expect volume growth of more than 15% on the exchange platform

.
Because when the demand increases, demand growth increases in the country uniformly. So , we find that the demand increase in few states is to the order of 15%, 16% and those states are big buyers and then there is a surplus capacity available in other part of the country and distribution
Indian Energy Exchange Limited
May 16, 2024

Page 12 of 18

companies these days , you know since our rates are quite lucrative INR5, INR5.15 paisa INR5.25 , they are able to make some additional gain by selling the power.

So earlier, they were scheduling less from the generator. Now they schedule full quantum and sell the power on the exchange platform. The sale by distribution companies also is almost about 50% of the exchange volumes . So, basically this difference in the demand and supply prevailing in different parts of the country is also a big driver of the volume growth.

Devesh Agarwal: Understood, sir. And sir, if you see the trend for the month of April and May, we see that the RTM market is seeing good growth in volumes, especially in the month of May. But on the same hand, we are seeing DAM is seeing some kind of a decline. So is it that RTM is gaining because of the URS that you were mentioning . All the additional power of the long -term PPA coming in the real -time market that is driving growth. But in the DAM market, is it the case because of the election , entities have signed short -term PPAs and that's the reason that had some impact on the DAM volume for this quarter?

Satyanarayan Goel: You are right . For the month of April and May, particularly, many bilateral transactions have happened . States wanted to ensure availability of power because of elections. And most of the generation capacity has been tied up in the bilateral contracts.

That is why the DAM volumes are lower. And in the RTM market, most of the URS power is

coming . States also, on the real -time basis, whatever surplus is there they are selling power. Demand is there, in any case in the DAM also, in the R TM also . RTM since the sell volume s have increased , the clearance has increased .

Devesh Agarwal: Right, sir. And sir, if you can clarify this short -term bilateral markets contracts that are now being signed, are they signed up to May or is it June, July also being signed ? any sense that you share?

Satyanarayan Goel: Most of them have been signed for these 2 months.

Devesh Agarwal: Okay. And finally, sir, on the certificates, what is your expected demand? And are we seeing some volume coming even on the energy certificate side?

Satyanarayan Goel: Energy Savings Certificates ?

Devesh Agarwal: Yes.

Satyanarayan Goel: EScerts as per the data available with us, the opportunity is not very significant. But today, all the transactions are happening on the IEX platform only. So Amit, any number on the EScert market ? Not a significant number, but REC side, we are very bullish because there is a significant volume available on the sell side.

Prices have come down to almost about 180, 190. And now many industries are looking towards meeting their RPO obligations and buy ing REC and even State distribution companies also. So , what I understand that MNRE is also looking at this to ensure that there is a compliance by the States and the industr ies having captive generation .

Indian Energy Exchang e Limited

May 16, 202 4

Page 13 of 18

Devesh Agarwal: Understood , thank you so much .

Moderator: Thank you. We have our next question from the line of Mohit Kumar from ICICI Securities.

Please go ahead.

Mohit Kumar: Thanks for the opportunity. My first question is on, Sir, can you please speak about the carbon credit market, which we're trying to launch? What is the status? When do you see it up and running?

Satyanarayan Goel: Yes. Carbon market, we wanted to start this market, but there are some uncertainties in this market at the moment. One is that, there is a man

datory market, which BEE is working on, and we thought of launching the voluntary market. But subsequently, we und erstand that even the offset market , they intend to run the offset market also.

So if that is the case, then there may not be significant volume in the voluntary carbon market because the offset market is a voluntary market. So I think there is no clarity at the moment . Which are the different industries which will be in the offset market, what is the scope for the voluntary market.

We are working with BEE also. And maybe in due course of time, if there is a clarity and we see there is still a good opportunity in the voluntary market, we will go ahead with that. But I think we will need another 5, 6 months' time for that clarity to co me.

Mohit Kumar: Understood, sir. My second question is, you spoke about a number of new products in earlier calls. Do you think any new products can be introduced in the next 12 months, especially in the electricity market?

Satyanarayan Goel: Yeah , 11 months contract is something which we have filed with C ERC. So we are today providing long -duration contracts up to 90 days. We have filed for delivery up to 11 months also and we are expecting C ERC order very shortly because all hearings are complete. So once that happens, I think this is another good product and that will enable shifting of volume from bilateral market , from the DEEP platform to exchange platform.

Mohit Kumar: My last question is on the staff paper , which C ERC published recently on rationalisation of bidding. What kind of impact do we see on the market because of this staff paper ?

Satyanarayan Goel: See, we don't see any impact of that. In fact, if you analyze the price quoted by the generators, on the exchange platform , it is based on the marginal cost basis only. It is the because of the high demand, that prices are discovered in the range of INR9, INR10. And during day time when the supply is high, the prices are just about INR3, INR3.15. So during that time, generators are quoting based on the marginal cost. And we did this analysis for the past data, and we find that generators normally are quoting within the range, wh ich has been given by C ERC. So that was a practice and that will continue to be the practice in future also. We don't see any impact of that. And in fact, see, in the discussion paper, this construct has been advocated for DAM and RTM market, but we feel that this concept is equally applicable for other segments of the market also.

Indian Energy Exchang e Limited

May 16, 202 4

Page 14 of 18

And if it is extended to other segments of the market where the price today is very high in comparison to the DAM market. If it is extended there, then definitely, the volume will shift to the DAM market.

Mohit Kumar: Yes, sir. One more question, if I may ask, is that the open access market has been declining for us for a long time. Is there something which we can do to convince the stakeholders so that it could be slightly high. We think this market could see a growth in the future?

Satyanarayan Goel: See, open access market has reduced because of the increase in price i.e. increase in clearing price. So along with the cross subsidy and open access charges, the landed cost is becoming higher. And we are definitely working with the State regulatory commissions to cut down the cost of subsidies, surcharges so that industries can purchase power on competitive price. That activity our business development group is continuously working.

But today, there is enough demand coming from distribution companies itself. So I don't think that has an impact on the volume growth. Earlier, the volume growth was driven by the open-access consumers also. Today, the demand from distribution company itself is quite high.

Moderator: We have our next question from the line of Nikhil Nigania from Bernstein.

Nikhil Nigania: I just had on

a question. So as was being discussed earlier, the prices for REC certificates have fallen from 1,000 a year back to 180 now in a way, from 1 rupee to 18 paise now. So what impact does it have on the transaction charges? If you give us some sense on the transaction charges we are receiving for this 18 paise buyer and seller combined?

Satyanarayan Goel: Nikhil, our transaction fees on electricity was 2 paise per unit on either side when the rate is 2 rupees or 20 rupees. Earlier the cap was 20 rupees, even when the price was 20 rupees, we used to charge the same thing. On REC side also, when the REC rates were INR3,500 at that time also we were charging only this fees. So this fees is per certificate. So as of now, let's see if that price continues in the range of 170, 180, 190 for a long time, we will review that. But otherwise, I don't think it needs any correction for this short-term issue.

Nikhil Nigania: Understood, sir. So it continues to be in the same range as it was earlier?

Satyanarayan Goel: Yeah. As of now, yes.

Moderator: We have our next question from the line of Santosh, a shareholder.

Santosh: Thank you for a good set of numbers last quarter. I have one question regarding how do you see in the medium term to long term breakup of revenue between IEX, IGX and ICX, if you can kind of give some color around that, that will clearly help us?

Satyanarayan Goel: Very difficult question. See, I can only tell you that the IEX volume will continue to increase because demand of the country, the power consumption in the country is increasing at a rate of 7%, 8%. We also expect to grow with almost about 15%, 20% kind of numbers. That is our expectation.

Indian Energy Exchange Limited

May 16, 2024

Page 15 of 18

And we feel that, yes, the policy, regulatory environment is also very conducive for development of market and we will definitely get benefit of that. With high renewables happening, that is also good for the market.

As far as gas exchange is concerned, again, in the gas market, the vision of the government of India is to increase gas consumption that is a cleaner fuel. And today, our gas consumption in the country is almost about 6% of the total energy basket. They want to make it 15% by 2030. A lot many LNG terminals are coming now on the Western, Eastern, Southern coast.

Today, LNG terminal capacity is 45 million tons. It is going to be expanded to 75 million tons in the next two years' time. Pipeline network, a lot of investment is being done in the pipeline network. Southern and Eastern part of the country and North Eastern part of the country is getting connected now. So we are going to have a strong gas grid in the country.

And I'm sure a lot of investment is being done in setting up the terminals and the pipeline. And that is with the view that, yes, gas consumption in the country has to go up, it is going to go up, and gas prices are coming down. So I'm sure if the consumption in the country increases, volumes from the gas exchange also will increase. Very difficult to make an estimate of that as of now. But we feel gas exchange volumes definitely should increase at a rate of at least 30%, 40% because gas exchange is in a nascent stage now.

And carbon exchange, as I told you, I will not like to make any estimate on that because there is no clarity from the policy side, from the government side also whether the voluntary carbon market also will be treated under the mandatory market. So, once we get that, then we will be able to estimate and tell you about that.

Santosh: Sure. When is the ICX and GIFT City going to be operational, sir?

Satyanarayan Goel: Again, you know, see, this is, again, linked with that policy decision only. Because on GIFT City, carbon credit has to trade as a commodity and it is not there in the list of the commodities

to be traded in the GIFT City. They have written to Ministry of

Finance for the approval of carbon credits as a commodity to be traded there.

Ministry of Finance has sought the clarification from Ministry of Power that whether all these voluntary carbon credits are going to be traded by them under the scheme of the carbon credit trading scheme (CCTS) or this will be available for trading in GIFT City. I think they are yet to decide on that.

Moderator: We have our next question from the line of Rajesh Mangal Agrawal from Rajesh Agrawal & Co.

Rajesh Mangal Agrawal : My question was related to ICX only, and I think you have already discussed it. And I think we do not have any transaction in ICX up till now. Am I correct, sir?

Satyanarayan Goel: Yes. As of now, nothing.

Indian Energy Exchange Limited

May 16, 2024

Page 16 of 18

Rajesh Mangal Agrawal : Okay. Sir, one small suggestion is like that. In our presentation, we should mention at least one line regarding this that we don't have any transaction till now in ICX.

Satyanarayan Goel: Okay. I mean we have not launched ICX so far. Since we have not launched it, so there is no mention about that.

Rajesh Mangal Agrawal : Actually, sir, from the presentation, a simple investor cannot understand this that we do not have any transaction in ICX up till now. We have already mentioned that we have owned one subsidiary ICX in December '22 and we are silent about this transaction here.

Satyanarayan Goel: I'll request my colleague, Mr. Vineet Harlalka to respond to this.

Vineet Harlalka : So ICX only revenue is consolidated because we mainly report on the IEX financials. Because consolidation wise it's a very insignificant number, so segment reporting is not there, that's why we are not reporting it.

But just to mention it can be easily identified from the stand-alone and consolidated financials regarding the revenue if there is any. But as and when the situation arises, we will see how we can put up in the investor presentation. We take your suggestion, and we'll look at it. Thank you.

Moderator: We have our next question from the line of Viraj from Jupiter Financials.

Viraj: Sir, my question is, you talked about 15%, 20% growth because of so many things happening, EV, energy transition in the electricity market. So what average growth we will be clocking? 8% growth in energy market, so would we be clocking 20% growth in terms of top line from now on?

Satyanarayan Goel: Can you repeat the question, please?

Viraj: You talked about the 8% growth in the electricity market because of so many factors. At what rate our top line would be growing because of such a huge momentum, energy transition happening, EV cars, renewables, all this coming in. So just your general sense on how will we grow? That is question number one.

Satyanarayan Goel: Let me tell you one thing, that energy demand in the country is going to grow. And it is expected that it will grow at least by a number of 6%, 7%, optimistic is about 8%. But 6%, 7% is definitely, which will happen. And we have seen in the past our volumes grew by almost 2.5x to 3x of the demand increase. So my estimate is that the demand increases by 7% to 8%, our volume should increase by at least 20%. And a lot of transition, energy transition activities are happening, that should further add to the volume growth.

Viraj: And would that even imply increase in bettering our margins too with increase in volume or margins would be same or subdued?

Satyanarayan Goel: See, in case of exchange business, since other costs are fixed costs, practically, margins should improve. As it is, we are operating at a pretty high margin of almost about 86%, 87%.

Indian Energy Exchange Limited

May 16, 2024

Page 17 of 18

Viraj: Okay. And sir, how are we placed against our competitors right now as we speak? And suppose if coupling comes, what will be the impact on our margins? Will margins become half? What will be the worst impact on the margins be?

rst impact on the margins be?

Satyanarayan Goel: I think there is no point in talking about if coupling happens. I think it is a long way to go. Many more years for that to happen, because as I told you, it is only a theoretical exercise, a research work which is happening. And these kind of activities do happen in the sector. If you recall, in 2018 also a paper came about MBED, Market-Based Economic Dispatch. And there were so many discussions around that, consultants were appointed, detailing were done, directions were

given to C ERC to implement from 1st of April 2022. Nothing happened on that. So I think market development happens only after doing research and all these activities. So this is also one such activity. Let them do this activity. Let them find out what is the benefit of this, how to implement this. Once all those things are done, then the regulations will have to be made. Software will have to be developed. So it is going to take a long time. And no point in thinking about that today and worrying about that. I'm very sure that nothing is going to happen in the next couple of years.

Moderator: We have our next question from the line of Ketan Jain from Aventus Spark. Please go ahead.

Ketan Jain: Sir, what is volume growth guidance for REC segment and Green segment for FY '25?

Satyanarayan Goel: Our projections? So we total achieved 110 BUs for the full year. Out of this, around 102 is from the electricity and around 8 is from REC and EScert certificates combined.

Ketan Jain: No, I'm asking for FY '25, what is your expectation of volume growth for REC segment and Green segment?

Satyanarayan Goel: REC segment, we are expecting almost about 25% to 30% growth.

Ketan Jain: And from Green segment, sir?

Satyanarayan Goel: Green segment separately, it is very difficult to make estimate, but still 50% kind of volume growth should happen in the green market because green market volume this year was slightly on the lower side. So in FY'24, '25, 50% growth should happen in the green market also, okay?

Ketan Jain: And long duration we'll be able to maintain 10 BU?

Satyanarayan Goel: There should be a significant increase in that. We did 1.2 BU, this year we did 10 BU, so we are definitely expecting a much higher number.

Ketan Jain: And how much higher, sir?

Satyanarayan Goel: Almost about 15 BU is our expectation.

Moderator: We have a next question from the line of Lavanya Tottala from UBS. Please go ahead.

Indian Energy Exchange Limited

May 16, 2024

Page 18 of 18

Lavanya Tottala: Just 1 question from my side here. So on the long duration, just a follow-up to the earlier question. So you said 10 BU and the market is 20 BU, is it like we've already reached 50% market share in that particular space? And 15 BU expectation for FY '25, we expect further gains in this space? Is that right understanding?

Satyanarayan Goel: See, in case of long-duration contract, these are mostly bilateral transactions. And bilateral transactions happen on all 3 exchanges and significant volume also happened on the DEEP platform. Our USP is the collective transaction, where we have a major market share close to 99%-plus. So we continue to work in the market to have more transactions in the DAM and RTM market. But we are also active in the LDC market.

Lavanya Tottala: Got it. So here, when we say this 20 BU, you were considering bilateral through discoms themselves and through traders, both are considered in this 20 BU, right?

Satyanarayan Goel: No, this 20 BU, what has happened last year is sell by generators and bought by the distribution companies through the exchanges.

Lavanya Tottala: Okay, it is through the exchanges.

Satyanarayan Goel: I'm not considering the DEEP volume here.

Moderator: That would be the last question for today. And I would now like to hand the conference over to the management for closing comments.

Satyana

rayan Goel: Thank you, friends. I would like to thank each one of you for being part of today's call. Throughout this fiscal, we witnessed a number of efforts announced by the government and regulators to create a favorable policy and regulatory framework for development of our market in the country. We remain committed to contributing to the development of a sustainable and efficient energy future and have a wonderful evening. Thank you.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

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Dated: August 02, 2024

The Manager The Manager

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the IEX Analyst Meet with analysts and investors held on July 26, 2024.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the IEX Analyst Meet 2024 held with analysts and investors on July 26, 2024.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

1

IEX Analyst Meet 2024

Aparna Garg : Good Evening Everyone and Welcome to the Analyst Meet of the Indian Energy Exchange . I am Aparna Garg and I would be anchoring the event today. With us from the IEX Management , we have Mr . S N Goel Chairman and MD of IEX ; Mr. Rohit Bajaj - Executive Director Business Development, Strategy, Regulatory Affairs and IT ; Mr Vineet Harlalka - Chief Financial Officer & Company Secretary ; and Mr. Amit Kumar, Executive Director Market Operations, New Product Initiatives and Exchange Technology . We also have with us Mr. Deepak Mehta, who is the Chief Business Officer from Indian Gas Exchange . And we have Mr. Aditya Wali , who is the Investor Relations Officer at IEX. We will be beginning with the opening remarks from Mr. Goel, followed by a detailed presentation by each of the leaders. And without wasting much time I now request Mr. SN Goel to please share his opening remarks.
SN Goel: Good Evening Friends .

I welcome you all to the IEX Analyst Meet .

It feels good to meet you all in person.

Today, I along with the management team of IEX will brief you about the business performance of IEX, Strategy, Outlook as well as address all your questions .

Friends 2024, is a year of elections across major democracies in the world. Recently, India also concluded its general election . We now have a new government led for the third straight term by our honourable Prime Minister Shri Narendra Modi ji. And most importantly, the formation of the government has signalled continuity of the reform agenda, which is development led growth of India. The Indian economy continues to be the world's fastest growing major economy with growth of almost 8.2% in FY 24 as against 7% in FY2023.

The economy is expected to remain on this path driven by public and private investment and rising consumption. The Reserve Bank of India has raised real GDP growth forecast for FY 25 to 7.2% from 7% earlier.

On the power sector front, the surge in economic activities , elections and hot weather conditions led to an unprecedented increase in the electricity demand during the first quarter. The first quarter demand growth was almost about 11%. And peak demand was about 250 gigawatt . Earlier high was 243 in the month of September last year, but this year it was 250 gigawatt, and total power demand was 452 billion units in first quarter. In fact, in the first quarter, the demand increased by 11.2%. Same trend is continuing in the month of July also . To meet this growing demand significant work is being done by the Ministry

ry of Power.

Capacity addition in the field of thermal , almost about 28 Giga watt capacity is under construction, out of which it is expected that 15 Giga watt will get commissioned in this year, and balance 13 Giga watt in the next two years. In addition to this government is also planning to add almost about 50 gigawatts of thermal capacity, which should come in the next six, seven years. In addition, there's a lot of work happening in the renewable area. Target is to

2

have 500 gigawatts of renewable capacity by 2030. And to meet that, government is planning to add almost about 50 gigawatts of renewable capacity every year till 2030. And looking at the price which is being discovered in the renewable space, these prices are very, very competitive. Very recently in a wind tender, prices were about three rupees 50 paise , solar prices are down to Rs 2.50. I think with these prices, capacity addition is going to happen at a much faster rate.

Over the past quarter, major developments have taken place in the energy storage system also. I mean, this is a very good development because what we are seeing on the exchange platform is that during the daytime we have lot of sell available because solar power is available, but in the morning and evening hours, there is a shortage of power. And we are seeing almost about 10 rupees kind of price discovery during this time. Storage systems are quite expensive. Pump storage takes a lot of time and the cost involved is quite high . Battery storage about a year back , the rate was almost about 10 lakhs rupees per megawatt per month. About three months back in a tender which was issued by GUVNL (Gujarat Urja Limited) the rates have come down to almost under about 3.7 lakhs per megawatt per month . I mean , if you convert them into per unit rate, the rate earlier used to be more than 10 rupees per unit and now, it has come down to around five rupees . About a fortnight back SECI also had invited a tender for 1,200 megawatt of solar power and 1,200 -megawatt hour of battery and there the rate was about two rupees seven ty paise per unit. So, all this translates into storage cost of almost about five rupees . This means that, you can store the two and half rupees power during the daytime and use in the evening hours or morning hours at a rate of seven and a half rupees . I think commercially it makes a lot of sense. And this option is in fact much cheaper than adding thermal capacity. And this kind of capacity additions can be done at a much faster rate also.

Government is in fact striving that these capacity additions should happen on the market model. The Government came out with a scheme for 4,000 -megawatt hour of battery storage system (BESS) with viability gap funding (VGF). First tender was issued wherein they said that the power will be sold from this battery storage system through the exchange. Similarly, MNRE has come out with a concept note now, and they say that we must add almost about 10-gigawatt hour of storage system for sale to the market because through the market, you're going to get good arbitrage . So, a lot of work is happening. And looking at the competitive rate in the battery storage system , I'm sure this can be a good case for market development in the sector.

On the fuel side also , Coal India has done good work. And this time in the first four months, there is absolutely no fuel shortage . Coal is available through the E -auction route at a very nominal premium, which is almost about 20% with respect to the administered price. And coal stock today is for about 18 days, which is an all-time high in the month of May, June , July. Imported coal prices also are very, very competitive now. And same is the trend with gas prices. In fact, this year, gas generation was probably highest in the last 10 years . Gas prices came down to almost about 10 to \$12 and 12,000 megawatts of gas -based capacity was running

in the month of April, May , June.

3

And with a good forecast of monsoon this year, I'm sure we are going to have good hydrogen generation . So, all these measures should lead to good liquidity on the exchange platform . We have been getting a volume growth of almost about 21% in the first quarter. And in the month of July our volume growth has so far been almost about 36%. So, I'm sure with this liquidity , the growth trend will continue in future also .

Let us talk about few important regulatory updates and policy initiatives .

- Ministry of Power to meet this high demand in particular in the month of April, May June, directed all gas-based power plants to run under Section 11 . And as a result of that, almost about 12,000 -megawatt capacity was operating . All thermal generating stations were made available, and their plant maintenance was deferred to the low demand period. So, as a result of that , there was a very high availability of thermal generating stations during this period . Imported coal-based power plants , again under Section 11, they have been directed to operate up to October 2024. And so, that is why most of the imported coal-based power plants are now available to meet the demand in the country. They have also directed that even domestic coal -based power plants must blend with the imported coal with 4 % , so that availability of coal is not challenging in future also.

- There was another policy initiative which was taken, which is amendment of the Late Payment Surcharge (LPSC) rules. And under the LPSC rules, now government has directed that all generating stations which have long term PPAs will have to sell un-requisitioned power, the power which has not been requisitioned by the beneficiaries, they have to offer that power on the exchange platform. This is a very very important provision and as a result of that, now, we find that Central generating companies like NTPC, DVC, NEEPCO, they have started offering that power on the exchange platform. Every day, we are getting almost about 70-80 MUs on the exchange platform out of which 15-20 MUs is getting cleared also. So, that has a very good impact on exchange volume. This is the first step where the Central generating companies have started bidding it. Second step is even the IPPs - the IPPs who have PPAs with multi-state, they also have to offer the URS power. And for that one of the issues was that IPPs were saying that under the fuel supply agreement (FSA), the coal is to be used only for supply of power under the PPA. Even to that effect a clarification has been issued that if the power is offered on the exchange platform and it is cleared there, the coal under Long Term linkage can be used for this purpose. So, what I'm trying to say is that the Ministry is trying to resolve all these issues to ensure that power does not remain unutilised and there is high liquidity on the exchange platform. The third step is the Interstate Generating Stations - the generating stations which are within the States. Even if they also have un-requisitioned power, that power also should be offered on the exchange platform. For that, there are few issues regarding Central Regulations and Intra-State regulations. Again, work is happening on that also to get aligned. So, my point is that these policy initiatives can make a lot of difference. This has already brought in a lot of liquidity on to the exchange platform.

4

- In addition to this during FY 24, there were many other regulatory initiatives. And some of the few important initiatives were the implementation of the Grid Code, implementation of GNA, and the revised Transmission Charge Sharing Regulation, as a result of which anomaly which was there between the collective transactions and bilateral transactions, that anomaly has been removed. And the effect of that has been that volumes which were getting shifted to the DAC market

are now reduced

significantly and DAM and RTM volumes have increased.

During quarter one of FY 25, our performance has been very good. We recorded a total trading volume of 30.4 billion units with a growth of 20.8% on year-on-year basis. Revenue for the company grew by 21% on year-on-year basis increasing from 127 crores to 154 crores. PAT has increased by 27% rising from 75.8 crores in quarter one of FY 24 to 96.4 crores in quarter one of FY 25.

While IEX business and financial performance will be further detailed by Mr Rohit Bajaj and Mr. Vinit Harlalka, I must say that performance of IEX continues to be very robust both for electricity and certificates. The robust performance in quarter one FY 25 was led by high power demand and substantial sell availability. And this trend in the month of July, as I told you, is again continuing. In terms of new products, we are currently awaiting approval from CERC for our long duration contracts. We have already filed a petition with them for approval of 11-month contract and hearing has happened and order is reserved. In this market - 11-month contract segment - almost about 40 billion units kind of transactions are happening in the bilateral market. So that is the opportunity size. So, once that contract is approved, we should get good volume on the exchange platform from under this contract. Further, since lot of renewable capacity addition is happening and based on the feedback received from these (RE) generators, because renewable generation has large variability, they wanted a green RTM market. So, we have filed a petition with CERC for approval of green RTM market also. That will be the next new product.

Friends, as you are aware, IEX also incorporated Indian Gas Exchange in 2020. And IGX is doing good business from the last three and half years. It has been making profit. And Government of India has a vision to increase gas consumption from 6% of energy basket to 15% of energy basket. Gas consumption is increasing, lot of infrastructure is being added. Present capacity of LNG terminals is 45MT which is getting enhanced to 75 MT. In the next two, three years, pipeline network is being added. And gas prices fortunately, have moderated now. So I'm sure with all that, IGX will have good business opportunity. And, as I've always said, that looking at the opportunity in the gas market, IGX should be as big as IEX today. In the next five years IGX should reach that level. And we have Mr. Deepak Mehta, who is Chief Business Officer of IGX. He will be making a brief presentation about the IGX performance.

Friends, as envisaged by our Honorable Prime Minister India aims to achieve energy independence by the year 2047. As India marches towards Net Zero by 2070, Power

Exchanges will have a significant role to play in the country's energy landscape. With India's GDP projected to grow at 7 to 8% for a couple of years, power demand is also expected to grow at a rate of 7 to 8% at least up to 2030. And that should provide good opportunity for the exchange s to grow business . India's power sector continues to experience a fast -paced 5

transition. The government's focus on green hydrogen, green energy banking solutions, such as pump stor age hydrogen , battery storage, will lead to new innovations and new product developments on the market. We are exploring various models for market -based capacity additions, which will be detailed by Mr. Bajaj in his presentation .

To further create a good market at the exchange, we have advocated about green capacity addition, renewable capacity additions through innovative solutions like CFD, which the government is already considering ; Virtual PPAs and also what we are seeing now ;Government has taken initiative of doing rooftop solar capacity addition and this model will transition from subsidy -based mechanism to a market - based mechanism . And in the market

-based mechanism what we find is that local trading of electricity is also possible, which is a P2P (Peer to Peer Trading) model and we along with ISGF and Power Ledger , are working on this model to experiment whether these kind of things can be done in India. Through our wholly owned subsidiary International Carbon Exchange , we also wanted to get into the carbon market. But when we wanted to really launch it, we found that India is a net seller of carbon credits and buyers are there in the European market. So , it is basically a dollar rupee transaction and doing these kinds of transactions on the exchange platform is slightly difficult. There are again GST issues in that. So, we are now exploring options in the Gift City. We have had discussions with them. They're also quite supportive of this. But unfortunately, carbon credit is not a tradable commodity in the Gift City list. So they have taken up the matter with Ministry of Finance. And as and when they get that approval, we will launch this Carbon Exchange from the Gift City. Another opportunity which we are seeing is in the Coal Exchange area. I'm sure you must have read in the newspaper also, that Ministry of Coal is actively working on approval of Coal Exchange . Work was going on from the last two -three years . They had appointed CRISIL as the consultant for suggesting a model for setting of coal exchange in the country. And based on the studies, Ministry of Coal has decided that yes, it is time to set up a Coal Exchange , because it is not only Coal India , singularly which is going to produce the coal, we are also going to have commercial mines in the country and also all these captive producers are also allowed to sell coal in the market. So , they want a platform where the transparent price discovery happens. And all these coal producers have opportunity to sell the coal. We are working actively with the Ministry of Coal. One challenge which they are facing is basically for exchanges , you need a regulator , but in the coal sector there is no regulator. They are trying to find out some option and some way out to have a regulatory mechanism for regulating the coal exchange . So that is going to be another opportunity for us.

Technology is our strong area. And in the last two three years we have introduced many products in the market . We have also done a lot many customer centric initiatives which have ensured customer loyalty , and as a result of that, we have been able to maintain good market share .

Friends it is exciting to see that power sector is undergoing rapid visible shift . We are witnessing many regulatory and government initiatives aimed at deepening the power market . Particularly , because , if you want to have high renewable capacity addition in the sector, deepening of power market is necessary , because markets provide most efficient 6

integration . Mr Rohit Bajaj will tell you the international experience how exchange volumes have increased with high penetration of renewable s in the sector. And with this, I will now like to invite Mr Rohit Bajaj for making a detailed presentation on the business development at IEX.

Rohit Bajaj:

Thank you. Thank You Goel Sir, for a comprehensive overview.

Good Evening , Everyone . Moving on to the first presentation, which is about sectoral developments and business update . A lot is happening . Mr. Goel has touched upon many government initiatives that have been taken in the recent past and which is actually deciding the future course of the sector , as well as the power markets.

Energy mix is evolving, it is changing in a big way.

We have very diverse energy resources available with us today . Predominantly it is coal, but you can see that other s, solar and wind and other renewable s are also getting important day by day. Today , 76% of the generation is being done by coal -based resources, but renewable is growing very fast and nuclear is also

one important element where we have seen good growth and in times to come lot many more capacity is going to get commissioned . Transmission is a segment we have been talking about in the past few years. In last 10 years our Inter Regional Capacity has more than tripled. And this has resulted into virtually no congestion in the country. Next level of development in the transmission sector we are doing , is in the renewable rich states , where we are trying to evacuate renewable power in a most efficient way. We know that there were times when in States like Tamil Nadu and Andhra Pradesh (AP) , there were a lot of issues pertaining to evacuation of renewable power . And recently in last three four years with some more State level transmission capacity creation , those issues have subsided .

Distribution is one sector where there are a lot of questions about the financial viability . But there are certain parameters , financial parameters, where we have seen remarkable improvement . Be it collection efficiency, where it has reached up to a level of 97 %; billing efficiency where it has reached to the level of 87% ; or if we talk about AT&C Losses , it has come down to 15% . Credit rating is improving , where we can refer to PFC 12th Integrated Rating Report wherein almost 30 utilities ' ratings have improved and then there are only 17 utilities which are at C or below C Level . So, a lot is happening in this particular area. And this is very important because unless the last interface, which is the interface of the customer, which is distribution company, unless there is financial viability there, all things that we are talking about whether it is energy transition or development of the market, nothing will happen. Everything requires payment in time. And this is something that we have achieved in the recent past where after introduction of LPSC rule (Late Payments Surcharge Rule) , we have seen that all payments to the generators are made within the given timeframe. And exchange has been playing an instrumental role here. If one of the States is not making payment to the generating station, then they ask us to restrict them from participating in the DAM market or any other segment on the exchange platform. So that way exchanges have

7

helped in disciplining the sector and the results are there to see as a lot of losses have come down and a lot of efficiency improvement has happened.

The energy mix is going to change in an even greater way going forward. By 2030 , our target is to have more than 50% of renewable capacity. We are going to touch 500 gigawatts plus of RE capacity . Thermal capacity would be comparatively much less , though there are announcements that have happened on the thermal side as well . There is 28 gigawatts of capacity under pipeline , government has announced adding another 50 gigawatt of thermal capacity because we know that the kind of demand increase we are witnessing, it is required that we should have base load available so that we can meet that demand in a most efficient way.

Renewables are definitely going to lead the energy transition, there is no doubt about it .

There are certain key levers which are very important in this transition. The first one being technology, where we have seen evolution of many newer technologies , where cost of solar is going down , cost of wind is going down and utilization factors are improving, and recently, we have seen the battery energy storage cost going down in a big way. So, all these technological developments are giving us a lot of opportunity . We have seen that a lot of shift from solar generation can be moved to the peak hours because of battery energy storage coming down. And lot of analytics can also be done from the technology side, which can help energy transition in a very efficient way.

Regulatory framework is already there in place . We know that purchase obligation is there

for all the utilities and all the individual customers . Whosoever is buying electricity today, he has to mandatorily buy 30% as per the regulation given by the State Government as well as the trajectory given by Ministry of Power - that much quantity one needs to buy in the form of RE . So, RPO regulation is there in place , and Energy Efficiency obligations are also there . We have Green Energy Open Access also available today, where the threshold limit which was one megawatt earlier has been reduced to 100 kilowatt. So, we are expecting that going forward, there would be a lot of action . The C&I space will also be very active where small and medium enterprises will also be participating on the exchange and taking advantage of the arbitrage which is available.

Similarly, Carbon Credit Trading Scheme (CCTS) has also been launched recently and two days back they have issued procedure as well. Customer preference is changing . We are talking about moving cooking from gas to electricity. Similarly, rooftop solar , railway traction , data centres - all these are demand drivers - and we call it the Electrification of Economy . So, going forward all these activities are going to consume power in a big way, and we are going to get a lot of increase in demand because of that .

Here then , comes the role of the market unless we decide or we create new market models, whether in the form of CFDs, whether in the form of VPPAs or arbitrage opportunities for BESS or P2P Trading going forward , these models would be required to meet the kind of transition that we are going to see.

Now, let us quickly see where we are. Today exchanges are contributing a little over 7% in the

total consumption of the country. And you can see on the left -hand side of this slide, that this

8

is one segment which has been growing at the fastest pace. So, we have seen 17% CAGR growth in the last six years. Now, if I compare it with bilateral or let's say DSM, their numbers are very less. This growth is very high as compared to bilateral and DSM which means that there is growing preference (for exchanges) or exchanges today have emerged as the most preferred option for buy as well as sell of power. So, distribution utilities are using this and 230 BUs is the total market size of the short-term market and almost 55% of 230 BU is done by exchanges alone.

Brief introduction of IEX. Many of you are already aware, it's the first exchange in the country, the leading exchange, the leading electricity marketplace. We started operations in 2008 and are regulated by the CERC. We became a publicly listed company in 2017. We have quality environment and IT ISOs available. We are part of 13 State Advisory Committees. Every State has got one advisory committee which seeks comments from stakeholders, and we are there in 13 States. We also hold the board membership seat in the Association of Power Exchanges. This is one association where all the exchanges in the world, about 45 exchanges are there who are registered, who are members of this, and we hold a board seat there. We did 110 billion units last year and that was the first year where the electricity volume exceeded the 100 BU mark. We did 102 billion units overall electricity trading last year. In Q1 we have done 30.4 billion units where 30 BU is electricity, and 2 billion units are certificates. Both the segments which are electricity and certificates are showing very good growth rate. In Q1 we have seen 19% growth in electricity and 50% growth in REC. REC growth is high because there is a lot of correction in the prices. The floor price which used to be about 1,000 rupee per REC about a year back has been reduced to Rs.128 per REC. So, because of drastic reduction in prices, there is a lot of traction, lot of CNI consumers and utilities are coming to the market to meet their renewable purchase obligation. We have huge participation

base. There are close

to 8,000 registered participants with us - all the distribution companies, all the IPP captive plants, and there is one new entry, here, you can see CBT entities. They are 20 plus in number. So, CBT which started about two years back, in these two years we have seen a lot of progress. Today there are 15 plus generating stations of Nepal registered with us and on a given day they are selling close to 14-15 million units, a little less than 10% of our day head market (DAM). That much quantum we are getting every day from Nepal and during the winter season when they have high demand and we have surplus power available, they buy from us. So that way, it is a very good combination - they are taking advantage of the market. So is the case with Bhutan, as they are also doing this very actively.

Our product mix is also changing. So, if you remember some time back it was hugely dominated by the day head market (DAM). At one point in time its contribution was more than 85%. Now, this number has come down and we are (49%) at last full year. Full Year makes more sense here because Q1 was the time when we had elections, Q1 was the time when there was a crunch period and shortage of power. So, there was a bit of more increase in the TAM segment. So you can see here TAM has drastically increased in Q1 but this (full year) makes more relevance here as DAM is 49%. Even today RTM is second best, close to 30%. This segment is emerging very promisingly. We are seeing every year almost 25-30% growth in this segment. Today it is contributing almost 70-75% of our day head market. So, when we started this in 2020, we never imagined that growth would be so fast. This is again on the basis of

9

collective transactions and all the utilities, all the CNI consumers, they have very strong faith in this price discovery, and they find this as a very robust price discovery, very transparent, very competitive. And precisely this is the reason that the segment is growing at a very fast pace.

We have seen that the DAC segment has gone down. And this is one segment in which volume increased, because there was an issue related to duplication of the transmission charges. Now, after the implementation of GNA, which got implemented from October 2023, we have seen remarkable correction in this segment. It has gone down and the volume that has gone down there has shifted to the day ahead (DAM) and real time market (RTM). So, that is again good for us, because DAM and RTM are segments where our volume, or our market share is 100%.

Green market is growing fast. In fact, today in the Green Day Ahead Market, we have done 43 million units (MUs), this is the highest ever volume done by us (in a day) and this is very significant, because when we are doing less than 200 million units in Day Ahead Market (in a day), 43 million units is almost 25% of the market. So, the growth has been very significant there as well. This is again one segment which is growing.

And there is potential in Term Ahead Market also, because DEEP even today, DEEP platform is doing 40-billion-units trade in a year. And with three months contract we have converted some of them and with the launch of 11 months (contract) that we are going to do later part

of this year, a lot more conversion will happen. So, Green Market is something where we are extremely bullish, RTM is another segment where we are bullish. DAM is consolidating, DAM is also improving after DAC volume has started to go down. And another opportunity is REC volume where also we have seen very good improvement.

This year prices have been range bound. Prices were quite good. So, you can see that as compared to last year it is almost flat, and this is great news because volume or the demand in the country increased by 11%. So despite 11% increase in demand, there is no major pressure on the prices, which means that

that there is a real improvement on the supply side. This

has happened due to various initiatives taken by the Government and going forward as more and more capacity will come - the solar capacity and the conventional capacity that we are going to add - this is going to increase supply in a big way in the times to come.

Now moving to the second part of the presentation, I'm going to talk about some of these growth levers which are very important for our future growth.

Increase in power consumption, new products and regulatory developments, Re-designing of electricity markets. Some of you may be aware that there was one Report by a Group formed by MoP for the Development of the Market, deepening of the market. They have also given certain areas where we have to work upon, so that deepening of the market can happen. The point that they have mentioned (in the report) that they want to increase the size of the market from the current 7% to 20-25% such that RE integration can be done most efficiently. Energy Transition also provides lot of opportunity for introduction of newer products.

Diversity of demand supply is also playing a very important role. I will share a few examples

10 where how the surplus power which is available in the daytime provides a great opportunity for utilities to replace their costlier power and also for some demand shifting which can happen and they can take advantage of cheaper power which is available. And then the supply side, we are expecting a lot of improvement going forward, which is also one important area where we can get something out of it.

GDP growth is expected to be 7% and we know there is a strong correlation between GDP and electricity demand. What we have done here is that we have analyzed data for the last 10 years and you can see in the graph, electricity demand for last 10 years has been growing at a CAGR of 5.4%. So, if we compare our growth vis-à-vis this 5.4% we found that there is a multiplication factor of 2.7. Which means that going forward if GDP is expected to grow at 7% and electricity demand is expected to grow at 6% plus, then six into three is something what we can expect as IEX growth in the case of business as usual. I'm not factoring in all the additional levers that we are going to capture in the subsequent slides, but on a business-as-usual basis also there is immense potential to grow and 17-18% is something which can be easily achieved.

But the kind of electrification we are seeing, the universal access which government is providing, the reliability factor where increasingly our focus is on improvement in the reliability, leading to AC (air conditioning) growth in a big way with indications that by 2050 the penetration would be at nine times, and you know that AC consumption is really very high. Similarly, some other factors like data centres, railway traction, EVs, all these factors are going to drive growth and considering this, the growth forecast of 6% is not high by any standard. So, the real number is expected to be much more than that. So, this is one business as usual case where we expect demand to increase, and demand will lead to more and more participation on the exchange platform.

Moving to the second growth lever, which is new products and regulatory development. In this, as some of you are aware that we have already filed 11-month contract approval with CERC. So, TAM today is allowed up to three months. And once we get that approval 11 month (TAM) will also be introduced which will give us access to additional 40 billion units which is being done on the DEEP platform. Similarly, green RTM is another segment we have received a lot of feedback from some of these (RE) regenerators where they felt need of introduction of green real time market also. Today, this segment is not there. And we have reached out and have already filed petition with CERC for giving us approval so that

that this can also be launched.

LPSC rules. Mr. Goel explained in detail about that. We are getting almost 80-90 million unit participation as a sell from this particular category. All the PPA based plants - NTPC and all other CPSUs - they are placing their bids for all unutilized power which is not being taken by the beneficiaries. And here majority of this is coming in RTM - 60% of the bids are coming in real time market and remaining 40% is coming in Day Ahead Market. So, both these markets are on the basis of collective transactions and the clearance has been ranging between 10 to 20 million units. We have in certain cases seen clearance going up to 25 million units also. So, this is again substantial volume. And today it is only up to Central generating stations

tomorrow when IPPs will also be included, or States will also be included this number will multiply .

Optimization potential - this is one area where in last three years we were not getting a lot of volume in this particular category because prices were very high. But now, as the supply is improving, we have seen there is declining trend in the prices as coal prices are coming down. And then there is more solar power available during the daytime - three rupees power is also available . So, optimization has started again. This is one segment where we are expecting lot of growth to come from this . RECs we have discussed . Since the prices are low, there is lot of pressure on entities to meet their obligations. We expect going forward , REC is going to continue .

Let us have quick look on the MoP Report of the Group on Development of Electricity Market in India.

They have shared multiple initiatives . Some of them can be done on the short term basis, which is up to one year, some can be taken up for medium term and then others can be done over the long term . We already have ancillary market available which is the tertiary market. So, this has already been introduced, this was also one of the items to be done in the short term . Then there is Resource Adequacy and integrated resource planning. So, CEA has already introduced the procedures and many of the States have done the analytics part of it and they have identified resource shortages and they are in the process of meeting these resources. So, one opportunity which is there for us in this particular area is the possibility of launching a short -term capacity market. So, if you have a short -term capacity market, resource adequacy for up to one year can be efficiently met by using these markets. Today , we know that there is about 15 -18 gigawatts of merchant capacity available . This capacity can participate in the capacity market and today they are getting only paid for energy. So, going forward it will be a combination of energy plus capacity, and it is going to be beneficial for the sector as a whole .

Market based Renewable Energy , this is one thing which has been talked about for a long time now. So, the first step was introduction of 1 ,000 megawatts through market and then gradually scale it up . Whole idea is that up to long term, let's say three years down the line , major part of the capacity addition should happen through the market and that can happen only when you have a deep market available. So, development of the market plays a very important role for future capacity addition .

Demand response in the form of more stringent ToD. So, ToD also there is a lot of issues . It is not efficient in India today, because if you see the price difference during the daytime and evening hours, daytime price is three rupees , while evening price is 10 rupees , which is three times . But when you see the ToD pricing, you will find that difference in the ToD prices is not more than 20% in any of the State. So, here we have to make some more regulatory interventions where we have to increase this difference. So that there would be demand

shifting and if that demand shifting is there , because we have a lot of capacity available during the daytime which is not being purchased by anybody, there would be increasing clearance . Long term capacity contract and also the ancillary services , secondary ancillary services

12

through market , is something which can also be introduced from one to two years - in medium to the long -term basis.

So, this is one example which I want to share with you . We talk a lot about energy transition. We did a small exercise where we compared ourselves with the European market. So, we looked back , we analysed their historical data, and you can see in this particular graph that we have compared two things - one is share of spot market in the total generation, which is where we (India) are today , we are at 7% , and then also the overall share of RE in the total consumption of the country. Here you can see that , in 2000 -2010 UK penetration was almost about 10% and their share of RE in the total consumption was about 20%. So, we (India) are almost there . If you include hydro our RE penetration is 20% and (the share of short term) market is 7%. So, we are at the same place where they were in 2010 . After that, RE penetration increased and you can see that the spot penetration also increased in a similar vein. So, today both the things are at almost 45 -50%. There is a lot of similarity between them (and us). We are at a very initial stage now, we have to work upon creating both the things , we have to increase the RE share and also have to work upon so that market penetration also increases . Some of the ways how it can be done particularly related to energy transition , is that we now cannot deny requirement of Contract for Differences (CfDs) . This is definitely needed. All countries that we are referring to whether it is UK, Germany in last 10 years, whatever capacity they have added , it is all through CfDs. So, there is no bilateral capacity addition happening in those countries. Whatever has to be done , it has to be routed through market , and that is why we have seen huge addition and the penetration of the market as well.

The Second important thing is Virtual PPA and Merchant RE. Merchant RE we are already

seeing . In this particular year we are expecting 3,000-megawatt capacity addition purely on the merchant route. In fact, as I shared with you , 40 million unit per day are being traded today , a large part of that capacity is coming from merchant generators . Some of these are generating without tie-ups and continue to sell their power generation through the markets . Virtual PPA s are very popular overseas , particularly in USA and this model is applicable for CNI. In this model, what happens is that the generator (A) enters into a contract with a buyer beneficiary which is (B) which is generally a corporate, so, likes of Google Amazon, who have done many VPP As now . What they do is since there is a lot of variability in their demand, their profile is very different, they need a lot of power during the evening hours and night -time requirement as well However, this generator (A) is only a solar generator. So, what they do, the buyer continues to draw power from distribution utility, and uses this agreement only for the purpose of transferring the green attribute . Let's say this agreement is done at three rupees. So, what we will tell (A) is that you have to sell the entire generation in the market . You continue to sell your power in the market, I will continue to draw my power requirement from the distribution utility, but whatever is your generation, you convert that generation into let's say REC or in any other form of green attribute and transfer it to me (Corporate) . So, what the corporate has achieved has thus converted their entire portfolio into green , having obtained the green attribute . There was a price which was three rupees which

was in a way

contract for difference price. Now, suppose the market realisation for generator A is less than three rupees, the buyer will compensate the balance /difference . Let's say market realisation 13

was 2 rupees 50 paisa , buyer will pay remaining 50 paisa to the generator, so that the three rupees is met. This is how the capacity addition happens in many countries.

And indeed , in India also this has started . Today , the first transaction was done between Amazon and Renew Power . There are lot many transactions which are going on. So, this is one area where we are hopeful that , if the capacity addition will happen, then this supply will also come in the market because there is no other way that this supply can get absorbed in the system, it must come in the market . Because when you have one tie up in place, you cannot do a second tie-up, you will have to sell this capacity on the bilateral mode.

Then firm and dispatchable RE, the new buzzword , where a lot of action has happened in the last one year . The prices have come down drastically and we have seen different forms of this and Battery Energy Storage . So, let me move on to the next slide.

Today , firm and dispatchable RE has got three models. One is where there is a solar plus peak energy requirement from the buyer , that falls under the category of firm and dispatchable.

So, I need solar profile. At the same time, I also need 50% of the peak capacity from the solar profile in the evening hours , let's say two hours. Recently we saw one tender was of 1,200 megawatt and 600-megawatt combination was auctioned and 3 rupees and 41 paisa price was discovered. Now the second option here is RTC (Round the Clock) power. Now , when there is a requirement of RTC power from the buyer , the generator has to look into various technologies . He will have some part as solar ; he will have some part as wind, probably some part as small hydro and then the remaining battery. So, all these sources he will combine and then use this to supply RTC power to the beneficiary. This was seen in the REMCL tender , where RTC power was procured by REMCL and there was huge participation . Third is load following. In this we have seen couple of tenders where state will give in advance a 12-month load profile to the buyer . They will say that in the month of May during the daytime , they don't need power but in the evening , they need full power in the night . Similarly, let's say in the month of August , my agricultural demand would be there, and I need complete 24 hours same quantum and say some other month , I need only solar profile. So, all these requirements for 12 different months will be shared as part of the tender and then the buyers will participate, and the price will be discovered.

In all these cases , we have seen that prices have broken the ceiling of 5 rupees, prices have come down below 5 and Rs 3.41 is one recent example. There are some more examples, yesterday also one tender was there where 4 rupees 98 paisa was the price discovered . The good thing or the value for us in this particular thing is , that in all these tenders there is lot of oversizing which is required to be done. So, if I have to meet that requirement, I have to oversize my solar by , let's say , 50% and with wind by 70 -80%, because I don't know when it will come. And I have to make that combination to meet the 12 months requirement. So, when I'm doing oversizing , we have lot of data available where analysis can be done, it is found that 20 to 25% of energy is going to be surplus, and this energy is highly intermittent in nature . Which means that for me, the most efficient way to dispatch this energy is to sell it in the RTM or at max in the Day Ahead Market. I cannot do any other type (of transaction). I cannot enter a bilateral contract to dispatch this power. So, this is one great opportunity we are eyeing . Here you

u can see the May requirement from one of the state utility , which was

14

Punjab, which was FDR Es tender launched about six or seven months back. So, these sorts of profiles are there. And you can imagine how difficult it is to meet this requirement. Because normally during the daytime you have solar peaking and you have to have battery or you have to have wind in place, then only you will be in a position to meet this. So, this is going to result into lot of surplus capacity.

And another thing important here is globally all the battery, B ESS addition is happening on the basis of commercial arbitrage that market is providing. So, refer to any place , there are two ways one is Ancillary , where system operator is doing procurement of B ESS to meet the balancing requirement and second is the IPPs , they are investing . They are investing purely on the basis of what differential or what arbitrage they can get from the market. In our case, we have seen that daytime price is 3 rupees , nighttime price is 10 rupees , there is a clear 7 rupee s premium which can be made. So, let's say , I have a BESS available . Seven rupees one cycle is available throughout the year. Now, there is some more opportunity available . Six-seven months in a year, there is a morning peak also which we are seeing . There is a peak in the morning because of the winter season particularly in the Northern States . There is another 10 rupee s peak , which comes in the morning at 6 ,7,8 am sort of time. So, then second opportunity is also available. So many IPPs today are looking at these data and some of the development happened where VGF scheme has been launched by MoP G overnment of India, where they are saying 4,000-megawatt capacity will be launched. Similarly, there is a NVVN tender on the VGF model . One tender is already out which is a 250 megawatt or 500-megawatt single cycle or double cycle tender is already there.

So, all these developments are going to absorb surplus power which is there during the daytime and going to provide more supply particularly in the peak hours . What it will solve is, it will solve two things . First of all , clearance during the solar hours will increase which is not there today, because there is not enough demand and second is when supply will increase in the peak hours, then again clearance will increase because we are not able to meet the requirement which is available today. So, this is what I was referring to at the bottom graph on the right -hand side. This is the price , the black curve is price , these are the sell bids. During the daytime you have so much sell available and this is the clearance. Evening you can see that there is a dune and morning also there is a dune. This is surplus buy which is there, and we are not able to meet this demand. So, we are not able to meet morning demand , we are not able to meet evening demand and daytime we have surplus. So, all the points that we have discussed, which actually flatten this curve, and once this curve get s flattened , somewhere in between there is going to be a lot of gain in the clearance of volume. There is some other diversity also available . Today , generation is coming in some part of the country . We know that wind is coming in the Western Region , Solar in the Southern Region Western Region and lot of exchange is happening because Eastern side, there is no solar capacity. So, whenever there is demand in Eastern side, they are coming to the market to buy, generators who are sitting on the Western side or the Southern side they are selling . So that way a lot of diversity is getting exchanged with the help of power market. Similarly, we have seen that some of the States where we have too much hydro resources available and they do not have enough demand during the monsoon months - Himachal, J&K, Uttarakhand and they have surplus power available , they supply this power . They come to the market

to sell this power

15

and States like Punjab , Haryana, UP, all of them where they have huge demand or Telangana, where they have huge demand during this time, they come to the market to meet that demand. So, wherever there is a diversity, it is going to create a marketplace and the exchange will be very efficient, if everybody will come to one platform. Just one more point here, we generally believe that peak demand comes during the evening hours. T his is our normal belief . But recently what we have seen over the last one year , whenever peak demand is created, last month it 250 gigawatts , it came during the daytime. So, why it is happening you can see the graph on the top 30th May 2024, peak demand was 240 to 250 Giga gigawatts, and it came at around 3pm , between 2 to 3pm . Why is it happening ? Because lot of demand shifting is happening . The a gricultural demand is being shifted to the daytime.

And this is also one very positive thing for markets because , again the same principle , if you have that , clearance can be increased .

On the s upply side , we are seeing improvement in coal production. Last year it was 12% , this year again Q1 it was 11.7% . Imported coal and gas prices are under control ; inventories are decent ; E-auction prices have come down ; new mine allocation is being done ; commercial mine is also taking shape , even though it will take some more years to come to the market. But these are some of the things which is easing the supply side constraint on the coal and also helping overall generation in the country. So, I was just checking the data , Q1 coal-based plant s, they recorded PLF of 76%. So, this is the highest PLF I've seen in last 15 years . We have never seen this kind of PLF at an all-India level, where you have state plants , smaller plants ,

central plants are always doing better than the state and smaller plants. But that kind of PLF s have been achieved . Similarly, gas PLFs have increased ; last year it was 15% , this year in Q1 particularly it was 25% . Gas is not sustainable, we cannot expect 25% PLF throughout the year , but whenever there is a crunch period , whenever the prices are high , whenever the requirement is there, we can expect the capacity to be available which will be made to run and made to supply.

So, these things we have discussed load shifting and capacity market s, there is a good case for both these things . And lastly the derivatives , the derivatives are again something which we have been discussing for a long time. But as the market is growing, your dependence on market is increasing . Today on an average basis we are 7% but there are some states whose dependence on the market is more than 20% . For them , hedging option is also needed. So, it's not a residual market, it is mainframe market and if there is a mainframe market, then hedging option is also required, which means we need to have derivative also in place.

Moving on to the last slide, which is diversification . On the Gas Exchange, we have a small presentation , where we'll be talking about the numbers and growth potential, and this is one area ; I think we are doing very well . IGX is performing very well. We have seen very good numbers in Q1 also. In ICX there is some slowdown because of the reasons explained by Mr. Goel ; as we want to do it in a GIFT C ity because of dollar issue or taxation issue particularly , and if we have to do that, then carbon as a commodity must be included in that approved list, which it is not there today. So, some work is required to be done. Once we do that, and once it is there on the approved list, we would go ahead with that as well. Coal exchange is another area where there is a requirement . Government itself is talking about it . They have included

16
it in the 100 -day agenda, and we have already started working on it . We are trying to design contracts, we are trying to understand dyna

mics in the coal area, what sort of hubs could be there, where are the mines , which can make some sense of coal trading , all those things are being evaluated. And we expect that going forward, we should be able to create some value in this particular space as well.

Just to summarize, the story that I am sharing involves different growth levers. One is increase in demand and supply. Demand, I think all of us believe that it is going to be there. S upply also, since a lot of capacity is going to get commissioned particularly 28 gigawatt which is going to be there in next three, four years. And then 50 gigawatt which has been recently announced, though some of this capacity will come under long term, but we have seen that whatever is being added to the state, directly or indirectly , it finds its way to the exchange platform. Large capacity addition in RE and storage cost, I think is another important area . Six months back, we were not ready to believe that B ESS cost would come down so drastically but with this development, we expect a lot of smoothing of the curve . And if that happens, a lot of supply will also come with a declining cost, and it will also give lots of push to the capacity on supply side and also on the demand side .

A Favourable regulatory and policy framework is crucia l. Government is keen to develop the market . They are working for deepening of the market. And this is also going to result into some meaningful numbers. And diversification, particularly coal is one area where we have started working and we hope to do some more work in this direction . With that, I end my presentation and I now call upon Mr. Amit Kumar to talk about our Customer Centric initiative as well as advancement in the technology. Thank you so much.

Amit Kumar:

Good Evening Everyone . So, like Rohit mentioned, I will briefly talk about the Customer Centric initiatives that we have taken, which has helped us have a good market share and ensured that for customer s IEX remains the preferred technology platform.

Customer Centricity is a very, very important focus area for us, right since our inception. And we continuously work on this area and some of the key things that we do as part of this is to ensure that we are very, very closely connected with our customers . We do a lot of capacity development programs for the customers through one -on-one interactions, one -one workshops, and also group workshops , where a set of customers participate. And there we talk about the offerings that we have on our exchange platform, the regulatory developments, and what impact it has on how our customers can use our exchange platform for getting much more benefits. And we'd also like to hear from our customers and get feedback about what are the new things that we should be doing, which can enable our customers to get more advantage from our exchange platform. So that is something that we do very, very actively.

Second area is promoting open access through conferences, seminars, and also doing a lot of regulatory advocacies to try and make open access viable within different states . So that is one area that we actively work upon , so that our Open Access consumers can take much more advantage from our exchange platform.

Energie X is our web-based trading platform that we have launched to provide a lot of ease of doing business to our customers. Right from the pre bidding activities to the bidding activities, and also post bidding activity. So, it provides multiple, good experience touchpoints, like digital onboarding, very easy financial reconciliation, web based bidding, and advanced analytics as well, which helps our customers make effective bidding decisions. To make the bidding experience much more seamless and much more automated; we also provide our customers with automated API's through which they can completely eliminate the manual intervention in bidding.

g. Our large customers, both on the distribution company side as well as traders, they are integrated with our platform through APIs, and they take advantage of the automated bidding. This is one of the key drivers for the kind of growth that we are seeing in volumes in the Real Time Market, because in the Real Time Market, the trading happens 48 times within 15 minutes bidding period. A lot of times bidding decision making needs to be taken with data getting available just two minutes before the end of bidding session. So, having an automated solution which enables customers to get automated bidding done right from their system into our system makes bidding much more efficient. And through this, they are able to attract huge volumes effectively on our platform. We are also working on providing our customers with back-office API. So just like the benefits that the customers get through the bidding API's, we also want to extend that benefit into the back-office API, so that the entire back office systems of customers that they use for the trade report, the financial reports, they can integrate with our back office systems and again get advantage of a completely automated experience.

Some of the key focus areas that we have worked upon in the recent past and we continue to do so on the technology side is around the improving the business continuity robustness of our platform. Now, we have the infrastructure setup done from application and technology infrastructure perspective, where we can do a DC-DR switch in real time mode. So, this improves the robustness of our business continuity.

The other thing as we mentioned that Real Time Market is one of the fastest growing markets in suite of products that we have on the exchange platform. And we continuously focus on doing enhancements to ensure the high availability of the Real Time Market. Currently, it operates as almost close to 100% high availability.

Security in today's world is very, very important given that we are a technology platform and where the entire interaction that customers have through the online platform. So continuously focusing on implementing best in class solutions to ensure that the security is something which is best in class and prepares us to provide a very, very secure experience to our customers in terms of bidding.

To ensure that, our exchange platform is operating at best of class level in terms of durability, deployment speed, scalability. We continuously do technology design transformation and as a part of this, we are working on implementing micro services-based architecture for our key technology platform components.

18

Artificial Intelligence is an area which is being used actively in different functions by businesses globally. And one of the key areas where we feel that it has great value in our kind of businesses is how we can use AI based solutions to look at the various data that is being created in terms of infrastructure monitoring to make the infrastructure monitoring and security monitoring much more robust and much more effective. So that is one area that we effectively work upon.

Another key highlight that we would like to share is that there are a lot of initiatives that the government does around environment and promoting clean energy and one of the initiatives that was launched last year, spearheaded directly by our Honorable Prime Minister is the Green Credit Program, which he launched in COP 28 on 1st December. And we are very happy to share with all of you that IC X; which is our subsidiary company has worked with the Ministry of Environment and Forests and Climate Change to develop the registry platform and the web platform for this Green Credit Program. As we have successfully developed those two - green registry platform as well as the web platform for green trade program initiative. This initiative currently is live post the announcement.

cement by our Honorable Prime Minister and through this program lot of land parcel is being added which will be used for forestry development leading to green credit and environmental growth. So, this is one area where we are using our technology experience, we are contributing to the larger goals of the Government and of our country in enhancing environmental effectiveness. With this, I would request our CFO Vineet to come and talk about the financial performance of the company. Thank You.

Vineet Harlalka: Thank you.

For the actual business, the financials are bit much simpler part in comparison to manufacturing. But still, the investors are more concerned with the final numbers. What is

the outcome of all the activities and all the efforts put in by the BD team , the operation team and all.

So, we had seen the overall opportunities, the triggers, what we were looking at going forward , the technology development. And if you look at the past performance of the Exchange, you must be aware the total overall volume growth ; we achieved a CAGR of around 16%. If we look at the financial year 2021 -22, there was a significant growth and now that things are getting back on the track, and with the 16% volume growth, we are maintaining our operating revenue of around 15%, which is all in line. And despite increasing in the operating revenue at the Exchange, we maintain that there is a significant control over the cost. The cost is still more or less consistent with the 7% CAGR and much lower in comparison to what revenue growth is. So overall, we achieved the PAT of 18% which is much more than revenue or volume growth , mainly because of the more level of expenses and nature of exchanges is such that our operating cost is much more flat in comparison to others and is directly related to the volumes .

This is something I like to highlight to everyone that despite increase in the revenue, the operating expenses are more or less flat around 12%, which gives us good control over the cost side. Overall , there is a significant growth in the EPS of the company. And the one critical thing which I miss ed highlight ing is the kind of investments which were made on the

19

tech nology side - whether it's robustness, whether it's security, whether it's customer centric activities - which are reflecting in the numbers . If you look over the period, the significant amount has been spent on the tech nology side, whether it's capex or opex , both sides to give the best class of experience to our customers and to meet all the infrastructure to put in place , so there is continuity in the operations.

If you look at the total value created for the stakeholders, and we continue to follow our robust dividend payout ratio, which is around 50% of the total profit , we share with our shareholders. And we have been maintaining that ratio at around 64% last year and currently it is around 65 %.

Overall shareholding , though this is file d to the stock exchange on the quarter ended for the June 30. This is more or less in the same line. We have around 15.5 lakh shareholders on 30th June .

If you look at the HR side in IEX, because after Technology , the most critical part is the team . Because the experience and the knowledge , because the kind of robustness for the systems and because systems are there, but you need people to operate to understand the technical ity. For that, we spend a lot of time and effort to train and maintain people and that's why these are the four and five drivers, which we took to keep our people ready for the future roles and for future developments.

The main thing is capacity building , because a lot of new things are coming . How to Upgrade us, our team to meet the new requirement s. And one critical thing which I would like to highlight here is the Cross Border Knowledge . Last year, we had an exchange program with the Turkey Power Exchange . With Tur

key Power Exchange , people came to the exchange (IEX)

for a one week visit to understand how the power exchange business works in India. And then the IEX team went to Turkey to have that similar experience, how the power exchange works in Turkey. And similar ly, we had study tours to Singapore and Berlin to understand how the European markets work and that helps us to bring the worldwide thought process , the working culture , the innovation in the products. So, this is the continuing efforts and the cost we put on that to have a more forward -looking approach to all our activities. And I am just happy to share that for the second year in a row IEX has been awarded as the best (Great) place to work.

Now without taking much time , I request Mr. Deepak Mehta to come and share more details about IGX. Thank You.

Deepak Mehta:

Good evening , everyone . Mine is the last presentation for the evening and I'll try my best to hold you together.

20

So just a brief background, since we already had a success story in IEX, we thought why not we should try in the natural gas sector also. In June 2020, we launched as a 100% vehicle IGX, with no gas exchange regulations in place . We started as a pure trading platform. Post that the G overnment also realized how important this segment is, so they appointed a regulator for this segment that is PNGRB . They came out with the gas exchange regulations somewhere in September -October (2020) and we applied and since December 2020 , we are the only Exchange in India operating under the ambit of PNGRB . Post that, we started looking for key

strategic investors. We knew that we had a very good plan and vehicle in our hands, and we approached few of the key entities and in no time, we could get five important strategic investors. Namely Adani, Torrent, GAIL ONGC, IOCL, all joining IGX. IE X sold their stake to them.

So, there is a restriction from PNGRB, that no member can hold more than 5%, just to avoid that conflict of interest, that's the reason all five are holding 5% each in IGX. And post that we started our discussions with NSE also, one of the most important financial players in the world. So, they took 26% in IGX and balance 47% is currently handled by IEX.

Brief about the IG X model; we have traded more than 12 Crore MMBtu till date. So, when you say 12 crores, each molecule has resulted in to deliveries. There is no netting of f that is allowed. We also facilitate deliveries between buyers and sellers. We have a proper delivery department who takes care of each molecule, the imbalance part, and other things. The main USP you can see here is that on IGX, you can trade for a delivery from one day to 12 months. So, maybe in 2019 nobody thought that buying natural gas for one day would be a reality, but that has become possibility with IGX going live. We have seen trades in all the variations. Our day ahead contract is very active. We have also seen trades in 12-month contracts recently. And we also have a special contract for CGD companies where they have demand from Monday to Friday. We call it a weekday contract. You can see a weekday contract also very actively trading on IGX.

One of the important reforms which was made by the Government was in August 2021, where MoPNG allowed sale of domestic gas on the exchanges. So, by virtue of this, we have conducted 100 plus auctions for Reliance and ONGC, which shows the confidence they have in our systems. Each auction has been done very smoothly by us with no default at all. So, 12-14 crore MMBtu traded till date without any default and without any penalty to any of the buyers and sellers.

You name any prominent entity in this space; they are actively using our platform. Big players like GAIL, you talk about OMCs – HPCL, IOCL, BPCL, they are actively using our platform either to buy or to sell their molecules. So, this is one good thing which we say that tomo

row if

reforms are going to happen or when the Government's mission of increasing natural gas consumption to say 15% of overall energy mix, presence of these players will take our volumes from the initial base. That initial hard work, you can say, we have already done. We have connected them to our platform. Once these opportunities are provided by Government reforms or by increase in infrastructure - laying of pipelines or increase in re-gasification capacity - you would see volumes on IGX increasing like anything.

These are the volume numbers as I mentioned, we started on a very slow note but quarter one (Q1) of this financial has been very good. Highest ever volumes we have seen on the IGX 21

platform almost two and a half times of what we did (the same quarter) last financial year.

Even natural gas consumption in India has been on the higher side I would say in the month of May. India's consumption was around 217 mmscmd which is the highest ever till date. So, we are moving in sync with the physical market.

Our future plans, we are working on LDC contracts. Long duration contracts right now, you have a 12-month contract, but it is on a fixed basis. So, there is a demand from the market side that we should have a contract which is linked to some of the international benchmarks also. So, for this purpose, what we have done, we have entered into a licensing fee agreement with the Platts that's S&P Global Platts. So, by virtue of this, we are now authorized to use their benchmarks, the famous benchmark i.e. WIM, JKM, and Brent. So, once we receive this approval from PNGRB, you would see these assessment contracts also listed on IGX. Maybe then buyer and sellers would have the option to select the index on which they want to either buy or sell the ir produce for a quarterly contract up to a one-year contract. So, exchange is very bullish on LDC contract and approvals are expected very shortly from our regulators. We are also working very closely on CBG and Certificate trading. We just want to take the IEX model forward on what they have in green power. Similar model we want to have such that CBG can be listed as a separate commodity and the certificates generated through those CBG generation can be sold separately on the IGX platform.

We are also in talks with Bangladesh, in case there is a requirement from that side, because their consumption is almost half of India. So now with Dhamra terminal going live, there is a road connectivity through that terminal to Bangladesh. And recently we have the small-scale LNG contract also, which means that you can transport natural gas in liquid form through trucks. So, Bangladesh buying natural gas from India may be a reality in coming months. You might see that on IGX.

We have also started working on hydrogen. It is too early to say but we have already executed a few of the MoUs with ACME and GIFT City and we recently also got the authorization from DGH. What this means is that all the domestic producers in India, whether they are producing from the KG basin or from Coal bed methane, they can use our platform to auction their produce. So DGH usually empanels, five agencies. So IGX is one of the agencies now. We have

not yet conducted any auction till date , but first auction you can see on IGX platform maybe in a couple of months.

Now, few of the growth levers as I mentioned, that government is very bullish on this segment, they feel that by 2030 natural gas demand would simply double. So, if you are consuming say 200 mmscmd today , by 2030 this would be 400 mmscmd and with the growth plans of laying new pipelines and re -gasification capacity going up from say 47 MTPA to 77 MTPA so , IGX can easily say that we can be at least four to five times of what we are today. So, if today we are generating a PAT of say around Rs.27-28 crores , maybe five years down the line you can see four to f

ive times what we are doing currently.

22

That's pretty much from my side . If you have any questions, we'll be happy to answer during the Q&A session . Thank You and over to you.

Thank you team IEX . Please note that the PPT and the audio recording will be available on the website very shortly. I think now is the time when everyone will have a lot of questions. So may I please request the admin team to please set up the chairs and have management team on the on the stage for Q&A. Thank you ,

Participant 1: Hi, Congratulations , for a good presentation Sir. It was very well made. My first question is on the market share right . Our market share used to be very very high . I think till FY22 , post FY23 and I think last couple of years , the market share decline d. What can we do to regain the market share and protect our MOAT?

SN Goel: See, prior to FY22 , the transactions were mainly in Day Ahead M arket (DAM), the RTM market and Intraday and Day Ahead C ontingency (DAC). We did not have any Long Duration Contracts (LDCs) , because there was a dispute between jurisdiction of SEBI and CERC. That was resolved and from 2020 July , I believe the Long Duration C ontracts were also launched . The volume in the long duration contracts started happening from July 22. And as you are aware that these contracts are basically bilateral contracts and in the bilateral contracts, all three exchanges have equal opportunity. So, Day Ahead Market and RTM market continues to be our domain area . Our market share in that is almost about 99 to 100% and in the bilateral transactions also, which are DAC , Daily Contracts and LDC Contracts , Certificates , the market share is about 45 to 50%. So, that is why , there is some dip in the market share and since the new exchange also has come , so, it has affected (market share). But then market share last year was about 83 -84% and we hope to maintain similar kind of market share because the DAM and RTM transactions , they constitute almost about 70% of the total exchange transactions. So that 70% is still with us . Out of the balance 30% again 30 - 40% is with us. So, we hope to maintain that .

Participant 1: Understood . My second question is on open access volume . It used to be very, very large when you got listed , about 40%. And that volume has only declined. Can we as a company can do something about you know, nudging the policymakers to make the right you know, regulations so that open access volumes which you know are stickier even more granular , and that growth has stunted . May be there's something we'll see that while government can do in the near future which would help this business come back.

SN Goel: Yeah, Open Access volumes, you know, in 2015 -16, around that time, it used to be almost about 50 -60% of the total exchange volume s. And more because the clearing price at that time used to be two and a half rupees. And at that kind of rate, there was viability in most of the states in spite of the cross -subsidy and other charges. But in the last three -four years, the clearing price has increased because demand has increased on the exchange platform , Distribution companies themselves are big buyers from the exchange platform. Earlier distribution companies were not very active. So, I mean, distribution companies say that Open access consumers are buying , industrial consumers are buying from us, and we are buying in turn from the exchange. So, in any case, the demand of the country is coming to you. So, because

23

of the increased clearing price , the viability has reduced now . Policymakers they are definitely working on this to have more conducive regulations, but one of the ir issues is the high clearing price .

Participant 1: On the Carbon market, we spoke about the international carbon market, but I think in the budget , the Government is talking about a National Carbon market . What kind of role you se

e for IEX and (if you could give) some colour on the volumes which you foresee ?

SN Goel: See, C arbon markets are going to be of two types . One is a Compliance market, and the other is a Voluntary market . Compliance market will be basically regulated by the Government of India . The Bureau of Energy Efficiency (BEE) is going to be the nodal agency and CERC will be the regulator for that and this carbon market will be operated by the existing exchanges. As far as the opportunity size is concerned, it depends on when they are going to implement this and in which particular sectors they are going to start with . It all depends on

that. They have to also define the baseline for those sectors and then start doing the monitoring and issuing the carbon credits. So, it may take some time, but then in the compliance market the opportunity size is very big. It can be as big as the REC market. And Voluntary market which is we were thinking of targeting through our International Carbon Exchange. There it is voluntary, meaning, any carbon credit which is not covered by the Compliance market can be through the voluntary market.

Participant 1: Thank you. Thank you.

Participant 2: Good Evening Sir. So, just following up on the previous question with the GNA implementation and the shift from DAC to DAM and RTM, Some market share improvement would have happened in Q1 FY25, I reckon for IEX.

SN Goel: On numbers I will request Mr. Rohit to ...

Rohit Bajaj: Yes. So, there was massive improvement after implementation, which was in October 23. So, after October 23, November, December, our market share increased to 91 - 92% because that time there was severe hit in the DAC volume. There was a lot of supply available and there was no need actually for DAC volume. But in Q1 what happened particularly last two to three months, which was election time and then supply crunch was there, certainty was not there, some of the participants were again going to the DAC market and securing power outside the Day Ahead market. So, they were paying the same price for peak power they were buying, but they were buying it from outside the market. Because of that our share has taken hit again (because) there was some DAC market which was happening. But if I compare it with last year, it was definitely less by 50% but still it was there. So our share till in this particular year till now is 80% in Electricity. So, it is a little low in Q1 particularly because being an election year, DAC TAM transaction going on. Our share in TAM is also about 50%. Certificate transaction have increased, you have seen that out of 30 billion units in Q1, 2 BUs was done in certificates only. So all these things put together has put some pressure, but we expect that as the supply will continue to ease in months to come, we can again go back to ...in fact, if I talk about July month, our market share is 90%. June month it was 90%. So, we suffered some losses initially, but we are recouping it and going forward again we would be reaching 84 -85% Level.

24

SN Goel: See, three -four months in a year when there is a high demand prepared, this DAC and bilateral transactions increase and during that time and the share comes down slightly to 75%. But rest of the time it is in the range of 85 -90%. Overall, we definitely will be achieving 83,84, 85% market share.

Participant 2: So taking a cue from that, you know, the REC volume will...

SN Goel: Even with this market share, I expect the volume growth that will continue to happen at a good rate.

Participant 2: And it's heartening to see the REC volumes going up so sharply and you spoke about how the pricing has declined. But how has the backlog of you know pan India, REC shaped up over the last one year. So, what has been the liquidation? What is the potential increase if you can see given the RPO obligations?

Rohit Bajaj: Yes. So, there was one change in the

regulation or change in the policy rather,

where hydro is also now included as RE. Earlier small hydro was RE, but now, big hydro is also considered as RE. Now, because of that, suddenly States like Uttarakhand, Himachal, all of them, they have become surplus, and they have filed for Issuance of these Certificates, and they got issued in bulk, huge numbers. So, today inventory stands at more than 3.5 crores. Demand as we see, we have seen that in the first quarter, it was 30. Last year, if I talk about complete last year, overall demand was in the range of 70 lakhs only. So, as against 70 lakh demand, there is huge inventory, which is there, and this is precisely the reason why prices are coming down so drastically. As I mentioned from Rs.1,000 It has come down to Rs.128. But, good news here is that Rs. 128 is a price point at which many utilities and many consumers are interested to meet their RPO obligation. So, they were not keen to meet RPO obligation at 1,000 because cost was huge, but this has come at a price where they are really interested. And precisely for this reason, we have seen some traction in Q1 and we hope that this momentum is going to continue and we will achieve very good numbers in this particular year.

Participant 2: So, given the need for you know the RPO targets being what they are, so 70 lakh liquidation run rate, can it go to 140? I mean, what is stopping that? Because if everybody has to be RPO compliant, what is the requirement. Requirement must be very high.

Rohit Bajaj: So, I'm not I'm not getting the question.

SN Goel: RPO requirement is definitely high. And unfortunately, the monitoring of the compliance is not very strict. So, there are many States who are still not meeting the RPO compliance. Because, for distribution company purchasing power is more important, supply of power is more important than spending money for meeting the RPO compliance and many State regulators have been giving them you know, carry forward and all those things. But looking at the price, I think now states are becoming active. And also what we understand

that MNRE and BEE they are also (becoming stricter) because now this RPO compliance is coming under the Energy Conservation Act. So they're also now going to take strict actions and they're also considering to have a penal provisions for non-compliance. So, it is expected that this compliance market will improve significantly and going forward what you are saying that 70 lakh can become 1.4 crores, yes it can and it will.

25

Participant 2: Yeah, because otherwise the backlog will just keep increasing. And just a quick question, you know, coal is not as a homogeneous commodity like you know, gas or electricity you know. So how do you basically trade a contract where there could be disputes on the actual GCV and Sulphur content and so on?

SN Goel: Yeah, I think coal is definitely not like electricity or gas. It is not a homogeneous contract and transportation issues are also there, but then we will find out solutions for that also. One is that there is at the moment third party sampling, which is accepted by everybody. So, that will be the criteria for dispatch of coal – that whatever is the third-party sampling results that will be binding on the buyer. And second is railway transportation and in addition to that road transport. So these models will be considered. So, we have ideas in mind how it can be done. We have also appointed consultants who had worked in the coal sector. And just to understand about the coal market in the country, how to create a market, we are working on this. So as and when there is opportunity, I'm sure we'll find out solutions to all these problems, and we'll be able to launch a coal exchange.

Participant 2: Last quick question on IGX. The volumes in Q1 even though they are higher on a year-on-year basis, the run rate is still lower than FY 23

peak. So, why is it the volumes

actually came off from the FY 23 Peak and what is required to get it back?

SN Goel: One of the reasons was that demand from the power sector was high this time and power sector also contributed significantly to this volume increase. And secondly is in any case, volumes on the IGX platforms are very small at the moment. So every year you will find that there is a growth in that volume. So 40% of the volume which was done on the IGX platform was from the power sector I believe.

Participant 2: Thank You Sir.

Participant 3: Thanks for the opportunity. So, for IGX we mentioned you know, in next five years, we expect it to be IEX equivalent. And even when we look at IEX scale up since the initial days in 2008 to 2013 it was pretty fast, whereas for IGX, that has not been the case. What do you think are the constraints, which if it gets resolved by the government can lead to a faster scale up.

SN Goel: See in case of electricity, fortunately, all market enablers were in place, when we started the power exchange. We had a regulator in place, we had open access provisions in place, transmission company was an independent company, and open access regulations were in place. Then in power, there is no tax on Interstate transactions. So, because of that, it was possible to do transactions through the exchange and we could see significant volume growth. In gas unfortunately, there are a few problems. One is that gas is not under GST. So, each State has its own taxation mechanism. And these taxes are ranging from 3% to 26%. So, we have to do fragmentation of market, we have to create different hubs depending on the taxation of the States. So, that is one issue. You can't have standard contracts, you know, that is the USP of the exchanges. Second is, even today, we have the same gas pipeline operator and the gas trading operator. So, that is another issue, which is there in the market. We have been advocating with the Government that gas pipeline operators should be independent bodies, so that gas pipeline allocation can be done in a transparent manner as has been done

26

in the power sector. These are some challenges. So I'm sure Government is working on them. GST is definitely one thing we are hearing that gas definitely will come into GST and come will come very soon. Gas transportation system operator, this issue was also discussed earlier. And in fact, there was a news that they are going to create a Government company which will be owned by maybe these PSUs that will be operating the gas pipeline network. So all these things are there in the news, let's see when that happens. But in spite of these challenges, I must say one thing that IGX has done good volume growth. And in between, there was a dip in the volume because of the very high increase in the gas price. You know, when the Ukraine war started, gas price increased to \$25 per MMBtu to \$30 per MMBtu. At these prices, India cannot afford that LNG gas. So the volumes had reduced in India. But now since the prices have come down, I'm sure volume should pick up again.

Participant 3: And any latest update on MBED and market coupling, from your communication with the government on implementations. Where they are right now?

SN Goel: MBED word I'm hearing after a long time, I think it is a couple of years. So MBED is no more in discussion and market coupling, yes, market coupling also from the last four-five months, there is no discussion on that anymore.

Anyway, let me give you a brief update on that. CERC came out with a discussion paper

sometime in the month of August (last year) . And then there were comments by the sector participants . Most of them , more than 75% suggested that there is no need for market coupling . It will not provide any value , it will not add any value in the market . The need is to bring more liquidity in this market. And based on all these suggest

ions C ERC on 6th of February

had issued an order. And in that order, I'm sure you must have read that order CERC has mentioned that they did simulation for three months data . And by doing plain vanilla coupling of RTM market or DAM market of the three exchanges, there is no benefit. In fact, there was hardly any difference in the cleared volume increase or the price reduction . There was negligible impact in the social welfare increase. And they have concluded that there is no benefit by coupling the three exchanges either in the DAM market or the RTM market. And it is true also because , one of the exchanges, if it has 99% market share, what advantage will you get by coupling . But, they further said that to bring more liquidity in the market and to create some optimization in the market can we couple the RTM market along with this SCED market . And they have directed NLDC to develop the software in two -months time and then do the simulation for four months. And based on the simulation results, they will take a call whether there is any benefit in that and can it be done ? Should we go ahead with that or not? And even for doing that, what are the challenges ?

So, all those things will be considered before taking a decision . As of now, what we understand is that six months have passed and because in the order they had said that given the simulation is done, the results should be hosted on the website every day , so that participants can see that and analyze that. So far that simulation study has not started . What we understand is that NLDC is in the process of developing the software for RTM market and they are doing the fine tuning on that . Thereafter , the software to couple the RTM and SCED will have to be developed. And for developing that you will have to define the logic how the coupling is to be done. And software development is not that easy an process , it takes a lot

27

of time. So it is going to take time and after the simulation , then C ERC will take a call whether it's to be done or not.

By the way, let me also , since you raised this point, I would like to say two things about this. The SCED market . SCED is basically operated among those generating companies which have long term PPAs. So under the Long Term PPAs all those generators are assured fixed charges, under the PPA . They get coal under the allocation route , which is at that the administered price. And in the SCED market, the un-requisitioned power is optimized, costly stations are backed down , and cheaper stations have ramped up . That is how the optimization is done in the SCED market . In the RTM market, the generators who participate are merchant generators ., they have to recover their fixed charges also in this RTM market only and also they have to purchase coal from the e-auction route where the rates are higher. So, I think these are two different set of generators. Can we really do coupling of these two different set of generators? This is a question which we may have to , I mean, when C ERC takes a decision, they will have to also think about these kinds of implications.

So, and then, after that, there are many challenges in implementation of this . The physical settlement and the financial settlement under the RTM and the SCED market is very, very difficult . Because in the SCED market , you have all these generators who have the PP As. You can see almost about 60,000 -megawatt capacity is there and in the RTM market all the merchant generators are there , the market size is only about 100 MU (daily), whereas number of participants are huge . So financial settlement between them is going to be another challenge. I think there are many issues. So let's wait and watch. I don't think there is any big merit in doing coupling of RTM and SCED market, but in due course of time and once the simulations are done , and all these issues are deliberated, then a decision will be taken. And

another point is , you know in the SCED market, it was basically optimization of the URS power. Now, Government of India has already issued a rule . They have amended the Late Payment Surcharge Rule where they have directed that all generating stations have to offer the URS power on the exchange platform. Otherwise, they are not entitled to the fixed charges to that extent and that is the law of the land. All these generators have started offering some URS power on the exchange platform. So, a good part of the optimization which they were doing in the SCED market has already started happening in the RTM market and the Day Ahead Market and so , the opportunity of having further saving is reduced. So, I mean looking at all that, I don't think there is a strong case for any coupling .

Participant 4: Sir, Devesh here. A couple of questions from my side . Firstly , when you talked about market share, within TAM segment if you can help us understand is there a difference in the market share between DAC volumes and the LDC volumes . And tomorrow, when longer term LDC volume starts to come, would IEX have any advantage over the other exchanges?

Rohit Bajaj : Yes, so, in the three months segment particularly, our share has been always

more than 50 -55% plus, we have been maintaining that . And why ? Because large set of generators are our members, all the generators who are there in the country they are our members, and these (auctions) are purely done on merit basis . There is more participation in reverse auction , prices are more efficient and then the final price discovery happens and then they take call on going for scheduling that power.

28

So, we feel that our market share , we are going to be the major player in that segment . But yes, that share cannot be 90% or 100% , as we have seen in case of collective transaction. There are other exchanges also where they will also see some participation and share will get distributed, but we aim to maintain 60% plus market share in 11 -months Longer duration contract .

But if I talk about DAC and intraday, the smaller segment , there the competition is you can say is really too much and they want to go to platform , the participant they want to go to a platform where the liquidity is less. So, what they do is where liquidity is less when the buyer and seller are going there, they could match themselves and then supply can s chedule on the basis of their requirement. So 11 months, first of all the opportunity size is very big . 40BU opportunity size which is currently being done on the DEEP platform . we should be able to capture large part of it and aim to get more than 60% market share in that .

Participant 4: And you also talked about Green power being one of the growth driver for you . But in the past, we have seen variability in green power . There were years when the green power had declined significantly on the exchange platform . It has come up now again . What has been the reason for this ?.

Rohit Bajaj: Yes. So, this is very relevant . We have seen a dip for almost more than a year . There was a time when first year we did good and then after that there was a sharp decline in the green segment. That happened because that time all the sellers were actually distribution utilities . Seller on exchanges were Telangana, Karnataka and somewhat Tamil Nadu. So, these three states were participating as a sell and there was lot of demand or earlier also in today also . But suddenly what happened last year when our overall demand grew by 7.7% , you must have seen states like Karnataka, their demand actually increased by 25% , Telangana increased by 15% . Many of these States they were not able to meet their own demand and they stopped selling. So, last year, because all the RE ri ch states , those who were selling earlier , they stopped selling and our volume went down . But this year what we are seeing is the increase that

has happened it is not only because of the States coming to participate, it is more because of IPPs coming and selling. So, today a lot of generating stations where they have early commissioning, they are selling , some of the generating stations where they have merchant power they are also selling. So, first quarter there was none of the States that were coming as a seller , entire growth that we have registered is all because of IPPs. Now, when I say that we have done 44 million unit today, there , there is some part which has come from State also. So going forward as the State supply situation will improve . We expect State will also participate , and IPP participation will only increase . There is about 2 ,700 megawatt which we are following up where this is purely on merchant route , this will also get commissioned in less than six month' s time . That also we are seeing as a good supply potential. So we are very optimistic about green segment as such . We expect lot of sell volume would be there and there is no dearth of buying . Everybody is interested in buying green power, because by paying 10 ,20, 30,40 paisa premium , if they are getting Green power, they are meeting their RPO obligations and then using this for so many different purposes .

Participant 4: And lastly Sir, you did mention about different technology, different OTC contracts coming up , or different new er technologies coming up, which is kind of flattening

29

the demand curve through the day. So, there was earlier , we used to have evening peaks and now, we also see demand kind of peaking through the day , right. So, there is basically a flattening of demand curve that is happening. Now, I understand that for exchanges the volatility between the demand peak and trough used to drive the volumes. So, does this flattening of demand curve , can again lead to signing of PPAs by SEBs or impact the Volumes growth for the exchanges ?

Rohit Bajaj: Yes, very relevant point . Diversity is always good for power markets, if there is some peaks and troughs then people will participate to meet that. So, what I meant was, there is already a lot of huge diversity . I shared one graph with you where there is more than 25,000 (MWh) power available during the daytime and very less available in the peak . And there is so much demand during the evening hours. So, now, if we start to flatten this curve, so, there is line at this level and if you start to flatten this curve probably , we will end up somewhere which is 20 -30% higher , which is a straight line but 20 -30% higher than where it is today, right. So, flattening means we are trying to bring excess supply which is there into some areas where there is so much demand , so we are trying to meet that. This particular phenomenon where so much diversity currently exist, if we can flatten it, there would be

definitely increase in the overall cleared volume. But again, because of these technologies, the troughs and peaks will still be created going forward. It is not that if we are changing or bringing everyone together the flattening will happen and it will remain like that. There is one effort which is going in the direction of flattening it and there are some natural tendencies where peaks and troughs are created and what we are trying to do is that we are trying to leverage these peaks and troughs and trying to maximize the cleared volume.

Participant 4: Perfect, thank you Sir.

SN Goel: So, in fact, you know, variation in the demand and supply on the seasonal basis will continue to happen. And second is even if the demand starts shifting during the peak time, daytime, the morning and evening demand of the commercial sector and industrial sector will continue to remain. So, if we have storage. In fact, you know what we have seen is that storage will purchase power during the daytime that is one transaction and will sell that same power in the evening hours.

. So, the transactions will multiply. That is, they're going to provide a bigger opportunity for the exchange. In the process of flattening the demand also there will be a better opportunity for us.

Participant 5: So, as you have the highest market share still in this segment, you also have a lot of data pertaining to exchanges, to price discovery and things like that, which I'm sure you are leveraging for your customers. Is that something that has a lot of commercial viability, where that can help you gain market share? So, basically providing the data that you have to your customers for better price discovery and to make better power purchase decisions. Is that something that you think in the long run will help you gain market share?

SN Goel: Now, as far as data is concerned, power sector data is transparently available to everybody. We do not have any additional advantage because of that. But our business development team and strategic team they do a lot of data crunching analysis of the data, interaction with the States to understand their requirements, and how can they take

30

advantage from exchange transactions. That is our USP and that is how we get the customers on the exchange platform. You must have seen a couple of articles on how Andhra Pradesh this during the COVID time they did large purchase from the exchange platform and optimized, saved almost 2,300 crore rupees by purchasing power through the exchange. Similarly States like Telangana, States like Himachal Pradesh, States like Uttarakhand, DVC, West Bengal, they also have made a lot of savings. So, you know, we interact with them, we tell them how they can use the exchange platform. So, that is the way we do it.

Participant 5: Thank you

Participant 6: Sir, just one question I have. In the past few months, we have seen that there is a difference between the cleared volume and the final scheduled volume, almost 2 to 3% is being lost. So, are we facing any kind of congestion or curtailment? And do you think that this problem can increase or decrease going forward some comments on that?

SN Goel: Yeah, this is happening from 17th of June precisely. Northern Region there is a very high demand because the climate is slightly hot and humid rains are still not there. And Western region we had good rains, in Southern region we had good rains, so demand has reduced. So a lot of power was flowing from West to North. And that led to outage of Champa - Kurukshetra 6,000 megawatt HVDC line one day and that could have resulted into grid disturbance. But fortunately, because of the very prompt action by the Grid operator, the situation was saved. Now they have become slightly cautious. And that is why we are seeing some congestion, particularly during the night hours, and the demand is high in the Northern region (during that time). But I think now the rains have started and demand is going to at least moderate. So this congestion will go away. This is a short-term congestion.

Participant 7: I just have one question. So more of a technical kind of question. So how does that demand match happen? Like? I mean, one state has surplus power, and comes on your exchange and another state needs that power. And that's how the trading takes place. But is it exactly I mean, it's entirely technology driven, or there's some kind of manual intervention also, when you do this demand matching,

SN Goel: It is all technology driven. See we have in the Day Ahead Market, we have more than 500-600 participants who participate here. They submit their bid during that particular morning slot of 10 to 11 o'clock and then the matching has to be done within a short time, and details need to be sent to the NLDC. So these things cannot be done manually. This is all technology platform doing it in the auto mode, all these things. If you want further interaction on that, I'll be happy to do that. Mr. Amit Kumar

, who is heading the Market Operations and Technology he will explain to you, but you will need good amount of time to understand that part of it.

Aparna Garg: If you don't have any further questions, we request you all too please join us for the networking dinner. Thank you, everyone.

SN Goel: Thank you and we can have more questions during the networking, dinner and the snacks .

Call: Oct 2024

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The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on October 25, 2024.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on October 25, 2024 to discuss the financial results of the Company for the quarter ended September 30, 2024.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

Page 1 of 16

"Indian Energy Exchange Limited
Q2 FY '25 Results Conference Call"
October 25, 2024

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ANALYST : MR. SUMIT KISHORE – AXIS CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Indian Energy Exchange Q2 FY '25 Results Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the

Indian Energy Exchange Limited
October 25, 2024

presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sumit Kishore from Axis Capital Limited. Thank you, and over to you, sir.

Sumit Kishore: Thank you, Neha. Good afternoon, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all for the IEX Q2 FY '25 Earnings Conference Call. We have with us the management team of IEX, which is represented by Mr. S.N. Goel, the Chairman and Managing Director; Mr. Rohit Bajaj, Joint Managing Director; Mr. Vineet Harlalka, Chief Financial Officer; and Ms. Aparna Garg, Head, Investor Relations and Corporate Communications. We will begin with the opening remarks from Mr. Rohit Bajaj, followed by an interactive Q&A session. Over to you, sir.

Rohit Bajaj: Good afternoon, everyone. I welcome you all to the IEX Earnings Call for Q2 FY '25. With me today on this call are Mr. Satyanarayan Goel, CMD IEX; Mr. Vineet Harlalka, our CFO and Company Secretary; Mr. Amit Kumar, Head of Market Operations, New Product Initiatives & Exchange Technologies; Ms. Aparna Garg, Head of Investor Relations and Communications; and Mr. Aditya Wali.

Friends, Modi government 3.0 recently concluded 100 days, maintaining its thrust on infrastructure development, innovation push and economic growth. The Indian economy continues to be the world's fastest major economy with yet another reported quarter of robust GDP growth. The economy grew 6.7% Y-o-Y in Q1 FY '25, allowing the RBI to retain its GDP forecast for FY '25 at 7.2%. In the wake of Q1 GDP growth, the World Bank has also revised its GDP growth projections upwards for FY '25 to 7% from 6.6% projected earlier.

On the power sector front, electricity demand growth during the second quarter slowed on the back of better-than-expected monsoon. Monsoon was 8% higher than the long-term annual average. Power demand at 435 billion units in Q2 was largely flat at plus 0.5% Y-o-Y with a peak demand of 227 gigawatts. However, in the first six months of FY '25, power demand was higher by 5.6% over the previous year.

To meet India's growing energy demand, the Ministry of Power has maintained its focus on capacity addition and strengthening of overall power infrastructure. Almost 28 gigawatt of thermal capacity is under construction, out of which 15 gigawatt is expected to get commissioned in this fiscal and the balance 13 gigawatt in the next 2 years.

Further, 58 gigawatt of capacity is in various stages of planning, statutory clearances and bidding and this should come in the system over next six to seven years. Capacity addition is being regularly monitored by the Ministry of Power. In addition, 40 to 50 gigawatt of renewable capacity is to be added every year until 2030. The government also plans to add 39 gigawatt of pump storage project, PSP, by 2030, out of a total potential of 184 gigawatt.

Recently in September, MNRE issued guidelines for Viability Gap Funding scheme for offshore wind energy projects worth 1 gigawatt across the States of Gujarat and Tamil Nadu. It is Indian Energy Exchange Limited

October 25, 2024

Page 3 of 16

proposed in the scheme that any un-requisitioned power from these projects can also be sold on the exchanges. This is expected to increase sell-side liquidity on the exchanges.

At the recently concluded Global Energy Investors meet in Gujarat, our Honorable Prime Minister also underscored India's strategic growth to expand its renewable capacity to 500 gigawatt by 2030. Energy developers at the meet pledged substantial commitment to capacity creation under their Shapath Patra Agreement. At the event, the government also highlighted plans to develop 17 cities as a model solar cities.

ities.

On the fuel side, this fiscal has not seen any shortage so far. Coal is available through the e-auction route at a very nominal premium of 10% to 20% with respect to the administered price and coal inventory today stands at about 14 days. Imported coal prices in Q2 have also been competitive at \$52 per ton. Similarly, gas prices at \$12 per MMBtu have remained largely stable in the first half of FY '25.

With favorable monsoon this year, high hydro and wind generation and ample availability of fuel has led to higher liquidity on the exchange platform with sell liquidity increasing by 41% over H1 FY '24. With these strengths in liquidity, volume growth is expected to continue going forward.

Let us now talk about important regulatory updates and policy initiatives that helped deepen power markets.

Recently in a draft, the CERC has proposed various changes in terms of a head market design, which will align TAM products across exchanges and also help in improving liquidity.

The Deviation Settlement Mechanism Regulation 2024 has made deviation management more stringent. This is likely to promote further discipline leading to better grid stability. Under the proposed amendments, deviation charges are again linked to grid frequency. With regards solar and wind generators, deviation percentage allowed for levy has been narrowed to 10%. This is expected to further increase RTM volumes at exchanges.

With regards to cross border electricity market, the CEA has allowed generating stations selling cross border power through a dedicated transmission line to facilitate sale of power within India in case of sustained non-scheduling of capacity or default notice issued by a generator for debt delayed payment under their respective PPA. This has the potential to increase liquidity on the exchanges.

To meet high power demand, the MoP recently extended Section 11 directive to imported coal-based plants to operate up to 31st December 2024. These assets will be utilized to meet country demand and support liquidity on the exchanges.

To address challenges posed by seasonal variations in electricity demand, which led to sharp surge in power consumption during crunch periods, the CERC recently issued an order to ensure adequacy of resources, identify generation, demand response capacity and generation flexibility requirements.

Indian Energy Exchange Limited
October 25, 2024

Page 4 of 16

Under the amendment to Late Payment Surcharge (LPSC) rules, the government has directed all generating stations, which have long-term PPAs to offer un-requisitioned power on the exchange platform. As a result, about 100 million units of URS power from central generating stations is coming to the exchange platform, out of which 15 million to 20 million unit is getting cleared on daily business. Soon generating stations which are within the States will start to offer URS power on the exchange, which will further increase liquidity on the exchanges.

Under provisions of Energy Conservation Act 2001, the Gujarat Electricity Regulatory Commission has introduced stringent compliance norms for obligated entities. In the event an obligated entity does not fulfill its renewal purchase obligation and also does not purchase the certificates, the Commission has introduced payment of traditional penalty up to INR3.72 per unit for shortfall in the specified renewable energy consumption targets. This should promote compliances and help maintain a vibrant REC market.

These changes are expected to be positive for exchanges and are bound to improve sell-side liquidity and soften power prices. As prices continue to remain competitive, it is expected to present an opportunity for DISCOMS and Commercial & Industrial consumers to optimize their power procurement costs.

IEX business performance during Q2 FY '25 has been strong. We recorded a total trading volume of 36.7 billion units in this quarter

with a growth of 38.2% on year-on-year basis. For the first half of FY '25, IEX traded volume of 67 billion units, a growth of 30% over the same period in FY '24.

Consequent to reduction in REC prices, we revised our transaction fee on RECs from INR20 per certificate to INR10 per certificate on either side of transaction with effect from 12th August, 2024. In Q2, a total of 63 lakhs certificates were traded, a jump of 277% over the same quarter last fiscal.

RTM segment has seen strong growth this fiscal. For Q2 FY '25, RTM volumes were higher by 31% Y-o-Y at nearly 11 billion units, showcasing its critical role in developing Discoms and open access consumer efficiently manage short-term electricity needs. In September 2024, RTM recorded the highest single day trade volume of 173 million units. And RTM also achieved its highest ever monthly volume of nearly 3.5 billion units. The share of RTM in our overall product mix has also increased to nearly 30% over the last two quarters from 27% at the end FY '24. RTM's ability to offer flexibility and immediate responsiveness highlights the opportunity to efficiently integrate renewables with the grid. Similarly, for the quarter, Green market volumes rose to 246% to nearly 2.6 billion units as compared with Q2 FY '25.

In terms of new products, we continue to await approval from CRC for our long duration contracts. We have already filed a petition with them for approval of 11-month contract on which the hearing has happened and order is reserved. Further, we have filed petition with CERC for approval of Green RTM segment. Green RTM would provide opportunity for RE sellers to avail price premium over conventional power and also buyers to avail Green attribute of electricity. This segment shall also help reduction in variation exposure due to weather events by providing an avenue to trade Green power just one hour in advance.

Indian Energy Exchange Limited
October 25, 2024

We are happy to inform that our wholly -owned subsidiary, International Carbon Exchange has been accredited as India's first renewable energy certificate issuer. I -REC is globally recognized digital certificate that serves as a transferable proof of generation of 1 megawatt hour of energy from renewable sources.

Further, the Honorable Minister of Coal, Shri G. Kishan Reddy Ji earlier this week announced that India's first coal exchange would be set up soon and that the exchange would work under the supervision of Coal Controller Organization . IEX has been working with stakeholders to explore this diversification opportunity.

On another front, in August, the draft guidelines for Authorization and Functioning of Extended Producers Responsibility , EPR Trading and Settlement Platform for Plastic Packaging has been issued by the Central Pollution Control Board. This will help in the transparent and competitive price discovery for EPR certificates through an online platform. EPR certification ensures proper recycling, reuse, end -of-life disposal of waste generated from electronic and plastic products. It is expected that this would be extended to other types of waste, such as e -waste, battery waste, tire waste, used oil waste, etcetera. We are working with stakeholders to evaluate business diversification opportunity in this segment.

Let us now summarize the financial performance of the company in this quarter. On a consolidated basis, revenue for the company grew 26.2% on year -on-year basis in Q2 FY '25, increasing to INR167.8 crores from INR133 crores in Q2 FY '24. Consolidated PAT increased by 25.2%, rising to INR108.3 crores in quarter 2 of FY '25 compared with INR86.5 crores in quarter 2 of FY '24.

IGX traded volume of 118 lakh MMBtu for Q2 FY '25 compared with 195 lakh MMBtu traded in Q2 last fiscal. Profit after tax for IGX for Q2 FY '25 came in at INR6.1 crores compared with INR7.8 crores in Q2 FY '24. F

or the first half of FY '25, IGX recorded a PAT of INR13.6 crores, higher by 20.7% compared to the same period last fiscal. Gas prices have remained stable over the last two quarters, and volumes are expected to pick up as we approach the winter months. Way forward -- Friend, the power sector is undergoing rapid visible shift. A year ago, battery storage rates were almost about INR10 lakh per megawatt per month. But rates in the recent tender of NVVN have come down to about INR2.37 lakh per megawatt per month under the VGF scheme. The competitive rates in BESS make a promising case for market development. Prices on the exchange provide enough arbitrage to make BESS commercially viable at the current prices. This will improve liquidity during non -solar hours and will help in meeting peak hour demand.

With the CEA forecast of peak power demand of 458 gigawatt by 2032, power consumption growth will continue to drive exchange volume growth. On the liquidity side, MoPs initiative on renewables and thermal capacity addition will keep power procurement cost stable. The regulatory environment and government initiative to facilitate the path of energy transition shall continue to support market development. IEX shall also continue with the diversification initiative within the sector to grow them to significant value.

Indian Energy Exchange Limited

October 25 , 2024

As India marches towards achieving its net zero target, there is bound to be a growing role of power exchanges in the country 's energy landscape and IEX shall continue to be part of this journey.

Thank you. And now we can have questions and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities Limited. Please go ahead.

Mohit Kumar: Good Afternoon Sir! Congratulations on a very good set of numbers. My first question will be, what is your market share in this quarter vis -à-vis other exchanges?

SN Goel : Our market share has been almost about 83% now.

Mohit Kumar: Understood, sir. My second question, sir, is on the transaction fees. When we take the revenues and divide by number of units, it seems like the transaction fees for the quarter is INR3.7 per unit. Are we giving a discount?

SN Goel : In case of REC market, the rates have come down. REC rates are now almost about INR120, INR110. So , we have reduced the transaction fees from the REC. And this is because of that.

Mohit Kumar: Right. My third question is, we're looking to start the new product, which is more than 3 months. Where it is right now? When do expect to launch the product?

SN Goel : CERC hearings are complete, order is reserved . So, we are waiting for the CERC order.

Mohit Kumar: Understood, Sir. And last question Sir, has Grid started the pilot study for market coupling ? Where is it right now?

SN Goel : They are yet to submit the report.

Mohit Kumar: Have they started the pilot or is it still awaited ?

Rohit Bajaj: We are really not aware about it .

Mohit Kumar: Okay . Understood sir. Thank you and all the best, sir. Thank you.

Rohit Bajaj: What we understand is that they were in the process of developing the software, they were taking the data from us to validate the software. But what has happened in the simulation, we are not aware about that.

Moderator: The next question is from the line of Sumit Kishore from Axis Capital Limited. Please go ahead.

Sumit Kishore: During the September quarter, the REC volumes kept coming off from July, which was a very good month, followed by a lower number in August and further decline in September. What was the dynamic here, although REC in each of these months were much higher than the prior period on a year -on-year basis? And what is the likely road map going forward now that REC prices have come off so substantially?

Indian Energy

Exchange Limited

October 25 , 2024

Page 7 of 16

SN Goel : Volumes were significantly higher in the month of July because Bihar is one state where there was a lot of deficit and they purchased good amount of RECs . And since they completed their RPO compliance in the month of July by buying significantly higher number of RECs , so in August, September, they were not there, DVC was not there. And because of that, the numbers have reduced.

But I'm sure that trend with respect to last year, increasing trend, that will definitely continue because REC rates have come down, and there are many interested parties who are going to do their RPO compliance and purchase the REC.

Sumit Kishore : Very clear. The second question is that in a quarter where India's power demand growth was barely up 0.5%, IEX electricity volume growth was up 23%. So aside from the factors of better fuel availability, lower cost, better liquidity, were there any other factors or anything structural , which would imply that the momentum of growth would continue going forward as possibly power demand actually may pick up at the all-India level? Your thoughts there, please.

SN Goel : Yes, demand is definitely expected to increase. I mean, India is a growing economy. Our GDP is increasing at a rate of 7%. If GDP is increasing, power demand is also going to increase. And government also has taken many initiatives to increase the electricity consumption. And I'm sure the projections are, the demand for electricity is going to increase at a rate of almost about 7% for the next seven , eight years. And if that is the case, then definitely exchange transactions also will increase , because 7% of increase, that is almost about 130 billion units increase. And I'm sure a good part of this incremental demand will come to the market.

Sumit Kishore : Sure. How is the month of October panning out so far in terms of electricity volume growth?

SN Goel : It is a growth, but October demand is slightly lower because of the temperature dip in the Northern region and also rains in the South and East . But there is an almost about 8% kind of volume growth.

Sumit Kishore : Thank you so much Sir.

Moderator: The next question is from the line of Bharani from Aventus Spark.

Bharani: Yes. So, my first question is on the transaction fees. Now in April 2023, when the transaction fee was approved by CERC for IEX, the document talked about the regulator asking the commission to come out with a discussion paper outlining global best practices on transaction fee and after that you can take a call on the transaction fee if needed. So just wanted to get your sense on, one, where is this process? And second, in your opinion, whether the transaction fee for all the electricity products will be changed in the future, especially given now even we ourselves have decreased transaction fee in REC products where prices have come down?

SN Goel : April '23 order did not specify any timeline for the discussion paper. So as of now, to our knowledge, nothing has happened and nothing is happening on that. But as far as transaction fees is concerned, I think this issue has been deliberated multiple times in CERC. In 2018, also CERC order came. And there also, they had allowed 2 paise as transaction fees. It was again allowed in the 2021 regulation and then again, in 2023 orders.

Indian Energy Exchange Limited

October 25 , 2024

Page 8 of 16

And you rightly said, that in case of REC since the rate has reduced, we reduced the transaction fee. But in case of electricity, our transaction fees is continuing at two-paise on either -side right from 2011 when the electricity rates were almost about 2.5, 3 rupees . Today, electricity clearing price is almost in the range of INR5. In spite of that, we have not increased the transaction fees.

And even if you look, the trading activities, what is happening in the sector,

there regulator has

allowed transaction fees up to seven paise per unit. Government of India company SECI, when they are buying power from the renewable generators and selling it to distribution company, they are also allowed a trading margin of seven paise. So, if that is the case, I don't see any reason why this four paise transaction fees will not be allowed or will be considered as high.

Bharani: Sure, I think that is good to know. Second question is on market coupling. Now in February 2024, when the result of the initial pilot study was given by CERC, the document talked about doing further pilot study, especially focusing on whether coupling RTM market with SCED market is any beneficial. Now my question is, in layman terms, why should coupling in RTM and SCED be considered. If you can conceptually explain rather than coupling in the overall market?

SN Goel: See, CERC in the order which was issued in the month of February, they have very clearly mentioned that they did simulation for 3 months. And based on the data, they did not find any merit in coupling only RTM market or only DAM market of the three exchanges. So one of the suggestions which they received was to couple the RTM and the SCED, and just to explore it further, they have given the order to Grid-India to do the simulations and see if there is a merit in that.

But let me tell you, SCED and RTM are 2 different kind of markets. SCED is basically among the generating stations who have long-term power purchase agreements where the fixed cost is assured under the PPA. They sell power on the basis of the variable cost, regulated variable cost. In case of RTM market, the generators are merchant generators and they have to recover the fixed and variable cost to the market. And even the coal, which is given to the PPA generators is through the FSA route at the administered price, whereas merchant generators buy coal from the e-auction route. So I think these two are two different sets of generators.

So theoretically speaking, coupling between these two set of generators is something not desirable. But then some simulation studies are going on and we also know about, what kind of benefits they're getting in the SCED and how much of volume is getting cleared in the SCED, all this data is available in the public domain. And if you couple these two markets, significant benefit is not going to happen.

The incremental benefit is going to be very very low. And I don't think for that kind of a small benefit, CERC will go ahead. I mean implementing this kind of a coupling is very, very cumbersome activity, and it also involves cumbersome financial and physical settlement process. So, I don't think it is worth taking all that pain, but then again we are waiting for that study report and then CERC order thereafter.

Bharani: That is very clear. Thanks for answering.

Indian Energy Exchange Limited

October 25, 2024

Page 9 of 16

Moderator: The next question is from the line of Chirag from Keynote Capital. Please go ahead.

Chirag Maroo: Thank you for the opportunity. Would it be possible for you to give market share product-wise?

Rohit Bajaj: Yes. So in day-ahead market and real time market, which are collective segment, our market share is 99.5%. In the term-ahead market, our market share is about 40%, which overall, on a total basis, it makes it 82.7% or 83% in electricity. In certificates, it is 60%. And overall market share in H1, first six months is 79%. Electricity it is 83% and certificates it is 60% and total is around 79%.

Chirag Maroo: Right. Sir, second, I wanted to understand one thing as the earlier participant also asked, there was one simulation taking place related to RTM and DAM which didn't make it through because majority of the volumes were used to come from the IEX itself. So even if there is market coupling...if this RTM and SCED based market coupling goes

forward also, does that mean all

the products will be coupled or it will be just two of these products in the market?

SN Goel: We don't want to comment on that. Let CERC decide about it first. And thereafter, we will talk about this. As of now, the simulation is basically for RTM and SCED.

Chirag: Sir, third question I just wanted to have a view. Is there any internal discussion in the management team going on related to change in dividend policy? As we don't require this much amount of cash for bringing new products itself, has there been any talks related to slab-based dividend model taking place and changing from the current 65 percentage of it?

SN Goel: As of now, there is no such thinking about it. We are giving 65%-70% kind of profit in the form of dividend and that's a good dividend payout. We are also working on other initiatives as I told you in the past. Gas exchange is doing well. We are also working on coal exchange, which is Government of India, Ministry of Coal is talking about that. And there are EPR trading, discussions going around. Carbon exchange is another opportunity. So I think for all these

things, money will be required, so we are keeping that money for that purpose.

Chirag: Will it be possible for you to give a broad ballpark number wherein -- what kind of money would be required for bringing these ... ?

SN Goel : See, even in case of power exchange also since we are counterparty to both the sides, we have to make payment to the sellers even if we are not getting payment from a buyer. And there have been some instances where there was one or two days delay in making the payment by the buyer. So we have to have enough surplus fund with the company to take care of this kind of eventuality .

So I think the present surplus is about INR900 crores which includes the investors' money, which is available in the company. It is not very high. But then yes, in future, we can think about a special dividend if there is a need.

Chirag: Fair enough. Thank you so much sir.

Indian Energy Exchange Limited

October 25 , 2024

Page 10 of 16

Moderator: Thank you. The next question is from the line of Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani: Congratulations Sir, for the good set of numbers. My question is again on coupling. In case the coupling goes through , so how are we going to be affected. Like, I mean, because we are the leading exchange in the -- we have first-mover advantage to o. Can you give some color on that?

I know it's too early to comment, but if you can give?

SN Goel : I'm very sure coupling is not going to happen. So let us not worry about that. And in case coupling happens, we have ways and means to ensure that we are able to retain our market share. And we will talk about the details when we come to that.

Viraj Mithani: Thank you sir. All other questions are answered.

Moderator: Thank you. The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Good afternoon sir and thank you for the opportunity. Firstly, a gain on continuing on market coupling, if you could help us understand whether this URS power that has been coming into the RTM market, in any way does that kind of bring down the benefit that could have possibly come out by coupling the SCED with RTM market or it doesn't impact?

SN Goel : See, number one, SCED volume itself is very less. It was earlier about 30, 35 million units per day whereas the RTM market volume is about 100 million units. And after this government new rule of sale of URS power on the exchange platform, we are seeing that in the RTM market, on an average daily about 20 million units of this URS power is being sold through the market itself. So that means that opportunity available for further optimization in the SCED market is further reduced. So today, the SCED market is less than 28 million uni

ts per day. So I think the

optimization opportunity is definitely further reduced. And if all generators, they participate in the DAM and RTM market, the URS power is sold, there will be practically no optimization opportunity by coupling SCED and RTM.

Devesh Agarwal: Understood, sir. And secondly, sir, if we see the numbers for October, you said there is some growth. But if we see for our numbers in the month of October, we are seeing that there is a month-on-month decline. And the decline is largely in the RTM segment where volumes have come down by 20 to 25 MUs on a daily basis. So any particular reason for this, sir?

SN Goel : Yes, month-on-month, there is a decline. But if you look at year-on-year, there is a positive number. And month-on-month, month of September is slightly hotter and humid month.

Agriculture demand is also there because of that, the demand was high in the country. Now demand also has reduced. And fortunately, availability of generating units is high. So that is why I think volume is on a month-on-month basis reduced.

Our comparison is mainly on a year-on-year basis. Because you will see on every month, I mean next year, November is going to be further colder month and the demand may further go down.

But if you compare with respect to last year, that is the basic comparison what we do.

Indian Energy Exchange Limited

October 25 , 2024

Page 11 of 16

Devesh Agarwal: Understood, sir. And sir, I think you touched upon in your introductory remarks, this CERC regulation, which came at the start of the month around TAM pricing. Could you just explain a bit better what does the draft paper talks about? And how would this impact the TAM market?

And does this benefit or impact us in any ways if this were to be implemented?

SN Goel : See, first, it is basically to streamline the transactions in the TAM market. Today, there are multiple products and exchanges were given the flexibility to introduce whatever product they

feel like. And as a result of that, different exchanges have introduced different kind of products. So there is no standardization in that. And that is why the liquidity in this market is getting fragmented across these different products.

So CE RC has now decided to streamline this activity, and there will be standard products available in the market so that buyers and sellers can see what is available for the sell and what is what they want to buy. And I think this is a very good initiative of the CE RC and it is good for the market.

Devesh Agarwal: But does it impact any of our segment volumes or no, not really?

SN Goel : It doesn't impact that and I'm sure we'll be a larger beneficiary of this.

Devesh Agarwal: Understood. And lastly, sir, you talked about diversification and you spoke about EPR trading and coal exchange. So among this one, which one do you think has the largest potential in terms of becoming sizable? And secondly, which is the one that you think will be started first or will commence operation soon?

SN Goel : Your both questions are difficult to answer because both these initiatives are dependent on the Government decision. Coal exchange, I mean, I've been hearing about it from the last 1 year and Honorable Minister of Coal also had made statement earlier that it is a part of the 100 days agenda and the 100 days are over. In the last week also, he said that, yes, we are going ahead with the coal exchange.

So I think only after a decision is taken by the Government in this regard, then only we will be able to start work on that. And then after that, we will have to approach the regulator whoever is the party identified for this purpose and take approval and thereafter launch this. I think it will need some time. It will be dependent on the Government approvals, but once approval is there, after that, we will need maybe about 6 months to 8 months' time to start.

Similar case in the EPR tr

ading. EPR trading also draft regulations have been issued and we have received the public comments. They are in the process of finalizing the regulations. Once the regulations are finalized, then they will appoint the agency for the purpose of EPR trading. And multiple parties may apply and then it depends whom they select. So we have good chances to get selected, but then there this opportunity is available to everybody.

Devesh Agarwal: Understood sir. That's all from my side. Thank you so much.

Moderator: Thank you. The next question is from the line of Vishal Periwal from Antique Stock Broking. Please go ahead.

Indian Energy Exchange Limited

October 25, 2024

Page 12 of 16

Vishal Periwal: Yes sir. Thanks for the opportunity. Sir, on this REC transaction fee that we have revised, wanted to understand the rationale for it. When the volume for any product is going strong, what was the reason of introducing the fee that we charge?

SN Goel : No, since the rate for the REC, those got substantially reduced. And we felt that transaction fees should also be reduced because rates earlier were 1,000 rupees, it came down to almost about 120 rupees ...

Vishal Periwal: Okay. So no, but we are not seeing a similar thing for even like power products that we have when maybe like the tariff moves to maybe to rupees 8, rupees 9.

SN Goel : Yes, I agree with you. In case of electricity, when the rates increased from INR2.5 to INR5, our transaction fees would have increased there, but we did not increase that. But this time, want to give benefit to the distribution companies, we decided to reduce the transaction fees for REC.

Vishal Periwal: Okay. So maybe I can ask it in another way. Are there other players that have done changes in the fees that need probably the industry to follow it, maybe one player started or how it works or the first one?

SN Goel : We wanted to be rational in charging our fees.

Vishal Periwal: And one last thing is on this -- the TAM product, the 3 months to 11 months. So I know, it has been pending from quite some time. So anything that you are hearing, which is probably delaying the whole process? And any color that you can provide will be helpful.

SN Goel : We were expecting that it will happen within 1 month of the order -- when the order was reserved. But now significant time has passed. So, I don't know what is the issue behind that.

Maybe when they finalize this, I mean, they have also issued a draft order about the TAM market. So, once they get the comments on this and maybe along with this, they will finalize that also.

Moderator: The next question is from the line of Ruchita Ghadge from iWealth Management.

Ruchita Ghadge : Sir my question was on the REC segment. So just wanted to know, sir, what is the opportunity size in this segment in terms of volume...

SN Goel : Opportunity is very high because Government of India has specified RPO compliance norms and there are many States, many distribution companies, many industries who are not meeting that. Earlier, the inventory was not available. Now the inventory also is there, almost about 3.5

crores to 4 crores REC inventory is available. Rates also have come down. So it is the right time for these entities to meet their RPO obligation. So I'm sure it's a big opportunity. But again, depends on the market participants and also the enforcement, which is done by the State Regulators because State Regulators are the agencies who are monitoring these things and ensuring compliance.

Moderator: The next question is from the line of Nikhil Abhyankar from UTI Mutual Fund.

Indian Energy Exchange Limited

October 25, 2024

Page 13 of 16

Nikhil Abhyankar: Just one question. Sir, you mentioned that we are an accredited to issue carbon certificates. So can you just brief us about that? What exactly is this about? Like all the carbon credits issued in India will be through us a

nd do they have to trade only with us or?

SN Goel : No, no. It is not carbon credit. It is I-REC. It is International Renewable Energy Certificates. We have a REC market in India, which is a compliance market. There is another market, which is a voluntary market, which are operated by one of the international agencies. And earlier, they had one agency which was doing issuance of the I-RECs. And now they have given the job to ICX, our subsidiary company.

Nikhil Abhyankar: And sir, when should we expect any operations on ICX well?

SN Goel : Activities have started, but the opportunity is very small here.

Moderator: The next follow-up question is from the line of Chirag from Keynote Capitals.

Chirag: Sir, actually, I wanted to build some clarity on IGX. As the prices of spot prices of gas has come stable to \$12, what's the reaction on the volume trading taking place that's one, secondly, which type of gas is being traded? Is it the domestic gas or is it the international gas that is traded more on IGX?

SN Goel : See, we have basically three kinds of gas in the Indian market - RLNG, APM Gas, and Non-APM gas. Non-APM gas is gas produced by Reliance, gas produced by Cairn, PMT, etcetera.

So trading on Exchange platform is basically happening in other than APM gas, whether it is domestic or R-LNG, both kinds of gases are traded here because for the domestic gas also, the field allocation document says that the gas can be sold through the competitive bidding route or through the exchange. So a good part of that gas is also sold through the Exchange.

And as far as the gas price is concerned, yes, prices are about 12,13 dollars. But very recently, I saw a report that there is going to be a significant increase in the LNG capacity in the world.

And in 2025 and in '26, we are expecting gas prices to come down. It may come down to almost about 6, 7 dollars. And when that happens, I'm sure the gas consumption in India is going to increase and particularly in the power sector. So we see good opportunity, big opportunity in the gas exchange.

Moderator: The next question is from the line of Rushabh Shah from BudgeRock PMS

Rushabh Shah : Sir how would you attract new customers so that more and more trading possible on our platform?

SN Goel : Yes. Number one is that customer side, one is seller and other is buyer. On sell side, we have almost all generating thermal generators who they are registered with us. On renewable side also, most of the renewable capacities are registered with us. On buy side, 100% of the distribution companies of the country are registered with us.

Industrial consumers, we have more than 4,500 large industries, they are all registered with us.

And we continue to work with industries, tell them what kind of benefits they can take. So every

Indian Energy Exchange Limited

October 25, 2024

Page 14 of 16

year, we find that there is an increase in number in that. So it's a continuous business development activity on which we are working.

Rushabh Shah : And sir, my next question is the open access volumes have only been contributed by a few states. So what necessary actions are we taking so that those volumes increase and all States are participating in these volumes?

SN Goel : Yes. Open access volume is basically purchased by the industry and purchase by the industry is dependent on the State open access regulations, particularly the cross-subsidy surcharge, additional surcharge and wheeling charges. And looking at the exchange clearing price, which is about 4 rupees these days, 4, four and a half rupees. With this on top of it, if you add these charges, the viability in many of the States is not there because in those States, the charges are higher.

But in a few States where the cross-subsidy surcharge and additional surcharge is lower, there is still viability and they participate on the exchange platform. We regularly inte

ract with the
State Regulatory Commissions . We submit our comments also suggestions also in the AR
hearings. And our endeavor has been to ensure that there is a rationalization of cross subsidy
surcharge so that open access is promoted. And that is the objective of the Government of India
also, and the basic spirit of the Act also .

Rushabh Shah : And my next question is, if I remember clearly, in FY '22, you had a market share of 94%. In
FY '23, we came down to 88.4% something. In FY '24, we were 84%. And now on a consol
basis, like all the products which are on 83% something, am I correct? My question is what is
happening? Why are we losing the market share? Is it because of more competitors are coming
into our market? Or what is it?

SN Goel : No. In 2022, these long duration contracts for delivery beyond 11 days were not there. So these
products were introduced in July 2022. And thereafter, in these products also significant volume
transactions have started happening. The DAM market and RTM market, which are our key
market segments where our market share is practically 100%, there is a volume increase in these
two segments also...that some volume shift has happened from the trading companies to the
long duration contracts on the exchange platform. And in those contracts, all three exchanges
have reasonable market share. So market share has reduced because of that. But if you look at
our volumes, our volumes are increasing. Our volumes increased in 2023, '23, '24 was also there
and '24, '25 is also there.

Rushabh Shah : Okay. And sir, how is the market share distributed among the three exchanges in totality and in
the TAM market?

SN Goel : I told you in totality, it is 83% in electricity, whereas it is in DAM, RTM and GDAM, it is 100%,
practically 100%, 99.5%, you can say.

Rushabh Shah : Okay. And what would be your top 3 priorities going ahead for the next 4 to 5 years?

Indian Energy Exchange Limited

October 25 , 2024

Page 15 of 16

SN Goel : Yes. One is electricity exchange, continue to introduce more products on this and do business
development activities, policy advocacy so that we are able to deepen this market. Second is our
gas exchange, there also, we are working to ensure that there is volume increase because the
opportunity size is much bigger there. Third is , I told you diversification initiatives, coal
exchange, EPR trading, these are the new initiatives on which we are working.

Rushabh Shah : And you said new products. So any new products are in pipeline? What kind of thinking is going
into those new products?

SN Goel : 11-month contract is under approval. We have also filed petition for green RTM market. So
these are the two new things.

Rushabh Shah : Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Lokesh Manik from Vallum Capital. Please go
ahead.

Lokesh Manik: My question is just a clarification, what is the volume you would be doing in long -duration
contracts today, which are beyond 1 month?

SN Goel : The question is not clear.

Lokesh Manik: Volume in long duration contracts, how much would we have done this quarter?

SN Goel : Just a minute

Lokesh Manik: Sure.

SN Goel : 5.2 billion units for the 6 months' time.

Lokesh Manik: 6 months, we've done 5.2. And we have, just clarification, we have 40% market share in this
segment. Am I clear on that?

SN Goel : Yes, you're right.

Lokesh Manik: Okay. So 40% at 5.2 which ends at about 20 billion is the total industry. So trading would be
50 billion, 60 billion, the power trading market, long duration?

SN Goel : Long duration is about 13 billion units in all 3 exchanges taken together. And if you look at that
trading companies also, they do long duration. So accounting for that also, it becomes 50 billion,
60 billion for a year.

Lokesh Manik: We have more products in the pipeline to capture more market share from there? Or do you th

ink

we are reasonably positioned to grow from here?

SN Goel : Yeah. I mean 11 -month contract is the next item because up to 3 months, we have all kind of
contracts available. 11 -month contract, we have already applied to CERC for approval. With
that, we will be able to offer the complete range of products.

Indian Energy Exchange Limited

October 25 , 2024

Page 16 of 16

Lokesh Manik: Understood. So when is that expected, sir?

SN Goel : Difficult to say. It is under regulatory approval.

Lokesh Manik: Okay.

SN Goel : Okay. Thank you. That's good.

Moderator: Thank you. Ladies and Gentlemen , we'll take this as the last question. I would now like to hand over the conference to the management for closing comments.

Rohit Bajaj: Thank you, friends. I would like to thank each one of you for being part of today's call. We have had a good first half of this fiscal on the business front. We have witnessed several efforts announced by the Government and regulators to further develop the market. We remain committed to contribute to the development of a sustainable and efficient energy future for India.

Thank you. Have a wonderful evening.

SN Goel : And happy Diwali to all of you.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy .

Call: Jan 2025

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Dated: January 30, 2025

The Manager The Manager

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Corporate Relationship Department Listing Department

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Script Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on January 24, 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on January 24, 2025 to discuss the financial results of the Company for the quarter ended December 31, 2024.

The above information will also be made available on the website of the Company:
www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS -16264

Encl: as above

Page 1 of 17

"Indian Energy Exchange Limited
Q3 FY '25 Results Conference Call"
January 24, 2025

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR –INDIAN ENERGY EXCHANGE
LIMITED

MR. ROHIT BAJAJ – JOINT MANAGING DIRECTOR –
INDIAN ENERGY EXCHANGE LIMITED

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER
AND COMPANY SECRETARY – INDIAN ENERGY
EXCHANGE LIMITED

MR. AMIT KUMAR – HEAD OF MARKET OPERATIONS ,
NEW PRODUCT INITIATIVES AND EXCHANGE
TECHNOLOGY –INDIAN ENERGY EXCHANGE LIMITED
MS. APARNA GARG – HEAD OF INVESTOR RELATIONS
AND CORPORATE COMMUNICATIONS –INDIAN ENERGY
EXCHANGE LIMITED

MR. ROHAN GHEEWALA – AXIS CAPITAL

Indian Energy Exchange Limited
January 24, 2025

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the Indian Energy Exchange Q3 FY '25 Results Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohan Gheewala. Thank you, and over to you, sir.

Rohan Gheewala: Thank you, Sagar. Good afternoon, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all for the IEX Q3 FY '25 Earnings Conference Call. We have with us the management team of IEX, which is represented by Mr. S.N. Goel, the Chairman and Managing Director; Mr. Rohit Bajaj, Joint Managing Director; Mr. Vineet Harlalka, Chief Financial Officer; Mr. Amit Kumar, Head of Market Operations, New Product Initiatives and Exchange Technology; and Ms. Aparna Garg, Head, Investor Relations and Corporate Communications. We will begin with the opening remarks from Mr. Rohit Bajaj, followed by an interactive Q&A session. Over to you, sir.

Rohit Bajaj: Good afternoon, everyone. Am I audible?

Moderator: Yes, sir, you're audible, loud and clear.

Rohit Bajaj: Okay. Thank you. Good afternoon, everyone. I welcome you all to the IEX Earnings Call for Q3 FY '25. With me today on this call are Mr. Satyanarayan Goel, CMD, IEX; Mr. Vineet Harlalka, our CFO and Company Secretary; Mr. Amit Kumar, Head of Market Operations, New Product Initiatives and Exchange Technology, Ms. Aparna Garg, Head of Investor Relations and Communications; and Mr. Aditya Wali.

Friends, the last quarter was a challenging one for the Indian economy. Economic growth in Q2 experienced a dip on account of weaker private consumption and slowed to 5.4% after more than 2 years of sustained accelerated growth. Subsequently, the RBI has also revised India's GDP growth forecast for FY '25 from 7.2% to 6.6%. However, based on high-frequency indicators of economic activity, RBI expects a recovery in Q3 FY '25 from the previous quarter's slowdown driven by increased private consumption.

On the power sector front, electricity demand at 393 BUs during the third quarter was higher by 3% Y-o-Y, better than the previous quarter's muted 0.5% growth. Power demand in the country for the first 9 months of FY '25 has been higher by 5% over the same period last year.

The Ministry of Power has continued to maintain its focus on monitoring capacity addition and strengthening overall power infrastructure. Already, 28 gigawatt of thermal capacity is under construction and about 40 gigawatt is under planning and tendering stage. In addition, 40 to 50 gigawatts of renewable capacity is to be added every year till 2030. This additional capacity is expected to increase sell-side liquidity on the exchanges in the coming years.

On the fuel side, there has been ample availability of coal this fiscal. At 726 million ton, coal production for the first 9-month period from April to December FY '25 has been higher by 6.1% Indian Energy Exchange Limited

January 24, 2025

Page 3 of 17

compared with the same period last fiscal. Coal is available at a nominal premium of 10% to 20% under the Shakti B8 auction and coal inventory today stands at a healthy 19 days. Imported coal prices in Q3 have also been competitive at \$50 per ton.

To meet the growing demand for power, MoP also made adequate provisions to ensure availability for the winter months by extending Section 11 directive to imported coal-based power plants to operate at full capacity up to 28 February 2025. These imported coal-based assets should support liquidity on the exchanges.

Gas price at \$14 per MMBtu, however,

has seen a slight uptick in Q3 compared with \$12 per MMBtu in Q2 due to onset of winters and continued geopolitical issues. Adequate availability

of fuel in this quarter led to higher liquidity on the exchange platform as sell quantum increased by 62% on a Y-o-Y basis, leading to softening of the prices. For Q3 FY '25, prices in the Day Ahead market averaged at INR3.71 per unit, a decline of nearly 26% on a year-on-year basis. As prices remain competitive, DISCOMs and Commercial & Industrial consumers continue to have an opportunity to meet their demand at competitive prices and optimize their power procurement costs. With these trends, volume growth is expected to continue going forward. Let us now talk about important regulatory updates and policy initiatives during the quarter that helped deepening of the power markets.

Under the amendments to late payment surcharge, LPSC rules, generating stations which have long-term PPA can now offer un-requisitioned power in the Day Ahead market as well as the Real-time Market segments. Recent amendments in the LPSC procedures has now also brought the State government-owned generating stations under its ambit, mandating them to offer URS power on the exchange platform. This is expected to further increase liquidity of the exchanges. The Deviation Settlement Mechanism, DSM regulation 2024 is work in progress towards renewable integration and grid stability. Under the proposed amendments, deviation charges are again linked to grid frequency. With regards solar and wind generators, deviation percentage allowed for levy has been narrowed to 10%. This is expected to help increase RTM volumes at exchanges.

With regards the carbon market, CERC issued draft procedure for trading of Carbon Credit Certificates for both obligated as well as non-obligated entities through power exchanges. This will result in trading of Carbon Credit Certificates on IEX in the near future.

IEX business performance during Q3 FY '25 has been robust. At 30.5 billion units, electricity volumes for the quarter were 16% higher on a year-on-year basis. For the first 9 months of FY '25, electricity volume at 89 billion units were higher by 19% Y-o-Y basis. In Q3, a total of 26.5 lakh renewable energy certificates were traded, a jump of 31% over the same quarter last fiscal. REC trading volume touched 110.6 lakh certificates for the first 9 months of FY '25, a rise of 158% over the same period in FY '24.

The RTM segment continues to demonstrate strong growth. For Q3 FY '25, RTM volumes were higher by 30% Y-o-Y at nearly 9.3 billion units, showcasing its critical role in helping DISCOMs Indian Energy Exchange Limited
January 24, 2025

Page 4 of 17

as well as open access consumer efficiently manage their short-term electricity requirements. For the first 9 months in FY '25, 29.3 billion units were traded in this segment, a growth of 29% year-on-year basis. RTM's ability to offer flexibility and immediate responsiveness highlights the opportunity to efficiently integrate renewables with the grid.

With regards the Green Market, in Q3 FY '25, volume rose over 300% to nearly 2.5 billion units, compared with Q3 FY '24.

While we continue to await approval from CERC for our long duration contracts of up to 11 months, the hearing of our petition on the Green RTM segment was held recently by the CERC. As per the commission's direction, we have sought public comments on our proposal.

Green RTM would provide an opportunity for RE sellers to avail price premium over conventional power and allow buyers to avail green attributes of electricity. This segment shall also help reduce deviation exposure due to weather events by providing an avenue to trade green power one hour in advance.

Let me now summarize the financial performance of the company in this quarter. On a consolidated basis, revenue for the company

grew 13.7% on a year-on-year basis in Q3 FY '25, increasing to INR160.5 crores from INR141.2 crores in Q3 FY '24. Consolidated PAT increased by 16.9%, rising to INR107.3 crores in quarter 3 of FY '25 compared with INR91.8 crores in quarter 3 of FY '24.

For fiscal year 2025, the Board of Directors of the company announced an interim dividend of INR1.50, equivalent to 150% of the face value of equity shares.

IGX traded volume of 162 lakh MMBtu for Q3 FY '25 compared with 84 lakh MMBtu traded in Q3 last fiscal. In the first 9 months of FY '25, IGX traded volumes of 398 lakh MMBtu, higher by 24% over the same period in FY '24. The profit after tax for IGX for Q3 FY '25 came in at INR8.3 crores compared with INR7.4 crores in Q3 FY '24. For the first 9 months of FY '25, IGX recorded a PAT of INR22 crores, higher by 18% compared with the same period last fiscal.

Renewables, development of new market models in the form of battery storage arbitrage, firm and dispatchable renewable energy, FDRE, or virtual power purchase agreement, VPPA, is slated to be the future driver of India's power market, eventually pressing a successful energy transition. In a recent SECI tender, the price of INR3.52 per kilowatt was discovered for a 2,000 megawatt solar with 1,000 megawatt or 4,000 megawatt hour energy storage requiring 4-hour discharge for one cycle a day.

Storage prices are already competitive to make a promising case for market development and provide enough arbitrage to make it commercially viable. Rates under the VGF scheme have also declined. Visibly, battery storage remains poised to improve liquidity during non-solar hours and help meet the power demand.

Further, the government recently reiterated its plan for setting up India's first coal exchange in the calendar year 2025, details of which are being worked out. The draft note for the cabinet for Indian Energy Exchange Limited

January 24, 2025

Page 5 of 17

setting up a coal exchange has already been circulated for interministerial consultations. The exchange is expected to work under the supervision of coal control organization.

With the CEA forecast of peak power demand of 458 gigawatt by 2032, power consumption growth will continue to drive exchange volume growth. Government's effort to facilitate the path of energy transition shall continually support market development. As India marches towards achieving its net zero target, there is bound to be a growing role of power exchanges in the country's energy landscape and IEX shall continue to be part of this journey.

Thank you, and now we can move towards question and answers.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from Mayuresh M, individual investor.

Mayuresh M: Okay. My question was, what is the current revenue breakdown for IEX, IGX, ICX and coal trading in terms of numbers and in terms of percentages?

SN Goel: Yes. I'll request Mr. Vineet Harlalka, our CFO, to respond to this.

Vineet Harlalka: So, if you look at the overall numbers for IEX, IEX stand-alone PAT was at INR103 crores, which was higher by 15.5% on a year-on-year basis, quarterly basis, and on consolidated PAT was INR107 crores, which was almost 17% higher than the previous year. The IGX stand-alone PAT for the quarter was INR8.3 crores, which was higher by 13% in the corresponding period from the previous year i.e. quarter for the previous year. And ICX during this quarter made a profit of INR20 lakhs against a loss of INR1 crore during quarter 3 of financial year '24.

Mayuresh M: And how about coal trading?

SN Goel: Coal trading, nothing has started. Coal exchange is still on paper. And only after approval by the government, they will decide who will do, when it will start. There's no clarity on that.

Mayuresh M: Okay. All right. Understood. And what is the expected growth? Or what are the expected

revenues for the next 1 or 2 years, say FY '26 and FY '27 as a whole? And also for the sub-companies like IGX, ICX?

SN Goel: See, as far as IEX is concerned, it is difficult to make any projections. I mean, since it is a technology platform, it all depends on growth in demand and supply. But looking at what we have achieved in the last 4, 5 years, I think a number of 15%, 20% growth is definitely achievable.

In case of gas exchange, at present, it's a challenging business environment wherein gas prices are very high. These are in the range of \$14, \$15. And at these rates, gas affordability is not there in India. Gas consumption is not increasing at the rate at which it was expected to increase.

But it is expected that in 2026-27, there are many liquefaction terminals which are under construction in the countries where gas is available, and that will increase the gas supply in the world. And gas prices are expected then to come down to almost about \$8, \$9. And if that

Indian Energy Exchange Limited

January 24, 2025

Page 6 of 17

happens, I'm sure gas consumption in India will increase and gas exchange should also see a jump in the volume growth. But it's difficult to make any projections at this stage now.

Mayuresh M: Yes, yes, I understand that. And for IEX, considering the fact that the government is promoting a lot of investment in new renewable technologies like wind and solar energy, and we have made a lot of progress in the past 3 years and also, we will be making a lot of progress in the coming years in terms of installations and capacity, do you think that would help IEX to increase its volumes by more than 15% maybe after 2, 3 years when this capacity will come into operation?

SN Goel: Yes, that should definitely help. Because what we have seen is that when there is good supply, the clearing price on the exchange reduces. And with that, if the clearing price reduces, it provides opportunity to distribution companies to optimize their power procurement cost and also to industrial consumers to optimize their costs. So definitely, the volume will increase further. But again, it's difficult to make projections for the future growth.

Mayuresh M: I understand. So the profitability, I would say, is inversely proportional to the cost. So, or you can say the volumes are inversely proportional to the cost. If the cost of electricity or gas, reduces, the volumes will increase as the companies will try to buy them from exchanges rather

than their normal contracts, which they have signed for a higher cost, right?

SN Goel : Yes, you're right.

Mayuresh M: Okay. But if the demand also increases with the supply, then maybe this might not be the thing that we are expecting, the cost to reduce? It may not happen?

SN Goel : When demand increases and supply doesn't increase, or commensurate supply increase doesn't happen, then the rate increases. And that puts a lot of pressure on the distribution companies.

So, it is good when both demand and supply increase, then we really see a jump in the volume increase.

Mayuresh M: Yeah . Okay. Quite understood. Thank you very much for answering my questions and good luck.

Moderator: The next question comes from the line of Sumit Kishore from Axis Capital.

Sumit Kishore: Good Afternoon Sir . My first question is, you've had very strong volume growth on the collectives - Day Ahead Market , and RTM. Has that been accompanied with an overall increase in market share also as of 9 month FY '25? If you could give us the data.

SN Goel : In the electricity segment, we are maintaining a market share of around 84%. And that was the trend last year also. And this year also, we are maintaining the market share at the same level.

Sumit Kishore: Okay. And what would be your market share in the REC segment?

SN Goel : REC segment, I think the market share is about 60%, 65%. But then REC , is not counted as far as the market shar

e is concerned. REC is done twice in a month. And the revenue stream also for REC, we have reduced the fees. So electricity market is basically the main market as far as Indian Energy Exchange Limited
January 24, 2025

Page 7 of 17

the market share is concerned. In any case, in electricity, our market share is 84.5% and in REC, it is about 60%.

Sumit Kishore: Okay. And within that, for the TAM, including DAC, your market share is still around 40% or So?

SN Goel : Yes. I mean, RTM and DAM is practically 100%. And rest of the products, it is about 35%.

Sumit Kishore: The second question is, in the opening remarks, it was mentioned about the new products and the regulatory developments. So this trade up to 11 months for TAM, how soon can this materialize? And similarly on the Green RTM front, what is the stage of progress? So if you could break up the LPSC rules, Green RTM and TAM and the time lines over which you expect these to materialize and the volume uptick they can translate into?

SN Goel : 11-month contract hearings were complete, order is reserved. So it depends on CERC, but then the hearings were complete a couple of months back. So we are waiting that order. As far as volume in the 11 months contract is concerned, again, it is difficult to say because we already have 3 months contract and distribution companies normally purchase power on a seasonal basis.

Only thing is there are a few distribution companies who purchase power maybe for the month of June to September, maybe 3, 4, 5 months in advance. So maybe that kind of opportunity, if 11 months contracts are approved, we can get that opportunity also on the exchange platform.

So that may not be very significant, but then we are awaiting CERC order's approval on that.

Green RTM, the petition was admitted. We have posted the petition on the website for public comments. Thereafter we will respond to CERC also on those comments and CERC will then have a hearing. It will take some time, maybe a couple of months, 3, 4 months, it may take.

Sumit Kishore: Okay. And in LDC right now, what kind of volumes have you seen in the 9 -month period? And what has been IEX's share?

SN Goel : Our volumes, total volumes for all the three exchanges in LDC has been about 18 billion units and our share is about 38% in that.

Sumit Kishore: So 18 billion units, because this number, I think, was just 5.2 billion units as of first half. So there has been a big uptick in LDC in third quarter?

SN Goel : So, this number is Term Ahead Market and GTAM taken together. It is TAM segment and G-TAM segment number is...

Rohit Bajaj : So 5.8 must be for IEX...

Sumit Kishore: Okay, okay. Yes, yes, yes, it's for IEX.

Rohit Bajaj : This one is for the market -- together. For IEX alone, this number is 7.1 billion.

Rohit Bajaj: 7.1 billion.

Indian Energy Exchange Limited
January 24, 2025

Page 8 of 17

Sumit Kishore: Okay. Just one last question, an update on how, if at all, market coupling is, the study etcetera and events are panning out?

SN Goel : No update. CERC had issued order in the month of February for simulation of the different market segments and submit the report with CERC, report is awaited.

Sumit Kishore: So that shadow pilot study, etcetera, is done? Or...

SN Goel : No, shadow pilot report is awaited. So only when they submit the report, CERC will take a view thereafter.

Sumit Kishore: So, in terms of timeline, you think that this can keep getting delayed and for how long?

SN Goel : This was to be submitted in the month of July, and we are now in the month of January of next year. So already 6 months are over. So let's see.

Moderator: Our next question comes from Rushabh Shah from Buglerock PMS .

Rushabh Shah: Sir, my question is, in one of the calls, you mentioned that even if coupling happens, we will be able to defend it and defend the market share. Could you please explain in

detail how would you

do that? What measure will you take to defend your share?

SN Goel : Your question is not clear. Can you repeat the question?

Rushabh Shah: In one of the calls, you mentioned that even if coupling happens, you will be able to defend your market share. So can you explain in detail?

SN Goel : No... no.... I don't think we have ever said that in case of coupling we will be able to maintain the market share. What we always say is that even in case of coupling, we are doing a lot of customer -centric activities to ensure customer loyalty, and we should be able to retain a significant market share.

Rushabh Shah: Okay. Next question is, as you said that on the sell side, you have thermal generators who are registered with you. So what do you do for engaging more and more customers on our platform?

Are there any incentives you offer for both buy side as well as sell side?

SN Goel : Getting customers on the exchange platform, today, we have all distribution companies registered with us, all large generators, captive generators, they're all registered with us .

Renewable generators, they are all registered with us. So there is hardly any generator in the market who is not registered with us. We have practically more than 400 generators who are registered with us. So all major sector participants are already registered.

Rushabh Shah: Okay. So practically speaking, 90%, 95% of all of them are registered on IEX?

SN Goel : Yes, yes, yes. Not only registered, they are participating in the market also.

Indian Energy Exchange Limited

January 24, 2025

Page 9 of 17

Rushabh Shah: And sir, my last question is the REC market in India, which is a compliance market, so which type of companies have to take these certificates for compliance? And is it important for them to purchase these certificates?

SN Goel : See, one is that distribution companies have to meet their RP obligations, which is specified by Government of India and the State regulators. So , there are many States who do not have renewable power with them. So , they purchase RECs to meet their RP obligation.

Then there are industrial consumers who have captive generation capacity. So they have to also meet the RP obligation and also purchase certificates. There are many steel plants, cement industries, aluminum industries, who have large captive generation capacities with them. So they also purchase RECs. Then there are many open access consumers who buy power from the market. So they also have to meet the RP obligation, and they also purchase the certificates.

Rushabh Shah: Okay. And my last question is what is your vision for IEX in the next 5 years? What are the top 3 priorities for the last 4 to 5 years?

SN Goel : My vision is to provide a robust, reliable technology platform so that all market participants can do trading through this. And the numbers will depend on the demand and supply growth in the country because demand growth is not something which we can create. It is a function of demand and supply. And we will not like to give any projections on the numbers.

Rushabh Shah: No, sir, I don't want the projections, nothing on the projections. Just your vision and the priorities for you.

SN Goel : Vision I told. I mean, a growth of 20% is something which we are targeting.

Moderator: The next question comes from Yashodhan Nerurkar from Ionic Wealth.

Yashodhan Nerurkar: Thank you for the opportunity. So, one question that I had was in terms of the Contract for Differences . So most of the PPAs which are coming in the renewable space, right now, there's some delay from the...

SN Goel : Your voice is not clear. Can you put the question slightly slowly?

Yashodhan Nerurkar: Just a second. Hello, is it better now?

SN Goel : Yes, yes, better now.

Yashodhan Nerurkar: Yes. So what I was saying is I was asking in terms of your volume. So something like a Contract for Differences , w

ould that make a big difference in terms of increasing the volumes, at least in the renewable space where we are seeing most of the PPAs, there's a delay in signing by the DISCOMs because the prices are consecutively dropping. So would CfD be the ideal solution for you to boost the volume?

SN Goel : We are working on this with the Government and renewable generators, but so far, they are not willing to set up the capacity without the PPA because one of the problems which they are facing is that the banks are not willing to lend without the PPA. But definitely, there are alternate Indian Energy Exchange Limited
January 24, 2025

Page 10 of 17

mode Is of transactions which has been worked out like virtual PPAs . Some of the MNCs are working on that also and Government is also thinking about that. So that will definitely bring more liquidity in the market and should give a boost to the volume.

Yashodhan Nerurkar: So at least there's some thought given to it in terms of increasing the liquidity at least in the renewable space to increase the adoption of it. So that's the whole purpose behind it

SN Goel : Correct.

Yashodhan Nerurkar: And secondly, I just wanted to understand. So , most of the solar parks that we are seeing currently, there, I mean, it is suggested that it should come along with a battery pack , like a storage battery. So does that reduce the variability of the energy demand? Because I think there is this concept of net metering, where most of the power is traded in the short term like power market. So with battery storage coming into picture on a larger scale, would that variability be reduced? And does that reduce the volumes in the exchanges?

SN Goel : Wherever battery is coming, that battery, most of the generators are setting up additional capacity for charging the battery and supplying that additional power in remaining hours. So battery will ensure availability of larger power during the non -solar hours also, and that is good for the market.

Yashodhan Nerurkar: Okay. So that extra power, which is getting generated through , I mean, dispatched through the battery, even that could be a part of the short -term power market like through the exchanges?

SN Goel : You are right.

Moderator: The next question comes from Bharani from Aventus Spark.

Bharani: Yes. Okay. So my first question is on sustainability of this growth that we have seen in this 9 months period for FY '25. We have, of course, seen 16%, 17% electricity volume growth when the market has grown at 5%. And my first question is what proportion of this incremental growth or extra growth over and above the country's growth is due to the price drop?

SN Goel : See, the demand growth in the country has been in the first 9 months, 5%, precisely 4.8%, and our electricity volume growth has been 19%. And though there is no direct correlation between the demand growth and our electricity growth but based on the last 10-years data, we find there is a correlation of about 2.5 to 3x.

So 5% growth in demand should give, let's say, a volume growth of 15% on the exchange platform. But this year, volume growth was better because supply side, there was a lot of improvement, and coal prices also were low. Imported coal prices were also low and Government of India also took many initiatives to ensure availability of power. So as a result of all these things, our clearing price also reduced, and that resulted in extra volume on the exchange platform.

Bharani: Okay. Understood. So like any idea of the growth if it were not for the price drop ?

SN Goel : It is very difficult to segregate like that .

Indian Energy Exchange Limited
January 24, 2025

Page 11 of 17

Bharani: Yes, the corollary question to that is do you expect this growth to sustain in FY '26 because prices have dropped to Rs 3.5/unit. And then we may not see growth over and above the base power demand like 5%, 6% in 20

26. Or if it is going to be again 15%, why would that be again on a base of this year?

SN Goel : See if the Indian economy has to grow at a rate of 7%, 8%, then power demand in the country has to definitely grow at a rate of 6%, 7%. And if that happens, we are quite confident that we will be able to achieve a growth of 15% to 20%.

Bharani: Perfect. And how much was the open access customer as a proportion in this first 9 months, it should have increased compared to last year?

SN Goel : Yes. Open access percentage was about 13%. And distribution company purchase was about 87%.

Bharani: Okay. And last year, it must have been very less, right?

SN Goel : Pardon?

Bharani: Last year, it must have been very less.

SN Goel : Yes. Last year prices were higher, so the number was lower.

Bharani: My last question , to just complete the loop on the market coupling discussion. Now you had, of course, mentioned we are awaiting the results of the pilot study. But exactly where is the process right now? Is the software ready? Has the testing or the simulation started? Have the exchanges started giving the data for the simulation?

SN Goel : We have been giving the data from the last 1 year. Grid India is doing the simulation. So we do not know when the report will be submitted. I think Grid India, when they , or once the software is developed, they will have to test the software also only after that, they will do the simulation and then submit the reports to CERC.

Moderator: The next question comes from Devesh Agarwal from IIFL Securities.

Devesh Agarwal: Good Afternoon Sir. And congratulations on a good set of numbers. Sir, my first question is basically, if we see the volume growth in the quarter, and I'm talking about sequential growth, we see that the DAM segment has seen a 17% growth on a Q -o-Q basis, while RTM has seen a 13% decline. Now is there any particular reason why we have seen a decline in the RTM because that has been structurally growing quarter after quarter. And this quarter, we are seeing this anomaly.

Rohit Bajaj: See what happens is in case of RTM, energy mix also plays a very important role. So when we compare , or when we are comparing Q3 vis -a-vis Q2, Q2 is the time when we have lots of wind generation in the country, lots of hydro generation in the country and overall renewable proportion is very high. More the renewable proportion, more is the intermittency.

Indian Energy Exchange Limited

January 24, 2025

Page 12 of 17

So these months, normally, you will find Q2 particularly starting from May going up to September, October, these are the times when generally , there is a historical data also available where you can see that real -time market numbers are much, much better during these months . They are very high.

And particularly in the Q3 quarter when the overall renewable proportion is so low, we see there is some drop in the renewable side, on the RTM side. But if we look at collectively , both RTM as well as DAM market, then you will see that collective segment overall has grown.

Devesh Agarwal: Right, Sir. Right. And secondly, Sir, if we talk about the DAM segment per se because you have seen an overall decline in the clearing prices, and I think these are at a 2.5 -year low. Is there a way to quantify what would be the replacement demand that you have seen in this quarter?

SN Goel : Replacement demand is difficult to quantify. But we have seen active participation of distribution companies. And what happens, when the prices are low, distribution companies don't get into bilateral contract, and that demand comes to the market. So , we have not quantified that, and it's also difficult to do that.

If we compare what was the bilateral transactions last year and what is the bilateral transactions this year, what

is the difference in that, maybe something we can work out from that way. But otherwise, what we find is definitely that purchase by distribution companies has increased. It is, it has increased because of the demand growth and also because the prices were low.

Devesh Agarwal: Right, Sir. And Sir, one final one. All the new opportunities that you mentioned, be it your energy storage solution or firm dispatch RE, or even the virtual PPA, have any of this started to contribute on the exchange volumes? Or is there any expectation as to how much can come through these different opportunities in FY '26?

SN Goel : Virtual PPAs , what we understand that there are 2 MNCs with whom there are virtual PPAs. So maybe that capacity, what is the capacity, Rohit? Maybe you can respond to this question.

Rohit Bajaj: So as per our estimate, we are getting close to 300, 400 -megawatt already on our platform, which is actually coming from VPPA. There are certain VPPAs which are there in place. And they have this generation during the solar hours and they are selling it.

As we have done some more assessment internally, where we are seeing that, let's say, by end of this fiscal, we are expecting up to 2 gigawatts of total renewable sell potential, which will be there and which has potential to participate in our spot markets. And this would be not only VPPA, it would be some merchant capacity also.

Devesh Agarwal: This 2 gigawatt is just the virtual PPAs or it's including your energy storage?

Rohit Bajaj: I'm talking about total renewable capacity. This would include virtual PPA also, and this will also be , there would also be certain merchant plants, certain disputed PPA plant. Everywhere , where they are not supplying under long -term PPA, this would be the total thing that we are expecting by year -end.

Indian Energy Exchange Limited

January 24, 2025

SN Goel : In addition to what we did this year.

Moderator: Next question comes from Shaleen Kumar from UBS.

Shaleen Kumar: Congrats on a good set of numbers, Sir. I know you have kind of answered this question, but just again, to pick your thought process here. Sir, on the long -duration side, there is some update as well. So two parts to it. One, should we consider that on the Green side, if there is a kind of -
- we have received a positive signal from CERC, it's an indication that things should move swiftly on the long duration as well? And if that happens, what's your best guess, I think for a guess, for an estimate, that this could happen in what time frame, both the things?

Rohit Bajaj: So there are, 2 things. One is Green real -time market, second is a long duration contracts up to 11 months. Green real -time market, as Mr. Goel has just explained, all the first hearing has happened, petition has been admitted, consultation process has started. So our expectation is, let's say, next 2 to 3 months' time we should get something positive from the CERC then we would be in a position to launch this.

As far as longer duration contract is concerned, this hearing got completed about 8, 9 months back. So we are awaiting this. If you ask me to guess, again, I would say, 3, 4 months, we should be able to launch that as well.

Shaleen Kumar: All right. So most likely in 3 to 4 months, we'll be able to launch this. And this will roughly, if my understanding is right, roughly open up almost a 40 billion unit market for us?

Rohit Bajaj: Absolutely. So if we go by last year numbers, it's total potential that exists is about 40 billion units. And in a phased manner, exchanges should be able to capture that.

Shaleen Kumar: Right. Sir, I'd also like to touch base on one more question over here, right, which everybody has been discussing about. But again, I want to go a little deeper on the coupling side, right? And I'd like to have a little debate

here. So, coupling, I think, came or was introduced along with

MBED, right? Now while we are talking about coupling why we are not talking about MBED, that's one front. Is it coming up in any of your discussions?

Second, again, logically, again here, I'm looking for your views. Does coupling have any merit, in your view? And if in any of your discussions with the regulators, this kind of discussion is arising and what are you thinking about it?

SN Goel : Yes, say, number one, MBED, discussions happened on this right from 2018. It was in the discussion for almost about 4 years. But under the MBED, say, today, we have, if you look at the scheduling mechanism, we have a decentralized scheduling mechanism.

Each of the State, they have their power purchase agreements. They have their allocations from the Central generating stations, and they do scheduling of that. And there are the renewable s also. They do scheduling of all these renewables and thermal power plants. So it is their responsibility to manage the demand and supply within the State.

Indian Energy Exchange Limited

January 24, 2025

Under MBED, the scheduling is done at the Centralized level. So States are reluctant in giving their rights of scheduling. This issue was discussed with many of the States and there was a lot of reluctance on the part of the States. That is why what we understand is that MBED has been dropped. It is not being considered now.

As far as coupling is concerned, I mean we have said very clearly that there are no merits in coupling. In the past, we have mentioned about it. We have also made our submissions to CERC on the staff paper that why it is not desired and why coupling should not happen because this will kill the institutional framework of this market, power exchanges.

This will kill innovation, this will kill competition in the market. And that is why the regulator has issued the staff paper for simulation of the data, and they want to take a decision based on the simulation results that if there is actually a merit in the case that has benefit to the consumers, maybe they will consider this. Otherwise, they may not consider this.

Shaleen Kumar: But do you think that there can be, because I don't understand it is not a market coupling, it's exchange coupling, right? Earlier, the thesis was a market coupling. There are no markets to couple here. So the whole thesis...

SN Goel : I Agree with you, it's a misnomer. But whatever it is, whatever it is. So regulator will probably take a view based on the simulation results.

Shaleen Kumar: Understood. But simulation results and again, going back to the same point, given your market share at least in the key product of almost 100%, how can the simulation result be any different?

SN Goel : Again, I agree with you. If you look at the order of CERC dated sixth of February in that order itself, CERC has mentioned that if one of the exchange has a 99% market share. And as common sense, will say, coupling 99% with 1% will not lead to any benefit. So it is already there. I mean, they have also mentioned that. But anyhow, since they have issued an order for doing the

simulations for the different market segments. It is RTM -RTM , DAM -DAM and also RTM with SCED . So let's wait for that report to come.

Shaleen Kumar: Right, hypothetically, even if we say coupling happens, how easy is it to implement it? Because while we say coupling, but let's think about the challenges. Any thoughts on that?

SN Goel : There are many challenges as far as DAM -DAM, RTM -RTM coupling is concerned . Then even if it is done by the system operator, they need a software . Present software, which they are developing for the simulation is basically just for the simulation of big data. But if you have to run the market, then

you have , you need a market grade software. And that kind of a software will have to be developed, the front end of this, the back office of that, all those things will have to be done. So that will need a lot of time. And thereafter, you will have to also work out the process of physical settlement of power between the exchanges and the financial settlement between the exchanges and also have to ensure that how exchanges , the financial settlement between the exchange is ensured . Because each of the exchange will have to ensure payment to their sellers. So I think all these things will have to be worked out. So it will definitely take a good amount of time.

Indian Energy Exchange Limited
January 24, 2025

Page 15 of 17

And in case of RTM and SCED, if that is the option which is decided by the regulator. Then in that case, the time required will be much, much more because SCED, the algorithm is entirely different. RTM, the algorithm is different. I think we will have to first define the logic for that. That itself is a big task . And thereafter developing a software for that. And again, the physical settlement -- because there , the number of participants are going to be large because all these generating companies under the PPA, they will be also the participants and also their distribution companies. So I think that process involved in physical and financial settlement is quite complicated there. So I think time required will be much larger there. It could be even 2 to 3 years.

Shaleen Kumar: Got it, sir. So basically, in nutshell, we are saying there's a lot of investment, manpower, right technology, etcetera, is required to do this. And so this should only happen when there is a very, very strong merit for this?

SN Goel : Yes. Sure. Definitely. Regulators also will take all these points into considerations while taking a decision.

Moderator: Next question comes from Karan P. Gupta from CAVI Capital.

Karan P. Gupta: Thank you for the opportunity. Just a quick question, Sir. Can you just talk about the difference between volume growth and revenue growth in the last quarter . I noticed volume growth is about 16% and revenue growth was about 2.5% lower than that. So if you could just talk about that briefly, why that difference?

SN Goel : Yes. In some of the products, we are also giving incentive to our partners. So it is , the difference is because of that.

Karan P. Gupta: Is this incentive something that started recently? Because I haven't noticed a similar difference in past quarters. So ,and how do you see this going ahead? Is this because of competition that's happening in the market or to grow the market as a whole? If you could just start about that, please?

SN Goel : Yes, in the Term -Ahead -Market and REC market segments because of the competition between the exchanges, if they are giving incentives, we have to also match that. Otherwise, we will lose market share.

Moderator: The next question comes from Manthan D Patel from Patel Investments.

Manthan D Patel: So there are two questions. First thing I want to know, is there any learning curve involved in, while basically running front -end operations on your platform?

SN Goel : I'm not able to hear you clearly.

Moderator: Manthan sir, may we request to use the handset mode if you are using the speaker mode, please.

Manthan D Patel: Hello? Are you able to hear me?

SN Goel : Please go ahead. Let me try.

Indian Energy Exchange Limited
January 24, 2025

Page 16 of 17

Manthan D Patel: Yes, yes. So I want ed to know, is there any learning curve involved while using your platform like, I mean if a novice or any new participants want to trade energy?

SN Goel : Okay. I got it now. I mean, whenever

any new participant, he becomes a member or client, we definitely do the handholding. And our market operation s team person explains to him how we can do the , submit the bids and what kind of data is available for his decision -making. And also, you know there is an IEX Academy where you can get all kind of details about the electricity market, power market, and you can understand the different rules, regulations under which the power market is operating.

Manthan D Patel: Okay. And sir, relating to first question, like I mean other exchange, will have other kind of system. Is my understanding correct? Like both systems won't be same. So , if a particular user is comfortable with IEX, I mean is there any incentive to shift and learn the new platform?

SN Goel : We are not able to hear you properly.

Manthan D Patel: Can you hear now?

SN Goel : Your voice is loud, but your line is not clear, Sir. Please send me an e-mail, send an e-mail to Aparna Garg we will respond to your questions.

Moderator: The next question comes from the line of Gopinadha from PNR Investments.

Gopinadha: Sir, my question is already answered , thank you .

Moderator: The next question comes from the line of Ankit Kanodiya from Smartsync Services .

Ankit Kanodiya: Congratulations on good set of numbers. Just one quick clarification on the market coupling things which you answered to a couple of participants. That shadow coupling is already done, and we are waiting for the report or it has not yet been done. The government has not yet completed the shadow coupling?

SN Goel : We do not know whether the shadow coupling simulation has been done or not. Yes, we are giving the data and we are not getting any feedback about the simulation details.

Ankit Kanodiya: Okay. That was very helpful, Sir. And Sir, second point is , second question is related to the transaction income which we make, that is the bulk of our basically revenue in IEX. So how has been the transaction price mechanism in the past? And how do we see that going forward? And how much of government's influence is there in that?

SN Goel : Government influence on transaction fees?

Ankit Kanodiya: Yes.

SN Goel : See, from 2008 to 2021, there was no regulation for regulation of transaction fees. Exchanges were free to charge a transaction fees which they feel right. And we have been charging this INR0.02 on either sides from 2011 onwards, and we have kept it constant thereafter. Then in 2021, the new regulation s came , and there also CERC specified a transaction fees of INR0.02

Indian Energy Exchange Limited

January 24, 202 5

Page 17 of 17

on either side. And subsequently, product -wise, we have filed petition and those petition s also have been approved with INR0.02 on either side.

Ankit Kanodiya: So is it fair to assume that you don't foresee any risk on this angle going forward?

SN Goel : Yes, yes. I mean, these kind of approvals don't happen every day. So once CERC has approved that, and I feel that this approval should hold good for at least 5 years.

Moderator: Ladies and gentlemen, we would take that as a last question for today. I now hand the conference over to the management for closing comments.

Rohit Bajaj: Thank you, Friends. I would like to thank each one of you for being part of today's call. We have had a good first 9 months for this fiscal on the business front. We have witnessed several efforts announced by the government and regulators to further develop our markets in the country. We remain committed to contribute to the development of a sustainable and efficient energy future for India. Have a wonderful evening. Thank you.

Moderator: Thank you. On behalf of Indian Energy Exchange, that concludes this conference. Thank you

for joining us. You may now disconnect your lines.

Call: Apr 2025

Indian Energy Exchange Limited

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Dated: April 30, 2025

The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on April 25, 2025.

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on April 25, 2025, to discuss the financial results of the Company for the quarter ended March 31, 2025.

The above information will also be made available on the website of the Company: www.iexindia.com

You are requested to take the above information on record.

Thanking You.

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

Page 1 of 18

"Indian Energy Exchange Limited
Q4 FY '25 Results Conference Call"
April 25, 2025

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR – INDIAN ENERGY EXCHANGE
LIMITED

MR. ROHIT BAJAJ – JOINT MANAGING DIRECTOR –
INDIAN ENERGY EXCHANGE LIMITED

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER
AND COMPANY SECRETARY – INDIAN ENERGY
EXCHANGE LIMITED

MR. AMIT KUMAR – HEAD OF MARKET OPERATIONS ,
NEW PRODUCT INITIATIVES AND EXCHANGE
TECHNOLOGY – INDIAN ENERGY EXCHANGE LIMITED

MS. APARNA GARG – HEAD, INVESTOR RELATIONS
AND CORPORATE COMMUNICATIONS – INDIAN
ENERGY EXCHANGE LIMITED

MR. ADITYA WALI – INDIAN ENERGY EXCHANGE
LIMITED

MANAGEMENT : MR. ROHAN GHEEWALA – AXIS CAPITAL

Indian Energy Exchange Limited

April 25, 2025

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to Indian Energy Exchange Limited Q4 FY '25 Earnings Conference Call, hosted by Axis Capital. As a reminder, all participant lines will be in

the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star , then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohan Gheewala from Axis Capital. Thank you, and over to you, sir.

Rohan Gheewala: Thank you, Manav. Good afternoon, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all for the IEX Q4 FY '25 earnings conference call . We have with us the management team of IEX, which is represented by Mr. S.N. Goel, Chairman and Managing Director; Mr. Rohit Bajaj, Joint Managing Director; Mr. Vineet Harlalka , Chief Financial Officer; Mr. Amit Kumar, Head of Market Operations, New Product Initiatives and Exchange Technology; and Ms. Aparna Garg, Head, Investor Relations and Corporate Communications. We will begin with the opening remarks from Mr. Rohit Bajaj, followed by an interactive Q&A session. Thank you, and over to you, sir.

Rohit Bajaj: Thank you. Good evening, friends. I welcome you all to the IEX earnings call for Q4 FY '25. With me today on this call are Mr. Satyanarayan Goel, CMD, IEX; Mr. Vineet Harlalka: , CFO and Company Secretary; Mr. Amit Kumar, Head of Market Operations and Exchange Technology ; Ms. Aparna Garg, Head of Investor Relations and Corporate Communications; and Mr. Aditya Wali.

Friends, the Indian economy continues to be the world's fastest -growing major economy with a robust Q3 -GDP growth of 6.2%. According to the second advance estimates released by the National Statistics Office, India is expected to end FY '25 with a growth rate of 6.5%. As per the RBI, various high -frequency indicators of economic activity point towards sustained growth momentum in Q4. For the new fiscal, the Metrological Department has forecasted an above normal monsoon of 105% of the long -term average, potentially boosting the agriculture sector and pushing economic momentum. Even with current uncertainty in global trade, the IMF expects the Indian economy to grow at 6.2% in FY '26 and continue to remain the fastest growing among the world major economies.

On the power sector front, electricity consumption during Q4 FY '24 recorded 415 billion units, which is an increase of 3.7% on a year -on-year basis. States such as UP, Maharashtra, Gujarat, MP, Rajasthan, Karnataka and Tamil Nadu remain ed drivers of demand during this quarter. According to data released by CEA for FY '25, India 's electricity consumption increased 4.4% year-on-year to 1,694 billion units. In preparation of yet another summer of peak power demand, the MoP has initiated policy measures to ensure adequate supply. The directive of imported coal -based generators under S ection 11 has been extended until April 30, 2025.

Indian Energy Exchange Limited
April 25, 2025

Page 3 of 18

It is likely that MoP may further extend the directive under Section 11 for the remaining crunch period and gas -based power plants have been made available to run during this period.

To address the trend in rising peak demand, the government has been working to facilitate thermal capacity addition of nearly 80 gigawatts by 2032.

The capacity addition of 29 gigawatt is under construction , with 11 gigawatt expected to be commissioned in less than a year. The government has also awarded 19 gigawatt of new coal -based thermal capacity and a further 36 gigawatt of capacity is in various stages of planning, clearances and bidding.

In FY '25, India added a record 34 gigawatt of power capac

ity, led by 29.5 gigawatt of renewable

energy. India's total installed renewable capacity now stands at nearly 220 gigawatt. The government's target is to achieve 500 gigawatt of renewable capacity by 2030. This energy transition would also require efficient integration with the grid.

A key enabler in achieving this is the availability of energy storage technologies. With the potential of about 181 gigawatt of pumped storage projects, the government has set a target of adding 35 gigawatt PSP capacity by 2032, of which 6 gigawatt is under construction.

To develop Battery Energy Storage System, BESS, the government has implemented the viability gap funding mechanism, which provides up to 30% of the capital cost for various BESS projects. Under this proposed model, BESS -based storage of 9 gigawatt is to be made available by 2027 and eventually scaled to 47 gigawatt by FY '32.

The decreasing cost of BESS globally and in India has been driving its financial viability and adoption. Earlier this month, Karnataka Power Transmission Corporation, KPTCL, discovered a low price of INR2.49 lakhs per megawatt per month for a 500 -megawatt 2 -hour, 2 -cycle tender under the VGF model.

Further, a few days back, in the without VGF category, GUVNL discovered a price of INR2.8 lakhs per megawatt per month for a 500 -megawatt 2 -hour, 2 -cycle tender. This is much lower

than last year's discovered price of INR3.72 lakhs per megawatt per month for GUVNL 250 - megawatt tender.

BESS would be able to deliver electricity during peak hour demand and help efficient integration with the grid. As discussed in our earlier interaction, one of the avenues for charging and discharging of BESS is through power exchanges, and this would increase liquidity on the exchanges.

On the fuel side, we remain in a comfortable position. For FY '25, coal production grew 5% year-on-year basis to 1,048 million tonnes while coal dispatch to the power sector rose to 843 million tonnes, which is higher by 5.9% year-on-year basis.

For FY '25, imported coal price closed the year at less than \$50 per ton, lower by nearly 11% over FY '24. Imported gas prices for FY '25 remained near \$14 per MMBtu, similar to the price discovered in the previous financial year. Coal price premium under SHAKTI B 8

Indian Energy Exchange Limited

April 25, 2025

Page 4 of 18

scheme has also come down between 10% to 20% and coal inventory on 31st March 2025 stood at nearly 23 days. This is the highest over a few years. Overall, the fuel situation has remained stable throughout FY '25.

On the exchange front, sell-side liquidity increased by 23.5% on a year-on-year basis in Q4 FY '25 and by nearly 36% throughout FY '25 compared with FY '24. The average market clearing price in the DAM segment during Q4 FY '25 period was INR4.43 per unit as compared to INR4.88 per unit in Q4 FY '24. This is a decline of 9% on a year-on-year basis.

During the year, DAM prices declined from INR5.25 per unit in FY '24 to INR4.47 per unit in FY '25. That is a fall of nearly 15% over the year.

The overall short-term market in India remains stable. According to data from CERC up till December 2024, the short-term market accounted for 15% of the country's generation in FY '25, similar to the number in FY '24. However, within the short-term market, the share of power exchanges has grown to 9% of overall generation from 7% in FY '24. This is an encouraging trend and points towards the crucial role exchanges are playing in the power market.

Let us now talk about the noteworthy regulatory updates and policy initiatives for Q4 and FY '25 that continued to be conducive for power market development.

Under the amendments to the late payment surcharge, LPSC rules, generating stations which have long-term PPA can now offer un-requisitioned power in day ahead market, real-time market and other exchange segments.

Recent amendments in the LP

SC procedure have also brought State government-owned generating stations under its ambit, mandating them to offer URS power on the exchange platform. As a result of these rules, about 100 million to 120 million units of URS power from Central generating stations has been available on the exchange platform, out of which on an average, 15 to 20 MUs are getting cleared.

Once these rules are extended to private generators as well, there would be further increase in the liquidity on exchanges.

In a draft order earlier this fiscal, the CERC proposed various changes in the design of Term Ahead Market, which will align TAM products across exchanges and help improve liquidity in this segment. The final order on this matter is awaited.

In reference to the carbon market, CERC issued draft procedure for trading of carbon credit certificates for both obligated as well as non-obligated entities through power exchanges.

Recently, Greenhouse Emission Intensity, GEI targets have been notified for 282 obligated entities across sectors.

The notification regarding this has been published by MoE FCC, the Ministry of Environment, Forest and Climate Change for stakeholder comments. This development is expected to pave the way for introduction of trading of carbon credit certificates on IEX in the near future.

Indian Energy Exchange Limited

April 25, 2025

Page 5 of 18

These regulatory measures improved sell-side liquidity on the exchange, helped soften power prices and supported deepening of power markets. As prices continue to remain competitive, it is expected to present an opportunity for DISCOMs, commercial and industrial consumers to optimize their power procurement costs.

In terms of business performance, IEX traded 31.7 billion units of electricity volume during Q4 FY '25, the highest ever electricity volume traded on a quarterly basis, recording a growth of 18% on year-on-year basis.

For FY '25, IEX traded electricity volume of 121 billion units, a growth of 18.7% over FY '24. In Q4, a total of 68 lakh renewable energy certificates were traded, the highest ever in a quarter, recording a growth of 108% over the same quarter last fiscal. The highest recorded REC of nearly 178 lakhs were traded for FY '25, up by 136% over FY '24.

The RTM segment continued to demonstrate strong growth. For Q4 FY '25 RTM volumes at nearly 9.7 billion units were higher by 29% on a year -on-year basis, highlighting the segment's critical role in helping DISCOMs and open access consumers efficiently manage short-term needs.

For FY '25, nearly 39 billion units were traded in this segment, a growth of 29% year -over-year. RTM's ability to offer flexibility and immediate responsiveness underlines the opportunity to efficiently integrate renewables with the grid.

Green market volume in Q4 FY '25 rose 100% to 1.9 billion units compared with Q4 FY '24.

For FY '25, the segment achieved volume of 8.7 billion units, an increase of 171% on a year -on-year basis. The segment advances integration of clean sources such as solar and wind into the grid and helps obligated entities, including DISCOMs, meet their renewable purchase obligations.

With regard other business developments, we continue to await approval from CERC on our petition to extend the Term Ahead Market contract from 90 days to 11 months. The trader market, which is presently around 40 BU s is the total addressable market for these contracts going forward.

As mentioned previously, hearing for our petition on the green RTM segment with the CERC has already been completed, and public comments on the petition hosted on CERC website have been closed.

Green RTM would provide an opportunity for RE sellers to avail price premium over conventional power and allow buyers to avail green attributes of electricity for fulfillment of their renewable purchase obligations. This segment shall also help reduce deviation exposure due to

weather events by providing an avenue to trade green energy power in one hour in advance.

In September 2024, our wholly -owned subsidiary, International Carbon Exchange, ICX, became accredited as India's first International Renewable Energy Certificate issuer. Over the last 7 months, a total of 59 lakh I -RECs were issued by ICX. I -REC is globally recognized digital Indian Energy Exchange Limited

April 25, 2025

Page 6 of 18

certificate that serves as a transferable proof of generation of 1 megawatt hour of energy from renewable sources.

This fiscal also witnessed positive movement on setting up India's first coal exchange under the supervision of the Coal Controller Organization. IEX has been working with stakeholders to explore this diversification option. The discussion paper on the proposed coal trade exchange was floated earlier in March this year. Public comments on the proposed draft are still open. The draft proposes amendments in The Mines and Minerals (Development and Regulation) Act, MMDRA, to facilitate sale of surplus coal through coal exchange. It also proposes that the exchange would facilitate sale of coal from commercial and captive mines.

Earlier in August 2024, draft guidelines for authorization and functioning of Extended Producer Responsibility , EPR, Trading & Settlement Platform for Plastic Packaging were issued by Central Pollution Control Board, CPCB.

This will help in the transparent and competitive price discovery for EPR certificates through an online platform. EPR certification ensures proper recycling, reuse, end of life disposal of waste generated from electronic and plastic products. We have filed an expression of interest with CPCB for developing the EPR trading platform.

Moving on to IGX. IGX traded highest -ever gas volume of 60 million MMBtu in FY '25, a growth of 47% over FY '24. For Q4 FY '25, IGX recorded a profit after tax of INR8.9 crores, which was higher by nearly 103% compared with INR4.4 crores in Q4 FY '24.

The profit after tax for IGX in FY '25 increased 34.3% to INR30.9 crores from INR23 crores in FY '24. As gas prices continue their downtrend, volume at IGX would pick up going forward.

Financial and business update. Let me summarize the financial performance of the company in this quarter and financial year. On a consolidated basis, revenue for Q4 FY '25 was higher by 17% at INR174.6 crores. For FY '25, consolidated revenue stood at INR657.4 crores, an increase of 19.3% on year -on-year basis.

Consolidated PAT during the quarter came in at INR117.1 crores, higher by 21.1% on a year -on-year basis from INR96.7 crores in Q4 FY '24. For FY '25, consolidated PAT was recorded at INR429.2 crores, higher by 22.3% over the previous financial year. Also, the Board of Directors of the company announced a final dividend of INR1.5 equivalent to 150% of the face value of

equity share.

Friends, according to the IMD, India is expected to experience hotter -than-usual temperature from April to June this year. Estimates are that peak demand, may cross the 270 gigawatt mark this summer compared with the last summer peak demand of 250 gigawatt.

With the CEA forecast of peak power demand of 458 gigawatt by 2032, power consumption growth will continue to drive exchange volume growth. Of the 15 gigawatt of thermal capacity expected this fiscal, there has been a shortfall of nearly 11 gigawatt due to delays in project commissioning. This shortfall is expected to be available in the new fiscal along with renewable capacity.

Indian Energy Exchange Limited

April 25, 2025

Page 7 of 18

In addition, policy measures undertaken by the government and regulators to ease supply side liquidity is expected to further rationalize power prices on the exchanges. We concluded FY '25 with almost 19% growth in electricity volume and remain optimistic about what lies ahead to be able to grow further in the coming year.

Power sector is undergoing changes with the development of new market models in the form of battery storage arbitrage, Firm and Dispatchable Renewable Energy, FDRE, the virtual power purchase agreements, VPPAs. These market models are slated to be future drivers to deepen India's power market and eventually ensure a successful energy transition. As India marches towards achieving its net zero targets, there is bound to be a much larger role of our exchanges in the country's energy landscape.

Thank you, and now we can have question -answers.

Moderator: We have our first question from the line of Rushabh Shah from Buglerock PMS.

Rushabh Shah : I had three questions. In the previous call, you mentioned that there are many steel plants and cement industry and aluminum industries who have large captive generation capacities with them. So they are also required to purchase the RECs ? How big could this market be in the next 4 to 5 years? What is your vision related to this market?

Satyanarayan Goel: Yes. REC compliance by the industries who have captive generation is a requirement. But unfortunately, enforcement of that is not happening at the moment. And these industries also have taken up with the government that there should be some relaxation for them because otherwise, it will increase the cost of production.

So this issue has not been resolved. As of now, as per the prevailing notifications, they have to comply with the RPO compliance requirement. And if that is implemented, the opportunity is very large. I mean we have not calculated that, but we have estimated that the existing RECs will not be able to meet that requirement. Today, we have an inventory of about INR4 crore s RECs, so even the requirement is much more than that.

Rushabh Shah: But there's no update on the notification, right?

Satyanarayan Goel: There's a notification, but then there is no penalty under the notification. So as of now, enforcement of that notification, particularly for the industries, that is not being ensured.

Rushabh Shah: Okay. Sir, as a technology platform where buyers and sellers meet, what challenges do you face in a business like IEX?

Satyanarayan Goel: On IEX platform, we don't face any challenges as far as the technology is concerned, as far as the platform is concerned. The challenges are basically the availability of power during the peak hours or the demand of the States.

Rushabh Shah: I was asking more on a business perspective, not as a technology IEX platform.

Satyanarayan Goel: Your question is not clear.

Indian Energy Exchange Limited

April 25, 2025

Page 8 of 18

Rohit Bajaj: Asking about the business perspective, not on the technology side of the platform.

Satyanarayan Goel: Challenges on the IEX business?

Rushabh Shah: Yes.

Satyanarayan Goel: Yes, yes, one of the challenge for the business is basically availability of power, surplus power in the market because only when the ample supply of power is there, then only the rates on the exchange platform will be reasonable.

And then also, there should be demand growth in the country. So as far as demand growth is concerned, we are continuously seeing that, yes, the demand is growing. India is a developing economy, so demand growth rates is going to be there for the next couple of decades.

But as far as supply of power is concerned, yes, in between, we face a few challenges, particularly the peak summer months, month of April and May. Otherwise, there is adequate

supply of power also and government has made necessary arrangements to ensure to meet the peak demand also. So I don't see much challenges in that.

(One challenge on the business side is) Participation of distribution companies on the exchange platform because their reliance is mostly on the power purchase agreements. So, in fact, 85% of the demand they meet through the power purchase agreement, so that is definitely one big

challenge and how to bring them on the exchange platform. And in future also, how to ensure that distribution companies don't get into the PPA, they buy more power from the market. I think this is something on which we are regularly working and doing the policy advocacy with the government.

Rushabh Shah: Okay. So my last question is, sorry to harp on this topic of coupling. So even if coupling were to happen, so why would there be customer loyalty towards IEX like customers trading on our exchange?

Satyanarayan Goel: It is because of the kind of services which we provide and the robust technology platform which we have, on which there has been no problem in the last 17 years and the financial reconciliation settlement, everything we do on time. And in addition to that, we also provide a lot of data analytics to them. So I think because of all that only the customers are staying with us. Even today also, the customers are staying because of that only. And in future also, I'm sure we will be able to retain a large part of the customer base.

Moderator: We have our next question from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulations on a very good set of numbers. So my first question is how much is the volume in long-duration contract for FY '25 versus FY '24? It seems that the TAM volume overall hasn't picked up in this fiscal year. Is it the loss of market share or decline in the market overall?

Satyanarayan Goel: TAM volume, yes, there is an increase in the TAM volume. TAM volume on IEX platform were about 10 billion units. Year before that, also, it was about 10 billion unit. So almost the same number.

Indian Energy Exchange Limited

April 25, 2025

Page 9 of 18

Rohit Bajaj : So what has happened this year is, earlier, when we were talking about TAM volume, it was a combination of conventional as well as green. So this time, what has happened, the liquidity in the Green Day Ahead Market has increased considerably. So all the transaction in the Green TAM which was happening last year has actually moved to the Day Ahead Market.

So now the volume that we are seeing in TAM is only conventional. So in absolute terms, we are not seeing growth. But if you see since the green part has moved to the Day Ahead Market, in real terms, there is some growth there.

And another reason here is after 2, 3 years, we have seen such a good growth in our Day Ahead numbers. Now the availability was much better this year. And whenever you have good availability and the prices were also lower by 15%. So our Day Ahead Market and RTM market has increased from 86 billion unit last year to 109 billion unit this year. So since there was tremendous growth in this segment, so TAM, you can say, was a little compromised. And again, it is because of the macro factors, which is availability and less prices.

Mohit Kumar: Secondly, sir, on the uniformity of contracts in TAM. I think you mentioned that some order is reserved, right? I think the CERC direction was given in the October month, right, on the uniformity of contracts. Where are we right now? And when do you think this is likely to be implemented?

Satyanarayan Goel: No, they had issued a draft order to ensure some standardization in the contracts and they have invited comments on that. Comments were given to CERC. I think we are expecting final order on that any day.

Mohit Kumar: Understood. My last question, is it possible to help us with the status of market coupling. Has there been any update from CERC or the regulator?

Satyanarayan Goel: No update on that.

Mohit Kumar: Understood. Sir, one more last question, if I may squeeze in? What is the revenues, EBITDA and PAT of IGX for FY '25, sorry?

Satyanarayan Goel: IGX?

Mohit Kumar: Yes.

Satyanarayan Goel: Gas exchange?

Mohit Kumar: Yes, sir, gas exchange.

Satyanarayan Goel: Gas exchange PAT is INR31 crore

s.

Mohit Kumar: And the revenues and...

Satyanarayan Goel: Pardon?

Mohit Kumar: Revenues for the year, fiscal year?

Indian Energy Exchange Limited

April 25, 202 5

Page 10 of 18

Satyanarayan Goel: INR55 crores.

Moderator: We have our next question from the line of Sahil Choudhary from Yashwi Securities .

Sahil Choudhary : So I was seeing our 9 -month number, so there's a discrepancy in our investor presentation and in our press release. So in our investor presentation, it says that in 9 months, we traded 100 billion units of volume and in our press release, it says that we traded around 88 billion units.

So sir, what is the discrepancy there?

Satyanarayan Goel: I think 9 months was electricity plus certificate and subsequently, we have started reporting electricity separately and certificate separately.

Sahil Choudhary: But like 12 billion units of certificate were discrepancy.

Satyanarayan Goel: Pardon?

Sahil Choudhary: Sir, the discrepancy was of 12 billion units.

Satyanarayan Goel: Yes, yes. We have sold this year in the full year, almost 18 billion certificates. So in 9 months, almost 12 billion units of certificates were sold.

Moderator: We have our next question from the line of Subhadip Mitra from Nuvama Wealth.

Subhadip Mitra: My first question is with regard to what you earlier mentioned that I think this year has been particularly productive because of better supply and hence lower prices, and hence, we're seeing higher DAM and spot market -related volumes vis-à-vis TAM, which is, let's say, more or less stagnant.

Now going ahead, if the general view is over the next 2 to 3 years, the demand -supply gap will widen, and possibly, we will see higher shift of volumes from DAM towards the longer -term TAM market. Two questions over there. Firstly, in TAM, what I understand is our market share is somewhere around 36% -odd vis -a-vis almost 100% market share that you have in DAM. So could that be a longer -term risk?

Secondly, in terms of moving towards, let's say, longer -term contracts, let's say, towards the 6 -month contract, et cetera, in TAM as and when you get the approval, can that have any working capital related risks for you?

Satyanarayan Goel: The first question is that the large gap between the demand and supply and volume shifting to the Term Ahead Market instead of the DAM. I think as far as demand -supply is concerned, Government of India is working on ensuring adequate supply of power. And this year, particularly almost about 10 gigawatt of coal -based capacity is going to be commissioned. See, because last year, they had planned almost about 14 gigawatt. Out of that 5 gigawatt was commissioned. So 9 gigawatt is basically spillover of last year, which is in a very, very advanced stage of commissioning and that is going to be commissioned. In addition to this 40 gigawatt of renewable and 5 gigawatt of battery storage is going to be commissioned.

Indian Energy Exchange Limited

April 25, 202 5

Page 11 of 18

So I'm sure with this new additional capacity, there is not going to be any shortage of power.

And that basic assumption that there's going to be a shortage and demand is going to shift from DAM to TAM, I don't think that is going to happen.

And in any case, the shortages also which you see, invariably this happens only for 2 months, which is the month of April and May. But from June, the monsoon starts and the wind generation starts, so thereafter, the spread is not that critical. So I don't think that there's going to be any impact on the business as far as the demand and supply is concerned.

Subhadip Mitra: Understood. Okay. And sir, on the second one that -- yes, go ahead.

Satyanarayan Goel: And on the second one, CERC is yet to approve our 11 -month contract. And when the contract is approved, I'm sure the margins should take care of all that kind of risk, which you are expecting. We have

a proper margining system and we have thereafter daily payment system. It is working very effectively in the 3 months contract. And I'm sure even with 6 -month contract also, that should be effective.

Subhadip Mitra: So in these longer -term contracts, the margins will not be limited to the 4 paise that we have in DAM, you might see better margins?

Satyanarayan Goel: No, margins will be only INR0.04 per unit only, INR0.02 from buyer, INR0.02 from seller.

Subhadip Mitra: Okay. Even in the longer -term contracts, that's what we're anticipating?

Satyanarayan Goel: Yes, yes, yes.

Subhadip Mitra: Okay. Understood. Sir, secondly, I just wanted to get your view on this that what we hear is that the Security Constrained Economic Dispatch, SCED, which is currently active for central government -owned plants might be extended towards state government plants, etcetera, through the GRID -INDIA platform. Does that have any ramifications for IEX in terms of volumes?

Satyanarayan Goel: No, let me first explain this . SCED is applicable only for the power plants which are scheduled by GRID -INDIA, okay? And GRID -INDIA is scheduling only Central government generating stations and inter-State IPP stations.

Intra - State SCED is applicable for the State generating stations and IPPs who are supplying power to the State where they are located. And that will be done by the SLDC of that particular State. So intra -State SCED will be done by the SLDC of that State. I mean, SCED by NLDC and intra -State SCED will not have any conflict.

Subhadip Mitra: So it doesn't impact -- yes, go ahead.

Rohit Bajaj: Just one more point here. SCED is done when all the available markets are closed. So today, when at national level, when GRID -INDIA is running SCED, it is after the schedules of real - time markets are available, which means the entire thing has been done.

So after you have participated in the market, your schedules are there, you have taken full advantage of the market in terms of meeting your demand or in terms of optimization, then this

Indian Energy Exchange Limited

April 25, 2025

Page 12 of 18

window operates. So , if it is going to be there at a State level, this is going to be a win -win. It is going to be positive for the sector, and it will not have any negative impact on the markets.

Subhadip Mitra: Understood, understood. Thank you on that one. And lastly, the financial derivatives also, which are now planned to be introduced on the MCX platform. How does this impact, if at all, IEX volumes?

Satyanarayan Goel: The direct impact of the financial derivatives will be that there will be some stability in the price. It will provide some visibility in the price to the generator so that they can make arrangements for the fuel and also some visibility of price for the long -duration contracts.

Subhadip Mitra: Understood. So again, would that in any manner actually help your volumes because at some point in time, even though financial derivatives need to have delivered volume, right? So does it help IEX volumes in any manner?

Satyanarayan Goel: I think let the derivative start and then we will see how to leverage that for increasing our volumes.

Moderator: We have our next question from the line of Lokesh Manik from Vallum Capital Advisors.

Lokesh Manik: My question was on the green market. A part of the volume is being driven by new installations. New installations this year were about 80 gigawatts, next year is expected to be 30, 40. So do you see an impact of that on the growth of green market going forward from 8 BU to, let's say, even if we were to take 20% growth, would this have an impact on growth, the installations coming down?

Satyanarayan Goel: No, no, this year, the renewable sector, the capacity addition was about 29 gigawatt, and next year, we are expecting about 40 gigawatt of renewable capacity addition. So it is going to increase. So liquidity

in the green market is further going to increase.

Lokesh Manik: And sir, what percentage of this is coming to the market? I mean, 80% is long -term PPA or 90% is long -term PPA?

Satyanarayan Goel: That depends from case to case. But in any case, what we have seen is that even the States who are buying green power and whenever they have surplus beyond the RPO obligation, they also sell that green power in the market. So even if they have the PPA, there are many States who sell green power. So what is more important is the capacity addition in the country. So if capacity addition happens, then we will directly or indirectly get benefit of that.

Lokesh Manik: Understood. And sir, do you see now that green power is traded on exchange and RPO obligations can be done from there, when do you see a slowdown in REC certificates as such? Because there's a limited capacity that has come up with that route of capacity addition.

Satyanarayan Goel: See, if you look at the RPO compliance number, they are in fact much higher than the renewable power available in the country. So I don't see any less requirement -- I mean any adverse impact on the REC market. The RPO compliance numbers are much higher, so there will be enough scope for the REC market also and also increase in the green market.

Indian Energy Exchange Limited

April 25, 2025

Page 13 of 18

Moderator: We have our next question from the line of Devesh Agarwal from IIFL Capital.

Devesh Agarwal: First question, sir, on power derivatives itself. We have a tie -up with MCX in terms of revenue sharing, what we also read in news there are other exchanges who are looking at this product.

So is this an exclusive contract that we have with MCX, so we can also enter into with other exchanges? That is one. And are we ourselves looking at the power derivatives market?

Satyanarayan Goel: We don't have any exclusive contract with MCX, number one. Number two, as IEX, we are

regulated by CERC, and derivatives are going to be regulated by SEBI. So if we want to get into derivative business, then we'll have to incorporate another company under the jurisdiction of SEBI. And single product derivative doesn't make any sense. So that is why we do not want to get into this. As of now, we don't want to get it to this.

Devesh Agarwal: So that means we can also get...

Satyanarayan Goel: In the future, if we see a large opportunity, maybe we can explore that also.

Devesh Agarwal: Understood. So does that mean we can also get into a contract with NSE if they are looking to get into the power derivatives market for price referencing?

Satyanarayan Goel: Yes. As I told you that we don't have any exclusive contract, so that means we can get into any number of parties.

Devesh Agarwal: Understood. Secondly, sir, can you share segment -wise what would be our market share in FY '25?

Satyanarayan Goel: Our market share in the collective transaction is 99.8%. And in the other segment, which is the bilateral, D AC plus TAM plus GTAM, percentage is about 35%.

Devesh Agarwal: And sir, REC?

Satyanarayan Goel: REC market share is 60% -- 58.8%.

Devesh Agarwal: So you did mention that the REC inventory is around INR4 crores. So do you think that the scope for growth in REC volume is limited from here on? Or you see there is a risk of...

Satyanarayan Goel: No, no, no. Every year, the RECs are getting issued.

Devesh Agarwal: Even on this 1.8 crore s number, are we expecting, say, 10% growth in FY '26?

Satyanarayan Goel: Yes, yes, definitely. Definitely, we are expecting at least this year to trade about 20 billion units of RECs.

Devesh Agarwal: Okay. And sir, in terms of these new opportunities that you did mention, FDRE, virtual PPAs, BESS, by when will we see actual volumes coming on to the exchange platform from these new opportunities?

Indian Energy Exchange Limited

April 25, 2025

Page 14 of 18

Satyanarayan

Goel: Things have started. If you see our green market volumes, that is slightly increasing now. Now that increase is mostly coming from these things because virtual PPAs also, we find that in one or two cases, they have started operating, and we are getting volume from them. Maybe Rohit can give you more details about that.

Rohit Bajaj: Yes, close to 1,500 megawatt of capacity under VPPA is already registered with us, and they are selling this power in the conventional market because when you bring VPPA power in exchange, then it is not seen as a green power, it is a conventional power.

And you can see these trends because when we compare our supply available during the solar hours this year versus previous year, you will find there is increase of 10 -15,000 megawatt of supply during the solar hours. So VPPA has contributed that. And this power is available to us and this power is bidded at a very cheap prices, and this is one reason why the solar prices have come down in this particular year.

Similarly, when FDRE power will come, which has not yet started, but it is again in the various stages of execution, when that power will come, it will be coming under the green market itself. So VPPA already started. Other segments, we are waiting to start, and this is not very far. We are expecting it to come in next 1 to 2 years.

Moderator: We have our next question from the line of Dhruv Muchhal from HDFC AMC.

Dhruv Muchhal: Sir, in the opening remarks, you mentioned about the URS power, the potential and the actual volume traded. I missed that, if you can please repeat.

Satyanarayan Goel: Yes. Every day, we get almost about 100 million units of sale, but the volume cleared out of that is on an average about 15 million, 16 million units.

Dhruv Muchhal: Sir, this comes in the RTM market or the DAM market?

Satyanarayan Goel: This comes both in DAM market and RTM market.

Dhruv Muchhal: Okay. So as the demand increases, the potential to clear this URS volumes also increases, right? I mean I'm just wondering why does the volume not clear? It is because of the lack of demand.

Satyanarayan Goel: Yes, yes, yes. Correct.

Moderator: We have our next question from the line of Ketan Jain from Avendus Spark.

Ketan Jain: Sir, my first question was on long -duration contracts. In FY '24, we did a total TAM volume of around 15 billion units. And you had mentioned that around 10 billion units was coming from long-duration contracts up to 3 months. Can you give the same number for FY '25? Out of 11.1 billion units which we traded in TAM, how much was the long duration contracts?

Rohit Bajaj: The number is same. We did this year also about 10.5 billion units under the TAM contract, which is long duration contracts. So last year and this year numbers are same, TAM.

Ketan Jain: But this year, total TAM was only around 11.7 billion, right, sir?

Indian Energy Exchange Limited

April 25, 2025

Page 15 of 18

Rohit Bajaj: Yes. So what has happened here is the DAC segment, which was doing very well till last time, which did about 5 billion unit trade, has reduced to 2 billion unit. So not much is happening on the DAC side. And you must have seen the report where we have mentioned these two bilateral segments in one category. So last time, it was 10.7 plus 5; this time, it is 10.2 plus 2. So there is reduction in DAC contract, TAM number is more or less same, and the reason I just explained. The green TAM has moved to green DAM. So there is some increase in the TAM contracts, but overall number remains the same.

Ketan Jain: Understood, understood. And sir, what would be the forecast for FY '26 and for TAM long duration?

Rohit Bajaj: Yes. So, again, it is dependent on the fact, –that we are expecting approval for 11 months contract. If we get that in the next 2, 3 months, then there is additional 40 billion unit addressable market which is there because that sort of

transactions are happening through DEEP platform, which is being done by traders.

So we hope that some part of that, decent part of that, we should be able to convert in the first year itself. And next 2, 3, 4 years' time, we should be able to convert a major part of that. So we are expecting good growth. But again, there are factors like availability of power, power prices and other things which also decides how much distribution company rely on TAM contract and how much on DAM.

Ketan Jain: Understood. Sir, just one question on the working capital for long -duration contracts, which is for up to 3 months. How much of margin do we have? And do we have any receivable risk in these type of contracts?

Rohit Bajaj : So what we do here is in case of whether it is DAM, RTM or TAM, our settlement is done on a daily basis. So every day, whatever we are supplying, we are collecting from the seller and making this payment to the buyer. Opposite, sorry. We are collecting from the buyer and making this to the seller.

Now to ensure that there is enough margin availability in the system, we also rely on bank guarantees and other PMS. So till now for 3 months contract, there was not even a single case where we have faced any challenge in terms of getting those margins. And hopefully, when this contract would be launched up to 11 months, the same problem would not be there as well. And why that problem is not there? Because buyers are finding this market very, very competitive. If they compare our prices vis -a-vis prices discovered in the DEEP platform, these are 15%, 20%, 30% lower. To take advantage of such a low price, they don't mind giving those additional margins, which we are willing to take in the form of PMS also. So we are really not seeing any challenge on that front.

Ketan Jain: So even in a 3 -month contract, we get the payment daily for the power that was traded?

Rohit Bajaj : Absolutely. For all the contracts, the system is same, daily payment.

Indian Energy Exchange Limited

April 25, 2025

Page 16 of 18

Ketan Jain: Okay. Understood. Sir, my last question is on the GRID -INDIA's report where the GRID -INDIA had published a short -term adequacy report where they forecast major shortages in May and June. Given good capacity addition forecast for FY '26 in the near term, how do you see this impacting our volumes if there are major shortages in May and June? How do you see it impacting our volumes? And what's your outlook on FY '26 volume growth?

Satyanarayan Goel: I think the outlook for April was also similar, April, May, June. But fortunately, in the month of April, so far, the volume growth is about 28% on the exchange platform. So we don't expect a big challenge in the month of May and June also because...

Ketan Jain: So that is because of demand being weak or supply being good, sir?

Satyanarayan Goel: Because of supply being good. And we also expect that in the month of May, June also with the kind of arrangements which have been made by the government, there will be adequate supply.

Ketan Jain: Understood. Okay. So the demand is going to be good, but because of excess supply, the prices will be low?

Satyanarayan Goel: Yes. I mean there could be some impact on the price, but...

Ketan Jain: But relatively, the supply would be better.

Satyanarayan Goel: Yes.

Moderator: We have our next question from the line of Raghav Bhutoria from Lindsay Securities.

Raghav Bhutoria : Sir, we have seen a lot of growth in volumes in IGX if we compare fourth quarter of last year to this year. So what is the reason for that?

Satyanarayan Goel: Yes, IGX volume increase is mainly because we have Reliance and ONGC have started

production of their domestic gas and they are selling a good part of that to the market also.

Raghav Bhutoria: So we should expect this volume to keep on improving from here?

Satyanarayan Goel: Yes. In case of ONGC, we expect

the volumes to increase further. ONGC is, as of date, producing almost about 2 mmscmd per day whereas the target for this year is about 5.5 mmscmd. So it's more than double. So we expect good volume from them this year, further increase this year.

Moderator: We have our next question from the line of Chirag from Keynote Capital.

Chirag: Most of my questions are answered, but I have a couple of book-keeping questions. Sir, I wanted to understand, what is the part of trading margin deposits as a part of financial liabilities? And out of INR900 crores, what is payables and what is trading margin deposit?

Satyanarayan Goel: Yes, I will request Mr. Vineet Harlalka, our CFO, to respond to this.

Indian Energy Exchange Limited

April 25, 2025

Page 17 of 18

Vineet Harlalka: If you look at the overall, the settlement financial assets and liability, so as on the 31st of March, the total financial which are receivable obligation, the paying amount receivable is around INR220 crores. And the total amount, which is payable is around INR967 crores.

Chirag: Sir, just wanted to understand from the perspective of business, why do we have such high payables because overall, our sales are almost INR535 crores?

Vineet Harlalka: Basically this time what happened, because there was a trading holidays in the 31st March and 2, 3 days so that's why the settlement become outstanding, that's why this amount increased significantly during this year.

Chirag: Okay. So this is a one-time effect and now our books will again come back to normalized levels and...

Vineet Harlalka: and banks were not working, that's why.

Chirag: Okay. And if I just remove the settlement trading margin deposits and the payables, we would have around approximate INR1,000 crores worth of cash and mutual funds, is it correct?

Vineet Harlalka: Yes.

Chirag: Sir, I just wanted to understand are you looking at some kind of an acquisition at this moment?

I just wanted to understand what is the reason for us, being the largest player in the industry, having such high cash available on the books?

Satyanarayan Goel: We are looking for some diversification opportunity. And as and when something materializes, we'll come back to you.

Chirag: Okay. And sir, secondly, I wanted to understand, even in the last conference call, I had a question related to dividend payout. Did the Board get a chance to talk about the slab-based dividend policy? Or are we going to keep continuing 65 percentage dividend policy going forward, too?

Satyanarayan Goel: We distribute more than 50% of the profit in the form of dividend and we have been distributing about 60%, 65%, 70% kind of profit. So this year also we have distributed 65% of the profit in the form of dividend. And dividend this year has been INR3 per share. Last year, it was INR2.5 per share.

Chirag: No, sir, I agree to the point. So I just wanted to understand, did the management get a chance to talk about the change in dividend policy from the 60, 65 percentage to a slab based policy?

Because I just wanted to understand even if you are looking for acquisition, INR1,000 crores worth of acquisition, are we looking at that kind of size of acquisition to diversify?

Vineet Harlalka: Look, the last 5 years, our payout has been consistently increasing. And definitely, Board, if they see there is no good opportunity coming, definitely, the Board will consider, look out for the staggering payment or the higher payment of dividend.

Chirag: Perfect. Sir, my last question is on the new exchange that we're talking about, the coal exchange.

In electricity, I understand the product is same. But in case of coal, the product will be different.

Indian Energy Exchange Limited

April 25, 2025

Page 18 of 18

So I just wanted to understand, are there initial thoughts about how we are going to make sure that the quality of product which is traded is going to be of the quality

which the receiver is

going to receive. So I just wanted to understand your thoughts on that.

Satyanarayan Goel: Number one, on the coal exchange, it is work in progress. First of all, Government of India itself will have to do amendment in the act and thereafter, they will have to issue the regulations, and then we will apply for it.

Second is, as far as these kind of problems are concerned because coal is not a homogenous

commodity so there are many challenges, not only the quality, quantity, transportation, these are challenges there in that. And we will do the product designing in such a manner that there is no risk on the exchange.

Because exchange is a technology platform, we cannot take this kind of risk. So maybe the buyers will have to take the delivery from the seller which is going to be the hub and based on the third -party sampling.

Chirag: Fair enough. Sir, one of the earlier participant asked about the market share for FY '25. Will it be possible for you to give the market share detail segment -wise based on FY '24?

Satyanarayan Goel: Yes, our market share in electricity is about 84.2%. In the in the collective transaction, which is I-DAM and RTM, it is 99.8%. And in case of the bilateral transactions, it is about 35%.

Moderator: Thank you. Ladies and gentlemen, that would be the last question for today. And I now hand the conference over to the management for closing comments.

Rohit Bajaj: Thank you, friends. I would like to thank each one of you for being part of today's call.

Throughout this fiscal, we witnessed efforts from the government and regulators to establish a favorable policy and regulatory climate to develop the energy sector. We at IEX remain committed to contribute to the development of a sustainable and energy -efficient future of India. Have a wonderful evening. Thank you once again.

Moderator: Thank you. On behalf of Axis Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

Indian Energy Exchange Limited

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Dated: August 01, 2025

The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on July 25, 2025.

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on July 25, 2025, to discuss the financial results of the Company for the quarter ended June 30, 2025.

The above information will also be made available on the website of the Company: www.iexindia.com

You are requested to take the above information on record.

Thanking You.

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

Page 1 of 17

"Indian Energy Exchange Limited
Q1 FY'26 Earning Conference Call"
July 25, 2025

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR –INDIAN ENERGY EXCHANGE
LIMITED

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER -
-INDIAN ENERGY EXCHANGE LIMITED

MR. ROHIT BAJAJ – JOINT MANAGING DIRECTOR –
INDIAN ENERGY EXCHANGE LIMITED

MR. AMIT KUMAR – HEAD OF OPERATIONS NEW
PRODUCT INITIATIVES AND EXCHANGE TECHNOLOGY
–INDIAN ENERGY EXCHANGE LIMITED

MS. APARNA GARG – HEAD OF INVESTOR RELATIONS
AND CORPORATE COMMUNICATIONS –INDIAN ENERGY
EXCHANGE LIMITED

MR. ADITYA WALI–INDIAN ENERGY EXCHANGE
LIMITED

MANAGEMENT : MR. ROHAN GHEEWALA – AXIS CAPITAL

Indian Energy Exchange Limited
July 25, 2025

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to Indian Energy Exchange Q1 FY '26 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference over to Mr. Rohan Gheewala.

Rohan Gheewala : Thank you, Pari. Good afternoon, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all for the IEX Q1 FY '26 Earnings Conference Call.

We have with us the management team of IEX, which is represented by ; Mr. Rohit Bajaj, Joint Managing Director; Mr. S.N. Goel, the Chairman and Managing Director; Mr. Vineet Harlalka, Chief Financial Officer; Mr. Amit Kumar, Head of Operations, New Product Initiatives and Exchange Technology; and Ms. Aparna Garg, Head, Investor Relations and Corporate Communications.

We will begin with the opening remarks from Mr. Rohit Bajaj, followed by an interactive Q&A session. Thank you, and over to you, sir.

Rohit Bajaj: Good evening, friends. I welcome you all to the IEX earnings call for Q1 FY '26. With me today on this call are Mr. Satyanarayan Goel, CMD, IEX; Mr. Vineet Harlalka, CFO and Company Secretary; Mr. Amit Kumar, Head of Market Operations and Exchange Technology; Ms. Aparna Garg, Head of Investor Relations and Corporate Communications; and Mr. Aditya Wali.

Friends, the Indian economy continues to stand out as the world's fastest -growing major economy, registering a robust growth rate of 6.5% in FY '25. Notably, India recently became the fourth largest global economy surpassing Japan. This remarkable trajectory has been underpinned by resilient domestic demand, strong investment activity and a steady expansion of both industrial , as well as service sectors.

Despite global uncertainties from ongoing policy changes and geopolitical tensions, India remains a source of stability and opportunity in the international landscape. High frequency indicators as reported by Reserve Bank of India, revealed sustained momentum in both manufacturing and service sectors.

Looking ahead, the Indian metrological department has maintained its forecast of an above - normal monsoon for the June to September 2025 period with rainfall expected at 106% of the long period average. This bodes well for the agriculture sector, potentially boosting rural income and supporting broader consumption trends.

In addition, the RBI has maintained its real GDP forecast at 6.5% for FY '26. Overall, India's macroeconomic outlook remains bright, supported by a balanced approach to growth, financial stability and inclusive development.

Indian Energy Exchange Limited

July 25, 2025

Page 3 of 17

On the power sector front, India's peak summer power demand in 2025 reached 242 gigawatts in June 2025. This peak demand was met without any power shortages, thanks to the proactive government measures. These included extending Section 11 of the Electricity Act mandating imported coal -based plants to run at full capacity till June end, activating gas -based power plants and ensuring sufficient domestic coal supply.

Weather played a key role this quarter . Despite forecast of an intense summer leading to a peak demand expectation of 277 gigawatt, early monsoon and widespread unseasonal rain kept temperatures low, resulting in lower -than-expected power demand. India's power consumption of 446 billion units in Q1 FY '26 was lower by 1.3% as compared with Q1 FY '25.

On the fuel side, ample fuel has been available at competitive prices. India's coal production reached 247 million tonnes in the first quarter of FY

'26, similar to production during the same period last fiscal. Coal inventory as of mid -July 2025 stood at a high of 25 days.

For the quarter, imported coal price for 4,200 GAR coal remained steady at around USD 50 per tonne, lower by 9% as compared with the same period last quarter. Prices of imported gas have also remained stable at nearly \$11 per MMBtu in the first quarter of this fiscal. Overall, the fuel situation for the sector has remained comfortable in Q1 FY '26.

Friends, while there was lower -than-expected power demand in Q1 FY '26, CEA expects power demand in the country to grow at a rate of 6% per annum till 2032. Based on this, MOP has been regularly monitoring the road map of thermal capacity addition of 80 gigawatts by 2032. The MOP has also been lending policy support to energy storage solutions such as pump storage and battery storage to meet peak demand and also enable renewable power integration with the grid. To support battery energy storage solution, BESS, the Ministry of Power has finalized 2 tranches of viability gap funding mechanism. Under the first tranche, 13,200 megawatt hour of BESS projects are currently being implemented across the country and about 9,750 megawatt hour of BESS projects have been awarded and another 5,000 MWH are in the pipeline.

More recently, under the second tranche of VGF, approval has been granted for further 30,000 megawatt hour of BESS projects to be implemented. As per the CEA, BESS -based storage of

47 gigawatt shall be required by FY '32. The increased activity in BESS tenders has been driven by a reduction in battery capex cost and declining storage cost. As recently as June 2025, NVVN and NHPC both discovered INR 2.16 lakh per megawatt per month and INR 2.08 lakh per megawatt per month for 500 -megawatt 2 -hour cycle tenders under the VGF mechanism, respectively.

As we have mentioned earlier as well, BESS would be able to store surplus power during daytime to deliver electricity during hours of peak demand while leveraging power exchanges. This would increase liquidity and potentially increase volume on exchanges during daytime as well as during evening hours.

Let us now talk about a few important regulatory updates and policy initiatives that continue to be conducive for power market development. The Cabinet Committee on Economic Affairs revised the Shakti Policy for coal allocation to thermal power plants. The existing policy
Indian Energy Exchange Limited
July 25, 2025

Page 4 of 17

replaced the earlier policy and has attempted to make it more flexible and transparent for the power sector.

In the new policy, fresh coal allocation is now available under 2 windows, one for Central and State GENCOs at notified price and another for all GENCOs at a premium above notified price. The policy paves the way for coal linkages to generators even without PPAs, generating unrequited surplus (URS) power, which can then be sold in power markets. The revised policy would ensure continued availability of adequate fuel supply for thermal generators and help maintain liquidity on exchanges for competitive price discovery.

In FY '25, in a draft order, CERC proposed various changes in the design of the Term Ahead Market across exchanges to help improve liquidity and transparency in this segment. In its order in April 2025, the CERC streamlined time -lines for completion of various stages of any day single side (ADSS) contracts across exchanges. Other proposals include notifying predefined time slots for trade under TAM contracts. Public consultation for these predefined slots have been conducted and a petition has been filed before the CERC for approval of the same. In its order, the regulator also proposed modification in the price discovery mechanism of the day ahead contingency segment from the current continuous matching to uniform price step auction through draft amendments in the Power Market

Regulation 2021. These amendments are open to stakeholder comments till July 2025.

In May 2025, CERC issued draft guidelines for Virtual Power Purchase Agreements, VPPAs. These guidelines recognize power exchanges as authorized platform for sale of electricity by RE generators under VPP arrangements. Renewable generators entering VPPA s may sell the electricity component in the collective segment on power exchanges. This would help increase volume on exchange.

Recently, the CERC issued draft amendments to Deviation Settlement Mechanism regulations with regards to in firm power charges for thermal stations. Earlier thermal generators could not recover payment before the trial run, but with the draft amendments, they are assured of payment of a ceiling price. With these amendments, RE in firm power can also come to market before its commercial operation date. These amendments by CERC are designed to refine DSM, ensuring a clear framework for managing in firm power injections and promoting stable grid operations under varying frequency conditions.

Further to the approval in February 2025 of SEBI and CERC to introduce electricity derivatives in India, the much -awaited electricity future contracts began trading on MCX and NSE respectively, earlier in July 2025. The launch of electricity derivatives is expected to benefit spot market participants allowing them to hedge against any volatility in the market. With the availability of hedging instruments, the spot market will also benefit through higher participation and volume spillover.

CERC recently issued an order on implementing market coupling. Order was issued on 23rd July, in which the regulator has decided to initiate process of implementation of market coupling in Day Ahead Market. This is to be done by January 2026 as per the order. In the same order, it is mentioned that coupling of the real -time market will be considered at a later stage.
Indian Energy Exchange Limited
July 25, 2025

Page 5 of 17

The order also talks about running a shadow pilot for coupling of the Term Ahead Market and stakeholder consultation for RTM and SCED coupling. Further in the order, CERC directed its staff to initiate consultation with Grid India and all exchanges on operational and procedural

aspect of the Day Ahead Market coupling, including identifying and proposing amendments required in the various regulations.

During Q1 FY '26, IEX recorded electricity trading volume of 32.4 billion units, a growth of 15% on Y -o-Y basis. Revenue for the company grew by 19.2% Y -o-Y, increasing from INR 154.5 crores in Q1 FY '25 to INR 184.2 crores in Q1 FY '26. PAT increased by 25.2%, rising from INR 96.4 crores in Q1 FY '25 to INR 120.7 crores in Q1 FY '26. The robust performance in Q1 FY '26 was led by a substantial sell availability due to weather conditions and also measures undertaken by the government and the regulators.

In Q1, nearly 53 lakh Renewable Energy Certificates were traded, recording a growth of nearly 150% over the same quarter last fiscal. Due to efforts of the Bureau of Energy Efficiency, compliance by designated consumer s to meet their RPO targets has increased.

The RTM segment continued to demonstrate strong growth. For Q1 FY '26, RTM volumes at nearly 13 billion units were higher by 41% on a year -on-year basis, highlighting the segment's critical role in helping DISCOM and open access consumers efficiently manage their short -term requirements. RTM 's ability to offer flexibility and immediate responsiveness underlines the opportunity to efficiently integrate renewables with the grid.

Green market volume in Q1 FY '26 rose 51% Y -o-Y to 2.7 billion units compared with Q1 FY '25. This segment advances integration of clean sources such as solar and wind into the grid and helps obligated entities, including DISCOMs, meet their renewable purchase obligations.

With an increase in hydro, wind and sustained su

pply from coal -based generation, supply

liquidity on power exchanges improved and drove prices down. In Q1 FY '26, supply liquidity in the Day Ahead Market of IEX increased 45.2% on Y -o-Y basis. As a result, the average Day Ahead Market price was INR 4.41 per unit, down 16% Y -o-Y, while price in the Real Time market averaged at INR 3.91 per unit, a 20% drop. On May 25, heavy rains pushed RTM prices down to INR 1.53 per unit on average basis with near zero price s during several time blocks.

In terms of new products, we continue to await approval from the C ERC on our petition to extend the Term Ahead Market contract from 3 months to 11 months.

As mentioned previously, hearing for our petition on the Green RTM segment with the C ERC has already been completed and public comments on the petition have also been closed. We await the final order on the matter. Green RTM would provide an opportunity to reduce deviation exposures due to weather events by providing an avenue to trade green power 1 hour in advance.

Our associate company, IGX traded record gas volumes of 24.6 million MMBtu in Q1 FY '26, a growth of 109% over Q1 FY '25, led by demand push from the oil marketing companies, refineries and city gas distribution companies. The quarter also witnessed the first trade in the 3 to 6-month long duration contract, underscoring market confidence in long -term gas trading on IGX.

Indian Energy Exchange Limited

July 25, 2025

Page 6 of 17

In Q1 FY '26, IGX recorded a profit after tax of INR 14.1 crores, which was higher by nearly 86.7% compared with INR 7.6 crores in Q1 FY '25. As gas prices continue their downtrend and policy initiatives continue to remain positive in the sector, volume at IGX would continue to be robust.

Friends, as per CEA estimates, India was to experience hotter than usual temperature from April to June this year. However, the advent of early monsoons meant lower peak demand than forecasted. Nonetheless, with CEA forecast of peak demand at 366 gigawatt s by 2032, and power consumption to reach nearly 2,500 BUs, demand growth will continue to drive exchange volume growth. In addition, policy measures undertaken by the government and the regulators to ease supply side liquidity is expected to further rationalize power pr ices on exchange.

Our diversification initiatives are also gradually gathering momentum. For the first quarter of FY '26, the International Carbon Exchange ICX, issued over 44 lakh I -RECs compared with 59 lakh I -RECs issued in the previous financial year.

Revenue for ICX in Q1 FY '26 stood at INR 178.8 lakhs. The I -REC is a globally recognized digital certificate that serves as a transferable proof of generation of 1 megawatt hour of energy from renewable sources. Through ICX, we have also filed an Expression of Interest with the Central Pollution Control Board (CPCB) for developing the Extended Producer Responsibility (EPR) trading platform and are awaiting final results of the EOI.

On formation of Coal Exchange, stakeholder comments have been closed, and we await further directives with regards to the legislative changes to the Mine and Mineral Development Regulation Act. The MMDRA Amendment Bill 2025 is scheduled to be tabled for discussion in the monsoon session of the Parliament .

The power sector is undergoing changes with the development of new market models in the form of battery storage arbitrage, firm and dispatchable renewable energy, virtual power purchase

agreements and the introduction of electricity derivatives. These market models and instruments are slated to be the future drivers to deepen India's power market and eventually ensure a successful energy transition. As India marches towards achieving its net zero targets, there is bound to be a much larger role of power exchanges in the country's energy landscape. Thank you. And now we can have questions and answers.

Moderator: The first question is from

from the line of Bharani Vijay from Avendus Spark.

Bharani Vijay: Congratulations on a good set of numbers. My first question is on market coupling. Could you refresh us regarding the advantages that IEX has over its competitors, which helped it to have a near 100% market share in the DAM and RTM segments? And also, why the competitors were not able to replicate this? And if they would be able to gain market share now after market coupling implementation? This is my first question.

SN Goel : Yes. IEX has maintained a leadership position in the Day Ahead and RTM market over the years. In the DAM market, in fact, from the last 17 years, we have the leadership position. If you see initially, the other exchange also had some reasonable market share of 20%, 25%. But over the years, they even lost that.

Indian Energy Exchange Limited
July 25, 2025

Page 7 of 17

And we today have more than 95% of market share. And this has happened because of many factors. There is not one reason, there are many factors. One is we have a very, very robust technology platform. We have introduced new products ahead of our competitors. We have done a lot of activities with the customers. We regularly interact with the customers, understand their problems, tell them how they can use the exchange to purchase cheaper power and optimize their power procurement cost.

We interact with the State regulatory commission. In fact, we are in the advisory board of more than 12 State regulatory commissions. We advise them how exchange and power market can be used for the benefit of distribution companies. We provide a lot of data analytics to our customers. And we have a web-based technology platform. Our IT infrastructure is very robust. In spite of so many cybersecurity attacks, so far on IEX platform, there has not been a single penetration. And it's a sum together of all these activities because of which we have been able to have a significantly large market share in the exchange -- in the Day Ahead Market and the RTM market.

Going forward, even after coupling, I'm sure we will continue to do all these activities and maybe even more to ensure that the customers stick to us and the customer loyalty is maintained. So, I'm very sure that we will be able to maintain definitely a larger market share even after coupling.

Bharani Vijay: Okay, sir. My second question is on the trader members who trade on behalf of their clients and submit bids to IEX. Like one significant trader member is PTC India. So, I wanted to know what percentage of volumes overall for IEX and specifically in DAM market that PTC India as a trader member contribute because being investor in one of our competitors, post market coupling, I just wanted to see if they can shift this to that competitor. So, I just wanted to know how much of it will be impacted.

SN Goel : As per the power market regulations, if a trader member is holding more than 5% equity, then he cannot trade in that exchange. Since PTC is holding 25% equity in the competing exchange and also on the Board of that exchange, they cannot trade on that exchange. However, their percentage share is almost about 10-12% on IEX platform.

Moderator: The next question is from the line of Sumit Kishore from Axis Capital.

Sumit Kishore : Thanks for the opportunity. Your clarifications on the technology edge that IEX has and your other advantages versus competing exchanges are well received. But do you see competition using transaction fee as a tool to take market share in Day Ahead Market post market coupling?

SN Goel : We will deal with that when we reach there. Why to worry about that right now. I don't think customers really will value that part of it because transaction fees is a very, very small component of the total power procurement cost. But if that is the case, then we will deal with that also.

Sumit Kishore : Okay. Because if they are not able to overcome

your barrier of having a tech advantage and they cut price by 5% or 10%, you would have to follow suit in order to retain market share. Is that the right understanding?

Indian Energy Exchange Limited
July 25, 2025

Page 8 of 17

SN Goel : I told you . I mean we will deal with the situation when we reach there. So if we have to do that, we will do that.

Sumit Kishore : Sir, would Day Ahead Market also include GDAM?

SN Goel : Well, today, it is DAM only, Day Ahead Market only.

Sumit Kishore : Okay. So Green Day Ahead Market would not be part of the overall Day Ahead Market that would be impacted.

SN Goel : That is ambiguity in the order.

Sumit Kishore : Yes, it's not mentioned there.

SN Goel : Yes, it's not mentioned.

Sumit Kishore : And based on the current status of technological progress that Grid India might have made, do you foresee Jan '26 timeline as being implementable? And where or when do you see RTM also forming part or progress on RTM to come under ambit of market coupling, if at all?

SN Goel : First of all , as far as the implementation of market coupling in the DAM segment is concerned, there are a lot of things to be done. And one of the things is basically you need a common software for all 3 exchanges, the IT infrastructure for all 3 exchanges to be compatible. You need clearing and settlement mechanism. We have to work out that part of it. And in fact, also at the commission 's end, they have to formulate regulations for the implementation of market coupling. So all these things will need time. So , let's see. I will not like to comment on this whether January '26 is feasible or not. But , based on the activities involved, I feel that it may take longer time. That is about the Day Ahead Market.

As far as RTM market is concerned, I'm reading out from the order. "Given the shorter time for bid submission and running the market clearing engine, the decision to implement the coupling of RTM of power exchanges shall be considered at a later stage. "

So, there is no decision. The decision will be considered at a later stage after gaining operational experience from the coupling of DAM. So , in this order, they have not taken any decision about the RTM.

Sumit Kishore : Sure. And finally, any comment from your side? Are we any closer to MBED now that market coupling has been put in place for Day Ahead Market?

SN Goel : Well, I think that is something which the regulator will have to decide about . That is a much bigger issue. So , let's hope that happens.

Moderator: The next question is from the line of Vikas Jain from FQ.

Vikas Jain : Good Afternoon Sir. Thank you for the opportunity. So my question is regarding the recent order by CERC for the market coupling. Is there any mention of MBED in the order that has been recently received? Any comments or any insights on that part of the market coupling?

Indian Energy Exchange Limited

July 25, 2025

Page 9 of 17

SN Goel : There is no mention about MBED in the order.

Vikas Jain : So is it likely that, that would follow up from CERC or there is no hope that MBED will be implemented. So , what is the management view from IEX on this one?

SN Goel : I can't say about that. That is for the regulatory commission to take up that issue. I wish that happened.

Moderator: The next question is from the line of Kunal Tanvi from Banyan Tree Advisors.

Kunal Tanvi : My questions were related to market coupling. I had a few questions around that. One, if you can explain us how the regulation that has come up is going to play out. Our understanding was that all the bids would be given to one exchange in a particular time and the prices would be discovered there. So , the price discovery that used to happen on IEX will now happen across the 3 exchanges, right? Because of that, is there any possibility of change in the pricing regulations by the regulator itself? If you can throw some light.

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N Goel : All this will be a part of the various operational and procedural aspect, which needs to be decided by the Commission . There are a lot of things like this, which needs to be decided.

Kunal Tanvi : Sure. So at this point in time , the only clarity is that market coupling is being implemented and all for the DAM market. That is the only clarity we have, right?

SN Goel : Yes. You're right.

Kunal Tanvi : Sure. The second question was when market coupling was first talked about like 4, 5 years back when the first draft had come, the idea was that market coupling would be a good tool for expanding the market and long term and PPAs would also come through. Any thoughts that you would want to share like if in the form and shape that the current regulation talks about was to get implemented, what are the benefits to the customers' ecosystem that would come through?

SN Goel : What you're asking is basically MBED and as far as MBED is concerned, there is no mention of that bit in this order, and we are not sure when this will be taken up by the Commission .

Kunal Tanvi : And like if this form, the current form gets implemented, what are the benefits to the ecosystem?

SN Goel : Well, we don't see any benefit, but then it is a regulatory decision.

Kunal Tanvi : So, is there a possibility that because there could be a confusion among the ecosystem because of 3 exchanges?

SN Goel : Confusion in what respect?

Kunal Tanvi : For example, we have 95% market share, right? So, if our customers were to trade on the exchange, they will continue to come on IEX and then the orders get pulled to some other exchange. Your customers will continue to be yours ?

Indian Energy Exchange Limited

July 25, 2025

Page 10 of 17

SN Goel : I wish that. And I'm sure the kind of efforts we are making, we would like to maintain that. We'd like to ensure that. The customers remain with us.

Kunal Tanvi : Okay. From a client perspective, you talked about there are numerous things that play a role in terms of value addition that you provide to the customer, including, technology and the support and the long-term relationship. How do you think the price plays a role? Like price discovery, how important is the role price discovery plays when customers come to buy a power on the exchange?

The reason I ask this question is if you see historically, the demand on the exchange, the volumes on the exchange have been a function of change in the price. So, times when price is lower, you see higher volume. So definitely, the price discount that the exchange plays some role in terms of more and more people coming on the exchange. So, if you want to share some insights on that, it would be very helpful.

SN Goel : See, price discovery is the key function of exchange. And one of the USP of IEX has been that in the last 17 years, there has been no questions raised on the price discovery of IEX. We display all market data on our website. We display the price discovery curves, and no issue has been raised by anybody till so far because that shows the robustness of technology platform and our price discovery process. Let's see what happens after the coupling. I would not like to comment anything on that at this stage.

Kunal Tanvi : Sure. And one last question, apart from IEX since we have a very long history of operation, one competitor has a reasonable history of competition of operations. The last one is very new. Will the other exchanges be able to handle this kind of volumes if it could get divided among 3 exchanges? Any comment you would like to?

SN Goel : I'm sure about one thing that before implementing the coupling, regulatory is definitely going to do the mock drill to check about the capability of the different exchanges, the IT infrastructure available and the capability of the exchange and then also do the mock trial with the big data post-trade basis. And that it will be seen And what other

efficiencies in the system and how to take care of that.

Moderator: The next question is from the line of Prateek Jain from ICICI Prudential AMC Limited.

Prateek Jain: Yes. So Sir, my question is regarding other income. So, it was INR120 crores in FY '25. And this quarter, it's INR42 crores, up 37% Y-on-Y. So why is this large increase? And can you broadly explain the source of this income? What part of it comes from the interest on margin money and what part comes from the investments that belong to IEX ?

Vineet Harlalka : The increase is mainly because of one target maturity fund investments we had in our books, where by because of the rate cut by the RBI during the first week of June, we got a decent mark-to-market gain, so we capitalized on that gain. We redeemed the funds and recognized that gain. That was the one reason.

And second, we had some investment in the NIFTY 50 index fund. So, a good amount of mark-to-market gain was during this quarter because of the market made a good recovery from 22,000

Indian Energy Exchange Limited

July 25, 2025

Page 11 of 17

to almost 25,000. So these 2 factors were the main reason where we had a decent treasury performance during this quarter.

Prateek Jain: Okay. And sir, regarding that, let's say, about FY '25, so if we have to look at the breakup regarding our own investments versus the interest income and from margin money, so what sort of proportion would that be?

Vineet Harlalka : It will be 2/3 will be from the own fund and around 2/3 to 3/4, about 75% will be from the own fund, around 25% from the float and other income.

Moderator: The next question is from the line of Devesh Agarwal from IIFL Capital.

Devesh Agarwal : Good Afternoon Sir, and thank you for the opportunity. Firstly, sir, to start with, I just wanted to know your thoughts. Can this order be overturned by CERC? Is there any recourse that we have?

SN Goel : If CERC decides to do that, they can do it definitely.

Devesh Agarwal : No, no. In terms of any legal opinions that you would have sought over the last 2 days, which gives some comfort that there is a case to challenge this?

SN Goel : We are evaluating this order. We haven't made any view on this at the moment.

Devesh Agarwal : Right, sir. So sir, in case assuming this goes through, one of the moats that we talked about was the technology. So, when we talk about technology, is it the price discovery part is what we highlight? Or is it the integration that we would have done over the years with the buyers and the sellers that is like a moat for us?

SN Goel : It is, I think, a combination of everything.

Devesh Agarwal : The reason I asked because you mentioned that there is a common software that will be developed to do this market coupling. So, in terms of price discovery will be taken care by this common software?

SN Goel : Yes, yes. You are right.

Devesh Agarwal : So then what we are left with is the integration part.

SN Goel : We have done so many things. Out of that, one thing has been taken out. So, rest of the USP still remains. Rest of the activities, which we have done, they still remain with us, and I'm sure we will be able to get benefit of that.

Devesh Agarwal : And sir, is this something that will be very difficult for the competition to replicate in terms of - or they can do that over time, say, probably 2, 3 quarters or 4 quarters, they'll be able to invest and replicate this or whatever technological advantage.

SN Goel : They had 17 years to replicate this.

Indian Energy Exchange Limited

July 25, 2025

Page 12 of 17

Devesh Agarwal : Although it's much difficult than that. Right. And sir, finally, one last one. If we were to assume that with market coupling, if we have to sustain a market share of, say, more than 40%, 50% then what would be those key advantages that we would have to sustain that higher market share compared to the competition?

SN Goel : Devesh, we are working on all these strategies, and we'll let you know in due course of time. I can assure you one thing that we are not working on retaining 40%, 50% market share. We are working to retain the present market share.

Moderator: The next question is from the line of Lokesh Manik from Vallum Capital.

Lokesh Manik : Sir, first question is in the order the savings mentioned is 52 million units. Is it possible that the savings could have been derived by coupling only the number 2 and number 3 exchange because savings is nothing but inefficiency that is present in the system, which seem to have been efficient by combining all the three exchanges?

SN Goel : Increase of 52 million units is not a saving. It is an overall volume cleared increase of 52 million units in a trade of 24 billion units 24,000 million units, there is an increase of 52 million units, which is insignificant. I don't think those numbers can be a reason for doing the market coupling.

Lokesh Manik : Absolutely correct. Sir, my second question is the order talks about amendments and operational procedures to be implemented. In any scenario in any of these amendments, will there be a State involvement where involvement from states will be required from the 28 States?

SN Goel : Question is not clear. Can you repeat, please?

Lokesh Manik : Will they have some form of approval from their end also will be required for these amendments to take place? The order talks about some amendments in the Act.

SN Goel : All these approvals will have to be done by the Commission only. There is going to be a new regulation for the market coupling.

Lokesh Manik : Right. So will the State commissions be involved in this?

SN Goel : No, State commissions have no role to play in this.

Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Good Afternoon Sir. My first question, Sir, have you heard anything on the Coal Exchange (s) and EPR trading?

SN Goel : Coal exchange, we haven't heard anything about it, but I was reading in the newspaper that MMDR Act is going to the Parliament for some amendment. And I don't know whether that Coal Controller of India will act as the coal regulator for the purpose of coal exchange, whether it is there in that (MMDR Act amendment) or not. We have not been able to find out that. But if that is there, then that is definitely one positive step in the right direction for Coal exchange.

Mohit Kumar: And anything on the EPR side, sir?

Indian Energy Exchange Limited

July 25, 2025

Page 13 of 17

SN Goel : Yes. On EPR side, I think CPCB is yet to take a decision on that. We are awaiting the response.
Mohit Kumar: Understood, sir. My second question is, what explains the sharp increase in the gas volume in the quarter and the sustainability of this number in the coming quarters?

SN Goel : Yes, Gas Exchange increase with respect to last year , Yes, there is a significant increase. But then the numbers are still small in comparison to our expectations. So , I'm sure in the coming quarters, you will see a much better number.

Mohit Kumar: And how do you see this ...

SN Goel : The domestic selling price gas by Reliance was sold for 3 -month period in 1 lot, and that also led to significant increase in the volume.

Mohit Kumar: And how significant is the recent PNGRB regulation, which allows only 2 tariff zone compared to, I think, earlier the higher 3 or 4 tariff zone, if I'm right? What 's your take on that?

SN Goel : Definitely, these regulations are conducive for gas market development. Initially, there used to be 4 zones, then it became 3, now it is 2. And in fact, like in the power sector, we have injection and draw charges , so in the gas sector also invariably, it is only entry and exit tariff. So , we are going towards that slowly. That's a good thing.

Moderator: The next question is from the line of Rishabh

Shah from Bu IgeRock PMS.

Rishabh Shah : Sir, I have one question. The other kind of system of the other competitors. So both systems.

SN Goel : Slightly louder, please.

Rishabh Shah : Sir the competitor's systems and our system won't be the same. So , if a user is comfortable with the platform, what incentive would he have to shift to a new platform?

SN Goel : Your question is not clear. I think what you are talking about is that if the competitor's platform is not similar to our s, what benefit we have in shifting there?

Rishabh Shah : Yes, yes, yes.

SN Goel : See, regulator will have to decide about the common platform, the common software and also the IT infrastructure across all 3 exchanges compatible to the requirement of the system. So , these kind of things can be done only after that.

Rishabh Shah : Okay. So , can we assume that if these things are not compatible, then this coupling might get removed again, if the systems of the competitor s are not compatible?

SN Goel : I mean these are some of the requirements for implementing market coupling. And I'm sure regulator will implement market coupling after fulfilling all these requirements.

Moderator: The next question is from the line of Ketan Jain from Avendus Spark.

Indian Energy Exchange Limited

July 25, 2025

Page 14 of 17

Ketan Jain : Sir, my first question is just on the competition. What steps apart from reduction in transaction fee can the competition do to attract customers? Is it something like reducing subscription fee or margin requirement? And what stops them to invest in better technology and people. So , some flavour on this ?

Management: Number one, the present order is for coupling of DAM market. DAM market constitutes only about 35%, 40% of our total volume. So , we still have almost about 60%, 65% volume coming from the other products. So , we will continue to maintain that technology platform and continue to do upgradation of that.

And even in case of DAM market also, except for the price discovery, there are other part of the technology platform, technology services, customer services, market development activities, which we will continue to do . And I'm sure that all will basically ensure that we retain the leadership position.

Ketan Jain : Understood, sir. And sir, so I just wanted to understand one more thing. As a customer, if I'm a customer and if I want to move my accounts from IEX to some other competition, so will I have to shut down my account? Will the company have to pay the margin money back to them?

SN Goel : Margin money is the customers' money. They can take it back any time . When they are doing trade here, they will have to ensure that margin money is available.

Ketan Jain : Understood. –So, just an understanding question. Say, if I'm a customer and only if the DAM is coupled and RTM is not coupled. So , for me, it will become an inconvenience for me to go to some other exchange just for the DAM . But for RTM, the liquidity will be with IEX will continue to be with . Is that a fair assumption?

SN Goel : I think you can yourself analyse the situation and take a call on that. RTM, you are participating on the IEX platform on round -the-clock basis, keeping margin for that. And then we are separately participating in other exchange trying to bring additional margin there, you have to take a call on that.

Ketan Jain : Understood, sir. Yes, this is a fair point. Who will be doing the settlement and clearing process?

SN Goel: Respective exchanges.

Ketan Jain : Respective exchanges, whenever is their turn of round -robin?

SN Goel : No., for the bids received by them, whatever bids are settled, clear for those bids, respective

exchanges will do the financial settlement.

Ketan Jain : Even in the coupling , even for the DAM segment?

SN Goel : Yes, yes.

Ketan Jain : Understood. Okay. And as you said, so there should be a new common platform, which needs to

be developed, right, and installed across all the exchanges for coupling?

Indian Energy Exchange Limited

July 25, 2025

Page 15 of 17

SN Goel : Yes, that is my understanding.

Ketan Jain: And who will be developing this? Regulator will nominate someone?

SN Goel: These are all details to be worked out.

Moderator: The next question is from the line of Subhadip Mitra from Nuvama.

Subhadip Mitra : Just one point of clarity. I think this is a point that you've already talked about before. So , when we are looking at market coupling in each of the exchanges getting the opportunity to be the market coupler for price determination on a round -robin basis. So , on a particular day, if, let's say, exchange A is doing the price determination, it doesn't mean that the volumes have to also automatically flow through that exchange, right? It can flow through any of the other exchanges depending on where the bids are coming. Is that the right understanding?

SN Goel : Yes. Volumes will be flowing through the exchanges from which the bid has come.

Subhadip Mitra : Secondly, a broader question on MBED versus SCED. My understanding was that with SCED already in a pilot phase and some thoughts of extending these beyond Central government plans to even State-owned GENCOs , do you see MBED really having an impact since you already have an alternate mechanism to SCED? Or do you think there is space for both?

SN Goel : Yes. SCED is basically a subset of MB ED. If MB ED is not being implemented, maybe to some extent, SCED is serving the purpose. That is an optimization between the Central generating stations. MBED was for Central generating stations, State generating stations, IPPs, everybody taken together.

Subhadip Mitra : Correct. So , if SCED , I mean, hypothetically, if we assume that SCED gets extended to Central plus State generating stations and that is anyway running on the Grid India platform, then MBED, even if it comes, may not have much of an impact.

SN Goel : No. See, SCED is basically operated between the Central generating stations only. In the same SCED, if you bring the State generating stations also and IPPs, then it will be as good as MBED.

Subhadip Mitra : Correct. But then would exchanges still have a role to play there since that is already running on a pilot through a separate platform?

SN Goel : That is a different exercise . That basically is just before the actual scheduling actual dispatch they are doing this optimization study. But then bringing State generation to the Central SCED is a difficult process. That is why an initiative is being taken to do intrastate SCED Within the State, (within) each of the State SCED is being done to achieve some efficiency there. During your next visit, we can discuss in detail.

Moderator: The next question is from the line of Abhishek Nigam from Motilal Oswal.

Abhishek Nigam : Sir, just a theoretical question. I'm not asking you for your response to this. But theoretically, what are the options available post the CERC order? Can someone go to an appellate tribunal ,

Indian Energy Exchange Limited

July 25, 2025

Page 16 of 17

can you appeal in a court of law? Again, just to reiterate, not asking you for your legal options right now.

SN Goel : There are many options available. One is we go ahead with this. Second is we go to CERC for review. Third , is we go to APTEL . So, there are many options available. I told you at the beginning of this conference that we are evaluating this order and yet to take a view on this.

Abhishek Nigam : Fair enough. I totally understand. It's very, very early. And the second question is that the order says that the exchanges have to basically cooperate with the market coupling operator. Now it's still very early days , I know this is still being sort of worked out and you are going to look for clarification. But is there any proprietary stuff, any software which they might

expect or they

might need to be able to implement this? Do you think you have that clarity on that?

SN Goel : I'm not clear about your question.

Abhishek Nigam : So, my question is when the order says that the exchange has to cooperate with the market coupling operator, is it just data? Or does it include some algorithm, something that is proprietary to you?

SN Goel : I don't find such mention in the order. Can you tell me where it is.

Abhishek Nigam : Okay. Maybe I'll just connect with Aparna later on.

SN Goel : Last Paragraph , Paragraph 9 is, "the commission hereby directs all power exchanges to share the necessary data and other information as required by the staff of the commission and Grid India to analyse various operational and procedural aspects for implementation of coupling in DAM."

Abhishek Nigam : Yes. Actually, that's what I was referring to.

SN Goel : No. This does not talk about technology or any such thing.

Abhishek Nigam : Yes, actually. So that was my question. So , it only talks about data investing, right?

SN Goel: That we are already providing.

Abhishek Nigam: Okay. Perfect. That clears it. And just last question, post this disruption in one major segment, is there a sort of a rethink or a pause in terms of Strategy with respect to new product development, new segments which you are trying to enter and because something similar happens in one of those segments as well, then what are the thoughts over there?

SN Goel : Product development is a continuous process. Five years back, we had only one product Day Ahead Market and Term Ahead Market . Now today, we have so many products available. So , in future also, this is a continuous process. We have already filed petition for the Green RTM market and also a petition for peak power , 11 months contract is already with CERC. So , it is a continuous process. In due course of time, as and when we find that there is a need of a new product in the market, we will take that up.

Indian Energy Exchange Limited

July 25, 2025

Page 17 of 17

SN Goel: I think it is already about 3:30. So can we have one last question or 2 last questions?

Moderator: The next question is from the line of Nikhil Abhyankar from UTI Mutual Fund.

Nikhil Abhyankar : Sir, just one question from my side. So , can you just share the revenue share agreement that we have with NSE and BSE for the power derivatives?

Management: I don't think there is a need to share that. We have an agreement with MCX so that they can use our price.

Nikhil Abhyankar : But what portion of the power derivatives revenue should flow through us.

SN Goel: I don't think these things are necessary to be discussed here. We are not paying anything to them.

That is for sure. I think if there are no more questions, can we close the conference?

Moderator: Thank you. I now hand over the conference to management for closing remarks.

Rohit Bajaj: Thank you, friends. I would like to thank each one of you for being part of today's call.

Throughout this quarter, we witnessed efforts from the government and regulators to establish a favourable policy and regulatory climate to develop the energy sector. We at IEX remain committed to contribute to the development of sustainable and energy -efficient future for India.

Have a wonderful evening. Thank you once again.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Indian Energy Exchange L td

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The Manager The Manager

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Sub: Transcript of the Earnings Conference call with analysts and investors held on October 31, 2025.

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on October 31, 2025, to discuss the financial results of the Company for the quarter ended September 30, 2025.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You.

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

Page 1 of 18

"Indian Energy Exchange Limited Q2 FY '26 Investor Conference Call "

October 31, 2025

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR

MR. ROHIT BAJAJ – JOINT MANAGING DIRECTOR

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER

MR. AMIT KUMAR – HEAD (OPERATIONS , NEW
PRODUCT INITIATIVES & EXCHANGE TECHNOLOGY)

MS. APARNA GARG – HEAD (INVESTOR RELATIONS &
CORPORATE COMMUNICATIONS)

MR. ADITYA WALI – INVESTOR RELATIONS

MODERATOR : MR. ROHAN GHEEWALA –AXIS CAPITAL LIMITED

Indian Energy Exchange Limited

October 31, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Indian Energy Exchange Q2 FY '26 Investors Conference Call, hosted by Axis Capital Limited.

As a reminder, all participant s' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*”, then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohan Gheewala from Axis Capital Limited. Thank you, and over to you, sir.

Rohan Gheewala: Thank you, Bhoomika. Good afternoon, ladies and gentlemen. On behalf of Axis Capital, I am pleased to welcome you all for the IEX Q2 FY '26 Earnings Conference Call.

We have with us the management team of IEX, which is represented by Mr. Rohit Bajaj – Joint Managing Director , Mr. S. N. Goel – Chairman and Managing Director , Mr. Vineet Harlalka – Chief Financial Officer , Mr. Amit Kumar – Head of Operations, New Product Initiatives and Exchange Technology , and Ms. Aparna Garg – Head (Investor Relations and Corporate Communications).

We will begin with the opening remarks from Mr. Rohit Bajaj, followed by an interactive Q&A session. Thank you, and over to you, sir.

Rohit Bajaj: Good evening, friends. I welcome you all to the IEX Earning s Call for Q2 FY '26. With me today on this call are Mr. Satyanarayan Goel – CMD, IEX ; Mr. Vineet Harlalka – CFO and Company Secretary; Mr. Amit Kumar – Head of Market Operations and Exchange Technology; Ms. Aparna Garg – Head of Investor Relations and Corporate Communications; and Mr. Aditya Wali .

At the macroeconomic level, India remains the fastest -growing major economy in the world, posting a strong GDP growth of 7.8% in the 1st Quarter of fiscal 2026. This trajectory has been powered by strong domestic demand, investment activity and a steady expansion of all major sectors, including industrial , services, agriculture and construction. The Q1 number offers optimism amidst global political uncertainty as India remains a source of stability and opportunity in the international landscape.

The Indian Metrological Department has reported 8% higher rainfall during this year's monsoon, the highest rainfall in five years. This good monsoon is likely to strengthen the agriculture sector, potentially lifting rural incomes and supporting broader consumption trends. In addition, fiscal policy measures to reduce the GST and simplify compliances are expected to further support economic activity going forward. Consequently, the RBI has revised India 's FY '26 GDP growth forecast to 6.8%, up from its ear lier forecast of 6.5%.

Indian Energy Exchange Limited

October 3 1, 2025

On the power sector front, weather continued to play a key role in this quarter as well. Electricity demand growth during the second quarter remained moderate with a power demand of 449 BUs, higher by 3.4% on year -on-year basis. In the first six months of FY '26, however, power demand has remained largely flat at 894 billion units compared with 886 billion units in H1 FY '25.

On the fuel side, ample fuel has been available at competitive prices. India's coal production reached 203 million tons in the second quarter of FY '26. At nearly 450 million tons, production in the first six months of FY '26 has also remained similar as compared with Q2 FY '25. The coal inventory as of October 2025 stood at nearly 20 days.

For the quarter, imported coal price for 4,200 GAR coal declined to \$42 per ton, a decline of nearly 19% compared with the same quarter last fiscal. For Q2 FY '26, prices of imported gas remained favorable at nearly \$12 per MMBtu compared to \$13.6 per MMBtu in Q2 FY '25.

Overall, the fuel situation for the sector has r

emained comfortable.

Let us now talk about a few important regulatory updates and policy initiatives :

Recently, key amendments were proposed to the Draft Electricity Act Amendment 2025, wherein ;

1. State Electricity Regulatory Commissions have been specifically empowered to determine tariff, suo moto , to ensure timely cost recovery and avoid delays.

2. Cross subsidies are to be progressively eliminated within five years for sectors such as manufacturing, railways , and metro operations.

3. In a push for C&I and open access consumer, DISCOM may be exempted from their obligation of supplying commercial and industrial user with 1 megawatt and above load. One of the DISCOM s in the area shall be assigned as a supplier of last resort. The proposal should open up DISCOM resources for supply, avoid tying up stranded power and enhance competitiveness of

the C&I segment.

4. Draft provides for specific penalty of Rs. 0.35 to Rs. 0.45 per unit for RCO nonfulfillment.

5. Further, the draft also allows for contract for difference, CFD -based products for the development of the market.

6. In an earlier order, CERC streamlined predefined time slots for trade under TAM contract across exchanges. Public consultation for these predefined slots have been conducted and the final order has been reserved by the CERC. The regulator also proposed modification in the price discovery mechanism of the day ahead contingency segment from the current continuous matching to uniform price step auction through draft amendments in the Power Market Regulation 2021.

Indian Energy Exchange Limited

October 31, 2025

Page 4 of 18

Stakeholder comments on these amendments have also been completed. This order will help improve liquidity in TAM and DAC segments.

7. CERC had issued draft guidelines for virtual power purchase agreement, VPPAs earlier this summer. Consultation and due proceedings with regard to this have been completed. The draft recognizes power exchanges as authorized platforms for sale of electricity by RE generators under VPPA arrangements. Renewable generators entering VPPAs may sell the electricity component in the collective segment on the power exchanges. This would help increase volume on exchanges.

8. In another development in reference to the carbon market, the CERC issued draft regulations for trading of carbon credit certificates for both obligated, as well as non-obligated entities through power exchanges. The stakeholder consultation have been completed and final regulations are likely to be issued in due course. Further Greenhouse Emission Intensity targets have been notified for 271 obligated entities across sectors such as aluminum, chlor-alkali, cement and pulp and paper. The final notification regarding this has been published by Ministry of Environment, Forest and Climate Change after conducting stakeholder consultations. This development marks an important milestone for commencement of carbon credit certificates trading on power exchanges in the near future.

9. In August, the CERC issued amendments to General Network Access (GNA) regulation, introducing network access for solar and non-solar hours for all RE-based projects. The amendment aims to tackle the inefficiencies by introducing time block-based restrictive access to ISTS system, thus aligning capacity allocation with resource generation. These provisions would improve network utilization and optimize costs going ahead.

10. During the second quarter, the MOP issued the final notification on renewable consumption obligation (RCO). The notification defined RCO fulfillment method to also include RECs acquired under VPPAs, among others, and also provided for fungibility of obligation under wind, hydro and other components. We have sought CERC's approval to align our green contracts with the revised RCO components. The order in the matter is reserved. Once aligned

the contract will provide due clarity through the market participants for RE sale or procurement, which may increase RE participation going forward.

11. CERC issued an order on implementing market coupling on 23rd July, in which regulator decided to initiate process of implementation of market coupling of the Day Ahead Market. This is to be

Indian Energy Exchange Limited

October 31, 2025

Page 5 of 18

done by January 2026. In the same order, it is mentioned that coupling of Real-Time Market RTM will be considered at a later stage.

The order also talks about running a shadow pilot for coupling of Term Ahead Market and stakeholder consultation for RTM and SCED coupling. Further in this order, CERC has directed staff to initiate consultation with GRID India and all exchanges on the operational and procedural aspects of Day Ahead Market coupling, including identifying and proposing amendments required in various regulations. IEX has filed an appeal against this order in Appellate Tribunal for Electricity, APTEL. The next date of hearing is scheduled on 28th of November.

Now moving to the performance :

During Q2 FY '26, IEX recorded electricity trading volume of 35.2 billion units, a Y -o-Y growth of 16.1%. Revenue for the company grew by 9.2% year -on-year, increasing from Rs. 167.8 crores in Q2 FY '25 to Rs. 183.3 crores in Q2 FY '26.

Profit after tax increased by 13.9%, rising from Rs. 108.3 crores in Q2 FY '25 to Rs. 123.4 crores in Q2 FY '26. In Q2 FY '26, nearly 44 lakh renewable energy certificates were traded, lower than nearly 63 lakh certificate s traded over the same quarter in FY '25. The RTM segment continues to demonstrate strong growth with 36% share in volume at IEX, surpassing the share of DAM segment for the first time ever.

For Q2 FY '26, RTM volumes at nearly 15 billion units were higher by 39% on Y -o-Y basis, highlighting the segment's critical role in helping DISCOMs and open access consumers efficiently manage short -term needs. RTM's ability to offer flexibility and immediate responsiveness underlines the opportunity to efficiently integrate renewables with the grid. Green market volume in Q2 FY '26 rose 17.7% on Y -o-Y basis to 3 billion units compared with Q2 FY '25. This segment advances integration of clean sources such as solar and wind into the grid and helps obligated entities, including DISCOMs, meet their renew able purchase obligations. With an increase in hydro, wind and sustained supply from coal -based generation, supply liquidity on power exchanges improved and led to substantial drop in prices. In Q2 FY '26, sell bids in Day-Ahead Market of IEX increased by 39.3% on a Y -o-Y basis. As a result, average Day-Ahead Market price was Rs. 3.93 per unit, down 12.5% on Y -o-Y basis, while price in the Real-Time Market averaged at Rs. 3.51 per unit, a 16% drop .

With regards to our product in pipeline , we continue to await approval from CERC on our petition to extend term ahead market contracts from 3 months to 11 months. As regards to green RTM, CERC has reserved order on IEX Green RTM petition. Green RTM would provide an Indian Energy Exchange Limited

October 3 1, 2025

Page 6 of 18

opportunity to reduce deviation exposure due to weather events by providing an avenue to trade green power 1 hour in advance .

Further, to facilitate merchant storage capacity in the country, we have filed a petition with CERC for introduction of peak DAM and peak RTM segments. These segment s would facilitate trading of power during high demand hours such as late evenings and early mornings.

Stakeholder consultations on the same have been completed and the matter awaits further proceedings.

Moving on to IGX :

IGX traded gas volume of 16.1 million MMBtu in Q2 FY '26, a growth of nearly 37% over Q2 FY '25, led by volumes from domestic gas producers and heightened power demand during the months of August and September. For

Q2 FY '26, IGX recorded a profit after ta x of Rs. 9.6 crores, which was higher by 57% compared toRs. 6.1 crores in Q2 FY '25.

As gas prices continue to remain stable and policy initiatives continue to remain positive in the sector, volumes at IGX would continue to be robust. The arrival of early and prolonged monsoon this fiscal moderated power demand. Nonetheless, with CEA's forecast of power demand at 366 gigawatt by 2032 and power consumption to reach nearly 2,500 BUs, demand growth will continue to drive exchange volume.

In response to this expected demand growth, the MoP has been regularly monitoring the road map of thermal capacity addition of 80 gigawatt by 2032. Recently, the country's leading power producers also outlined investment plan s to increase their thermal capacity by over 50 gigawatt by 2032.

In addition, policy measures undertaken by government and regulators to ease supply side liquidity is expected to further rationalize power prices on the exchange. Power sector is undergoing rapid transformation with the emergence of innovative market mech anisms such as battery storage arbitrage, firm and dispatchable renewable energy (FDRE), virtual power purchase agreements (VPPAs) and electricity derivatives.

To support battery energy storage solutions, the Ministry of Power has finalized 2 tranche s of the viability gap funding mechanism. Nearly 13,200 megawatt hour of B ESS project have been awarded under the first tranche, while tenders for over half of the 30,000 megawatt hour project s in the second tranche under VGF have already been issued. As per the CEA , BESS based storage of 47 gigawatt is to be made available by FY '32. The reduction in battery storage cost has also accelerated the government push for B ESS. As recently as October 2025, RUVNL discovered Rs. 1.78 lakhs per megawatt per month for a 1,000 -megawatt two-hour two cycle tender under the VGF mechanism. This is the lowest price ever discovered for BESS under the VGF mechanism. As mentioned on an earlier occasion, BESS would be able to store surplus solar power during daytime to deliver electricity during hours of peak demand by leveraging power

Page 7 of 18

exchanges. This would increase liquidity and potentially increase volume on exchanges during daytime as well as during evening hours . .

These developments are poised to become key enablers in expanding and deepening the country's power market to support the successful energy transition.

Our diversification initiatives are also gradually gathering momentum. For Q2 FY '26, the International Carbon Exchange, ICX, issued 38 lakhs I-RECs, adding to a cumulative of 82 lakh I-REC issuances in the first half of FY '26, surpassing 59 lakh I-RECs issued in FY '25. Revenue for ICX in Q2 FY '26 stood at Rs. 193 lakhs. The I-REC is a globally recognized digital certificate that serves as a transferable proof of generation of 1 megawatt of energy from renewable sources.

With regards the Coal Exchange, Ministry of Coal has been exploring options for market development in the coal sector and has created enabling provisions under the Mines and Mineral Development and Regulation Act to set up a minerals exchange. Recently, draft rules have been issued for appointing Coal Controller as a regulator for the coal exchange. IEX has been working with the stakeholders to explore setting up the first coal exchange in India.

As India advances towards its net zero goals, energy exchanges are expected to play increasingly significant role in shaping the nation's energy ecosystem.

Thank you. And now we can have questions and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question comes from the line of Ketan Jain from Avendus Spark. Please go ahead.

Ketan Jain: Good Afternoon . Sir, my first question is on the status of implemen

tation of market coupling.

What is the progress on the ground in terms of operational details . Were you guys asked to make a software or what has been the progress? And is it on time to get implemented by Jan 2026?

Satyanarayan Goel: Good Afternoon. With regard to status of market coupling, we are not aware about any developments which have taken place so far . Because what we understand is that for working out details for implementing market coupling, there will be discussions which will be required with the exchanges, with Grid India and procedures will be worked out and regulations amendment will be done. Maybe those drafts will be issued for public consultation. So, to the best of our knowledge, so far, nothing like that has happened.

Ketan Jain: So, we were not contacted by the regulator or Grid India for developing any software. It's still no contact from them.

Indian Energy Exchange Limited
October 31, 2025

Page 8 of 18

Satyanarayan Goel: See, we are not aware of any such, program about how they want to implement it and when they want to implement it.

Ketan Jain: Understood. Sir, also if you could provide us with how IEX will play a role in the coal exchange and in the carbon exchange, if there is any development in that?

Satyanarayan Goel: See, as far as carbon trading is concerned, as per the regulations, CERC is the regulator for the carbon credits. And the trading of carbon credits will happen on all the 3 exchanges, which are regulated by CERC . So that means the existing exchanges, IEX, PXIL and HPX will be able to do the trading of carbon credits. Coal exchange, yes, Ministry of Coal is in the process of issuing the rules for this, and they will make Coal Controller of India as the regulator for this thing. Then they will have to draft regulations and do public consultations and finalize the regulations. Thereafter, interested parties can apply for the license of coal exchange. So, as we told in the past also, we are definitely interested in this area. And we are doing necessary preparatory work. As and when regulations are notified, we will apply for this also.

Ketan Jain: Understood. Sir, my last question is on the volume growth, sir. We have been doing 16% electricity volumes growth until now. What is your guidance on FY '26? How will we end and next year, what's your volume guidance for electricity volumes?

Satyanarayan Goel: So far in the first half of the year, the demand in the country has been practically flat. In spite of that, we have done a volume growth of almost about 16%. So, for the remaining period also, we expect reasonably good growth. We should be able to maintain a growth of 15% to 20%.

Ketan Jain: And for FY '27, sir, any view on that?

Satyanarayan Goel: It will be difficult to say at this stage. It all depends on the sector, how will the demand work out, weather conditions, what those will be. But, we are saying that we have been achieving a growth of, on an average, almost about 20% in the last five years. So, we should be able to achieve that. India is a growing economy, developing economy. So, if we have to grow at a rate of 6% to 7% in the GDP, definitely, the electricity demand is also going to grow. And as far as electricity is concerned, the whole electrification of economy is happening. A lot of things are

happening in the electricity sector - EVs and data centers. Now the batteries are also becoming commercially viable. So, a lot of storage is happening. If that happens, then the daytime surplus power can be stored and evening hours, the power can be used from the batteries. And Exchange will definitely play a very critical role in all these activities. So, I am sure growth potential what we have achieved in the past, we should be able to sustain in the future also . .

Ketan Jain: Understood. Thank you and all the best, Sir.

Moderator: Thank you. The next question comes from the line of Sumit Kishore

re from Axis Capital. Please

go ahead.

Indian Energy Exchange Limited

October 31, 2025

Page 9 of 18

Sumit Kishore: Good Afternoon , Sir. This is Sumit here from Axis Capital. My first question is on the power , so last fiscal power demand growth was 4.2%, 4.3%. This year, first half has been flattish. So , how much of this is really attributable to weather? And in your opinion, is there a slowdown versus what was expected for the C&I power segment also? What is your impression?

Satyanarayan Goel: It was mainly because of the weather because right from April till October, we are seeing very good rains this time in the country, and there is a surplus rainfall in the country. As a result of that, the agricultural demand has crashed. And also, the summer domestic demand also was much lower than what was expected. So, Grid India's estimate was a peak demand of 277 gigawatt against that only about 250 gigawatt was the peak demand. So I think looking at all these things, it was mainly because of the weather conditions. C&I side, we do not see any reduction in demand, rather there is an increase in demand. But I do not have the data about what is the actual increase in industrial consumption.

Sumit Kishore: Right. The second question is that basically, over this period where power demand growth has been muted over the last one year, installed capacity has grown by almost 9%, 10%. And during solar hour, say, in the DAM segment also the sell bids are far, far exceeding the purchase bid volume and what is finally cleared and the exchange prices are lower. So I mean, to what extent can this continue? Because would there be curtailment of or what kind of curtailment of power is happening, what can exchanges do to reduce this? You also spoke about capacities coming up for virtual power purchase agreements. There would be even more sell bids on the exchanges. Why aren't customers taking benefit of the lower tariffs during the solar hours and why isn't more power getting cleared on the exchanges ?

Satyanarayan Goel: I agree with your view. I mean capacity addition is happening and daytime prices are coming down. But this stability in the system will need some time. Today, need of the hour is capacity addition that is happening. Solar power is cheaper. It is cheaper than even variable cost of the coal-based power plants. So we need to do solar capacity addition. And when the exchange clearing prices are lower during the daytime, we are seeing lot of demand shifting during the daytime. So, if you see the demand curve of the country as a whole, earlier, the peak hour used to be in the evening hours, now the peak hour is during the daytime. So the demand shifting is also happening now, not that demand shifting is not happening. People are making use of this daytime cheaper power.

And to make use of this now in the last one year, lot many battery tenders were also awarded so that batteries can use this cheaper power during the daytime and sell in the evening hours. So all these kind of things are happening now. I mean , these things will need some time to balance out and make use of the daytime cheaper power. In the short run, yes, lower power during the daytime may continue. And that's good for the market. That's good for the market and exchange.

Our volumes are more during the daytime than in the evening hours.

Indian Energy Exchange Limited

October 31, 2025

Page 10 of 18

Sumit Kishore: And Sir, you mentioned that for the first time, RTM volumes have surpassed DAM in the first half of the fiscal. So is this going to be a sustainable trend? And in case of RTM, the implementation of MC (Market Coupling) will happen later depending on the experience from DAM. That's what the market coupling order said. So what % can in the Collective market transactions can RTM share can go up even from here?

Satyanarayan Goel: See, RTM volumes this year are higher than

than the DAM market, mainly because the availability

of power on the sell side was much higher. The liquidity was much higher, the price clearing prices were lower. And RTM prices are practically 10% to 12% lower than the Day-Ahead Market price. So many of the distribution companies are taking advantage of this lower RTM prices and purchasing power in the RTM market. So as long as the RTM prices are lower, yes,

definitely, RTM volumes will be higher .

And with regard to your question on coupling of RTM, if you look at the order, commission has not taken any view regarding implementation of RTM. So they have said that looking at the time constraints and based on the experience, it will be considered. So they will take a view separately on that if required.

Sumit Kishore: Got it. Just one last clarification. On the IGX equity stake that you have, 47.5%, what is the time line over which this has to be reduced to 26%? And what are your thoughts and what are your plans there?

Satyanarayan Goel: Can you repeat the question, please?

Sumit Kishore: I believe IEX stake in IGX equity stake, which is around 47.5% needs to come down over a certain time frame, I believe, to below 26%. Can you please refresh our understanding on how we are going to go about it?

Satyanarayan Goel: Yes. As per the PNGRB regulations, we have to bring down the equity to 25% by December 2025. That is the provision. We have applied to PNGRB for extension of this time because in the past, there were huge challenges in the gas market and gas exchange. The business ramp -up has not happened at the rate at which we were expecting it. So we have applied to PNGRB and the regulator was quite supportive, and they have assured that they will give time extension. And we are also working out options, we are considering different options for divestment and complying with the regulatory provisions.

Sumit Kishore: Okay. So it's only two months away, so they will give extension for one year?

Satyanarayan Goel: Yes, yes. I mean we have requested for one and a half years. Let's see.

Sumit Kishore: Thank you, Sir.

Indian Energy Exchange Limited

October 31, 2025

Page 11 of 18

Moderator: Thank you. The next question comes from the line of Anand B from Seema Wealth Private Limited.

Anand B: Hey, good afternoon. So just a couple of questions. First is the transition of the segment from DAM to RTMs. So, in this quarter, and especially in this half, you have seen, compared to the first half of the previous year, the percentage volumes of DAM has reduced from 41% to 35% in this half of the current financial year. RTMs (volume) went up from 30% to 36% as well. But TAM market has remained the same. Can you just give a light on why TAM market volumes share has remained the same and where do you see that going forward?

Satyanarayan Goel: First thing, the main product for the exchanges are the collective transactions, which is the DAM and RTM. So, significantly higher volumes happen only in these segments. And as you can see this year also, the share of collective transactions, which is DAM, RTM and (Green-DAM) G-DAM, the total share is more than 85% for these three products. And it will continue to remain like this. Term Ahead Market transactions, these are bilateral transactions. And these transactions happen mainly when there is a shortage of power and some of the distribution companies want to tie up power to ensure availability of power under the deficit conditions. Fortunately, this year, we had good rains. So that is why there is no growth in the TAM transactions.

Anand B: Okay. So even in the RTM segment also, would you say going forward now considering the market coupling you said that, okay, the CERC is considered coupling for RTM. Let's say if RTM coupling is not going to happen, would you say that the RTM channel will only increase more and more where the DAM segment would decrease in

growth?

Satyanarayan Goel: Looking at the market energy transition, which is taking place, a lot of renewable capacity is getting added, and there is a large variation in the renewable power generation. So, distribution companies also have to, make good of these variations on a real-time basis. And even generators, renewable generators, they also many a times sell the surplus power because of the good weather conditions if there is excess generation. So, real-time market volumes under these conditions will continue to increase. Government of India also has mandated that all thermal generators will have to sell their un-requisitioned power in the DAM and RTM market. And these generators are able to assess the surplus URS power more accurately in the RTM market. So, a lot of bids are coming in the RTM market for sale of power from these generators also. Considering all that, I personally believe that, yes, RTM volume will continue to increase in the future.

Anand B: Okay. That was one part. Second, I want to touch upon the Virtual PPAs front. I just want to know the current scenario of how much of that is going forward? And what would be the share of the exchanges or what potential the exchanges can have a share of the Virtual PPAs?

Indian Energy Exchange Limited

October 31, 2025

Page 12 of 18

Satyanarayan Goel: See, Virtual PPAs are normally done by the industries or multinationals when they want to comply with the RPO obligations or their sustainability targets. And under that, what they do is they get into a contract with the generator and they commit them a fixed price. The generator sells power in the market. And difference between this market clearing price and his contracted price is to the account of the multinational who has contracted this. In turn, the green attribute goes to the multinational.

Now under this kind of a contract, what we understand is that, yes, a couple of VPPAs have been signed. And I think almost about 2,000 megawatts of VPPAs are under operation or under execution. And that power is coming to the market for sales.

Anand B: 2,000 megawatts of virtual PPAs?

Satyanarayan Goel: Yes. And in any case, most of these VPPAs are for the solar power. And during solar time, in any case, we have a lot of sell available. We have sell available to the extent of more than 50,000 megawatts. So if there are more Virtual PPAs, there will be more sell during this hour.

Anand B: Okay. And you are saying in the 2,000 megawatts Virtual PPAs, how much or the entire share is coming to the Exchange or only a certain portion of it?

Satyanarayan Goel: Entire is coming to the market.

Anand B: Okay. Any estimates of how much can come to IEX specifically?

Satyanarayan Goel: Can you repeat, please?

Anand B: Any idea how much of that can come to IEX specifically?

Satyanarayan Goel: In fact, entire is coming to the IEX because they are mostly selling in the day ahead market.

Anand B: Thank you, sir.

Moderator: Thank you. The next question comes from the line of Vikas Kasturi from Focus Capital. Please go ahead.

Vikas Kasturi: Good afternoon, sir. I had a couple of questions. So, the first one is, when I see the gas exchange prices, I think these are US numbers, we are somewhere close to about \$4 per MMBtu, whereas our GIXI prices are somewhere closer to about \$11. So why is there so much of a difference between the prices? That is one. And the second question was on the carbon exchange. Are there any business development initiatives that we are doing to scale it up, sir? Could you just speak about that?

Indian Energy Exchange Limited

October 31, 2025

Page 13 of 18

Satyanarayan Goel: Yes. In case of the gas market, US prices are based on the Henry Hub. And Henry Hub is an index, which is basically determining the gas price in USA. It is not international gas trading exchange. It is basically for the transactions happening

in USA. And since USA has surplus gas available, their trading price is around \$4, \$3.5 to \$4. If that gas has to come to India, then that gas will have to be liquefied, transported and re-gasified.

The rate for that gas also will work out to be something around \$10 to \$12, which is the rate of the GIXI. But mostly in India, the gas is coming from the Middle East side and because that is nearer to India, transportation cost is lower. And the rate of that gas today is almost about \$10 to about \$11, and it was about \$12, \$13 a couple of months back. Is this clear?

Moderator: Mr. Vikas, you are not audible. Mr. Vikas, please unmute your line.

Satyanarayan Goel: Let me answer his second question. And second question was regarding market development activities about carbon trading. Regarding carbon trading, CERC has issued draft regulations, public hearing was held, order is reserved on the carbon trading regulations. And Ministry of Environment has recently issued guidelines for greenhouse gas emissions for 4 industries. And after that, these industries will have to comply with this. There will be an audit for that. And thereafter the industries who are overachieving the targets, they will be issued carbon credits and industries which are not achieving it, they will have to buy the carbon credits. So, I think all this process will need another one and a half, maybe one to one and a half year. And thereafter, the carbon trading will happen. And we are regularly in touch with the different authorities. And we are also in touch with the different industries for the trading of carbon credits. So, we are doing all necessary preparative work for this. Thank you.

Vikas Kasturi: Thank you.

Moderator: Thank you. The next question comes from the line of Yashodhan Nerurkar from Ionic Wealth. Please go ahead.

Yash Nerurkar: Thanks for the opportunity. So I just had two questions. The first is, I mean, I just wanted a clarification. In the event of market coupling, say, the entire volumes are split in the ratio of, say, 70% and the balance to Exchange is like 15-15. So, will IEX be responsible for clearing the 70% of the volumes as in even if the price is discovered by, say, third entity like the market company operator, would IEX be responsible for clearing the 70%? So, would they be getting paid for all the buys and sells that they have got in the exchange? So that's first question.

And second question is, you always, in every call, talk about the different developments and draft amendments that the regulator has been looking to sort of implement. I mean, what is the progress of all these developments? And how soon can we expect some of the key developments

Indian Energy Exchange Limited
October 31, 2025

Page 14 of 18

to actually materialize? And what sort of benefits would IEX actually accrue from these developments is the second question.

Satyanarayan Goel: Your first question was, yes, clearing of the volumes. See, whatever buy bids and sell bids will come on the IEX platform and whatever is cleared after the market coupling, we will settle those bids. I suppose I got sell bid of 500 million units, buy bids of 200 million units. Out of that, after the price discovery happened at the centralized location, out of that, my 200 million units of sell bids are cleared and 150 million units of buy bids are cleared. So that means I will get from the 200 million units buyers money, I will get from them. I will get from 150 million unit buyers. And this money, I will pay to the sellers who have sold 200 million units. In addition, I will also get money from the other exchanges whose buyers are cleared against the sell from my sellers. So, there will be interexchange settlement also. So whatever volumes are cleared on IEX platform, we will do a settlement for that.

Yash Nerurkar: Okay. Perfect. Perfect. That answers my question. And secondly, abo

ut the developments and

how material would they be? And how soon can we expect the progress to happen in those?

Satyanarayan Goel: See, if you look at the government and regulators, everybody is basically interested in development of the market. And there are many such initiatives which are being taken by the government. In the past also, if you see the Late Payment Surcharge, which came streamlining the payments for the generating companies, that brought in financial discipline in the sector. And as a result of that, the capacity addition is happening in the country now.

Then there was an amendment in that, that all generators will have to sell their URS power on the exchange platform. As a result of that, we are getting lot of sell bids on the exchange platform. I mean in a few days, what we see is in the Day Ahead Market, we can sell volumes of almost about 150 million units to 200 million units. Similar in the RTM market, also 200 million to 250 million units kind of sell bids are coming.

And now Government of India has proposed amendment in the Electricity Act. And as per this, again, this is basically for bringing viability in the power sector, improving performance of the distribution companies. So, if that happens, definitely, the demand for power is going to increase, and this will definitely help exchanges to grow business. Same thing from the regulator also. I mean, VPPA provisions were approved. And I think two years back when the GNA was implemented, that has also streamlined all this network connectivity and charges for short-term transactions. So I think all this streamlining is happening. This is keeping in view how to develop the market in the country.

Now we are talking about the capacity market that if a distribution company does not have adequate capacity, which is required for meeting the demand, how can they buy that capacity, how to develop the capacity market. So these things are happening. So, these things do not

Indian Energy Exchange Limited

October 31, 2025

Page 15 of 18

happen every day, but it's a continuous process and the government and regulator both are working in the direction of developing the market in the country.

Yash Nerurkar: Okay, fair. That answers my questions. Thank you.

Moderator: Thank you. The next question comes from the line of Faisal Zubair Hawa from H.G. Hawa & Company. Please go ahead.

Faisal Hawa: Sir, as far as the legal cases are concerned, what kind of forum are now we have been represented on this coupling matter? And when is the next hearing?

Satyanarayan Goel: I am not clear about your first question. The next hearing is on 28th of November.

Faisal Hawa: And this is with CERC?

Satyanarayan Goel: Next hearing is in APTEL, Appellate Tribunal for Electricity.

Faisal Hawa: Okay. And sir, what is the kind of, I mean, technology changes that we can bring in so that we do not lose much volume even if coupling does happen?

Satyanarayan Goel: See we are working in the company, and, what kind of changes in the system we have to do, what kind of technology support we need to provide to our customers to create customer loyalty, so all those things are being worked out. I do not think on this call, it will be possible to elaborate on those things. So, we are definitely going to take technology intervention to ensure our customers share.

Faisal Hawa: Okay, sir. Thank you very much.

Moderator: Thank you. The next question comes from the line of Archit Agarwal from Steptrade Capital. Please go ahead.

Archit Agarwal: Yes. Sir, my question is what steps is IEX taking to diversify the revenue stream after like market coupling will happen, so the revenue will decrease.

Satyanarayan Goel: No, why are you saying the after market coupling the revenue will decrease? We are making all efforts to ensure that we retain our market share and volumes are increasing every year. So, I am

sure --

Archit Agarwal: Sir, if you look at the result, right, so volume has not significantly increased, right? So after this market decoupling, actually, it seems monopoly is not there, right? So what I am asking --

Indian Energy Exchange Limited

October 31, 2025

Page 16 of 18

Satyanarayan Goel: Gentlemen, please hold the line, coupling has not happened, okay? So, for coupling only order has been issued, coupling has not happened. So, there is no change in that. And volumes have increased by 16%.

Moderator: Thank you. The next question comes from the line of Aditya Raval from Exencial Research Partners. Please go ahead.

Aditya Raval: Good afternoon. My question is regarding in the quarter two result, electricity traded volume grew by 16.1 % year-on-year, but the revenue from operations grew at a slower rate of 10.42 % year-on-year, indicating the divergence. Could you please explain the reason behind this gap? Is it mainly due to the lower realization or unfavorable product mix? And what steps is the company taking to address this issue going forward?

Satyanarayan Goel: See, electricity volume grew by 16%, and then there is a certificate also. So my colleague, Mr. Vineet Harlalka, who is CFO of the company, he will explain you in detail about this.

Vineet Harlalka : So, when we look at the total volume, the electricity volume increased by 16% during the quarter on year -on-year basis, but the REC certificates volume was a bit lower. And secondly, if you can recall, last year in the month of August, we reduced our transaction fee on the certificate from Rs. 40 to Rs. 20. So, during the previous year quarter, the full Rs. 40 fees was being charged. And this quarter, it was Rs. 20. So, it's a mix of both, slightly lower certificate volume and the lower the transaction fee, which has resulted in the overall operating revenue lower than the increase in the electricity volume. I hope this clarifies?

Aditya Raval: Yes, sir.

Satyanarayan Goel: On the electricity side, the increase in the revenue is 16%. On the certificate side, the increase in revenue is minus 53%. So, as a result of that, total revenue increase was only 10%.

Aditya Raval: Yes, sir.

Moderator: Thank you. The next question comes from the line of from Neeth from Alembic. Please go ahead.

Neeth: Hello. My all the question s have been answered.

Moderator: Thank you. The next question comes from the line of Chirag from Keynote Capitals. Please go ahead.

Chirag Maroo: Thank you for the opportunity. My first question is, what is the settlement obligation payable as of H1 FY '26?

Indian Energy Exchange Limited

October 31, 2025

Page 17 of 18

Vineet Harlalka : The settlement payable keeps on changing depending upon the volume and price. If you look at the balance, the closing balance as on 30th of September, the total payable amount was near about Rs. 500 crores.

Chirag Maroo: Okay. My second question is related to product -wise market share. Is it possible for you to share that?

Satyanarayan Goel: Yes. Mr. Rohit will respond to this question, JMD of the company.

Rohit Bajaj: If I talk about Q2, so our electricity market share is 84% and certificate market share is a little above 50%. So overall is about 75%. But what we have seen in the past couple of years, product - wise, IDM and RTM is 100%, 99% precisely. And in the other TAM segments, it is 35%.

Overall, as I said, electricity is 84%.

Chirag Maroo: Got it. Sir, just one thing I wanted to understand, if market coupling goes forward, apart from the tech, are we willing to go into price wars also if that takes place?

Satyanarayan Goel: Let the coupling happen. We will look at the market conditions and take a call based on that. I do not think we need to decide that thing today itself. I can tell you one thing, in the Term Ahead Market, all three exchanges are active. And there also, the price war is not th

ere. So, I do not see

any such situation that after coupling, there will be a price war in the DAM market. Why should we talk about war? Let us talk about peace.

Chirag Maroo: Fair enough. And as to you, sir, you have been focusing a lot on retention of customers, as you rightly mentioned earlier. So apart from technology, what is the USP that IEX has?

Satyanarayan Goel: It is hard work of last 17 years because of which we have been able to build this market and the kind of connectivity we have, the understanding we have with our customers - the kind of understanding which we have developed about the requirements of our customers and the value which we provide to them, the market development activities which we have done. I think all these things are our USP, and we will continue to do all these things. And I am sure this will definitely give us good market share in future.

Chirag Maroo: Perfect. Sir, just last question from my side. As there is a new thing that is happening in the market, the electricity derivative market, right, just wanted to understand what will be the revenue model for IEX from here?

Satyanarayan Goel: We have an agreement with MCX that they will share a part of their revenue with us because they are doing the settlement based on our clearing price. But if you look at the volumes which are happening in the derivative market for the month of August, September, October, these are negligible. So, I do not think at the moment there is any point in talking about the revenue model out of that.

Indian Energy Exchange Limited

October 31, 2025

Page 18 of 18

Chirag Maroo: Fair enough, sir. And sir, if you have this clarity, are nodal-based electricity derivatives taking place? Or is there any clarification to that?

Satyanarayan Goel: I could not get your question.

Chirag Maroo: So, in US electricity derivative market stakes has flourished because of the nodal-based electricity derivative. So, if there is a node in Los Angeles per se, derivatives are traded based on that node. So just wanted to understand, is such kind of development in --

Satyanarayan Goel: US electricity market is different, and that is why derivatives are also based on the nodes. In India, we have sort of uniform transmission price within a state. And the derivatives are also based on that. These are basically zonal. US and India markets are quite different. So, in India, the derivatives are based on the market clearing price of the Day Ahead Market. And that is one price, you can say.

Chirag Maroo: Fair enough, sir. Thank you for the answers.

Moderator: Thank you. The next question comes from the line of Krishna Sateja from Smart Sync Services.

Krishna Sateja: Good Afternoon, sir. So, all my major questions have been answered, but a small query, like once the carbon trading certificate gets yes nod from all regulations, like you expect one and a half years from now. So how significant volume can we expect from that? How significant ly can they affect the financials?

Satyanarayan Goel: It's difficult to say that because it depends on to what an extent industries are able to comply with the GHG gas emissions norms. If everybody is complying, then there's no trading. If few are complying, over complying and if few are under or not complying, then yes, the trading will happen. So, it all depends on that. But looking at the trend in the past for the ESCerts and RECs, we believe that the market could be as big as the REC market.

Krishna Sateja: Okay. That's all from my side. Thank you.

Moderator: Thank you. We will take that as the last question for today's call. I would now like to hand the conference over to the management for closing comments.

Rohit Bajaj : Thank you, friends. I would like to thank each one of you for being part of today's call.

Throughout the second quarter, we witnessed efforts from the government and regulators to establish a fa

avorable policy and regulatory climate to develop the energy sector. We at IEX remain committed to contribute to the development of a sustainable and energy-efficient future for India. Thank you so much. Have a great evening. Thank you.

Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Feb 2026

Indian Energy Exchange Limited

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Dated: February 05, 2026

The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on January 30, 2026.

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on January 30, 2026, to discuss the financial results of the Company for the quarter ended December 31, 2025.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You.

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

Page 1 of 16

"Indian Energy Exchange Limited
Q3 FY '26 Results Conference Call"
January 30, 2026

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR –INDIAN ENERGY EXCHANGE
LIMITED

MR. ROHIT BAJAJ – JOINT MANAGING DIRECTOR –
INDIAN ENERGY EXCHANGE LIMITED

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER -
-INDIAN ENERGY EXCHANGE LIMITED

MR. AMIT KUMAR – HEAD MARKET OPERATIONS
NEW PRODUCT INITIATIVES AND EXCHANGE
TECHNOLOGY –INDIAN ENERGY EXCHANGE LIMITED

MS. APARNA GARG – HEAD INVESTOR RELATIONS
AND CORPORATE COMMUNICATIONS –INDIAN ENERGY
EXCHANGE LIMITED

MR. ADITYA WALI -- INVESTOR RELATIONS –INDIAN
ENERGY EXCHANGE LIMITED

MANAGEMENT : MR. ROHAN GHEEWALA – AXIS CAPITAL

Indian Energy Exchange Limited
January 30, 2026

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to Indian Energy Exchange Q3 FY '26 Results Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Rohan Gheewala from Axis Capital Limited. Thank you. And over to you, sir.

Rohan Gheewala : Thank you. Good evening, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all to the IEX Q3 FY '26 Earnings Conference Call. We have with us the management team of IEX, which is represented by Mr. Rohit Bajaj, Joint Managing Director; Mr. S.N. Goel, Chairman and Managing Director; Mr. Vineet Harlalka, Chief Financial Officer; Mr. Amit Kumar, Head of Market Operations, New Product Initiatives and Exchange Technology; and Ms. Aparna Garg, Head, Investor Relations and Corporate Communications. We will begin with the opening remarks from Mr. Rohit Bajaj, followed by an interactive Q&A session. Thank you. And over to you, sir.

Rohit Bajaj : Good evening, friends. A very happy New Year to all of you, and a warm welcome to the IEX earnings call for Q3 FY '26. With me today on this call are Shri. Satyanarayan Goel, CMD, IEX; Mr. Vineet Harlalka, CFO and Company Secretary; Mr. Amit Kumar, Head of Market Operations and Exchange Technology; Ms. Aparna Garg, Head of Investor Relations and Corporate Communications; and Mr. Aditya Wali.

India continues to be the fastest-growing major economy in the world, posting a strong GDP growth of 8.2% in the second quarter of FY 2026. In the backdrop of continued global uncertainty, the International Monetary Fund, IMF, has recently revised India's GDP growth estimate for FY '26 to 7.3% from its earlier forecast of 6.6%.

This growth path has been driven by a robust domestic demand, heightened investment activity and steady performance across industry, services, agriculture and construction. Policy reforms such as rationalization of GST rates, new labour laws and the recently concluded India EU free trade agreement have also finally firmly positioned India on a long-term trajectory towards becoming the world's third largest economy by 2030.

On the power sector front, electricity demand picked up during December, with an increase of 6.6% on a year-on-year basis. However, prolonged monsoon in 2025 led to a lower electricity requirement across the country. Consequently, electricity demand during Q3 FY '26 remained flat at 392 billion units.

For nine months FY '26, demand also remained subdued at 1,286 billion units, similar to the corresponding period of FY '25. Going into January, demand has increased to 6% compared with a year ago. During the first nine months of FY '26, an additional 44.7 gigawatts of installed capacity across thermal and renewable sources was added, taking total installed capacity to over 500 gigawatts.

Indian Energy Exchange Limited
January 30, 2026

Page 3 of 16

Renewable energy accounted for more than 50% of the total installed capacity. Notably, India achieved the milestone of sourcing 50% of its cumulative installed electric power capacity from renewable sources, five years ahead of the 2030 target.

On the fuel side, ample fuel has been available at competitive prices. India's coal production reached 272 million tons in Q3 FY '26, similar to 273 million tons produced in Q3 FY '25. At nearly 722 million tons, production in the first nine months of FY '26 has also remained similar compared with the same period in FY '25.

Coal inventory as of January 17, stood at 25 days, but the quarter imported

coal price for 4,200

GAR coal declined to nearly \$47 per ton, a decline of 10% compared with the same quarter last fiscal. Overall, the fuel situation for the sector has remained comfortable.

Let us now talk about a few important regulatory updates and policy initiatives.

The government has released Draft National Electricity Policy 2026, aimed at aligning the power sector with Viksit Bharat goals over the next two decades. Draft prioritizes cost-reflective tariff reforms, a phased reduction in cross subsidies and time-of-day peak hour pricing to improve efficiency and strengthen DISCOM finances.

It sets ambitious consumption targets for per capita electricity used rising from 2,000 units by 2030 and over 4,000 units by 2047 and calls for stronger generation, transmission and distribution planning. Key strategies span resource adequacy planning, cost-reflective tariffs with AT C loss reduction to single digits, RE expansion with storage, thermal hydro nuclear enhancements, etcetera.

For deepening power markets, suitable policy and regulatory framework shall be established for generation capacity addition through market mechanisms such as bilateral contract settlements. Standardized contracts for collective transaction will be executed on power exchanges.

Electricity from long-term PPAs may be encouraged to be routed through power exchanges or

any other platform recognized by the Central Commission.

Recently, key amendments were proposed to the Draft Electricity Amendment Bill 2025, wherein state electricity regulatory commissions have been specifically empowered to determine tariffs, suo-moto to ensure timely cost recovery and avoid delays. Cross subsidies are to be progressively eliminated within 5 years for sectors such as manufacturing, railways and metro operations.

In a push for C&I and open access consumers, DISCOM may be exempted from their obligation of supplying to C&I users with more than 1 megawatt load. Also, DISCOMS would provide non-discriminatory open access to multiple distribution licenses on payment of wheeling charges. These proposals should open up DISCOM resources for supply, avoid tying up standard power and enhance competitiveness of the C&I segment.

Draft provides renewable purchase obligation, RPO, not be less than central RPO trajectory and proposes a specific penalty of INR0.35 to INR0.45 per unit for RPO non-fulfilment.

Indian Energy Exchange Limited

January 30, 2026

Page 4 of 16

CERC issued final guidelines for virtual power purchase agreements, VPPAs in December. These guidelines recognize power exchanges as authorized platforms for sale of electricity by RE generators under VPP arrangements. Renewable generators entering VPPAs would be selling the electricity component in the collective segment on power exchanges. This should help increase volume on exchanges.

In reference to the carbon market, final notification regarding greenhouse emission intensity (GEI) targets have been published by the Ministry of Environment, Forest and Climate Change for obligated entities across 7 sectors such as aluminium, chlor-alkali, cement, pulp and paper, petrochemicals, petroleum and textiles. Final notifications are awaited for the iron and steel sector.

The baseline emission of these 7 sectors with base year FY '24 is 480 million tons equivalent, with targeted reduction to 465.32 million tons equivalent by FY '27. These sectors cover around 16% of India's GHG emissions. This development has laid the foundation of trading of carbon credit certificates on power exchanges.

The MoP had earlier issued the final notification on renewable consumption obligation, RCOs.

The notification defined RCO fulfilment method to also include RECs acquired under VPPAs, among others and also provided for fungibility of obligation under wind, hydro and other components.

We have sought CERC approval to align our green con

tracts with the revised RCO components.

The order in the matter is reserved. Once aligned, these contracts will provide due clarity to market participants for RE sale procurement, which has the potential to increase RE participation going forward.

CERC issued an order on implementing market coupling on 23rd July, in which the regulator decided to initiate the process of implementation of market coupling of Day Ahead Market.

According to the order, this was to be done by January 2026. IEX has filed an appeal in Appellate Tribunal for Electricity, APTEL, and today, the hearing has concluded. We expect the final order to be released shortly.

Moving on to performance. In Q3 FY '26, IEX recorded electricity trading volume of 34.1 billion units, a year-on-year growth of nearly 12%. For the first nine months of FY '26, electricity volume touched nearly 102 billion units, higher by 14.3% on a year-on-year basis.

Revenue for the company grew by 14% year-on-year, increasing from Rs. 160.5 crores in Q3 to Rs. 183.1 crores in Q3 FY '26. Profit after tax increased by 11%, rising from Rs. 107.3 crores in Q3 FY '25 to Rs. 119.1 crores in Q3 FY '26. For the first nine months of FY '26, profit after tax was higher by 16.4% from Rs. 312.1 crores in nine months FY '25 to Rs. 363.1 crores.

The Board of Directors have announced an interim dividend of Rs. 1.5 equivalent to 150% of face value of the equity share.

In Q3 FY '26, nearly 18.6 lakh renewable energy certificates were traded, lower than nearly 27 lakh certificates traded over the same quarter in FY '25. During the nine months till December, Indian Energy Exchange Limited

January 30, 2026

Page 5 of 16

over 115 lakh RECs were traded, higher by 4% over the same period last fiscal. The RTM segment continues its strong growth, maintaining 40% share in the electricity volume at IEX. For Q3 FY '26, RTM volume at nearly 13 billion units were higher by 36% on a year-on-year basis. In the first nine months, RTM volumes have grown 38.6% on a year-on-year basis to reach

40.5 billion units. This segment has been playing a critical role by offering flexibility in power procurement, providing immediate responsiveness to efficiently integrate renewable with the grid.

Green market volume in Q3 FY '26 rose 7.2% on a year -on-year basis to nearly 3 billion units compared with Q3 FY '25. In the first nine months of FY '26, the segment traded over 8 billion units to be higher by 23% over the same period in FY '25. The green market helps obligated entities, including distribution companies, meet their renewable purchase obligations.

With capacity addition, increase in solar, hydro, wind and sustained supply from coal -based generation, supply liquidity on power exchanges improved and led to substantial drop in prices. In Q3 FY '26, sell bids in Day -Ahead Market of IEX increased 44% on a year -on-year basis. As a result, the average Day -Ahead Market price was Rs. 3.22 per unit, down 13.2% YoY, while price in the Real-Time Market averaged Rs. 3.56 per unit, a 16% YoY drop. Even on a 9 -month basis, sell liquidity in the Day -Ahead Market in FY '26 has been higher by 43% compared with FY '25. The average DAM price, during this period at Rs. 3.85 per unit has been lower by 14% compared with the same period in FY '25. Similarly, the average price at Rs. 3.56 per unit in RTM segment over nine months since April has been lower by 16% on a year -on-year basis. These prices presented an opportunity for Discoms and Commercial & Industrial consumers to meet their demand at competitive prices and to replace their costlier power by procuring through exchanges.

On the product front, we continue to await approval from the C ERC on our petition to extend the Term Ahead Market contracts to 11 months. With regards to our Green RTM petition, C ERC has reserved its order. As mentioned previously, to facilitate merchant storage capacity in th

e

country, we have filed a petition with the C ERC for introduction of peak Day -Ahead Market and peak Real -Time Market segments.

This segment would facilitate trading of power during high -demand hours such as late evening and early mornings. Stakeholder consultation on the same has been completed and the matter awaits further proceedings.

Moving on to IGX performance. December 2025 marked five years of operations for the Indian Gas Exchange, IGX. IGX currently represent close to 3% of India's overall gas consumption and 20% of the spot market. Over the years, IGX has steadily expanded its market footprint, increasing the delivery points available from 4 in FY '22 to 23 today, covering both domestic as well as R -LNG. The product portfolio at IGX has also grown over the last 5 years, up from 6 contract types available initially to 10 contract types currently available.

For Q3 FY '26, IGX traded gas volumes of 17.5 million MMBtu, an increase of 8% over Q3 FY '25, led by volumes from domestic gas producers, heightened power demand and demand from Indian Energy Exchange Limited

January 30 , 202 6

Page 6 of 16

city gas distribution. For the nine months period April to December in FY '26, IGX traded gas volume of 58.2 million MMBtu, a growth of 46% on a year -on-year basis.

IGX recorded a profit after tax of Rs. 8.8 crores in Q3 FY '26, which was higher by 6% compared with Rs. 8.3 crores in Q3 FY '25. For the nine months till December, IGX recorded a profit after tax of Rs. 32.5 crores, higher by 47.9% compared with Rs. 22 crores in the same period in FY '25. As gas price continue their downtrend and the policy initiative remain s positive in the sector , volumes at IGX would continue to be robust.

Even as weather -related events soften ed power demand this year, C EA projection of consumption nearing 2,500 BU by 2032 would continue to drive exchange volume in the coming years. To meet this surging demand, nearly 4 to 5 gigawatts of capacity is being added in the country on a monthly basis.

The power sector also continues to evolve with the emergence of market mechanisms such as battery storage arbitrage, firm and dispatchable renewable energy (FDRE); virtual power purchase agreement (VPPA); and electricity derivatives and Battery Energy Storage Solutions, (BESS). Already 13,200 MWH of BESS projects have been awarded under the first tranche and tenders for nearly a third of 30,000 -megawatt projects in the second tranche under VGF have also been awarded. The reduction in this battery storage cost s has further accelerated BESS adoption. As recently as November 2025, AP Transco discovered Rs. 1.48 lakh per megawatt per month for 2,000 megawatt 2 -hour, 2 cycle tender under the VGF mechanism. This is the lowest price discovered for BESS under the VGF mechanism . In a big positive start for BESS in the country earlier this month , we witnessed the first merchant BESS trades at IEX from Juniper Green Energy Limited, the largest operating BESS asset till date in the country. These developments are set to play a pivotal role in deepening BESS and power markets and facilitate a successful energy transition.

Our diversification initiatives are also gradually gathering momentum.

For Q3 FY '26, the International Carbon Exchange, ICX, issued 51 lakh I -RECs, higher by 219% compared with Q3 FY '25. For the first nine months of FY '26, cumulative 133 lakh I -RECs were issued, surpassing 59 lakh I -RECs issued in FY '25. Revenue for ICX in Q3 FY '26 stood at Rs. 1.8 crores and Rs. 5.5 crores for the first nine-month period, respectively. With regards to the Coal Exchange, Ministry of Coal has appointed Coal Controller Organization as the regulator for the coal exchange. MoC has also come out with the revised draft rule s for the exchange and invited public comments, which were open until January 19. IEX has been working with stakeholders to explore setti

ng up the first coal exchange in India.

As India advances towards its net zero goal, energy exchanges are expected to play an increasingly significant role in shaping the nation's energy ecosystem.

Thank you. And now we can have question and answers.

Indian Energy Exchang e Limited

January 30 , 202 6

Page 7 of 16

Moderator: Than k you very much! We will now begin the question -and-answer session. The first question is from the line of Ketan Jain from Avendus.

Ketan: This is Ketan from Avendus. Sir, I had a question on the hearing. When would be the expected announcement date of the verdict? I understand we have to submit our written submissions by 4th Feb. When can we expect a verdict date?

Satyanarayan Goel : Can't say, but it should happen within a month's time.

Ketan: Okay. Within a month. Okay. So, just a follow -up on this. So, in a scenario where things don't go in favour of us, what is the next possible situation or next possible thing we are planning to do?

Satyanarayan Goel : First of all, why are you saying that if things don't go in our favour ? Things will definitely go in our favour . In any case, even if they have to go with the coupling, lot of things have to be done yet. I mean, if you are following up on the hearings, they have to issue the draft regulations, invite comments on that and give statement of reason for that, why they want to do coupling. Everybody will have opportunity to comment on that.

Then they will have to issue final regulations, procedure to be finalized. I think a lot of work is to be done. So, we will have an opportunity to express our views at each and every stage. And let's see.

Ketan: I just want to understand how long it can get drawn down for. I will get back in the queue, sir.

Moderator: Thank you. T he next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore : My first question is in relation to the volume growth that we saw for electricity volumes on IEX in the month of December when power demand growth improved, your volume growth was about slightly under 3%. And so, I understand the merchant price sort of firm up as the demand increases on the grid.

But even in Jan uary, the demand is not as good as December in terms of growth. But so how is the -- is the slowdown likely to remain? Let us say, if India's power demand grow s 5%, 6% instead of 0% to 1% like it has been last few months, how would your power demand grow? How would your volumes be impacted in the electricity segment?

Satyanarayan Goel : See, in Calendar Year '25, the demand in the country was subdued mainly because of the weather reason. We had more than above monsoon. So , because of the good monsoon, the agricultural load crashed and also because of the good weather, the air conditioning load was also low. So overall, the demand did not increase because of that. But otherwise, if you looked at the industrial production, th ere is definitely -- there is an increase in that.

And since the demand growth was not there, but the availability of power was there, we have enough capacity. We had enough coal to generate power. The rate in the Day Ahead Market was lower than what it used to be. And because of the low rate, it provided opportunity to the Indian Energy Exchang e Limited

January 30 , 202 6

Page 8 of 16

distribution companies for optimizing their power procurement cost. So , as a result of that, even though there was no demand increase in the country, we saw reasonably good volume growth. I think it was almost about 14%, 15% kind of volume growth in the first nine months. And January month is also going strong with a volume growth of almost about 18%, 19%.

Sumit Kishore : So, January is 18%, 19%. Okay.

Satyanarayan Goel : Yes.

Sumit Kishore : So, I mean, is there any correlation that if power demand actually firms up, like December

volume growth was 3%. So, I was just wondering whether -- is there anything to read there?

Satyanarayan Goel : You cannot make any correlation on month -to-month basis. Yes, we have seen that on a yearly basis, if the demand increases, definitely, it leads to increase in the volume. But this year, when the demand did not increase, then also there was a volume increase because of optimization opportunity (which presented itself) because of the low prices. So, I think exchange provides both ways. One can purchase power to meet the demand and also when the demand is less, they can optimize the power under the PPA.

Sumit Kishore : Yes, Sir. very clear. The second question is on the REC volume. In the nine -month period, you've seen that REC volume growth has been in low single digits. So , what is -- and we are hearing so much on RPO obligations and everything. So how -- I mean, why is the slowdown and what is the outlook?

Satyanarayan Goel : See, REC volume in the first 6 months are reasonably good. But subsequently, what happened was -- one is that the compliance, which was to be done by 30th September, that time - line has been extended up to 31st of March. So, some of the buyers now they have shifted their buying to the month of February, March.

Second is CERC also came out with a discussion paper on REC and wherein they have specified that in case somebody is not able to meet the RPO obligation, he can deposit amount with the Government , which is equivalent to 1.05% of the average price of REC in the preceding year. So, with this kind of provision, many are thinking that maybe let 's see, maybe can even meet the RPO obligation by just depositing the money with the Government . So, because of this, the REC purchase is slightly low. But in any case, I think by the end of the year, we will be able to still do better than what we did last year.

Sumit Kishore : This sounds like a very regressive step, right? And if you are able to deposit money and not...

Satyanarayan Goel : Yes. We have made our submissions with the honourable commission that in case of REC, REC is based on the generation of green power. But in case of depositing money, it is not promoting renewable energy. So, we should continue with the existing process. We have made our suggestions and let's see what is the outcome of that.

Sumit Kishore : Sir, just last one question. Typically, if I divide the stand -alone revenue of the company by the total gross volume, the ratio comes to less than four paisa . But this time, it is coming at less than Indian Energy Exchange Limited

January 30 , 202 6

Page 9 of 16

4 paisa . So typically, there is some discount that is there, which shows up in numbers because REC, I remember the pricing is lower and also you have some discount in TAM. But this time, it is not showing up. I mean, is there anything I'm missing?

Satyanarayan Goel : No, in case of REC, the transaction fee is reduced to Rs. 20, in fact, for part of the year. This year for the full year, it is Rs. 20. And even out of that, also looking at the market conditions, we have to give incentives to the buyers and sellers , some amount of incentive. But otherwise, in case of electricity, I think it is around four paisa .

Sumit Kishore : Yes. But if you divide the revenue for December quarter standalone, Rs. 1,439 million by the volume, the ratio is coming to 4 paisa . It is typically less than that.

Satyanarayan Goel : Revenue also includes annual fees by the members.

Sumit Kishore : In the past few quarters, it was always been less than four paisa . So, I was wondering if there is something else this time.

Satyanarayan Goel : Maybe there is a variation in the yearly fees.

Vineet Harlalka : Even in the TAM trade volume, sometimes the delivery is related to the revenue recognition, it happens. So that also impacts slightly with many times realization of the trade volume.

Moderator: Thank you. The next question is from the line of Devesh Agarwal from IIFL Capital. Please go ahead.

Devesh Agarwal : Thank you for the opportunity Sir. First question again on the market coupling case. If you could help us understand, does the case now boils down to whether the process was followed while the implementation of market coupling rather than the market coupling regulation itself? What are we kind of doing in the APTEL? Is it the process that we are challenging or just the whole regulation?

Satyanarayan Goel : What we had challenged in the APTEL was that this order should be set aside because the order has not followed the due process of order making. The transparency was not ensured, and there was no merit in implementing market coupling. But during the discussions, it also emerged that CERC has mentioned that they will be doing this market coupling only after making the regulations.

And during the regulation -making process, everybody will have the opportunity of making the submissions. So, the complete transparency will be maintained during that process. So, this order

is basically to initiate the process of regulation making. So, let us see what is the final outcome of this.

Devesh Agarwal : There was one round of public comments that were invited on market coupling. So, you're saying for the regulation, again, C ERC is required to do that .

Satyanarayan Goel : No that was the staff paper. That was on the staff paper that what are views on the staff paper. But when you make regulations, you issue draft regulations, which indicates the intent of the Commission and why that intent is and on that, they invite the comments.

Indian Energy Exchange Limited

January 30 , 202 6

Page 10 of 16

Devesh Agarwal : Right. And there was some news article mentioning...

Satyanarayan Goel : Out of the Commission, staff paper is invariably, is something like a discussion paper initiated by the Staff of the Commission . But draft regulations are by the Commission .

Devesh Agarwal : Understood. And so most likely post the APTEL, there is a possibility that C ERC will start the process of the market coupling regulation.

Satyanarayan Goel : Let us see. I mean, I can't say anything on that.

Moderator: Thank you. The next question is from the line of Abhir Pandit from Old Bridge Mutual Fund.

Please go ahead. Please unmute your line and go ahead. Due to no response, we will move to

the next participant Pranav Jain from Ageless Capital and Finance. Please go ahead.

Pranav Jain : I just had a couple of questions. So , the first one being, in your opening remarks, you said that electricity from long -term PPAs might be routed through the exchanges, if I heard correctly. Can you explain me more on that? How will that work? How will the tariffs work on that? Will it be the same process? Just a little idea on that.

Rohit Bajaj : Okay. Yes. So, this was point related to deepening of power market where , as per the National Electricity Policy Draft, suitable policy and regulatory framework shall be established for generation capacity addition through mechanisms such as bilateral contract settlements. So, they are relating it to Contract for Difference model where the exchanges are used to dispatch that power and whatever realization is there from exchange, that will be kept by developer and whatever is the missing money as compared to the strike price, which is discussed, that is settled outside the market through bilateral contract settlement. So, that's the intent of this thing.

And this is similar to what is being done globally across Europe and other places and India also, this has been discussed for a long time. And in fact, the VPPA guidelines, which has come in the month of December, very recently, this is also very similar to it. It is also on the basis of bilateral contract settlement.

Pranav Jain: Got it, sir. Understood. And sir, just another question on -- just to understand, sir, even if coupling comes in

DAM, I just want to understand how -- because now also it will take time for it to get implemented in the Day -Ahead Market at first. How much longer will it take if that happens -- for that to happen in the RTM market as well? Because my understanding is it is very complicated but just wanted to get your idea on it.

Satyanarayan Goel : So first of all, for implementing in the DAM market itself, a lot of work is to be done. As I told you that there are going to be draft regulations, public hearing, final regulation. process to be finalized and a lot of things will be done. And after that, Commission has already in the order mentioned that they will look at the experience of this and thereafter decide whether they want to go for the RTM or not. Because in case of RTM, the complications are more. You have to do it 48 times in a day and the timelines available for execution of market is very short. And in case of coupling even whether the time lines is available, within that, whether the coupling will be possible or not . I think they will study all these things and then decide about that.

Indian Energy Exchange Limited

January 30 , 202 6

Page 11 of 16

Pranav Jain: Got it, sir. And sir, just lastly, sir, there was this news article that mentioned that the tariffs like the exchange fees might be cut from four paise to whatever half of it on each side. What is your idea on that? Do you see that happening?

Satyanarayan Goel : I haven't heard any such thing. I mean, there are many news items, so I don't really pay any much attention to that. But as far as the Commission is concerned, we haven't heard anything like that from the Commission .

Moderator: The next question is from the line of Abhir Pandit from Old Bridge Mutual Fund.

Abhir Pandit : Sir, my query is first related to market coupling. Sir, assuming if market coupling happens and if the round robin fashion is adapted, is it necessary that the volumes will flow to a particular exchange for a particular period of time? Or will it be open for all the exchanges at that period? How will it be?

Satyanarayan Goel : It will be open to all the three exchanges on everyday basis. Buyers and sellers can submit their bid in any of the exchange. Only thing is that the bid of all three exchanges will be aggregated at one place for the purpose of price discovery.

Abhir Pandit: Okay. So basically, price discovery moves to GRID India from the exchange currently.

Satyanarayan Goel : No, no. Price discovery will be done on the round robin basis. Maybe for one month, one exchange will do. For next month, another exchange will do. For next third month, another exchange will do. And we'll keep on rotating between the exchanges on round robin method.

Abhir Pandit: Okay. Fine. Sir, my second question is in terms of new products that was shared at the start of the call, right, I mean, which has come based on the recent government paper. Sir, how do you see IEX ability to introduce those products and the acceptance or reception of those products by customers and the time line for the launch of these products?

Satyanarayan Goel : See, when we file petition with the Honourable Commission, before that, we do the market survey. We interact with the customers and based on the requirement of the market, we file petition for introduction of the contracts. And in fact, when we do public consultation also, in that also, we have received good response from the market for introduction of these products, which we have filed with the Honourable Commission. The Commission has done the hearing. So, let us see this order is reserved in one or two cases.

Abhir Pandit: Okay. Sir, just one final. For these products, Sir, what would be the total market size or TAM as such in a sense? How big will it be possibly?

Satyanarayan Goel : See, for long -duration contract, the market size can be another 15 billion, 20 billion units. Abhir Pandit

t: 15 billion, 20 billion units. Okay.

Satyanarayan Goel : And Green RTM is something , because there's a lot of renewable capacity addition that is happening in the country now and renewable capacity has large variations. So , on Real-Time basis, they will be able to make good those variations to the Real -Time Green Market. Today, Indian Energy Exchange Limited
January 30 , 202 6

Page 12 of 16

they don't have any such product. So , as the renewable capacity addition increases, the transactions to the Green RTM volume will keep on increasing.

And third product is basically Peaking Power . If today, we have a shortage of power for maybe 2 hours, 3 hours in a day during the peak hour time and generation capacities like battery storage or the pump storage or the gas -based plants where the cost of generation is slightly higher, maybe they can participate in this market and if in this market, the cap price is made slightly more, it will incentivize this kind of capacity additions in the market and help in meeting demand during peak time. So, that is the intent of the peaking power tariff.

Moderator: The next question is from the line of S. Ramesh, an individual investor .

S. Ramesh : So, in terms of your gas exchange and the carbon exchange, how would the growth in these two markets pan out, say, in the next 1 or 2 years compared to the growth in the power exchange? And how would that impact your growth in revenue and profitability?

Satyanarayan Goel : See, in case of power exchange IEX, it is operating from the last 17 and a half years. So , it has attained that kind of a maturity. So, growth is going to be in the range of 15% to 20%, which we have been achieving over the years. But in case of gas exchange, it's at the nascent stage. And this year, in the first nine months, the volume increase is almost about 47%, 48%. And the trend in the market is that the gas prices are going to be reduced in the next 1 or 2 years. If that happens, there will be a good traction in the market and we expect that the gas volumes will definitely continue to grow at a rate of maybe 25%, 30% over the next 4, 5 years.

S. Ramesh: And what about the carbon exchange?

Satyanarayan Goel : Carbon exchange, in fact you know , earlier, we had the idea of starting a voluntary carbon market. But Government of India under the CCTS scheme, they have decided to launch this Mandatory and Voluntary carbon market under the regulatory framework. So, they are making their regulations for that. And hopefully, that market will start sometime in FY '27 or '28. And as and when that market starts, C ERC will be the regulator for that market. So, it's very difficult to say at this stage what is going to be the opportunity in that . When the transaction starts and looking at the market participation, we will work out that.

S. Ramesh: Yes. And request for your final couple of thoughts. Also on the gas exchange, as we see growth, would you also see higher margins in the gas products compared to the power products? And secondly, what is the time line? How are you progressing on the proposed IPO for the gas exchange?

Satyanarayan Goel : See, in case of power or gas exchange, the margins are fixed. So, our revenue is based on the volume we do. As I told you that in case of gas exchange, we expect a significantly higher volume growth of 25%, 30% in the coming years. So, I'm sure there , the numbers will be much better. As far as IPO is concerned, basically, as per the regulations, our holding in the gas exchange is 47.5% and we have to bring it out to 25% as per regulations. So , we have requested

IGX to proceed with the IPO for this. So, they have initiated action. Let's see. Maybe by , we plan to do it in this year. So, it all depends on the different activities to be done and the clearances when we get from SEBI. It all depends on that.
Indian Energy Exchange Limited
January 30 , 202 6

Pa

ge 13 of 16

Moderator: The next question is from the line of Vijay from Spark Capital. Please go ahead.

Vijay: Yes. So, there was this concept of whether coupling RTM and SCED markets would be feasible and if it's economically good, where is that right now, Sir? Or is it like only now regulations on market coupling is the priority after that DAM coupling will happen and only after that, all these things on RTM and SCED, all these things will happen?

Satyanarayan Goel : As far as RTM and SCED is concerned, I think C ERC in their order has already mentioned that this will involve redesigning of a lot of regulations and process es and other things. So, they will look at this at a later stage. They have not made any mind on that. So , at the moment, they are talking about the Day -Ahead Market. And based on the experience of Day -Ahead Market, they will think about RTM. They will take a view about RTM.

Vijay: Okay. And from what I understand this, after regulation, public hearing, final regulations on market coupling ... Correct, sir?

Satyanarayan Goel : Yes, yes. Your voice is breaking.

Vijay: Sorry. I was just taking how long according to you...

Satyanarayan Goel : Can't say. It's a regulatory process, and we really cannot say how much time it will take. Your voice is cracking, Sir. There is some disturbance in the line. I'm not able to hear you.

Vijay: Is it better?

Satyanarayan Goel : Yes, it is better now.

Vijay: No, so I was just...

Satyanarayan Goel : No, no, no. I think...

Moderator: Vijay, can you please work on your audio. Vijay , please come back in the question queue. The next question is from the line of Vinay Nadkarni from Hathway Investments.

Vinay Nadkarni : Just one book -keeping question. What is the Cash and Cash equivalent as of 31st of December?

Vineet Harlalka : We have a total cash of around INR1,500 crores as on 31st of December. And out of that, the shareholder fund is around INR1,200 crores.

Vinay Nadkarni : Okay. And secondly, just wanted some idea of how this Virtual Power Purchase Agreements are expected to increase demand for IEX?

Satyanarayan Goel : See, under the Virtual Power Purchase Agreement , a buyer will do the agreement with the generating company for generation of green electricity. That electricity will be sold on the exchanges. And green attribute will be taken by the company, which is getting into this Virtual PPA. So , definitely it will increase sell volume on the exchanges. And it will definitely have a positive impact on the volume cleared also. But it all depends on the quantum of virtual PPAs, which happen in the market and the interest of the market in getting into these transactions.

Indian Energy Exchange Limited

January 30 , 202 6

Page 14 of 16

Vinay Nadkarni : Okay. And secondly, the total un -requisitioned power that is available for transaction on the exchanges, that is currently at 7%, isn't it?

Satyanarayan Goel : Currently at?

Vinay Nadkarni : 7%. How much is it?

Satyanarayan Goel : Yes, it is almost about 9% to 10% now. Earlier NTPC was participating. Now, we find that many other generators are also participating in this market.

Vinay Nadkarni : Okay. And lastly, from your vantage point, when I see the GDP growth at 7.4%, 7.5% and you have the IIP growth also coming up, but the power demand is not catching up. Is there some dichotomy there? What do you see? Why is it happening?

Satyanarayan Goel : As I told at the beginning of this conference also that this year (2025) we had a very good monsoon, more than above monsoon. And because of good monsoon, the agricultural demand had crashed. In fact, even air conditioning load was also very low. As a result of that, the demand increase was not there. But this year (2026) , if the weather is normal, definitely, the demand increase is going to be not less than 5%, 6%.

Vinay Nadkarni : Okay. So out of this, the indu

ustrial demand continues to increase, but you're saying the agriculture and the household demand has gone down.

Satyanarayan Goel : Yes, yes, yes.

Moderator: The next question is from the line of Sumit Kishore from Axis Capital.

Sumit Kishore : One question is, will the depth and the liquidity of electricity exchanges -- we are constrained on the extent of VPPAs that can be introduced as they are structured as Contracts for Differences .

So, at the current moment, how much VPPA can you actually introduce given the volumes exchanges handled?

Satyanarayan Goel : I think as of now -- Rohit, maybe you can give some figure on that.

Rohit Bajaj : See, your point is related to how much buy is there. Let's say, if we start to execute more and more VPPAs, then all the surplus generation will come to market as a sell. So, what I understand is you want to ask how much buy is there and how much this sell can be absorbed in the market, right? So , let's take the worst case, which is solar , during the daytime and VPPA doesn't mean only solar. It could be hybrid. It could be wind. It could be BESS. It could be anything. So even if we take example of solar, on an average, during the daytime, there is 6,000, 7,000, 8,000 megawatt of demand is always there. I'm talking about average. There are extreme days where it is high. There are days where it is low. So , if we go by that logic , and VPPAs since they already have an agreement, that already a PPA is there, so they would be price takers, which means they would be putting the lowest price in their bids. That is the price point that they are placing for their sell. So , by that logic, if I collate both RTM as well as DAM, there is liquidity available to the extent of 10,000 megawatt. To that extent, there should not be any problem. And today, this number stands much, much less than 1,000 Megawatts . If I talk about how many VPPAs are Indian Energy Exchange Limited
January 30 , 202 6

Page 15 of 16

there today and who are coming to exchange, this number is much less than 1,000 Megawatt , which means there is a large window available for them to come to this market and that will get absorbed.

Sumit Kishore : Rohit, what we also see is that during the daytime, the sell availability is a lot higher than the buy. So , the prices are depressed. So , if you are just going to increase more liquidity on the exchange in terms of sellers, it will just crash the price, right?

Rohit Bajaj : No. See, what is happening here is during the daytime, because many of these thermal power plants are also backed down, they are also participating on exchange. And there is very good quantum of URS power also coming in the market. Now, all this power is coming at a price point. None of these thermal generators are quoting less than Rupees 2.5 or Rupees 3 .0, right? They're not going below that because that is their variable cost, the coal cost. Now if, let's say, 1,000, 2,000, 3,000 megawatts o f additional VPPA power will come, it will bring down the price, no doubt about it. But how much that would be, that is to be seen. So , it's not that it will crash it left, right, center and price would come down to 0 or less than one rupee level. That will not happen. But yes, if there is more supply, then it will bring down the prices.

Satyanarayan Goel : In fact, in the Day -Ahead Market, it is more of conventional power, which is coming. But if you look at our G -DAM market . In the G -DAM market, we have large buy volumes. There is an interest from the buyers, but the quantum available in the G -DAM market is comparatively much lower. So , when VPPAs come, of course, they will come in the conventional market , but if green power comes to the market, yes, that will help us.

Sumit Kishore : Just one last data question. In the nine -month period, what was IEX market share in REC and the TAM segments?

Rohit Bajaj : So, electricity overall, we are around

83% in first nine months. And REC is about 50%. I do not have exact number for REC available right away, but electricity is 83% for sure. REC about close to 50%.

Sumit Kishore : So, TAM is what, 50%?

Rohit Bajaj : TAM , it varies between 45%, 50%. You have that? So, TAM is generally below 50%, but overall electricity is 83%.

Sumit Kishore : Got it. We can reverse calculate also. Assume 99% for RTM and DAM and rest we can.

Rohit Bajaj : 83% number will help you arriving at the final.

Moderator: We take that as the last question. And now I hand the conference over to the management for the closing comments.

Rohit Bajaj : Thank you, friends. I would like to thank each one of you for being part of today's call. Throughout the third quarter, we witnessed efforts from the Government and regulators to establish a favorable policy and regulatory climate to develop the energy sector. We at IEX
Indian Energy Exchange Limited
January 30 , 202 6

Page 16 of 16

remain committed to contribute to the development of a sustainable and energy -efficient future

for India. Have a wonderful evening. Thank you once again.

Moderator: Thank you very much. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2026

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